

Financial Markets & Services



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Contents

Page No.

01

Module - I : Introduction to Indian Financial System

- 1.1 Introduction To Indian Financial System
 - 1.1.1 Introduction of Financial System
 - 1.1.2 Overview of Indian Financial System
 - 1.1.3 Regulatory Structure of Financial System
 - 1.1.4 Role & Functions of Indian Financial System
- 1.2 Financial Markets
 - 2.1.1 Detail Introduction of Financial Markets
 - 2.1.2 Functions & Role of Financial Markets
 - 2.1.3 Money Market
 - 2.1.4 Functions of Money Market
 - 2.1.5 Instruments of Money Market - Part 1
 - 2.1.6 Instruments of Money Market- Part 2
 - 2.1.7 Case Study on Money Market Instruments
 - 2.1.8 Capital Market
 - 2.1.9 Functions Of Capital Market
 - 2.1.10 Types of Capital Market
 - 2.1.11 Instruments of Capital Market- Part 1
 - 2.1.12 Instruments of Capital Market- Part 2
 - 2.1.13 Instruments of Capital Market -Part 3
 - 2.1.14 Case Study on Capital Market Instruments
 - 2.1.15 Interlink Between Money Market & Capital Market
- 1.3 SEBI & Stock Exchange
 - 3.1.1 SEBI Introduction
 - 3.1.2 Role of SEBI
 - 3.1.3 Introduction of stock Exchange
 - 3.1.4 Types of Stock Exchanges
 - 3.1.5 Functions of Stock Exchange
- 1.4 Forex Market
 - 4.1.1 Introduction to Forex Market
 - 4.1.2 Overview of Forex Market
 - 4.1.3 Trading in Forex
 - 4.1.4 Advantages of Trading in Forex
 - 4.1.5 Case Study on Forex Market Part 1
 - 4.1.6 Case Study on Forex Market Part 2

Module - II : Financial Services and Merchant Banking

79

2.1 Financial Services

- 1.1.1 Introduction to Financial System
- 1.1.2 Introduction To Financial Services
- 1.1.3 Role of Financial Services in Economic Development
- 1.1.4 Evolution of Financial Service Sector
- 1.1.5 Types of Financial Services
- 1.1.6 Types of Fund Based Services -1
- 1.1.7 Types of Fund Based Services- 2
- 1.1.8 Types of Fund Based Services- 3
- 1.1.9 Types of Non Fund Based Services - 1
- 1.1.10 Types of Non Fund Based Services - 2
- 1.1.11 Types of Non Fund Based Services - 3
- 1.1.12 Introduction to Investment Banking
- 1.1.13 Investment Banking Services - 1
- 1.1.14 Investment Banking Services - 2

1.2 Merchant Banking

- 2.1.1 Introduction to Merchant Banking
- 2.1.2 Recent developments in Merchant Banking
- 2.1.3 Registration of Merchant Bankers Application
- 2.1.4 Code of Conduct for Merchant Bankers
- 2.1.5 Services of Merchant Banking
- 2.1.6 Issue Management
- 2.1.7 SEBI Guidelines for Issue Management
- 2.1.8 Pre- Issue Management Obligations
- 2.1.9 Post- Issue Management Obligations
- 2.1.10 Case Study on Issue Management
- 2.1.11 Introduction to Underwriting
- 2.1.12 Underwriting Obligations
- 2.1.13 Regulatory Framework related to Merchant Banking- Companies Act
- 2.1.14 Regulatory Framework related to Merchant Banking- SCRA

Module - III : Venture Capital and Private Equity

144

3.1 Venture Capital

- 3.1.1 Introduction to Venture Capital
- 3.1.2 Importance of Venture Capital Financing
- 3.1.3 Forms of Venture Capital
- 3.1.4 Characteristics of Venture Capital Financing
- 3.1.5 Phases in Venture Capital Financing - 1
- 3.1.6 Phases in Venture Capital Financing - 2
- 3.1.7 Types of Venture Capital
- 3.1.8 Structure of Venture Capital

- 3.1.9 Sources of Venture Capital Financing - 1
- 3.1.10 Sources of Venture Capital Financing - 2
- 3.2 Private Equity
 - 3.2.1 Introduction to Private Equity
 - 3.2.2 Private Equity vs Debt Financing
 - 3.2.3 Why do Companies seek Private Funding?
 - 3.2.4 Risks of Private Equity
 - 3.2.5 Ways to Invest in Private Equity
 - 3.2.6 Economic Benefits to Private Equity
 - 3.2.7 Managing Risk as an Investor into PE
 - 3.2.8 Difference between Private Equity & Venture Capital
 - 3.2.9 Pre - Money Valuation in case of Venture Capital Financing
 - 3.2.10 Post Money Valuation in case of Venture Capital Financing
 - 3.2.11 Case Study

Module - IV : Leasing, Hire Purchase and Credit Rating

192

- 4.1 Leasing
 - 4.1.1 Introduction to Leasing
 - 4.1.2 Essential Elements of a Lease
 - 4.1.3 Classification of Lease - Types of lease
 - 4.1.4 Merits Demerits of Leasing
 - 4.1.5 Pricing Method of Leasing -1
 - 4.1.6 Pricing Method of Leasing -2
 - 4.1.7 Pricing Method of Leasing -3
 - 4.1.8 Pricing Method of Leasing- 4
 - 4.1.9 Accounting Standards related to Leasing
 - 4.1.10 Legal Aspects of Leasing
 - 4.1.11 Numerical/ Illustration on Leasing vs Buying- based on NPV
 - 4.1.12 Case Study on Leasing
- 4.2 Hire Purchase
 - 4.2.1 Introduction to Hire Purchase
 - 4.2.2 Terminologies related to Hire Purchase
 - 4.2.3 Historical perspective on Hire Purchase
 - 4.2.4 Difference between Leasing & Hire Purchase
 - 4.2.5 Forms of Hire Purchase Agreements
 - 4.2.6 Accounting aspects related to Hire Purchase
 - 4.2.7 Legal Aspects of Hire Purchase
- 4.3 Consumer Credit
 - 4.3.1 Introduction to Consumer Credit
 - 4.3.2 Sources of Consumer Credit
 - 4.3.3 Factors affecting demand for Consumer Credit
 - 4.3.4 Merits & Demerits of Consumer Credit

4.4 Credit Rating

- 4.4.1 Introduction to Credit Rating Concept
- 4.4.2 Historical Background of Credit Rating
- 4.4.3 Types of Credit Rating
- 4.4.4 Credit Rating Methodology - 1
- 4.4.5 Credit Rating Methodology - 2
- 4.4.6 Advantages and Limitations of Credit Rating
- 4.4.7 Credit Rating Agencies in India
- 4.4.8 Factors Affecting Credit Score
- 4.4.9 Difference Between Credit Score & Credit Rating

Module - V : Recent Trends & Use of Technology in Financial Services Sector

269

5.1 Technology In Financial Sector

- 1.1.1 Introduction to Technology used in Financial Markets
- 1.1.2 Introduction to Technology used in Financial Services
- 1.1.3 Use of Softwares in Financial Sector - 1
- 1.1.4 Use of Softwares in Financial Sector - 2
- 1.1.5 Emerging Issues related to Technology
- 1.1.6 Future Prospects of Technology
- 1.1.7 KYC Details
- 1.1.8 Introduction to Mobile Apps
- 1.1.9 Role of Mobile Apps in Banking Sector
- 1.1.10 Role of Mobile Apps in Finance Sector

Module - I: Introduction to Indian Financial System

Notes

Structure:

- 1.1 Introduction To Indian Financial System
 - 1.1.1 Introduction of Financial System
 - 1.1.2 Overview of Indian Financial System
 - 1.1.3 Regulatory Structure of Financial System
 - 1.1.4 Role & Functions of Indian Financial System
- 1.2 Financial Markets
 - 2.1.1 Detail Introduction of Financial Markets
 - 2.1.2 Functions & Role of Financial Markets
 - 2.1.3 Money Market
 - 2.1.4 Functions of Money Market
 - 2.1.5 Instruments of Money Market - Part 1
 - 2.1.6 Instruments of Money Market- Part 2
 - 2.1.7 Case Study on Money Market Instruments
 - 2.1.8 Capital Market
 - 2.1.9 Functions Of Capital Market
 - 2.1.10 Types of Capital Market
 - 2.1.11 Instruments of Capital Market- Part 1
 - 2.1.12 Instruments of Capital Market- Part 2
 - 2.1.13 Instruments of Capital Market -Part 3
 - 2.1.14 Case Study on Capital Market Instruments
 - 2.1.15 Interlink Between Money Market & Capital Market
- 1.3 SEBI & Stock Exchange
 - 3.1.1 SEBI Introduction
 - 3.1.2 Role of SEBI
 - 3.1.3 Introduction of stock Exchange
 - 3.1.4 Types of Stock Exchanges
 - 3.1.5 Functions of Stock Exchange
- 1.4 Forex Market
 - 4.1.1 Introduction to Forex Market
 - 4.1.2 Overview of Forex Market
 - 4.1.3 Trading in Forex
 - 4.1.4 Advantages of Trading in Forex
 - 4.1.5 Case Study on Forex Market Part 1
 - 4.1.6 Case Study on Forex Market Part 2

Notes

Unit - 1.1: Introduction to Indian Financial System

Objectives:

At the end of this unit, you will be able to:

- Understand the basic introduction of financial system
- Understand overview of the Indian financial system
- Understand the regulatory structure of financial system
- Understand the role & functions of Indian financial system

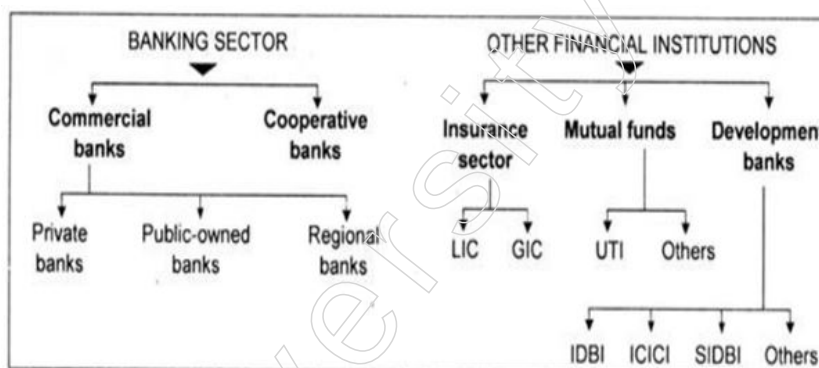
Introduction

Figure: Representing Indian Financial System

The economic landscape has changed dramatically in the post-independence period, with the economy making great strides in a variety of industries. A quantitative expansion as well as a diversification of economic activities has occurred. The lessons of the 1980s have led to the conclusion that India requires efficient financial institutions in order to reap the full benefits of increased dependence on voluntary, market-based decision-making. Perhaps the most crucial institutional and functional instrument for economic reform is the financial sector. Finance is a link between the present and the future, and the effectiveness with which the financial system fulfils its functions, whether it is the mobilisation of savings or their efficient, effective, and equitable allocation for investment, sets the pace for the fulfilment of broader national goals.

India is a developing country with the world's fifth largest economy by nominal GDP. All institutions, structures, and services that provide financial services to the public are referred to as the Indian Financial System. It allows for secure trade and money transactions. As a democracy, India has independent financial pillars, particularly in banking, capital and stock markets, insurance, liabilities, claims, transactions, and investments. It is critical for the country's wealth production and economic development.

Lenders and borrowers can trade funds through the financial system. In the areas of insurance, banking, capital markets, and numerous services, India's financial system is governed by independent authorities. As a result, a financial system can be said to play a substantial part in a country's economic growth by mobilising surplus funds and putting them to productive use.

One of the most essential parts of our country's economic development is the Indian financial system. This system coordinates the flow of cash between the country's citizens (household savings) and those who can intelligently invest it (investors/businessmen) for the mutual benefit of both sides. The financial system is made up of the services supplied to a person by numerous financial institutions such as banks, insurance firms, pension funds, and mutual funds.

The primary goal of a country's financial system is to manage and oversee the mechanisms of creation, distribution, exchange, and holding of all types of financial assets or instruments.

In the words of Prasanna Chandra, "financial system consists of a variety of institutions, markets, and instruments related in a systematic manner and provide the principal means by which savings are transformed into

investments".

According to Van Horne, "financial system allocates savings efficiently in an economy to ultimate users either for investment in real assets or for consumption".

1.1.1 Introduction of Financial System

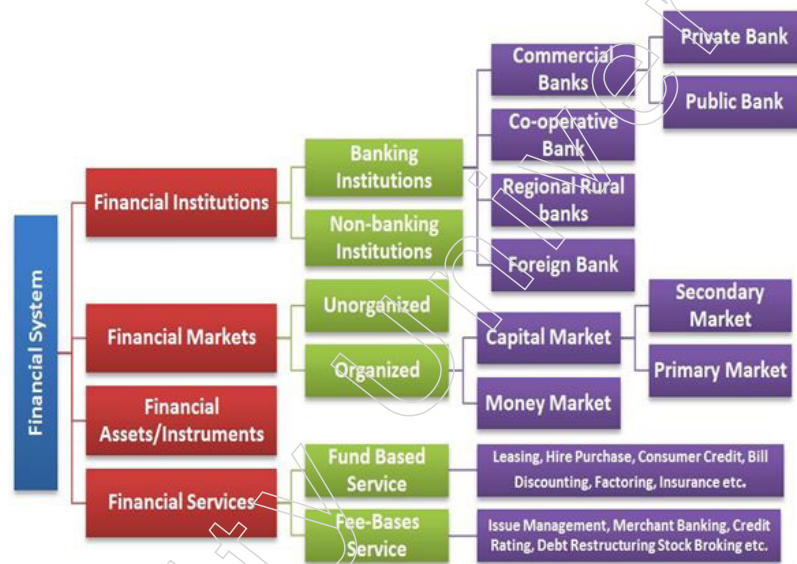


Figure: Representing Structure of Financial System

A Snapshot:

Individuals such as borrowers and lenders, as well as institutions such as banks, stock exchanges, and insurance firms, are all active participants in the transfer of funds and assets in a financial system.

It allows investors to increase their wealth and assets while also contributing to economic growth.

It provides a variety of functions in the economy, including acting as a payment system, giving savings choices, providing liquidity to financial markets, and safeguarding investors from financial dangers.

Notes

For a healthy financial system to operate at the corporate, national, and international levels, a precise set of rules developed under various

A financial system is an economic structure in which financial institutions help borrowers, lenders, and investors transfer monies and assets. Its purpose is to distribute economic resources efficiently in order to foster economic growth and provide a return on investment (ROI) for market players.

One of the most essential parts of our country's economic development is the Indian financial system. This system coordinates the flow of cash between the country's citizens (household savings) and those who can intelligently invest it (investors/businessmen) for the mutual benefit of both sides.

The financial system is composed of the multiple services supplied to an individual by multiple financial institutions such as banks, insurance firms, pension funds, and mutual funds.

A financial system is a collection of institutions that allow money to be exchanged, such as banks, insurance firms, and stock exchanges. Financial system exists from a firm to regional and to global scale. Borrowers, lenders, and investors all exchange current funds to finance projects for consumption or productive investment, as well as to earn a profit on their financial holdings. The financial system also contains a set of guidelines (which clearly states the various rules and regulations which the borrowers and the lenders utilise in order to determine which projects are funded, who finances initiatives, and the terms of financial transactions).

The financial system, like any other industry, can be organised via markets, central planning, or a combination of both.

Borrowers, lenders, and investors negotiate loans and other transactions in financial markets. The economic good sold on both sides in these marketplaces is usually money in some form: present money (cash), claims on future money (credit), or claims on the future earning potential or value of real assets (equity). Derivative instruments are also included. Financial instruments that are based on the performance of an underlying real or financial asset, such as commodities futures or stock options, are known as derivatives.

These are all traded in financial markets between borrowers, lenders, and investors according to supply and demand laws.

In an effectively planned financial system (e.g., a single firm or a command economy), the financing of consumption and investment plans is guided directly by the management or central planner, rather than by counterparties in a transaction. The planner, whether a company manager or a party leader, determines which initiatives receive funding, whose projects receive cash, and who funds them. Both give-and-take marketplaces and top-down central planning are present in most financial systems. In terms of internal financial decisions, a business firm is a centrally organised financial system; yet, it often operates within a broader market, interacting with external lenders and investors to carry out its long-term ambitions.

At the same time, all modern financial markets are governed by some form of government regulation that limits the types of transactions that are permitted. Because financial systems have such a direct impact on decisions about actual assets, economic performance, and consumer protection, they are frequently highly restricted.

Financial System Characteristics

- It is important to a country's economic development.
- It encourages saving as well as investment.
- It connects savers with investors.
- It aids in the creation of capital
- It aids in risk allocation.
- It makes it easier for financial markets to expand.
- It contributes to the financial deepening and broadening process.

Economic resources are limited in every functioning economy, while individuals have unlimited wants and aspirations. This issue, known as scarcity, is one of the most important economic forces. It does, however, make it difficult for an economy to decide when, where, and to whom to allocate its resources. As a result, a financial system structure capable of distributing economic resources efficiently to encourage growth emerged.

It also allows participants to gain from:

- Providing a method of payment (banks)
- Providing a means for members to earn interest in the form of time value (investment institutions)
- Defending them against financial dangers (insurance)
- Collecting and disseminating financial data (credit bureaus)
- To ensure stability, there are governing regulations (central banks and governments)
- Keeping cash on hand and converting investments into cash (banks and financial institutions)

1.1.2 Overview of Indian Financial System



Figure: Representing Overview of Indian Financial System

The financial system of a country is a crucial tool for the country's economic development because it aids in wealth generation by linking savings and investments. It aids in the wealth creation and development of both parties by facilitating the flow of cash from families (savers) to business firms (investors). All conditions and

Notes

Notes

mechanisms controlling the production, distribution, exchange, and holding of financial assets or instruments of any kind are included in the institutional arrangements.

The following are the four main components of the financial system:

- Financial Services
- Financial Assets/Instruments
- Financial Markets
- Financial Intermediaries

1. Financial Services

The Financial services encompasses the design and delivery of financial instruments, as well as consulting services to individuals and enterprises in the banking and related institutions, personal financial planning, leasing, investment, assets, and insurance, among other things.

These services include the following:

- Banking Services: This term refers to all of the services provided by banks, from simple money deposits and withdrawals to the issuance of loans, credit cards, and other financial products.
- Foreign Exchange services: Currency exchange, foreign exchange banking, and wire transfers are all examples of foreign exchange services.
- Investment Services: Asset management, hedge fund management, and custody services are all examples of investment services.
- Insurance Services: is concerned with the sale of insurance policies, brokerages, underwriting, and reinsurance.

Advisory services, venture capital, and angel investment are just a few of the various options available.

2. Financial Assets/Instruments

The Financial Instruments are a market for short-term money and financial assets that serve as a money replacement. The word short-term refers to any financial asset that can be converted into money fast, usually for a period of one year.

The following are some of the most important instruments:

- Call /Notice-Money: Money borrowed on demand for a relatively short period of time is known as call/notice money. Call Money refers to money that is lent for a single day. Holidays and Sundays are excluded from this calculation. Call money is money borrowed on one day and reimbursed the next working day. Notice money refers to money borrowed or lent for more than a day and up to 14 days. These transactions do not require any type of collateral security.
- Term Money: Term money refers to deposits that have a maturity duration of more than 14 days. The entrance requirements are the same as Call/Notice Money, with specified businesses not permitted to lend for more than 14 days.
- Treasury Bills: Treasury Bills are the union government's short-term (up to one year) borrowing instruments. It's a guarantee from the government to pay the

stated amount after the specified period from the date of issue has passed (less than one year). They are sold at a lower price than their face value, and when they mature, the face value is returned to the holder.

- Certificates of Deposits: A Certificate of Deposit is a money market instrument issued in dematerialized form or as a Promissory Note for funds deposited for a predetermined period with a bank or other eligible financial institution.
- Commercial Paper (CP): is a note that serves as evidence of the issuer's debt obligation. The debt is converted into an instrument when commercial paper is issued. CP is an unsecured promissory note that is privately placed with investors at a market-determined discount rate of face value.

3. Financial Markets

The financial markets can be divided into two categories:

● Capital Market

A capital market is an organised market that offers businesses with long-term financing. The facilities and institutional arrangements for borrowing and lending long-term funds are also referred to as the capital market.

There are three types of capital markets:

- Corporate Securities Market: Companies' equity and preference shares, debentures, and bonds are all examples of corporate securities. The corporate security market is a delicate and dynamic one. It is split into two categories: primary and secondary.
- Government Securities Market: Government securities are purchased and sold in this market. Bonds and credit notes are used to issue the securities. Banks, insurance companies, provident funds, the RBI, and individuals are among the buyers of such assets.
- Long-Term Loans Market: Banks and financial institutions that provide long-term loans to businesses to help them modernise, expand, and diversify their operations. The Long-Term Loan Market is organised into three categories: Term Loans, Mortgages, and Financial Guarantees.

● Money Market

The money market is where short-term monies are traded. Unorganized and organised money markets are the two forms of money markets.

- Unorganized Market: Moneylenders, indigenous bankers, chit funds, and other unorganised market participants make up the unorganised market.
- Organized Money Market: Treasury Bills, Commercial Paper, Certificates of Deposit, Call Money Market, and Commercial Bill Market are all part of the organised money market. The RBI's laws and regulations govern organised markets. In India, the Reserve Bank of India (RBI) is in charge of the Organized Financial Market.

4. Financial Intermediaries

A financial intermediary is a company that connects the surplus and deficit money. A bank is the best example of an intermediary since it converts bank deposits into bank

Notes

loans. The financial intermediary's job is to distribute monies from persons with excess cash to people who don't have enough money to meet their needs.

The following are the functions of a financial intermediary:

- The conversion of short-term liabilities to long-term assets is known as maturity transformation.
- Risk transformation is the process of converting risky assets into ones that are relatively risk-free.
- Small deposits can be matched with big loans, and large deposits can be matched with small loans using convenience denominations.

There are two categories of financial intermediaries:

- Depository Institutions: are banks and credit unions that gather money from the general public and utilise it to make loans to consumers.
- Non-depository Institutions (NDIs): are brokerage businesses, insurance companies, and mutual fund companies that do not accept deposits but sell financial goods to customers.

Through the provision of diverse financial instruments and efficient mobilisation of savings, the Indian Financial System accelerates the rate and amount of savings. It contributes to the country's increased national output by giving financing to corporate customers to expand their respective businesses. Through rural development banks and co-operative societies, it aids economic development and raises people's living standards, as well as encourages the development of the weaker sections of society. These are some key facts concerning India's financial system.

1.1.3 Regulatory Structure of Financial System

The Indian Financial Market authorities guarantee that market participants act responsibly so that the financial system continues to function as a vital source of finance and credit for businesses, governments, and the general public. They take action against any wrongdoing and ensure that investors' and customers' interests are protected.

All regulators have the same goal: to promote market fairness and competition while also providing the required regulations and infrastructure. We'll go over the major regulatory bodies in the Indian financial system in this article.

SEBI: The market regulator in the Indian capital market is the Securities and Exchange Board of India (SEBI).

IRDAI: The Insurance Regulatory and Development Authority (IRDA) does the same for the insurance sector.

RBI: Reserve Bank of India (RBI) conducts the country's monetary policy.

PFRDA: Pension Funds Regulatory and Development Authority (PFRDA) regulates pensions.

MCA: Ministry of Corporate Affairs (MCA) regulates the corporate sector.

RBI: The RBI's primary responsibility is to ensure price stability in the economy and control credit flow in the various sectors of the economy. Commercial banks and the non-banking financial sector are most affected by the RBI's pronouncements since they are at the forefront of lending credit. The RBI is the money market and the banking regulator in India.

- **Securities and Exchange Board of India (SEBI)**

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The Securities and Exchange Board of India (SEBI) is a statutory agency established under the Securities and Exchange Board of India Act of 1992 to avoid capital market malpractices that were affecting people's confidence in the market. Its main goal is to safeguard investors' interests by avoiding fraud and assuring the proper and fair functioning of the markets. SEBI has a variety of functions, which can be divided into the following categories:

- Protective functions: To safeguard investors' and other market players' interests. Preventing insider trading, increasing investor education and awareness, monitoring for price manipulation, and so on are all part of it.
- Regulatory functions: These are conducted to ensure that diverse market operations run smoothly. It entails establishing and enforcing a code of conduct and norms for all types of market players, performing an exchange audit, registering intermediaries such as brokers and investment bankers, levying fees, and enforcing fines for misconduct.
- Development functions: These are carried out to help the capital markets expand and flourish. It include providing training to various intermediates, conducting research, encouraging organisational self-regulation, facilitating innovation, and so on.

SEBI has the following abilities to carry out its responsibilities and achieve its goals:

- To amend laws governing the operation of the stock exchange
- To gain access to the exchanges' records and financial statements
- Conduct hearings and render decisions in matters of market misconduct.
- To approve the listing of corporations and to require their delisting from any exchange.
- Participants who engage in misconduct should face disciplinary sanctions such as fines and penalties.
- Various intermediates and middlemen, such as brokers, must be regulated.

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- **Reserve Bank of India (RBI)**



India's central bank, the Reserve Bank of India (RBI), was formed in 1935 under the Reserve Bank of India Act. The RBI's principal mission is to conduct monetary policy, as well as to regulate and supervise the financial sector, particularly commercial banks and non-banking financial enterprises. It is in charge of maintaining price stability and credit flow to various sectors of the economy.

RBI's key responsibilities include:

- It is responsible for issuing bank licences and approving bank branches.
- It develops, implements, and evaluates prudential standards like as the Basel framework.
- It establishes reserve requirement ratios to maintain and oversee the banking sector's reserves.
- It examines banks' financial accounts and keeps track of the banking industry's overall stress.
- It is in charge of overseeing the liquidation, merger, or rebuilding of financial companies.
- It oversees the infrastructure and payment and settlement processes.
- It is responsible for printing, issuing, and disseminating currency across the country.
- The RBI serves as the government's banker and handles its debt issuances, as well as maintaining order in the government securities markets (G-Sec). The Foreign Exchange Management Act of 1999 governs how the RBI controls foreign exchange. It intervenes in the foreign exchange markets to reduce volatility and promote international payments and trade, as well as the development of India's foreign exchange market.
- The RBI also governs and controls interest rates and liquidity in the money markets, which have a big impact on how other financial markets and the actual economy work.

- **Insurance Regulatory and Development Authority of India (IRDAI)**



The Insurance Regulatory and Development Authority of India (IRDAI) is an independent statutory agency established under the Insurance Regulatory and Development Authority of India Act, 1999. Its mission is to defend insurance policyholders' interests while also developing and regulating the insurance business. It sends out notifications to insurance companies on a regular basis about changes in rules and regulations.

It not only promotes the insurance industry, but it also regulates the various insurance charges and rates. In India, there are around 31 general insurance firms and 24 life insurance companies registered with the IRDA as of 2020.

IRDA's three major goals are as follows:

- To ensure that the policyholder is treated fairly and that his or her interests are protected.
- To regulate insurance businesses and ensure the financial stability of the industry.
- To create norms and regulations that are clear and unambiguous.
- The following are some of IRDA's key functions:
 - The registration of insurance businesses is granted, renewed, cancelled, or modified.
 - Charges and fees are levied in accordance with the IRDA Act.
 - Investigating, inspecting, and auditing insurance businesses and other organisations in the insurance industry, among other things.
 - Defining the code of conduct and ensuring that intermediaries, insurance brokers, and others have the necessary qualifications and training.
 - Insurance premium prices, terms and conditions, and other advantages supplied by insurers are regulated and controlled.
 - Provides a venue for grievance resolution and protects the policyholder's interests.

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- **Pension Funds Regulatory and Development Authority (PFRDA)**

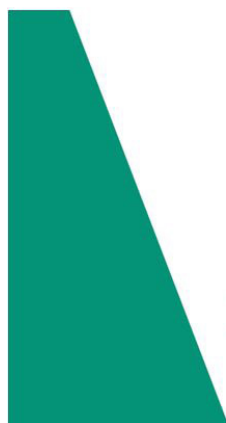


The Pension Fund Regulatory and Development Authority (PFRDA) is a statutory organisation established in 2013 by the Pension Fund Regulatory and Development Authority Act. In India, it is the only regulator of the pension industry. PFRDA's services were initially limited to government employees, but they were eventually expanded to all Indian citizens, including NRIs. Its main goals are to offer financial security to the elderly through regulating and creating pension funds, as well as to defend the interests of pension scheme subscribers.

PFRDA has the following functions:

- Investigating and conducting inquiries into middlemen and other participants.
- Increasing public awareness of retirement savings and pension plans, as well as providing training to intermediaries.
- Disputes between pension fund intermediaries and subscribers are resolved.
- Intermediaries must be registered and regulated.
- Defending the interests of pension fund participants.
- Specifying investment guidelines for pension funds.
- Developing a code of conduct, practise standards, and terms and norms for the pension business.

- **Association of Mutual Funds in India (AMFI)**



**Association of
Mutual Funds
in India**

In 1995, the Association of Mutual Funds in India (AMFI) was founded. It is a self-regulatory non-profit organisation that seeks to grow the mutual fund business by raising professional and ethical standards, with the goal of making mutual funds more accessible and transparent to the general public. It raises investor awareness of important facts concerning mutual funds in India.

AMFI ensures the mutual fund sector runs smoothly by enforcing high ethical standards and protecting the interests of both fund houses and investors. The AMFI is made up of the majority of asset management firms, brokers, fund houses, and intermediaries in India. The AMFI has established a code of ethics that registered AMC's must follow. Integrity, due diligence, disclosures, professional selling, and investment practise are all part of the code of ethics.

For investors and potential investors, the AMFI updates the Net Asset Value of funds on a daily basis on its website. It has also made the process of finding mutual fund distributors much easier.

- **Ministry of Corporate Affairs (MCA)**



The Ministry of Corporate Affairs (MCA) is a government of India ministry. It oversees the corporate sector and is largely responsible for the administration of the Companies Act of 1956, as amended, and other laws. It establishes the norms and regulations that assure the legal operation of the corporate sector.

MCA's mission is to defend the interests of all stakeholders, maintain a competitive and fair environment, and help businesses grow and flourish. The Registrar of Companies (MCA) is an organisation that falls under the MCA and is responsible for registering businesses and ensuring that they are operating in accordance with the law. The Companies Act also governs the issue of securities by corporations.

1.1.4 Role & Functions of Indian Financial System



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- **Function of Liquidity**
 - A financial system's most important function is to provide money and monetary assets for the production of goods and services. The assets that may be easily changed into cash or money without losing value are referred to as monetary assets. All operations in a financial system revolve around liquidity, whether it's providing liquidity or trading it.
- **Function of Payment**
 - The financial system provides an easy way to pay for products and services. The easiest ways of payment in the economy are the cheque and credit card systems. Transaction costs and time are significantly minimised.
- **Feature of Saving**
 - Mobilizing funds and channelling them into productive activity is an important function of a financial system. Savings are turned into investments through the financial system.
- **Function of Risk**
 - The financial markets offer protection against hazards to one's life, health, and income. These assurances are made possible through the selling of life, health, and property insurance policies.
- **Function of Transfer**
 - The financial system allows resources to be transferred across geographical boundaries.
- **Functions of Reformation**
 - The financial system that develops, introduces innovative financial assets/instruments, services, and practises, and restructures existing assets, services, and practises to meet the demands of borrowers and investors.

OR

- Deposits are issued and collected.
- Loans are made available from a pool of money that has been accumulated.
- Financial transactions are carried out.
- Stock markets and other financial markets are being boosted.
- Creating the legal and commercial framework.
- The provision of monetary and advisory services.
- Allows existing assets to be adapted into a portfolio.
- The distribution of chance and risk.
- It establishes a link between depositors and investors.
- Increases the depth and breadth of a company's finances by broadening its horizon.
- It is in charge of capital formation.
- Assets and money are given a temporal value.

- To put up a complete payment system and framework.
- To sustain the country's and markets' economic stability.
- To establish marketplaces that can assess the performance of investments.
- Distribute and allocate economic resources.

Notes

Check your Understanding

1. _____ is a part of the financial system that provides a wide range of financial products and services, such as financial products, credit instruments and services
2. Currency exchange, foreign exchange banking, and wire transfers are all examples of _____.
3. Money borrowed or provided for more than a day and up to 2 weeks is referred to as _____.
4. _____ ensures the mutual fund sector runs smoothly by enforcing high ethical standards and protecting the interests of both fund houses and investors
5. The _____ refers to the infrastructure and institutional arrangements for borrowing and lending long-term funds.

Summary

- A financial system is an economic structure in which financial institutions help borrowers, lenders, and investors transfer monies and assets. Its purpose is to distribute economic resources efficiently in order to foster economic growth and provide a return on investment (ROI) for market players. The financial system is composed of the multiple services supplied to an individual by multiple financial institutions such as banks, insurance firms, pension funds, and mutual funds.
- A financial system is a collection of institutions that allow money to be exchanged, such as banks, insurance firms, and stock exchanges. Financial system exists from a firm to regional and to global scale. Borrowers, lenders, and investors all exchange current funds to finance projects for consumption or productive investment, similar to earn a profit on their financial holdings. The financial system also contains a set of guidelines (which clearly states the various rules and regulations which the borrowers and the lenders utilise in order to determine which projects are funded, who finances initiatives, and the terms of financial transactions).
- A financial service is a part of the financial system that provides a wide range of financial products and services, such as financial products, credit instruments and services. The examples of financial instruments include bills, promissory notes, cheques, debt instruments, letters of credit, and other financial instruments.
- The Indian financial system is one of the most important aspects of our country's economic development. This system manages the flow of money between residents (household savings) and those who can invest it well (investors/businessmen) for the mutual advantage of both parties
- The country's financial system is a crucial tool for the country's economic development because it aids in wealth generation by linking savings and

Notes

investments. It aids in the wealth creation and development of both parties by facilitating the flow of cash from families (savers) to business firms (investors). The institutional arrangements cover the conditions and methods that govern the production, distribution, interchange, and holding of financial assets or instruments of any kind.

- The given below are the four main components of the financial system:
 - Financial Services
 - Financial Assets/Instruments
 - Financial Markets
 - Financial Intermediaries
- The Indian Financial Market authorities guarantee that market participants act responsibly so that the financial system continues to function as a vital source of finance and credit for businesses, governments, and the general public. They take action against any wrongdoing and ensure that investors' and customers' interests are protected.
- All regulators have the same goal: to promote market fairness and competition while also providing the required regulations and infrastructure

Activity

1. Make a power point presentation on the role & functions of Indian financial system

Questions and Exercises

1. Give an overview of the Indian financial system
2. Explain the detailed procedure of regulatory structure of financial system

Glossary

- **Money Market:** It refers to a segment of the financial market that trades financial securities with high liquidity and short maturities. The money market has evolved into a segment of the financial market for the purchase and sale of short-term assets, such as Treasury bills and commercial papers, with maturities of one year or less. Over-the-counter trading is a wholesale operation that takes place in the money market. Participants use it to borrow and lend money for a brief period of time. Treasury bills, commercial papers, and certificates of deposit are examples of negotiable instruments in the money market. Many participants, including businesses, use it to raise capital by selling commercial papers on the open market. The money market is made up of a number of financial institutions and dealers who are looking to borrow or lend assets. It's the ideal place to put your money in liquid assets. The money market is an uncontrolled and unstructured market, unlike the capital markets, which are structured in a formal manner. The money market offers a lower rate of return to investors
- **Ministry of Corporate Affairs:** The Ministry of Corporate Affairs (MCA) is a government of India ministry. It oversees the corporate sector and is largely responsible for the administration of the Companies Act of 1956, as amended, and other laws. It establishes the norms and regulations that assure the legal operation of the corporate sector. MCA's mission is to defend the interests of all stakeholders,

maintain a competitive and fair environment, and help businesses grow and flourish. The Registrar of Companies (MCA) is an organisation that falls under the MCA and is responsible for registering businesses and ensuring that they are operating in accordance with the law. The Companies Act also governs the issue of securities by corporations.

- **Financial Intermediary:** The financial intermediary is a business that bridges the gap between surplus and deficit funds. Because it translates bank deposits into bank loans, the finest example of an intermediary is a bank. The duty of the financial intermediary is to distribute funds from people who have extra cash to people who don't have enough money to meet their needs.
- **Call /Notice-Money:** Call/notice money is money borrowed on demand for a relatively short time. Call Money is money that is borrowed for a single day. Sundays and holidays are not included in this computation. Money borrowed on one day and repaid the next working day is known as call money. Money borrowed or provided for more than a day and up to 2 weeks is referred to as notice money. There is no requirement for any form of collateral security in these transactions.

Further Readings

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4. Gurusamy. Essentials of Financial Services. Tata McGraw-Hill Education. Second Edition, 2010.
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6. Khan M Y. Financial Services. Mc Graw Hill. Tenth Edition.

Check your Understanding - Answers

1. A financial service
2. foreign exchange services
3. notice money
4. AMFI
5. capital market

Notes

Unit - 1.2: Financial Markets

Objectives:

At the end of this unit, you will be able to:

- Understand the basic introduction of financial markets
- Understand the money market
- Understand the capital market and its instruments
- Understand the interlink between money market & capital market

Introduction

- Financial markets provide liquidity, allowing firms to expand and entrepreneurs to raise capital for their businesses.
- They lower risk by making information available to investors and traders on a public level.
- These markets help to stabilise the economy by instilling investor confidence.
- The economy is stabilised by investor confidence.

A financial market is a marketplace where financial assets such as shares, debentures, bonds, derivatives, currencies, and other financial assets are created and traded. It is critical in distributing limited resources in the economy of the country. It works as a bridge between savers and investors by facilitating the transfer of funds.

The bank can lend their money, as well as the money of other depositors, to other people and organisations for a fee. Depositors earn and watch their money grow as a result of the interest that is paid to them. As a result, the bank functions as a financial market for both depositors and debtors.

1.2.1 Detail Introduction of Financial Markets

A Financial Market is:

- Any marketplace where securities are traded is referred to as a financial market.
- There are many different types of financial markets, such as FX, money, stock, and bond markets, to name a few.
- Assets or securities that are either listed on regulated exchanges or traded over-the-counter may be included in these marketplaces (OTC).
- Financial markets are essential to the smooth running of a capitalist society since they trade in all forms of securities.
- When financial markets collapse, the economy can be disrupted, resulting in recession and unemployment.
- The financial market connects buyers and sellers, allowing them to trade assets at a price defined by supply and demand dynamics.

By allocating resources and producing liquidity for businesses and entrepreneurs,

Notes

financial markets play a critical role in facilitating the smooth operation of capitalist economies. The financial markets make it simple for buyers and sellers to swap their assets. Financial markets create securities products that provide a return to those with excess funds (investors/lenders) while also making these funds available to those who require additional funds (borrowers).

One form of financial market is the stock market. Buying and selling a variety of financial assets, such as shares, bonds, currencies, and derivatives, creates financial markets.

To ensure that markets set prices that are efficient and appropriate, financial markets rely largely on informational openness. Because of macroeconomic variables such as taxation, market prices of securities may not be indicative of their actual value. Some financial markets are small and inactive, while others, such as the New York Stock Exchange (NYSE), move trillions of dollars worth of securities every day. The stock market (equities market) is a financial market where investors can purchase and sell shares of publicly traded corporations. New stock issues, known as initial public offerings (IPOs), are sold on the principal stock market.

Any additional stock trading takes place in the secondary market, which is where investors buy and sell assets they already hold.



Figure: Representing Participants of Financial Market

Financial Markets' Importance

- Many things are made feasible by financial markets, including the following:
- Financial markets create a location where all participants, including investors and debtors, are treated fairly and appropriately, regardless of their size.
- They give capital to individuals, businesses, and government agencies.
- Because of the numerous job opportunities available, financial markets assist in lowering the unemployment rate.

Financial Markets Types

There are numerous financial markets, and each country has at least one, albeit of

Notes

varying sizes. Some are modest, while others are well-known around the world, such as the New York Stock Exchange (NYSE), which trades trillions of dollars every day. The following are some examples of financial markets.

1. Stock Market

The stock market is where you can buy and sell shares in public corporations. Each share has a value, and investors profit from the stocks when they outperform the market. Purchasing stocks is simple. The main issue is determining which stocks will generate profit for the investor. The Dow Jones Industrial Average (DJIA) and the S&P 500 are two indices that investors can use to track the stock market's performance. The investor profits from the sale of equities that were purchased at a lower price and sold at a higher price.

2. Bond Market

Companies and the government can use the bond market to secure funds to fund a project or an investment. In a bond market, investors purchase bonds from a firm, which the company then returns to the investors, plus interest, over a certain period of time.

3. Commodities Market

Traders and investors buy and sell natural resources or commodities such as maize, oil, meat, and gold on the commodities market. Because the price of such resources is unpredictable, a separate market has been formed for them. There is a commodities futures market where the price of goods to be delivered at a future date is already known and agreed upon today.

4. Derivatives Market

Derivatives or contracts whose value is based on the market value of the asset being traded are part of such a market. A derivative is something like the futures stated earlier in the commodities market.

1.2.2 Functions & Role of Financial Markets

1.2.2.1 Functions of Financial Markets

Financial markets perform a variety of functions, including price determination (financial markets assist in price discovery of various financial instruments), fund mobilisation (financial markets provide an opportunity for different investors to buy or sell their respective financial instrument at the fair market value), information provision (financial markets provide various types of information to traders), risk sharing (financial markets provide an opportunity for different investors to buy or sell their respective financial instrument at the fair market value), risk sharing (financial markets provide an opportunity for different

• Price Determination

The financial market serves as a price discovery mechanism for the many financial instruments that are traded between buyers and sellers on the market. Market forces, such as demand and supply in the market, dictate the prices at which financial instruments trade in the financial market. As a result, the financial market is the vehicle

through which prices are fixed for both newly issued financial assets and existing stock of financial assets.

- **Funds Mobilization**

Participants in the financial market establish not only the prices at which financial instruments trade in the financial market, but also the required return on the funds invested by the investor. The motive of those looking for cash is determined by the required rate of return requested by investors.

Because of this role of the financial market alone, it is communicated how cash available from lenders or investors will be allocated among those in need of funds or raised through the financial market's issue of financial instruments.

- **Liquidity**

The liquidity function of the financial market allows investors to sell their financial assets at market fair value at any moment throughout market working hours. If the financial market does not have a liquidity function, the investor is forced to hold the financial securities or financial instruments until market conditions allow them to be sold, or the issuer of the security is contractually obligated to pay for them, i.e., until the company is either voluntarily or involuntarily liquidated. As a result, in the financial market, investors can easily sell their securities and convert them to cash, creating liquidity.

- **Risk sharing**

Since the individual who makes the investments is distinct from the person who invests their money in those investments, the financial market serves as a risk-sharing mechanism. The risk is transferred from the individual who makes the investments to those who give the funds to make those investments, thanks to the financial market.

- **Easy Access**

Investors require industries in order to raise funds, and investors require industries in order to invest their money and receive profits. As a result, the financial market platform makes it simple for potential buyers and sellers to locate one other, saving them time and money in the process.

- **Reduction in transaction costs and provision of the Information**

During the transaction of buying and selling stocks, the trader requires numerous forms of information. It is necessary to invest the same amount of time and money in order to attain the same results. However, the financial market assists traders in receiving all types of information without requiring them to invest any money. The financial market cuts the cost of transactions in this way.

- **Capital Formation**

Financial markets create a pathway for new investor savings to come into the country, assisting in capital formation.

Consider the case of the corporation Invertis Ltd, which requires finances to begin a new project but does not have them at the moment. On the other hand, there are investors who have extra cash and wish to put it to work in places where they may expect to make a profit. As a result, the financial market will function in that instance,

Notes

allowing the company to raise cash from investors and the investors to invest their funds through the financial market.

1.2.2.2 Role of Financial Markets

Financial markets play six important roles.

- To make final exchanges of products and services easier, such as contactless payments, foreign exchange, and so on.
- To make it easier for businesses and households to save: Providing a safe and secure place to store money while also earning interest.
- To lend to businesses and individuals: Financial markets act as a go-between for savers and borrowers.
- To put money to good use, you'll need to do the following: Capital is allocated to where the risk-adjusted rate of return is best in financial markets.
- To provide currency and commodity forward markets: Agents can use forward markets to protect themselves against price volatility.
- Allowing firms to raise fresh equity to fund capital investment and expansion by providing a market for equities.

1.2.3 Money Market

The money market is an important component of economic progress. It is concerned with the part of the financial system where short-term fund trading takes place for less than a year. It is a capital market product that is used as a source of short-term debt capital. Money market deals with short-term call and notice deposits, promissory notes, government documents, short-period bills, and other items that are unrelated to the capital market.

Money Market



❖ Trading of short-term assets
❖ Maximum tenure - Usually 365 days
❖ Wholesale Transactions
❖ High Liquidity
❖ Low Risk
❖ Low Earning

The money market is a market for trading short-term financial instruments with high liquidity. It is a type of financial market that specialises in short-term investments. The money market is a market for assets that have the same value as money and can be quickly converted into money with low transaction costs and losses. All transactions with a maturity of less than or equal to one year are included. The term "money market" does not refer to a specific location or activity. It is the umbrella word for all financial institutions and organisations that deal in short-term financial instruments. The money sector is a vital aspect of the Indian financial system since it meets the short-

term funding needs of borrowers such as the government and individual investors. Lenders can also make returns on their idle assets by transforming them into effective investments through the money market.

A regulated exchange where participants can lend and borrow high-quality, short-term debt securities with maturities of one year or less is known as the money market. It allows governments, banks, and other large institutions to sell short-term securities to meet their immediate cash flow requirements. Individual investors can also use money markets to invest small amounts of money in a low-risk environment. Treasury bills, certificates of deposit, commercial paper, federal funds, bills of exchange, and short-term mortgage-backed securities and asset-backed securities are some of the products traded in the money market.

Small businesses with extra cash can borrow through money market mutual funds, while large firms with short-term cash flow needs can borrow directly from the market through their dealer.

Individual investors can invest in a money market bank account or a money market mutual fund to profit from the money market. A money market mutual fund is an expertly managed investment vehicle that acquires money market securities on behalf of individual investors. Many participants, including businesses, use it to raise capital by selling commercial papers on the open market. Because of the great liquidity of securities, the money market is regarded a safe area to invest. Default on instruments such as commercial papers is one of the risks that investors should be aware of. The money market is made up of a number of financial institutions and dealers who are looking to borrow or lend assets. It's the ideal place to put your money in liquid assets.

The money market is an uncontrolled and unstructured market, unlike the capital markets, which are structured in a formal manner. The money market offers a lower rate of return to investors, but it does offer a wide range of products.

It is simpler to withdraw money from the money market. Money markets differ from capital markets in that they are utilised for a shorter time period, whereas capital markets are used for longer periods of time.

Meanwhile, a mortgage lender can mitigate the danger of a fallout by entering into an agreement with an agency or private conduit for operational delivery of the mortgage rather than required delivery. The mortgage originator effectively buys an option in this deal, giving the lender the right but not the duty to deliver the mortgage. The private conduit, on the other hand, charges a fee for permitting optional delivery.

Characteristics of Money Market

- It is a marketplace for short-term financial products that are close to money substitutes. The securities traded in the money market are all very liquid, with maturities ranging from one day to one year.
- Money market refers to a group of markets rather than a single location. The money market includes all companies and institutions that trade in overnight short-term financial assets.
- It is referred to as a wholesale market for short-term instruments that is conducted over the phone without the need of brokers.

Notes

- Money market instruments are known for their high level of safety. All of the securities traded in this market have a short maturity time of one year or less.
- The Reserve Bank of India regulates this market to ensure that it has adequate liquidity. RBI monitors all money market interest rates to ensure that both providers and borrowers receive acceptable rates.
- Through channelling surplus cash from people to deficiency areas, the money market serves as a key mechanism for addressing short-term liquidity crises in the market.

1.2.4 Functions of Money Market

By supplying short-term liquidity to governments, commercial banks, and other major organisations, the money market contributes to a country's economic stability and prosperity. Money market investors can put money they don't need in the bank and earn interest on it.

The money market's key functions are as follows:

- **Trade Financing**

Local and international traders in desperate need of short-term finances might turn to the money market for help. It offers the ability to discount bills of exchange, allowing for rapid payment of goods and services. Acceptance houses and discount marketplaces aid international dealers. Other sectors of the economy, including as agriculture and small businesses, can also benefit from the money market.

- **Policies of Central Banks**

The central bank is responsible for the nation's monetary policy and for ensuring the financial system's stability. Using the money market, the central bank can successfully carry out its policy-making duties. The money market's short-term interest rates, for instance, reflect the status of the financial sector and can aid the central bank in formulating an appropriate interest rate policy. The central bank could also use the interconnected money markets to influence sub-markets and achieve its monetary policy goals.

- **Growth of Industries**

The money market makes it simple for firms to secure short-term loans to meet their working capital requirements. Businesses may face cash shortages while purchasing raw supplies, paying staff, or meeting other short-term obligations due to the high volume of transactions.

Commercial paper and finance bills allow them to borrow money on a short-term basis with ease. Money markets do not provide long-term loans, but they can have an impact on the capital market and can help businesses secure long-term financing. The interest rate on the money market serves as a benchmark for interest rates on the capital market.

- **Self-Sufficiency of Commercial Banks**

Commercial banks have a huge market in which to invest their excess reserves and earn interest while maintaining liquidity in the money market. Bills of exchange and

other short-term assets can be readily converted to cash to aid consumer withdrawals. When they have liquidity difficulties, they can borrow short-term from the money market rather than the central bank. This has the advantage of allowing the money market to charge lower short-term interest rates than the central bank.

- **Effective Monetary Policy Implementation**

RBI can successfully control its banking system and provide advice for the development of trade and industry through its monetary policies. The Reserve Bank of India is thus able to efficiently manage the application of monetary policies.

1.2.5 Instruments of Money Market - Part 1

- **Commercial Papers**

Commercial Papers are similar to an unsecured short-term promissory note issued by highly rated corporations for the aim of raising funds directly from the market to meet obligations. CPs typically have a defined maturity time that might range from one day to 270 days. Commercial Papers are popular in nations such as Japan, the United Kingdom, the United States, Australia, and many others because they offer better yields than Treasury Bills while also being less secure. In the secondary market, commercial papers are bought and sold. Commercial papers are sometimes issued by large corporations and businesses to raise short-term finance. These commercial papers are unsecured promissory notes with a predetermined maturity time of less than 365 days that are negotiable and transferable (through endorsement).

Companies prefer commercial papers to borrowing money because they can get money at a lower interest rate than the market rate. Large, credit-worthy businesses will also have little trouble raising financing through commercial papers. They're sold at a discount and then redeemed at face value.

- **Treasury Bills**

Treasury Bills, which are issued by the federal government, are widely regarded as one of the safest money market assets available. Treasury bills, on the other hand, are risk-free. They are, in other words, zero-risk instruments. As a result, the returns on them are not appealing. Treasury bills are issued in primary and secondary markets and have varying maturity terms, such as three months, six months, and one year. The central government issues Treasury bills at a discount to their face value. The difference between the instrument's maturity value and the bill's buying price, which is determined by auction bidding, will be the interest earned by the buyer.

The government, generally through the Reserve Bank of India, issues Treasury Bills or T-Bills. They are short-term borrowing products. T-bills are sold to both commercial banks and the general people. They're widely regarded as a very safe investment because the government is unlikely to default. Promissory notes are sometimes known as T-bills. Their maturation time ranges from 14 to 364 days. T-bills are very flammable and endorsable. These are also issued at a discount and redeemed at face value. The interest, often known as the discount, is the difference in quantities.

The Government of India currently issues three types of treasury bills through auctions: 91-day, 182-day, and 364-day treasury notes.

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- **Call Money**

According to the RBI's guidelines, most banks must keep a certain minimum cash level, known as the cash reserve ratio (CRR). This percentage fluctuates depending on the state of the economy's liquidity. To preserve their CRR, banks borrow money from one another for a brief period of time. The call money market is what it's called. The call rate is the interest rate on such call money.

- **Banker's Acceptance (BA)**

A Banker's Acceptance, or BA, is a documentation that guarantees future payment and is signed by a commercial bank. Banker's Acceptance, which is similar to a treasury bill, is commonly used in money market funds and provides the payback specifics such as the amount to be reimbursed, the date of repayment, and the details of the individual to whom the repayment is due. The maturity periods for Banker's Acceptance range from 30 days to 180 days.

1.2.6 Instruments of Money Market- Part 2

- **Promissory Notes**

Promissory notes are the earliest types of bills, consisting of a written commitment from one party to another to pay a specific amount of money at a future date. After 90 days, it is due for payment within 3 grace days. Promissory notes have two parties: the promisor and the payee.

- **Commercial Bills**

Commercial bills, often known as bills of exchange, are the most widely traded negotiable instruments. These negotiable instruments are utilised to meet a company's working capital requirements. They are easily transferrable and have a short maturity period (typically 60 or 90 days).

The bill's drawer has until the due date, which is the date on which the drawee will honour the bill, to act. He can also discount the trade bill with a bank before the maturity period ends if he doesn't want to wait. This gives the bills a lot of flexibility and makes them easy to sell. These bills, on the other hand, are drawn by the creditor and accepted by the debtor's bank. Commercial bills can be discounted by a creditor through a broker or a bank. Drawer, Drawee, and Payee are the three parties involved in commercial bills.

- **Certificate of Deposits**

These are money market products that can only be issued by banks or financial institutions. They're also negotiable, unsecured, and typically in bearer form. These are issued by banks when finances are few but credit demand is high. They assist in the conversion of savings into investments. Typically, they are valid for 90 to 365 days. Certificates of deposit cannot be discounted by banks.

A Certificate of Deposit, sometimes known as a CD, is a deposit receipt for money deposited with a financial institution or bank. A Certificate of Deposit, on the other hand, differs from a Fixed Deposit Receipt in two ways. The first distinction is that a CD may only be purchased for a bigger sum of money. A Certificate of Deposit, on the other hand, is freely negotiable. Certificates of Deposits (CDs) were first introduced by the Reserve Bank of India in 1989 and have since become a popular short-term surplus investment option for businesses due to their low risk and higher interest rates than Treasury bills and term deposits.

Certificates of Deposit are also extremely liquid, which is a benefit, particularly for issuing banks. CDs, like Treasury Bills, are issued at a discount and have a tenor ranging from 7 days to 1 year. Banks, on the other hand, offer Certificates of Deposits with terms ranging from three to twelve months. Individuals (excluding children), trusts, firms, corporations, associations, funds, non-resident Indians, and others can receive them.

- **Repurchase Agreements (Repo)**

Repurchase Agreements, often known as Reverse Repo or simply Repo, are short-term loans that buyers and sellers agree to for the purpose of selling and repurchasing. Only RBI-approved parties are permitted to conduct these transactions. Only RBI-approved parties are permitted to conduct repo and reverse repo transactions. Securities approved by the RBI, such as Treasury bills, central or state government securities, corporate bonds, and PSU bonds, are the only ones that can be traded.

1.2.7 Case Study on Money Market Instruments

Example of Promissory Note Effecting Jury Ruling

Marion Levine, who is eighty years old, lent money to her step-grandchildren from her third marriage in 2000 after drawing up a promissory note that they signed. The grandchildren continued to make payments on the note until 2005, when they abruptly stopped. Following Marion's death in 2009, the executor of her estate discovered that she owed money.

The executor demanded repayment from the debtors, but they refused, claiming Marion had forgiven the debt. Marion's executor appointed an attorney to pursue the promissory note on behalf of the estate because there was no record of Marion ever forgiving the obligation, and she did meticulously document the promissory note and payments received.

The presence of a signed personal promissory note had a significant impact on the three-day trial's outcome. All of the borrowers were ordered to return the remaining principal balance of the note, as well as the legal fees incurred in obtaining the judgement, by the judge.

Notes

1.2.8 Capital Market



According to V.K. Bhalla "Capital market can be defined as the mechanism which channelizes savings into investment or productive use . Capital market allocate the resources amongst alternative uses. It intermediates flow of savings of those who save a part of their income from those who wants to invest it in productive assets." A capital market is a place where investors can buy and sell medium and long-term investments. All organisations, institutions, and instruments that supply long- and medium-term financing are included. It does not include tools or institutions that provide short-term financing (upto one year). Shares, debentures, bonds, funds, public deposits, and other instruments are common in the capital market.

The word "capital market" refers to the market for long-term investments with explicit or implicit capital claims. Long-term investments are those that have a lock-in period of longer than one year. A capital market is a marketplace where buyers and sellers trade financial securities such as bonds, stocks, and other derivatives. Individuals and institutions participate in the buying and selling process.

Surplus funds from depositors are channelled through capital markets to institutions, who subsequently invest them in productive uses. This market mostly deals in long-term securities.

Both equity and debt instruments, such as equity shares, preference shares, debentures, zero-coupon bonds, secured premium notes, and the like, are purchased and sold on the capital market, which also includes all types of lending and borrowing.

The capital market is made up of institutions and methods that combine medium and long-term money and make them available to individuals, businesses, and governments. It includes both private placement sources and organised markets such as securities exchanges.

Primary markets and secondary markets are the two types of capital markets. The trade of fresh issues of stocks and other securities takes place on primary markets, whilst the exchange of existing or previously-issued securities takes place on secondary markets.

Another essential classification in the capital market is that it is made on the basis of the nature of security traded, which includes- the stock market and bond market.

Features of Capital Market:

The following are the highlights of Capital Market:

- Serves as a connection between Savers and Investment Opportunities: By transferring money from savers to entrepreneurial borrowers, the capital market serves as a vital link between the saving and investment processes.
- Long-term Investment: It assists investors in making long-term investments with their hard-earned money.
- Helps with capital formation: The capital market provides chances for investors with excess funds who want to lodge their funds in some type of investment while also reaping the benefits of compounding.
- Helps Intermediaries: When transferring shares and money from one investor to another, it enlists the assistance of intermediaries such as brokers, banks, and other financial institutions, thereby assisting them in their operations.
- Government Regulations and Rules: The capital markets operate under government regulation and rules, making it a safe location to trade.

1.2.9 Functions of Capital Market**Functions of Capital Market**

- Links Savers and Investors
- Capital formation
- Regulate security prices
- Provision of investment avenues
- Economic growth and development
- Minimises Transaction Cost and Time
- Continuous Availability of Funds

Figure: Snapshot-Functions of Capital Market

- **Links Savers and Investors**

The capital market acts as a middleman between those with extra funds and those who are in need of money. It redirects the ideal lying resources to more productive sources, allowing it to earn money and boost production. It directs and guides people's savings into profitable investment, mobilising their savings. These investments give investors with consistent income and development.

- **Formation of Capital**

The capital market plays an important role in the formation of capital in the economy. It meets and caters to the financial demands of various sectors of the economy by delivering adequate cash on a timely basis. It moves money from ideal-lying sources to more productive and development-oriented ones.

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It mobilises people's savings through investments and loans that money to large-scale economic development projects. In this approach, it meets the overall fund demand while also contributing to the economy's current capital stock.

- **Regulates Security Prices**

It aids in the regulation of stable and systematic securities prices. The securities market is constantly monitored by the capital market. It keeps a close check on the entire process and steers clear of any ineffective or speculative activity. The borrower receives funds at standard and minimum interest rates. This aids in the economic stabilisation of security prices.

- **Provision Of Investment Avenues**

Long-term investors can choose from a variety of long-term investment options available on the capital market. It trades long-term securities, raising and lending money over lengthy periods of time. It delivers and provides customers with good interest rate possibilities for investing their extra funds. People are encouraged to invest their money in order to generate a steady stream of income in the form of interest.

- **Economic Development and Growth**

It contributes to the country's economic growth and development. By delivering cash to various sectors of the economy on a constant basis, the capital market accelerates the country's economic growth rate.

It offers finances for large-scale infrastructure development in the country, which requires a lot of money. The capital market meets the long-term financing needs of numerous businesses. As a result, by upgrading infrastructural facilities and creating jobs, the economy's productivity improves.

- **Minimises Transaction Cost and Time**

Long-term securities can be traded on the capital market. It lowers the total cost and time spent on the entire trading procedure. The entire trading procedure is carried out electronically, using automated tools and programmes that help to speed up the process.

- **Continuous Availability of Funds**

The capital market ensures that there is enough money in the economy. It continues to offer long-term investment opportunities to investors. It is a liquid market since buyers and sellers of securities can be found here at any time. It constantly circulates cash across the various sectors of society, providing adequate funding availability.

1.2.10 Types of Capital Market

The capital market enhances the quality of investment information available to investors. Furthermore, it is critical in supporting the implementation of corporate governance norms, which supports the trading environment. It encompasses all of the procedures that aid in the transfer of previously held securities.

The capital market is bifurcated into two categories: primary and secondary markets.

1. Primary Market

- A primary market is where securities are created for the first time and sold to investors. A stock exchange issues new securities in this market, allowing the government and businesses to raise funds.
- It is also known as the New Issues Market, and it is a market where new securities are traded for the first time. It includes both an initial public offering (IPO) and a follow-on public offering (IPO). Funds are mobilised in the primary market through prospectuses, right issues, and private placements of securities.
- The primary market is a type of capital market in which corporations sell new securities to investors for the first time in order to obtain funds, and it is also known as the New Issues Market (NIM).
- In the main market, investors buy newly issued securities. The Securities and Exchange Board of India regulates such a market (SEBI).
- The issuer of securities may be trying to expand its operations, fund other corporate goals, or expand its physical presence, among other things. Notes, bills, government bonds or corporate bonds, as well as company stocks, are examples of primary market securities.
- Financial institutions such as investment banks and insurance companies provide underwriting services. Underwriting businesses guarantee payment in the event of a loss and take the risk that comes with such a guarantee.
- Underwriting is the process of selling new securities in the primary market, and it is carried out by a group of people known as underwriters or security dealers.
- By issuing securities, the primary market's major function is to mobilise investible money from savers to corporations or young entrepreneurs seeking financing to start new businesses or develop current ones.
- There are three parties involved in every transaction in this market. A firm, investors, and an underwriter would all be part of it. An initial public offering (IPO) is when a firm offers securities in the primary market, and the sale price of the new issue is decided by a concerned underwriter, who may or may not be a financial institution. A new issue offering is also facilitated and monitored by an underwriter.

Functions of Primary Market

- Offer for a new issue: The main market arranges for the sale of a new issue that has never been traded on another exchange. It's also known as a New Issue Market because of this. Organizing fresh issue offers necessitates a thorough examination of project viability, among other things. Considerations of promoters' equity, liquidity ratio, debt-equity ratio, and foreign exchange requirement are all part of the financial arrangements for the purpose.
- Services for underwriting: When it comes to launching a new issue, underwriting is crucial. In a primary market, an underwriter's responsibility includes purchasing unsold shares if it is unable to sell the required number of shares to the public. Underwriting commissions can be earned by a financial institution acting as an underwriter. Investors rely on underwriters to determine

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whether taking a risk is worthwhile in terms of profits. It is possible that an underwriter will purchase the entire IPO issue and then sell it to investors.

- New issue distribution: In a key marketing sphere, a fresh issue is also distributed. A new prospectus issue kicks off this distribution. It asks the general public to purchase a new issue and gives thorough information about the firm, the issue, and the underwriters involved.

Types of Primary Market Issuance

Investors can purchase securities in a variety of ways after they are issued. There are five different kinds of primary market concerns.

- **Public Issue**

The most popular form of issuing securities to the general public is through a public issue. It is mostly accomplished through an Initial Public Offering (IPO), which allows corporations to raise funds from the capital market. These securities are available for trading on stock exchanges. When a privately owned firm's shares are first offered to the public through an initial public offering (IPO), it becomes a publicly traded company. A public offering helps a corporation to raise capital for a variety of purposes, including corporate expansion, infrastructure improvements, and debt repayment. The Securities and Exchange Board of India is the regulatory agency in charge of overseeing initial public offerings. According to its criteria, a due diligence investigation on a firm's authenticity is conducted, and the company is obligated to include all relevant information in the prospectus for a public offering.

- **Private Placement**

Private placement is when a corporation provides its securities to a select group of investors. Bonds, stocks, and other securities may be used, and individual and institutional investors may participate.

The regulatory requirements for private placements are much less stringent than those for initial public offerings. It also saves money and time, and the business can remain confidential. This type of issue is appropriate for start-ups or businesses in their early stages. To obtain funds, the corporation may sell this issuance to an investment bank or a hedge fund, or place it in front of ultra-high net worth individuals (HNIs).

- **Preferential Issue**

A preferential issue is one of the easiest ways for businesses to raise finance. Companies can issue shares or convertible securities to a small group of investors, whether they are publicly traded or not. The preferred issue, on the other hand, is neither a public nor a rights concern. The dividend will be paid to preference shareholders first, before the dividend is distributed to regular shareholders.

- **Qualified Institutional Placement**

A qualified institutional placement is a type of private placement in which a publicly traded company issues securities in the form of equity shares or partially or fully convertible debentures, with the exception of warrants convertible to equity shares, and these securities are purchased by a Qualified Institutional Buyer (QIB). Investors that have the necessary financial knowledge and expertise to invest in the stock market are known as QIBs. Qualified institutional placement is easier to issue than

preferred allotment because it is exempt from ordinary procedural requirements such as submitting pre-issue documents to SEBI. As a result, the process becomes lot simpler and less time-consuming.

- **Rights And Bonus Issues**

Another issuance in the primary market is a rights and bonus issue, in which the company issues securities to existing investors with the option to purchase additional securities at a predetermined price (in the case of a rights issue) or to receive additional free shares (in the case of a bonus issue) (in case of bonus issue). When it comes to rights issues, investors have the option of purchasing stocks at a discount for a set length of time. The issuance of these types of shares does not incur any fees, and it gives existing owners more power over the organisation. Stocks are issued by a firm as a gift to its current shareholders in bonus issues. The issuance of bonus shares, on the other hand, does not result in the infusion of new capital.

Example:

The Facebook initial public offering is one of the most notable IPOs to have taken place. The IPO, which began in 2012, is the largest in the technology industry to date. Through its initial public offering, the corporation was able to raise \$16 billion. As a result, the company's turnover soared by about 100 percent.

In addition, there was strong demand for the stock in the primary market, prompting the underwriters to set the price of Facebook's stock at \$38 per share. The stock was finally valued at \$104 billion, the largest ever for a freshly created public firm.

2. Secondary Market

- In the sense that securities that were previously issued in the primary market are exchanged here, the secondary market can be defined as the market for old securities. The trading is done between investors who are interested in the original issue in the primary market. It includes the stock exchange as well as the over-the-counter market.
- It is also referred to as the stock market because it is the market where securities are really traded. Existing investors sell securities here, while new investors acquire them.
- Investors acquire and sell securities they already possess on the secondary market. Although stocks are sold on the primary market when they are first issued, it is what most people think of as the "stock market."
- In the primary market, securities issued by a corporation for the first time are offered to the public. The stock is traded in the secondary market once the IPO is completed and the stock is listed. The key distinction between the two is that in the primary market, investors buy securities directly from the company through initial public offerings (IPOs), but in the secondary market, buyers buy securities from other investors who are eager to sell them.
- A secondary market is a marketplace where investors can buy and sell company shares. It means that investors can freely acquire and sell shares without the need for the issuing company's participation. The issuing company does not participate in income production in these transactions among investors, and share valuation is

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instead depending on its market performance. In this market, income is made by selling shares from one investor to another.

- Some of the primary instruments accessible in a secondary market are equity shares, bonds, preference shares, treasury bills, debentures, and so on. The same is regulated by SEBI.

Secondary Market Functions

- A stock exchange gives investors a place to trade bonds, stocks, debentures, and other financial securities.
- Transactions can be made at any time, and the market allows for active trading, which allows for fast buying and selling with little price difference between transactions. There is also a level of consistency in trading, which boosts the liquidity of the assets exchanged in this market.
- To liquidate their shares, investors choose a suitable platform, such as an organised exchange. They can sell the securities they own on a variety of stock markets.
- A secondary market is a mechanism for establishing the pricing of assets in a transaction based on supply and demand. The price of transactions is available in the public domain, allowing investors to make informed decisions.
- It also serves as a link between savings and investment and is indicative of a country's economy. Savings are mobilised through investments in the form of securities.

The Different Types of Secondary Markets

Stock exchanges and over-the-counter markets are the two main types of secondary markets.

• The Stock Exchange

Stock exchanges are centralised platforms where securities are traded without any direct touch between buyer and seller. Such platforms include the National Stock Exchange (NSE) and the Bombay Stock Exchange (BSE).

Securities trading transactions on stock exchanges are governed by stringent laws. The stock exchange functions as a guarantor, and counterparty risk is virtually non-existent. A greater transaction cost is imposed on investments in the form of commissions and exchange fees to provide such a safety net.

• OTC (over-the-counter) Market

Over-the-counter (OTC) markets are decentralised, with participants trading amongst themselves. Because there is no regulatory control and the parties are trading directly with each other, OTC marketplaces have higher counterparty risks. An example of an over-the-counter market is the foreign exchange market (FOREX). In an over-the-counter market, there is fierce competition for increased volume. Because of this, the price of the securities varies from one seller to the next.

1.2.11 Instruments of Capital Market- Part 1

The capital market, as it is regarded, as the financial market segment that deals with the efficient routing of medium- to long-term money from the surplus to the deficit unit. Instruments, which are documents (or certificates) that exhibit evidence of investments, are used in the process of transferring funds. In the capital market, the following instruments (mediums of exchange) are traded:

- **Debt Instruments**

Companies and governments both employ debt instruments to raise funding for capital-intensive projects. It can be purchased on the primary or secondary market. The relationship between the borrower and the creditor in this form of instrument ownership is that of a borrower and a creditor, and hence does not necessarily entail ownership in the borrower's business. The contract has a set term, and interest is paid at set intervals as indicated in the trust deed* (contract agreement). As a result, the principle amount invested is refunded at the end of the contract time, with interest paid quarterly, semi-annually, or annually. The trust deed's declared interest can be either fixed or flexible.

This category's term extends from three to twenty-five years. When compared to other securities traded in the capital market, investment in this instrument is usually risk-free and thus generates lesser returns. In the case of a company's liquidation, investors in this group are given first priority.

Governments and businesses both use debentures to provide loans. The loan is given at a predetermined rate of interest, which is determined by the companies' reputation. Debentures are used by businesses when they need to borrow money in order to expand.

Features of Debentures

- Debentures are just the debt instruments, meaning that holders of debentures become creditors of the corporation.
- They're a debt certificate with the redemption date and repayment amount written on it. A Debenture Deed is a certificate that is issued under the business seal.
- Debentures feature a fixed rate of interest that is paid either annually or half-yearly.
- Debenture holders are not allowed to vote. Because they are not equity securities, debenture holders are merely debtors, not the real owners of the organization.
- The interest paid to these debenture holders is deducted from the company's profits. As a result, even if there is a loss, these payments must be made.

Types of Debentures

- **Secured Debentures:** These are debentures that are secured by the company's asset(s). This means that if the debentures are not repaid on time, a charge is placed on the asset. In the event that the company does not have the finances to repay the debentures, the asset will be sold to repay the loan.

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The charge might be fixed, meaning it is applied to a single asset or assets, or it can be floating, meaning it is applied to all of the firm's assets.

- Unsecured Debentures: These are neither fixed nor floating debts that are not secured by any charge against the company's assets. Normally, corporations in India do not issue these types of debentures.
- Redeemable Debentures: These debentures are redeemable after their tenure ends. That is, they are due at the end of a certain period, either in a lump sum or in payments over a period of time. Debentures of this type can be redeemed at par, premium, or discount.
- Irredeemable Debentures: These debentures are unredeemable. There is no specific date when they become due. When the corporation falls into liquidation, they might be redeemed. They can also be redeemed after an unspecified period of time.
- Fully Convertible Debentures: At the holder's discretion, these shares can be converted to equity shares. So, if he desires, all of his shares will be changed to equity shares at a set time period, and he will become a shareholder.
- Partially Convertible Debentures: These debentures provide holders the opportunity to convert their debentures to shares in part. If he chooses to convert, he will become a creditor as well as a stakeholder in the company.
- Non-Convertible Debentures: As the name implies, these debentures cannot be converted into shares or any other form of equity. There will be no conversion of these debentures until they reach maturity.

1.2.12 Instruments of Capital Market- Part 2

What is Equity?

In finance and accounting, equity refers to the worth of a company that can be attributed to its shareholders. The gap between assets and liabilities on a company's balance sheet is the book value of equity, whereas the market value of equity is based on the current share price (if public) or a value estimated by investors or valuation professionals. The account is also known as net worth or shareholders/owners/stockholders equity.

In general, there are two types of equity value:

- Book value
- Estimated market value



Book value of equity

Equity is always reported at its book value in accounting. This is the value determined by accountants using financial statements and the balance sheet equation: assets = liabilities Plus equity. $\text{Equity} = \text{assets} - \text{liabilities}$ is a rearranged version of the equation.

The sum of a company's current and non-current assets on the balance sheet determines its asset value. Cash, accounts receivable, inventories, prepaid costs, fixed assets, property plant and equipment (PP&E), goodwill, intellectual property, and intangible assets are the main asset accounts.

The total value of liabilities on the balance sheet is the sum of all current and non-current liabilities. Lines of credit, accounts payable, short-term debt, deferred revenue, long-term debt, capital leases, and any fixed financial commitment are examples of common liability accounts.

The value of equity is determined in a much more precise manner in reality, and it is a function of the following accounts:

- Share capital
- Contributed surplus
- Retained earnings
- Net income (loss)
- Dividends

Accountants must track all capital the firm has raised and repurchased (its share capital), as well as its retained earnings, which are cumulative net income minus cumulative dividends, to completely assess the value. Equity is equal to the sum of share capital and retained earnings.

Market value of equity

Equity is usually expressed in finance as a market value, which might be significantly higher or lower than the book value. The reason for this distinction is that accounting statements are backward-looking (all results are from the past), whereas financial analysts anticipate what they believe financial performance will be in the future.

The market value of a company's stock is simple to calculate if it is publicly traded. It's just the most recent share price multiplied by the total number of outstanding shares.

When a company is privately held, determining its market worth is substantially more difficult. If a company has to be formally evaluated, it will frequently hire professionals to do a detailed analysis, such as investment bankers, accounting firms (valuations group), or boutique valuation firms.

Personal equity (Net worth)

Individuals as well as corporations are affected by the concept of equity. We all have our own personal net worth, which we may determine using a range of assets and liabilities.

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Personal assets comprise the following items:

- Cash
- Investments in real estate
- Household objects and furniture
- Automobiles and other vehicles

Personal liabilities include the following:

- Debt on a credit card
- Credit lines are a type of credit available to you.
- Accounts receivable (phone, electric, water, etc.)
- Loans for students
- Mortgages

Your personal net worth is the difference between all of your assets and all of your liabilities.

Types of Equity

Equities are market-linked investments that do not guarantee a certain rate of return. Returns on equity are thus determined by the performance of the underlying asset.

There are various different types of equity investments, each with its own set of risks and rewards.

A general classification of equity investments is given below –

● Shares

Shares are the units of partial ownership in a corporation that are frequently referred to as shares. They are traded on stock markets such as the Bombay Stock Exchange and the National Stock Exchange (provided that they are BSE or NSE equity shares of a listed company).

The potential gains from investing in stocks might be enormous, but the risks are also significant.

● Equity Mutual Fund Investments

Mutual funds are investment vehicles in which money from a variety of investors is pooled and invested in a variety of equities and debt assets. Equity mutual funds are those in which at least 60% of the total assets are invested in different companies' equity shares.

● Equity Futures

These are investment instruments in which investors have a contractual commitment to buy or sell underlying assets at a preset price and rate. The settlement day for equity futures is normally the last Thursday of the third month, with an expiry duration of three months.

- **Options on Equities**

Equity options are similar to futures in that the parties are not legally bound to follow through on their agreement.

Features of Equity

Features	Description
Maturity period	As per the Companies Act 1956, a company as an entity is not eligible to purchase its own shares. The equity shares can provide capital to the company, which cannot be regained for Individuals who have invested in the company's shares can only redeem their capital at the time of the company's liquidation after all other claims have been fulfilled.
Shareholders Voting Rights	When an individual purchases the equity shares of a company, he/she becomes a real stakeholder of the organisation. The power to participate in the company's meetings is bestowed upon such participants, and they have the right to voice their opinions on a company's executive decisions. However, this right is exercised indirectly through a company's Board of Directors, elected by the shareholders.
Income from Equity Shares	When an individual invests in a company's shares, he/she acquires the right to claim on a company's income. These investors can claim on the company's residual income which is left after a preference shareholders dividend has been paid. if a company has insufficient profits, equity shareholders might not earn any gains from their shares. On the other hand, they also stand a chance of earning higher dividends through capital appreciation
Claim on Company's Asset	Every individual who has invested in a company's equity shares gains an ownership claim on the company's assets. For instance, if a company is liquidated, the equity assets are first used to fulfil the claims of preference shareholders and creditors while whatever is left belongs to the equity shareholders.
Limited Liability	Even though shareholders are a company's real owners, they enjoy the advantage of limited liability. It means that their liabilities are limited only to the value of shares they have invested in if an investor has paid the price of the share in its entirety he/she will not be affected by the losses that the company suffers, even at the time of its liquidation.

Preference Shares

Preference shares, also known as preferred stock, are a type of stock in which dividends are paid to stockholders before regular stock payouts are issued. As a result, preference share holders have a leg up on common shareholders when it comes to profit distribution. As a result, in the event of a company's bankruptcy, preference shareholders receive dividends first and have first access to the company's assets before common stockholders. The dividend is predetermined for preference shareholders, but they do not have voting rights like common shareholders.

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Preference share kinds are sought after by investors who have been in the stock market for longer than the average. The dividends paid on these shares are far higher than those paid on ordinary shares. The fact that many preference stockholders own no other stock other than this sort demonstrates their appeal.

It has been noticed that a growing number of corporations are releasing various forms of preference shares. They have remnants of both equity and debt shares, in essence. These shares are likewise classified as hybrid financing instruments from this perspective.

As the global bear market continues, more investors are turning to preference shares as a feasible way to earn big long-term gains.

1.2.13 Instruments of Capital Market -Part 3

• Derivatives

These are instruments that are derived from underlying assets, which are other securities (as the derivative is derived from them). The derivative's price, riskiness, and function are all determined by the underlying assets, as anything that affects the underlying asset must also influence the derivative. A derivative could be a stock, an index, or simply a circumstance. The majority of derivatives are used in industrialised economies.

A derivative is an agreement between two parties in which the value/price of the contract is determined by an underlying asset. It's a financial instrument whose value/price is determined by the underlying assets. Initially, an underlying corpus is generated, which can be made up of a single security or a group of securities. Because the value of underlying assets is constantly changing, the value of the underlying asset is guaranteed to alter. The underlying asset is usually made up of stocks, bonds, currency, commodities, and interest rates.

Derivative instruments constitute capital market financial products with underlying assets such as currency, bonds, stocks, and stock indexes that determine their value. Forwards, futures, options, and interest rate swaps are the four most prevalent types of derivative instruments:

- Forward: A forward is a contract between two parties in which the exchange occurs at a specific price at the end of the contract.
 - Future: A future is a derivative transaction in which derivatives are exchanged at a predetermined price on a predetermined future date.
 - Option: An option is a contract between two parties in which the buyer has the right to buy or sell a specific number of derivatives at a specific price for a specific period of time.
 - Interest Rate Swap: An interest rate swap is a contract between two parties in which both parties agree to pay each other interest rates on their loans in different currencies, options, and swaps.
- #### • Exchange-Traded Funds
- Exchange-Traded Funds (ETFs) are a pool of numerous investors' financial resources that are used to purchase various capital market assets such as shares, debt securities such as bonds, and derivatives.

- Most ETFs are registered with the Securities and Exchange Board of India (SEBI), which makes them an enticing option for individuals with minimal stock market experience.
- ETFs with characteristics of both shares and mutual funds are commonly traded in the stock market as shares produced through blocks.
- ETF funds are traded on stock exchanges and can be purchased and sold as needed during stock market hours.

1.2.14 Case Study on Capital Market Instruments

Case study: LTCM

Summary

In 1994, John Meriwether, the famed Salomon Brothers bond trader, founded a hedge fund called Long-Term Capital Management. Meriwether assembled an all-star team of traders and academics in an attempt to create a fund that would profit from the combination of the academics' quantitative models and the traders' market judgement and execution capabilities. Sophisticated investors, including many large investment banks, flocked to the fund, investing \$1.3 billion at inception. But four years later, at the end of September 1998, the fund had lost substantial amounts of the investors' equity capital and was teetering on the brink of default. To avoid the threat of a systemic crisis in the world financial system, the Federal Reserve orchestrated a \$3.5 billion rescue package from leading U.S. investment and commercial banks. In exchange the participants received 90% of LTCM's equity.

The lessons to be learned from this crisis are:

Market values matter for leveraged portfolios;

Liquidity itself is a risk factor;

Models must be stress-tested and combined with judgement; and

Financial institutions should aggregate exposures to common risk factors.

Overview

LTCM seemed destined for success. After all, it had John Meriwether, the famed bond trader from Salomon Brothers, at its helm. Also on board were Nobel-prize winning economists Myron Scholes and Robert Merton, as well as David Mullins, a former vice-chairman of the Federal Reserve Board who had quit his job to become a partner at LTCM. These credentials convinced 80 founding investors to pony up the minimum investment of \$10 million apiece, including Bear Sterns President James Cayne and his deputy. Merrill Lynch purchased a significant share to sell to its wealthy clients, including a number of its executives and its own CEO, David Komansky. A similar strategy was employed by the Union Bank of Switzerland (The Washington Post, 9/27/98).

LTCM's main strategy was to make convergence trades. These trades involved finding securities that were mispriced relative to one another, taking long positions in the cheap ones and short positions in the rich ones. There were four main types of trade:

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Convergence among U.S., Japan, and European sovereign bonds;

Convergence among European sovereign bonds;

Convergence between on-the-run and off-the-run U.S. government bonds;

Long positions in emerging markets sovereigns, hedged back to dollars.

Because these differences in values were tiny, the fund needed to take large and highly-leveraged positions in order to make a significant profit. At the beginning of 1998, the fund had equity of \$5 billion and had borrowed over \$125 billion — a leverage factor of roughly thirty to one. LTCM's partners believed, on the basis of their complex computer models, that the long and short positions were highly correlated and so the net risk was small.

Events

1994: Long-Term Capital Management is founded by John Meriwether and accepts investments from 80 investors who put up a minimum of \$10 million each. The initial equity capitalisation of the firm is \$1.3 billion. (The Washington Post, 27 September 1998)

End of 1997: After two years of returns running close to 40%, the fund has some \$7 billion under management and is achieving only a 27% return — comparable with the return on US equities that year.

Meriwether returns about \$2.7 billion of the fund's capital back to investors because "investment opportunities were not large and attractive enough" (The Washington Post, 27 September 1998).

Early 1998: The portfolio under LTCM's control amounts to well over \$100 billion, while net asset value stands at some \$4 billion; its swaps position is valued at some \$1.25 trillion notional, equal to 5% of the entire global market. It had become a major supplier of index volatility to investment banks, was active in mortgage-backed securities and was dabbling in emerging markets such as Russia (Risk, October 1998)

17 August 1998: Russia devalues the rouble and declares a moratorium on 281 billion roubles (\$13.5 billion) of its Treasury debt. The result is a massive "flight to quality", with investors flooding out of any remotely risky market and into the most secure instruments within the already "risk-free" government bond market. Ultimately, this results in a liquidity crisis of enormous proportions, dealing a severe blow to LTCM's portfolio.

1 September 1998: LTCM's equity has dropped to \$2.3 billion. John Meriwether circulates a letter which discloses the massive loss and offers the chance to invest in the fund "on special terms". Existing investors are told that they will not be allowed to withdraw more than 12% of their investment, and not until December.

22 September 1998: LTCM's equity has dropped to \$600 million. The portfolio has not shrunk significantly, and so its leverage is even higher. Banks begin to doubt the fund's ability to meet its margin calls but cannot move to liquidate for fear that it will precipitate a crisis that will cause huge losses among the fund's counterparties and potentially lead to a systemic crisis.

23 September 98: Goldman Sachs, AIG and Warren Buffett offer to buy out LTCM's partners for \$250 million, to inject \$4 billion into the ailing fund and run it as part of Goldman's proprietary trading operation. The offer is not accepted. That afternoon, the Federal Reserve Bank of New York, acting to prevent a potential systemic meltdown, organises a rescue package under which a consortium of leading investment and commercial banks, including LTCM's major creditors, inject \$3.5-billion into the fund and take over its management, in exchange for 90% of LTCM's equity.

Fourth quarter 1998: The damage from LTCM's near-demise was widespread. Many banks take a substantial write-off as a result of losses on their investments. UBS takes a third-quarter charge of \$700 million, Dresdner Bank AG a \$145 million charge, and Credit Suisse \$55 million. Additionally, UBS chairman Mathis Cabiallavetta and three top executives resign in the wake of the bank's losses (The Wall Street Journal Europe, 5 October 1998). Merrill Lynch's global head of risk and credit management likewise leaves the firm.

April 1999: President Clinton publishes a study of the LTCM crisis and its implications for systemic risk in financial markets, entitled the President's Working Group on Financial Markets (Governance and Risk Control-Regulatory guidelines-president's working group)

Analysis:

The Proximate Cause: Russian Sovereign Default

The proximate cause for LTCM's debacle was Russia's default on its government obligations (GKOs). LTCM believed it had somewhat hedged its GKO position by selling rubles. In theory, if Russia defaulted on its bonds, then the value of its currency would collapse and a profit could be made in the foreign exchange market that would offset the loss on the bonds.

Unfortunately, the banks guaranteeing the ruble hedge shut down when the Russian ruble collapsed, and the Russian government prevented further trading in its currency. (The Financial Post, 9/26/98). While this caused significant losses for LTCM, these losses were not even close to being large enough to bring the hedge fund down. Rather, the ultimate cause of its demise was the ensuing flight to liquidity described in the following section.

The Ultimate Cause: Flight to Liquidity

The ultimate cause of the LTCM debacle was the "flight to liquidity" across the global fixed income markets. As Russia's troubles became deeper and deeper, fixed-income portfolio managers began to shift their assets to more liquid assets. In particular, many investors shifted their investments into the U.S. Treasury market. In fact, so great was the panic that investors moved money not just into Treasuries, but into the most liquid part of the U.S. Treasury market -- the most recently issued, or "on-the-run" Treasuries. While the U.S. Treasury market is relatively liquid in normal market conditions, this global flight to liquidity hit the on-the-run Treasuries like a freight train. The spread between the yields on on-the-run Treasuries and off-the-run Treasuries widened dramatically: even though the off-the-run bonds were theoretically cheap relative to the on-the-run bonds, they got much cheaper still (on a relative basis).

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What LTCM had failed to account for is that a substantial portion of its balance sheet was exposed to a general change in the “price” of liquidity. If liquidity became more valuable (as it did following the crisis) its short positions would increase in price relative to its long positions. This was essentially a massive, unhedged exposure to a single risk factor.

As an aside, this situation was made worse by the fact that the size of the new issuance of U.S. Treasury bonds has declined over the past several years. This has effectively reduced the liquidity of the Treasury market, making it more likely that a flight to liquidity could dislocate this market.

Systemic Risk: The Domino Effect

The preceding analysis explains why LTCM almost failed. However, it does not explain why this near-failure should threaten the stability of the global financial markets. The reason was that virtually all of the leveraged Treasury bond investors had similar positions: Salomon Brothers, Merrill Lynch, the III Fund (a fixed-income hedge fund that also failed as a result of the crisis) and likely others.

There were two reasons for the lack of diversity of opinion in the market. The first is that virtually all of the sophisticated models being run by the leveraged players said the same thing: that off-the-run Treasuries were significantly cheap compared with the on-the-run Treasuries. The second is that many of the investment banks obtained order flow information through their dealings with LTCM. They therefore would have known many of the actual positions and would have taken up similar positions alongside their client.

Indeed, one industry participant suggested that the Russian crisis was the crowning blow on a domino effect that had started months before. In early 1998, Sandy Weill, as co-head of Citigroup, decided to shut down the famous Salomon Brothers Treasury bond arbitrage desk. Salomon, one of the largest players in the on-the-run/off-the-run trade, had to begin liquidating its positions. As it did so, these trades became cheaper and cheaper, putting pressure on all of the other leveraged players.

Lessons to be learned:

Market values matter

LTCM was perhaps the biggest disaster of its kind, but it was not the first. It had been preceded by a number of other cases of highly-leveraged quantitative firms that went under in similar circumstances.

One of the earliest was Franklin Savings and Loan, a hedge fund dressed down as a savings & loan. Franklin's management had figured out that many of the riskier pieces of mortgage derivatives were undervalued because a) the market could not understand the risk on the risky pieces; and b) the market overvalued those pieces with well-behaved accounting results. Franklin decided it was willing to suffer volatile accounting results in exchange for good economics.

More recently, the Granite funds, which specialised in mortgage-backed securities trading, suffered as the result of similar trading strategies. The funds took advantage of the fact that “toxic waste” (risky tranches) from the mortgage derivatives market were good economic value. However, when the Fed raised interest rates in February

1994, Wall Street firms rushed to liquidate mortgage-backed securities, often at huge discounts.

Both of these firms claimed to have been hedged, but both went under when they were “margin-called”. In Franklin’s case, the caller was the Office of Thrift Supervision; in the Granite Fund’s, the margin lenders. What is the common theme among Franklin, the Granite Funds and LTCM? All three depended on exploiting deviations in market value from fair value. And all three depended on “patient capital” -- shareholders and lenders who believed that what mattered was fair value and not market value. That is, these fund managers convinced their stakeholders that because the fair values were hedged, it didn’t matter what happened to market values in the short run — they would converge to fair value over time. That was the reason for the “Long Term” part of LTCM’s name.

The problem with this logic is that capital is only as patient as its least patient provider. The fact is that lenders generally lose their patience precisely when the funds need them to keep it — in times of market crisis. As all three cases demonstrate, the lenders are the first to get nervous when an external shock hits. At that point, they begin to ask the fund manager for market valuations, not models-based fair valuations. This starts the fund along the downward spiral: illiquid securities are marked-to-market; margin calls are made; the illiquid securities must be sold; more margin calls are made, and so on. In general, shareholders may provide patient capital; but debt-holders do not.

The lesson learned from these case studies spoils some of the supposed “free lunch” features of taking liquidity risk. These plays can indeed generate excellent risk-adjusted returns, but only if held for a long time. Unfortunately the only real source of capital that is patient enough to take fluctuations in market values, especially through crises, is equity capital.

In other words, you can take liquidity bets, but you cannot leverage them much.

Liquidity risk is itself a factor

As pointed out in the analysis section of this article, LTCM fell victim to a flight to liquidity. This phenomenon is common enough in capital markets crises that it should be built into risk models, either by introducing a new risk factor — liquidity — or by including a flight to liquidity in the stress testing (see the following section for more detail on this). This could be accomplished crudely by classifying securities as either liquid or illiquid. Liquid securities are assigned a positive exposure to the liquidity factor; illiquid securities are assigned a negative exposure to the liquidity factor. The size of the factor movement (measured in terms of the movement of the spread between liquid and illiquid securities) can be estimated either statistically or heuristically (perhaps using the LTCM crisis as a “worst case” scenario).

Using this approach, LTCM might have classified most of its long positions as illiquid and most of its short positions as liquid, thus having a notional exposure to the liquidity factor equal to twice its total balance sheet. A more refined model would account for a spectrum of possible liquidity across securities; at a minimum, however, the general concept of exposure to a liquidity risk factor should be incorporated in to any leveraged portfolio.

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Models must be stress-tested and combined with judgement

Another key lesson to be learnt from the LTCM debacle is that even (or especially) the most sophisticated financial models are subject to model risk and parameter risk, and should therefore be stress-tested and tempered with judgement. While we are clearly privileged in exercising 20/20 hindsight, we can nonetheless think through the way in which judgement and stress-testing could have been used to mitigate, if not avoid, this disaster.

According to the complex mathematical models used by LTCM, the positions were low risk. Judgement tells us that the key assumption that the models depended on was the high correlation between the long and short positions. Certainly, recent history suggested that correlations between corporate bonds of different credit quality would move together (a correlation of between 90-95% over a 2-year horizon). During LTCM's crisis, however, this correlation dropped to 80%. Stress-testing against this lower correlation might have led LTCM to assume less leverage in taking this bet.

However, if LTCM had thought to stress test this correlation, given that it was such an important assumption, it would not even have had to make up a stress scenario. This correlation had dropped to 75% as recently as 1992 (Jorion, 1999). Simply including this stress scenario in the risk management of the fund might have led LTCM to assume less leverage in taking this bet.

Financial institutions must aggregate exposures to common risk factors

One of the other lessons to be learned by other financial institutions is that it is important to aggregate risk exposures across businesses. Many of the large dealer banks exposed to a Russian crisis across many different businesses only became aware of the commonality of these exposures after the LTCM crisis. For example, these banks owned Russian GKO's on their arbitrage desks, made commercial loans to Russian corporates in their lending businesses, and had indirect exposure to a Russian crisis through their prime brokerage lending to LTCM. A systematic risk management process should have discovered these common linkages ex ante and reported or reduced the risk concentration.

1.2.15 Interlink Between Money Market & Capital Market

Since most businesses and financial organisations participate in both, the money and capital markets are inextricably linked. Firms can borrow cash from the money market for a short period of time or from the capital market for a longer length of time. Due to the interdependence of the two markets, a number of circumstances may cause borrowers and lenders to turn to either the money market or the capital market. They'll be mentioned farther down.

- Depending on the availability of funds, the rates of return, and their investment strategies, lenders may opt to route their assets to one or both markets.
- Borrowers can get their money from either or both markets, depending on their needs. A company can raise short-term capital by selling commercial paper or by issuing new shares or bonds.
- By buying and selling short-term and long-term securities, certain firms and financial institutions serve both markets.

- When a long-term security matures, it does become a short-term instrument. As a result, some capital market instruments can also be used to make money.
- When the Treasury finances ageing bills with Treasury securities or a bank lends the proceeds of a maturing loan to a firm on a short-term basis, funds flow back and forth between the two markets.
- The money market yields are linked to the capital market yields. A drop in short-term money market interest rates indicates a situation of easy credit that is likely to be followed or accompanied by a more moderate drop in long-term capital market interest rates. Money market interest rates, on the other hand, are more susceptible than long-term capital market interest rates.

Check your Understanding

1. _____, as the name implies, are a form of market that allows you to sell and buy assets like bonds, equities, foreign exchange, and derivatives.
2. The _____ is where you can buy and sell shares in public corporations.
3. Treasury bills, commercial papers, and certificates of deposit are examples of negotiable instruments in the _____.
4. _____ is a method of selling new securities in the primary market, and it is executed out by a specific alliance of people known as underwriters or security dealers.
5. The _____ can be characterised as the market for old securities in the sense that securities that were previously issued in the primary market are exchanged here. The trading takes place on the primary market between investors who are interested in the original issue.

Summary

- Financial markets, as the name implies, are a form of market that allows you to sell and buy assets like bonds, equities, foreign exchange, and derivatives. They're known by a variety of titles, like "Wall Street" and "capital market," but they all refer to the same thing. Simply put, firms and investors can use financial markets to raise funds in order to expand their operations or generate more money.
- Consider a bank where a customer has a savings bank account, to put it another way. For a fee, the bank can lend their money, as well as other depositors' money, to other people and organisations. Depositors earn interest and see their money grow as a result of the interest they get. The consequence of it is that, the bank serves as both a depositor and a debtor's financial market.
- Financial markets provide liquidity, allowing firms to expand and entrepreneurs to raise capital for their businesses. They lower risk by making information available to investors and traders on a public level. These markets help to stabilise the economy by instilling investor confidence.
- The money market is an authorized marketplace where people can lend and acquire high-quality, short-term debt securities with maturities of one year or less. It enables the banks, the government and other major entities to sell short-term

Notes

securities in order to meet immediate cash flow needs. Money markets can also be used by individual investors to invest small quantities of money in a low-risk setting. "Treasury bills, certificates of deposit, commercial paper, federal funds, bills of exchange, and short-term mortgage-backed securities and asset-backed securities are some of the products traded in the money market." Small businesses with surplus money can borrow using money market mutual funds, while major businesses with immediate cash flow needs may borrow immediately from the marketplace through their dealers.

- The term "capital market" operates in a marketplace where long-term investments with direct or indirect capital claims are traded. Long-term investments are ones that are locked in for more than a year. A capital market is the place where buyers and sellers of financial securities such as stocks, bonds, and other derivatives exchanged in financial securities. The buying and selling process involves both individuals and institutions. Surplus funds from depositors are channelled through capital markets to institutions, who subsequently invest them in productive uses. This market mostly deals in long-term securities. The capital market is where equity and debt instruments, such as equity shares, preference shares, debentures, zero-coupon bonds, secured premium notes, and other similar products, are bought and sold, as well as all sorts of lending and borrowing. The economy is stabilised by investor confidence.

Activity

1. Make a power point presentation on money markets and capital markets.

Questions and Exercises

1. Explain the basic concept and functions & role of financial markets.
2. Explain money market and the various instruments of money market
3. Explain the various types and instruments of capital market in detail.

Glossary

- **Underwriting:** Underwriting is one of the most significant activities in the financial world since it involves an individual or an institution taking on the risk of a venture, an investment, or a loan in exchange for a fee. Banks, insurance companies, and stock exchanges all employ underwriters. In the early phases of the industrial revolution, the practise of having risk takers put their name underneath the entire risk that s/he undertakes in exchange for a specified premium gave rise to the term 'underwriting.' Underwriting is now one of the most important activities in the financial industry, and it has evolved into a discipline in its own right.
- **Preference Shares:** Preference shares, also known as preferred stock, are a type of stock in which dividends are paid to stockholders before regular stock payouts are issued. As a result, preference share holders have a leg up on common shareholders when it comes to profit distribution. As a result, in the event of a company's bankruptcy, preference shareholders receive dividends first and have first access to the company's assets before common stockholders. The dividend is predetermined for preference shareholders, but they do not have voting rights like common shareholders. Preference share kinds are sought after by investors who

have been in the stock market for longer than the average. The dividends paid on these shares are far higher than those paid on ordinary shares. The fact that many preference stockholders own no other stock other than this sort demonstrates their appeal.

- **Stock Market:** The stock market is where you can buy and sell shares in public corporations. Each share has a value, and investors profit from the stocks when they outperform the market. Purchasing stocks is simple. The main issue is determining which stocks will generate profit for the investor. The Dow Jones Industrial Average (DJIA) and the S&P 500 are two indices that investors can use to track the stock market's performance. The investor profits from the sale of equities that were purchased at a lower price and sold at a higher price.
- **Derivative:** A derivative is a contract between two or more parties in which the value of the contract is determined by an agreed-upon underlying financial asset (such as a securities) or collection of assets (like an index). Bonds, commodities, currencies, interest rates, market indexes, and stocks are common underlying instruments. A derivative is a financial contract whose value is based on the performance of an underlying entity. This underlying entity, which can be an asset, an index, or an interest rate, is commonly referred to as the "underlying."

Further Readings

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Check your Understanding - Answers

1. Financial markets
2. stock market
3. money market
4. Underwriting
5. secondary market

Notes**Unit - 1.3: SEBI & Stock Exchange****Objectives:**

At the end of this unit, you will be able to:

- Understand the basic introduction of SEBI
- Understand the role of SEBI
- Understand the basic introduction of stock exchange
- Understand the types of stock exchanges
- Understand the functions of stock exchange

Introduction**Establishment Of SEBI**

The Securities and Exchange Board of India was founded on April 12, 1992 in compliance with the terms of the Securities and Exchange Board of India Act, 1992.

Preamble

The Preamble of the Securities and Exchange Board of India describes the basic functions of the Securities and Exchange Board of India as "...to protect the interests of investors in securities and to promote the development of, and to regulate the securities market and for matters connected therewith or incidental thereto"

- The Board
- Organisation Structure
- Code on Conflict of Interests for Members of Board
- Functions of Departments / Divisions
- Board Meetings
- Addresses of Offices of SEBI
- Powers and Functions of the Board
- SEBI Committees
- Securities Appellate Tribunal (SAT)
- SEBI Benchmarks
- Former Chairmen / WTM of the SEBI
- Equal Opportunity Policy for PwDs
- Public Holidays

1.3.1 SEBI Introduction



The Securities and Exchange Board of India, or SEBI, was created on April 12, 1992, by the SEBI Act, 1992. It was created as a non-statutory body to regulate the securities market. The board's headquarters are in the Bandra Kurla Complex in Mumbai. SEBI aids in the regulation of the Indian capital market by protecting investors' interests and implementing rules and regulations for the market's development.

On April 12, 1998, the Securities and Exchange Board of India (SEBI) was established. To begin with, SEBI was established as a non-statutory organisation. This then took almost four years for the government of India to pass the Securities and Exchange Board of India Act 1992, which granted legislative authority to the board. The Act gives SEBI broad authority over nearly all elements of capital market activities.

Prior to SEBI, the regulating authority was the Controller of Capital Issues, which had authority under the Capital Issues (Control) Act of 1947. The Securities and Exchange Board of India (Sebi) was established in 1988 to regulate India's financial markets. SEBI began as a non-statutory entity with no legislative authority. It was given autonomous and statutory powers with the passing of the SEBI Act by Parliament in 1992.

The Securities and Exchange Board of India (SEBI) is a statutory agency and market regulator that oversees India's securities market. Sebi's primary responsibilities include safeguarding the interests of securities investors as well as promoting and regulating the securities industry. Sebi is governed by a board of directors. A Chairman and several other full-time and part-time members make up the board. The union government appoints the chairman. Two members from the finance ministry, one from the Reserve Bank of India, and five more members have been nominated by the Centre. SEBI's headquarters are in Mumbai, while regional offices can be found in Ahmedabad, Kolkata, Chennai, and Delhi.

Sebi regulates stock exchange activity, protects shareholders' rights, and ensures the safety of their investments. It also intends to combat fraud by harmonising its legislative regulations and encouraging businesses to self-regulate. A competitive professional market for intermediaries is also enabled by the regulator. Apart from the aforementioned tasks, Sebi provides a marketplace where issuers can appropriately raise funds. It also protects investor protection and the provision of exact and accurate information. The Securities and Exchange Commission (Sebi) examines stock

Notes

Notes

transactions and protects the securities market against fraud. Stockbrokers and sub-stockbrokers are under its supervision. It gives investors with market education in order to improve their understanding.

SEBI was established for a variety of reasons

People in India preferred to work in the capital market throughout the fall of the 1970s and the rise of the 1980s since the market was trending. Without any authority, issues such as unofficial private placements, price fixing, and unofficial self-styled merchant bankers began breaching the stock exchange's rules and regulations, causing delays in the distribution of shares. The government saw a pressing need to form a regulatory body to oversee its operations and find solutions to all of the market's difficulties, as the public's interest in the market was waning. As a result, the SEBI was established.

The financial market is divided into three categories:

1. The Securities Issuer

Issuers are a group of people that work in the corporate sector to help companies raise money from a variety of sources. As a result, SEBI assists issuers by fostering a healthy and open working environment.

2. Investors

Investors are the lifeblood of the market, as they keep it running by giving timely supplies, reliable information, and protection to the public on a daily basis. SEBI assists investors by fostering a free-market environment that attracts and protects money invested in the market.

3. Financial Intermediaries

Intermediaries are those who act as go-betweens for issuers and investors. SEBI contributes to the development of a competitive professional market that benefits both issuers and investors. These intermediaries also offer a reliable infrastructure and safe financial transactions.

SEBI Characteristics

Sebi is an institution tasked with ensuring a free-of-misconduct environment in order to regain the trust of the general public who invest their hard-earned money in the market. SEBI is in charge of all stock exchange bylaws in the country. SEBI keeps a close eye on all stock exchange and financial intermediary books of accounts to look for abnormalities. The following are the characteristics of India's Security and Exchange Board:

- Quasi-Judicial: SEBI has the authority to hold hearings and make decisions in situations of unethical behaviour and deceptive commercial practises. This SEBI feature aids in the protection of capital market transparency, accountability, trustworthiness, and fairness.
- Quasi-Executive: The implementation of the legislation is covered by Quasi-Executive SEBI. They have the authority to submit a complaint against anyone

who breaks their rules and regulations. They also have the authority to examine all books and documents for evidence of misconduct.

- Quasi-Legislative: The Securities and Exchange Board of India (SEBI) has the authority to draught capital market legislation. SEBI creates laws and regulations to protect investors' interests. For example, the SEBI LODR (Securities and Exchange Board of India) or Listing Obligation and Disclosure Requirements. This aids in the consolidation and streamlining of existing listing agreements for a variety of financial market categories, such as equity shares. This aids in the protection of the market against market malpractices and fraudulent trading operations.

1.3.2 Role of SEBI

SEBI essentially defends the interests of investors in the securities market, supports its development, and regulates the industry. The Security and Exchange Board of India's roles can be divided into three categories:

1. Protective Role

Investors and other financial participants' interests are protected through protective responsibilities. These are the roles:

- Prevent Insider Trading: Insider trading occurs when people who work in the market, such as directors, promoters, or firm employees, begin to buy or sell stocks because they have access to a confidential price, thereby impacting the price of the security. SEBI prohibits firms from purchasing their own shares on the secondary market, and it supervises frequent audits to prevent insider trading and other malpractices.
- Price fixing is investigated: Price rigging refers to methods that cause unjustified changes in the price of securities by increasing or decreasing the market price of equities, resulting in a significant loss for investors or traders. SEBI keeps a close eye on the elements that can lead to price manipulation in order to prevent it.
- Promotes fair trade practises: SEBI developed rules and regulations in the securities market, as well as a code of conduct, to prevent fraudulent and unfair commercial activities.
- Delivering investor awareness/financial education: SEBI holds seminars both online and offline to educate and enlighten investors about financial market insights and money management.

2. Regulatory Roles

Regulatory roles are typically utilised to ensure that the financial market is operating properly. They set laws to control financial intermediaries and corporations in order to ensure market efficiency. These are the roles:

- SEBI created guidelines and a code of conduct to ensure that financial intermediaries and corporations operate efficiently.
- There are established procedures for taking over a business.
- Inquires and audits stock exchanges on a regular basis.

Notes

- The mutual fund process is regulated.
- SEBI regulates the registration of brokers, sub-brokers, and merchant bankers.
- The Securities and Exchange Board of India (SEBI) regulates the charging of fees.
- Private placement is restricted.

3. Development Roles

SEBI's development roles are the actions it takes to increase market security through technology. The functions are as follows:

- Through providing market intermediaries with training sessions.
- Through supporting fair trading and putting a stop to any type of wrongdoing.
- The DEMAT format was introduced.
- Through encouraging organisations to self-regulate.
- Through allowing registered stock brokers to conduct internet trading.
- Through offering low-cost brokerage services.

1.3.3 Introduction of stock Exchange

With its ever-increasing and developing economy, India's economy is regarded as a global economic engine. And the stock market of such a strong economy is the face of the market's and firms' expansion. The Bombay Stock Exchange is one of the world's oldest and fastest stock exchange platforms (BSE). The stock market is an electronic marketplace where companies' shares are listed and traded. Companies may raise funds from the general public more efficiently and effectively thanks to this smart platform. Stock exchanges have increased tremendously in terms of foreign institutional investment and transaction turnover as a result of the country's economic reforms. The rise is primarily owing to the government's liberalised and supportive position, as well as its regulatory role. The prices of shares of publicly traded firms fluctuate due to a variety of factors that influence and build market and investor perceptions. In India, we have a relatively low level of economic literacy, and in a population of over 125 million people, less than 2% of the population invests in the stock market. The low participation rate is attributable to the above-mentioned lack of economic literacy, as well as massive market swings caused by a variety of reasons. India is a pioneer in the information technology industry, and Indian IT companies are one of the country's largest contributors to total exports and fame. IT businesses' stock is continuously in the spotlight of the stock market because it is a pioneering industry. The yield or return on this is also subject to industry and market fluctuations. Because there are so many swings in the stock market, there is a strong desire to learn more about the elements that cause the market's ups and downs.

The stock exchange It is a market where publicly traded corporations' shares are traded. The primary market is where corporations raise cash by selling shares to the general public in an initial public offering (IPO). After new securities are sold in the primary market, they are traded in the secondary market, where one investor buys shares from another at the current market price or whatever price the buyer and seller agree on. The regulatory authority oversees the secondary market or stock exchanges.

The Security and Exchange Board of India regulates the secondary and primary markets in India (SEBI). Stock brokers can trade company stocks and other securities on a stock exchange. Only if a stock is listed on an exchange can it be bought or sold. As a result, it serves as a meeting point for stock buyers and sellers. The Bombay Stock Exchange and the National Stock Exchange are India's two most prominent stock exchanges in India.

The London Stock Exchange is the world's oldest stock exchange, while the Bombay Stock Exchange is India's oldest. There are seven stock exchanges in India, with the NSE and BSE being the two most important indices. These two stock exchanges handle the majority of Indian stock market trade. The trading hours, trading mechanism, and settlement process are all the same on both exchanges. According to the most recent report, the BSE has 5800 listed companies, while the NSE has 1659 listed companies. Surprisingly, out of all the companies listed on the BSE, only about 500 companies account for more than 90% of the market value.

A stock exchange in India has a significant impact on the country's financial industry because it is such an important aspect of the Indian stock market. Their combined performances are a key determinant of economic growth. Furthermore, all main types of stock exchanges are highly intertwined; if one big stock exchange collapses, it will have repercussions for all other major exchanges throughout the world. If the Bombay Stock Exchange index falls, the impact will be seen on stock markets such as the New York Stock Exchange, Tokyo Stock Exchange, Shanghai Stock Exchange, and others.

1.3.4 Types of Stock Exchanges

1. The Bombay Stock Exchange (BSE):

- The Bombay stock exchange was founded in 1875 and is India's and South Asia's leading and fastest stock exchange. The Bombay Stock Exchange, with a market capitalisation of \$1.7 trillion as of 31 January 2015 (Monthly Reports, World Federation of Exchanges), is the world's 11th largest stock exchange by market capitalization. The BSE has around 5,000 companies listed. The Sensex, which consists of 30 equities, is the main index of the Bombay stock exchange. The Sensex, which measures the performance of the BSE, reached an all-time high of 40312.07 in June of this year.
- The BSE is one of the two major stock exchanges in India, and is located on Dalal Street in Mumbai. Mr. Premchand Roychand, also known as the Cotton King, the Bullion King, or the Big Bull, founded it.
- However, the history of the BSE dates back to the 1850s, when 22 stockbrokers gathered in front of Mumbai's Town Hall under banyan trees. In the year 1874, the group relocated to Dalal Street. The Sensex was created in 1986 as the first stock index to serve as a foundation for recognising the exchange's top 30 trading companies across more than ten categories.
- Other major BSE indices include the BSE 100, BSE 200, BSE 500, BSE MIDCAP, BSE SMLCAP, BSE PSU, BSE Auto, BSE Pharma, BSE FMCG, and BSE Metal, in addition to the Sensex.
- BSE has a market capitalization of around Rs 118.80 crore as of October

Notes

19, 2021. It is one among the top ten most valuable exchanges in the world. BSE has also issued an IPO and is listed on the NSE. Furthermore, the BSE enables not only stock trading but also derivatives trading, such as futures and options. Over the recent years, it has broadened its product offering to include commodity derivatives. Gold, silver, almonds, crude oil, steel, and cotton are examples of commodities.

2. National Stock Exchange:

- The Securities Contracts (Regulation) Act 1956 recognised the National Stock Exchange as a stock exchange in 1993, after it was formed as a tax-paying firm in 1992. The NSE was founded in Mumbai and is considered the country's first demutualized electronic stock exchange market.
- This stock exchange market was created with the goal of removing the Bombay Stock Exchange's monopolistic influence from the Indian stock market. It was ranked as the world's 12th largest stock market. NIFTY 50 is the index of the National Stock Exchange of India, and it is widely used by investors throughout the world to assess the performance of the Indian capital market. As of 31 January 2015, the NSE was the world's 12th largest stock exchange, with a market capitalisation of more over US\$ 1.65 trillion (Monthly Reports, World Federation of Exchanges).
- Furthermore, it was the first exchange to offer a completely automated electronic trading system based on a screen. Nifty is a 50-stock index that is used to gauge the overall performance of the National Stock Exchange.
- Nifty Next50, Nifty500, Nifty Midcap150, Nifty Smallcap250, and Nifty MidSmallcap 400 are some of the NSE's other significant indices.
- The National Securities Depository Limited (NSDL) was established to offer investors with depository services.
- Investors and dealers can use NSDL to securely retain and transfer their equities via the internet.
- NSE's product lines were soon broadened as well. It provides not only stock and equity derivatives products, but also commodities and currency derivatives, among other services such as clearing and settlement.

3. Multi-Commodity Exchange (MCX):

- The Multi Commodity Exchange (MCX) is one of the country's most important commodity exchanges. This exchange specialises in commodity trading, comprising both agricultural and non-agricultural products, as its name suggests. Cotton, palm oil, rubber, and cardamom are among them. Base metals (lead, aluminium, nickel, zinc, and copper), bullion (gold and silver), and energy are all examples of non-agricultural products (crude oil and natural gas).
- It began operations in 2003 and is India's first publicly traded commodity exchange (both BSE and NSE). Mumbai is the company's headquarters. It now offers index futures contracts in addition to futures and options contracts across all of its products. MCX BULLDEX (bullion index), MCX METLDEX (metal index), and MCX ENRGDEX are some of them (energy index).

- Despite the fact that hedgers, traders, merchants, and even companies use these, the amount is expanding. However, unlike the stock market, the commodities market has yet to establish itself.

4. National Commodity and Derivates Exchange (NCDEX)

- The National Commodity and Derivates Exchange (NCDE) is a trading platform for commodities and derivatives (NCDEX)
- NCDEX, the country's second-largest commodity exchange, began operations about the same time as MCX.
- Like MCX, NCDEX solely trades agricultural products. Cereals and pulses (such as Chana, Barley, and Moong), oil and oil seeds (such as Castor seeds, Soybean, Mustard seed, and crude palm oil), fibres (such as Kapas and cotton), and spices are among them (including Turmeric and Coriander).
- NCDEX has just begun to offer index products such as AGRIDEX.

5. India International Exchange (India INX)

- In the country's exchange market, this is a relatively new newcomer. India INX is the country's first international stock exchange, having opened in January 2017. It is also a subsidiary of the BSE and is located in Gujarat's GIFT City at the International Financial Services Centre (IFSC).
- It is touted to be the world's most advanced technology platform, with a 4 microsecond turn-around time and a 24-hour, six-day-a-week operation. 4.30 a.m. to 5.00 p.m. and 5.01 p.m. to 2.30 a.m. are the two sessions in which this exchange operates.
- The Worldwide Securities Market, an international primary market platform in India that connects global investors with Indian and foreign issuers, was also introduced by India INX.
- INX currently exclusively offers derivatives such as equities, currency, and commodity derivatives, as well as debt instruments such as masala bonds and foreign currency bonds. According to recent media reports, INX will soon make it easier to purchase and sell foreign stocks on its platform, including large US and European corporations.

6. IFSC of the NSE

- NSE IFSC Limited (NSE International Exchange), founded on November 29, 2016, is a completely owned subsidiary of the National Stock Exchange (NSE) and is based in Gujarat's GIFT City at the International Financial Services Centre (IFSC). India INX has similar product offers.
- The NSE IFSC generally trades for 16 hours per day, split into two sessions. There are currently two trading periods, one from 8 a.m. to 5 p.m. and the other from 5.30 p.m. to 11.30 p.m.

7. Commodity Exchange of India (ICEX)

- ICEX is an Indian commodity derivatives exchange. It is a permanent exchange that provides futures trading in diamond contracts and is registered with SEBI.

Notes

- It was founded in 2009, but its trading was halted in 2014. In 2017, it relaunched its operations.
- ICEX also offers agri derivatives such as spices, oilseeds, plantations, and cereals in addition to diamond contracts.
- ICEX, on the other hand, is mired in controversy and claims and is expected to emerge from the situation shortly.

8. Calcutta Stock Exchange (CSE)

- CSE has come a long way since its inception in the 1830s under the Neem Tree. It is one of the country's oldest stock exchanges, and it was once one of the country's largest.
- It was founded in 1908 and had been based in Lyons Range, Calcutta, in building 7.
- Under the relevant sections of the Securities Contracts (Regulation) Act, 1956, it was awarded permanent recognition by the Government of India in 1980.
- CSE also had a CSE-40 index, which was identical to the Nifty50 and Sensex.
- NSE and BSE were previously competitors, and CSE was one among them. It is a permanent (licence) stock exchange that is registered with SEBI, but its future is dubious. SEBI had stopped its trading for nearly nine years due to non-compliance with key regulations. Despite the fact that approximately 20 regional stock exchanges have voluntarily left the business, CSE is still struggling to fight its battle for survival.

9. Metropolitan Stock Exchange (MSE)

- On December 21, 2012, the Ministry of Corporate Affairs designated the Exchange as a "Recognized Stock Exchange" under the Companies Act.
- The MSE's offerings are comparable to those of any other stock market. Futures options, currency derivatives, and debt market instruments are all available. However, it is now in a similar position to CSE. According to SEBI information, MSE's designation as an exchange is valid until September 2022, whereas CSE was a permanent exchange. MSE's licence may not be renewed if it does not raise funds by next year. Exchanges are required by SEBI guidelines to maintain a minimum net worth, and MSE's net value has been declining due to a slew of issues.

1.3.5 Functions of Stock Exchange

- **Ensure capital liquidity.**

The stock exchanges are places where buyers and sellers can exchange money for goods. A ready market is provided by the exchanges. If hard cash was always available and individuals in need of cash could sell their assets, many people would be afraid of locking up their investments in securities since they couldn't convert them back into cash.

- **Continuous Securities Market**

Securities are traded on stock exchanges, which provide a ready market. Regardless of whether or not owners change, stocks that have been listed continue to

be traded on exchanges. Securities are traded on the exchanges on a regular basis.

- **Surplus Savings Mobilization**

Stock exchanges serve as a ready market for a wide range of securities. Investors have little trouble investing their money by acquiring shares, bonds, and other securities on stock exchanges. Many people who desire to invest their money will be unable to do so if this opportunity is not available. In this approach, stock markets serve a critical role in capturing investor surplus funds.

- **Helpful in the Acquisition of New Capital.**

For their operations, both new and current businesses require finance. Existing units raise capital for expansion and diversification, while new concerns raise funds for the first time. New companies register their shares on stock markets, and existing companies sell their shares through brokers and other exchanges. Both new and veteran firms can benefit from the exchanges in terms of raising cash.

- **Privacy in Dealing**

Dealings on stock exchanges are supervised by the Securities Contract (Regulation) Act, 1956, which contains well-defined laws and regulations. Manipulation of transactions is not possible. Every communication is made in accordance with the established method, and there is no anxiety among contractual parties. The safety of dealings instils confidence in all parties involved and aids in the expansion of various transactions.

- **Securities Listing on Exchange**

At stock exchanges, you can only buy listed stocks. Every company that wants to list its securities will submit an application to the exchange authorities. The company's capital structure, management, and prospects are all scrutinised before the listing is approved. The corporation benefits from the listing of securities. Because listing a security does not ensure the company's financial viability, investors might make their own opinions about it.

- **Price Movements are smoothed out.**

By providing a continual flow of securities, a stock exchange smooths out the price swings of equities in the market.

- **Protection for investors.**

The stock exchange acts as a safety net for investors in securities. It gives investors a way to get their complaints heard. A compensation fund is also run by stock exchanges to safeguard investors.

Check your Understanding

1. The Securities and Exchange Board of India, or SEBI, was created on _____, by the SEBI Act, 1992. It was created as a non-statutory body to regulate the securities market.
2. The board's headquarters are in the _____ in Mumbai

Notes

3. _____ occurs when people who work in the market, such as directors, promoters, or firm employees, begin to buy or sell stocks because they have access to a confidential price, thereby impacting the price of the security.
4. The _____ exchange was founded in 1875 and is India's and South Asia's leading and fastest stock exchange.
5. The primary market is where corporations raise cash by selling shares to the general public in an _____

Summary

- In compliance with the terms of the Securities and Exchange Board of India Act, 1992, the Securities and Exchange Board of India was founded on April 12, 1992. The primary functions of the Securities and Exchange Board of India are described in the Preamble as "...to protect the interests of investors in securities and to promote the development of, and to regulate the securities market and for matters connected therewith or incidental thereto". Listed firms or public limited companies issuing right shares by July 31, 2020 and planning to transmit notices to shareholders may do so in any form other than registered mail, speed post, or courier, and this is not a breach of the SEBI circular.
- SEBI is responsible for overseeing the regulation of all participants in the Indian capital market. It tries to protect investors' interests and grow capital markets by enforcing a variety of laws and regulations. SEBI is a statutory regulatory authority that was created on April 12, 1992. It oversees and governs the Indian capital and securities markets, ensuring that investors' interests are protected through the development of legislation and norms. SEBI's headquarters are in Mumbai's Bandra Kurla Complex.
- Whereas the stock exchange (sometimes known as the stock market or the share market) is an important aspect of India's capital market. It is crucial in the development of a country's industries and commerce, which has an impact on the economy. It is a well-organized market for the buying and sale of corporate and other securities that allows businesses to obtain cash by pooling funds from various investors and acting as an investment middleman for investors. Furthermore, it ensures that assets are exchanged in accordance with predetermined norms and regulations.
- The London Stock Exchange is the world's oldest stock exchange, while the Bombay Stock Exchange is India's oldest. There are seven stock exchanges in India, with the NSE and BSE being the two most important indices. These two stock exchanges handle the majority of Indian stock market trade. The trading hours, trading mechanism, and settlement process are all the same on both exchanges. According to the most recent report, the BSE has 5800 listed companies, while the NSE has 1659 listed companies. Surprisingly, out of all the companies listed on the BSE, only about 500 companies account for more than 90% of the market value.
- Dealings on stock exchanges are supervised by the Securities Contract (Regulation) Act, 1956, which contains well-defined laws and regulations. Manipulation of transactions is not possible. Every communication is made

in accordance with the established method, and there is no anxiety among contractual parties. The safety of dealings instils confidence in all parties involved and aids in the expansion of various transactions.

- The stock exchange acts as a safety net for investors in securities. It gives investors a way to get their complaints heard. A compensation fund is also run by stock exchanges to safeguard investors.
- A public issue is a method of raising money through the sale of securities to the general public. A public issue or public offering is the issuance of shares or convertible securities in the primary market by the company's promoters in order to attract new investors for a subscription.
- SEBI's major goal is to not just control stock markets, but also to defend investors' interests. SEBI has issued the following guidelines for this purpose: The Securities and Exchange Board of India (SEBI) has pushed investor education. For this reason, a number of investor's associations have been formed. SEBI has taken on the responsibility of delivering accurate and timely information to investors so that they can make well-informed investment decisions. For the advantage of investors, the company must reveal its capacity utilisation, bad events, and significant changes in key personnel. For a publicly traded corporation, market prices are disclosed. Arrangement for publicising investor complaints and a system for redressing them. Disclosure is required in the prospectus.

Activity

1. Make a list of various stock exchanges operating currently in India.

Questions and Exercises

1. Explain the types of stock exchanges
2. List out the basic functions of stock exchange
3. Explain the basic role of SEBI

Glossary

- **Public Issue:** A public issue is a method of raising money through the sale of securities to the general public. A public issue or public offering is the issuance of shares or convertible securities in the primary market by the company's promoters in order to attract new investors for a subscription. In a public offering, the company's shares are offered for sale to the general public in order to raise capital, and a prospectus is issued. Investors who want to subscribe for shares make a request to the company, which then distributes the shares to them. The entity that creates a new issuance is known as the Issuer. To raise cash, large-scale businesses usually use public offerings. Because an underwriter is necessary for Public Issue, a floatation cost is included.
- **Initial Public Offering (IPO):** Unlisted firms are public companies that are not listed on a stock exchange or have their shares traded on any recognised stock exchange. It can also reach the primary market through an Initial Public Offering (IPO). When a previously unlisted company exposes its shares to the general public for the first time, this is known as an initial public offering (IPO).

Notes

As a result, each unlisted company's IPO is a watershed moment since it permits them to receive funds through public subscriptions. This approach, however, is substantially riskier than a Further Public Offer because a company joins the market for the first time by issuing a prospectus.

- The sale of a company's shares to the general public for the first time is known as an initial public offering, or IPO. An unlisted or privately held corporation provides new shares or convertible securities to the public for the first time, or an already listed company issues existing shares or convertible securities to the public for the first time.
- An unlisted or young company could use this strategy to raise funds by listing its shares on a recognised stock market and becoming public. An IPO, on the other hand, allows established corporations to sell some or all of their stock to the general public.

Further Readings

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3. the difference between leasing & hire purchase Padmalatha Suresh and Justin Paul. Management of Banking and Financial Services. Pearson. Fourth Edition, 2017.
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6. Khan M Y. Financial Services. Mc Graw Hill. Tenth Edition.

Check your Understanding - Answers

1. April 12, 1992
2. Bandra Kurla Complex
3. Insider trading
4. Bombay stock
5. initial public offering (IPO).

Unit - 1.4: Forex Market

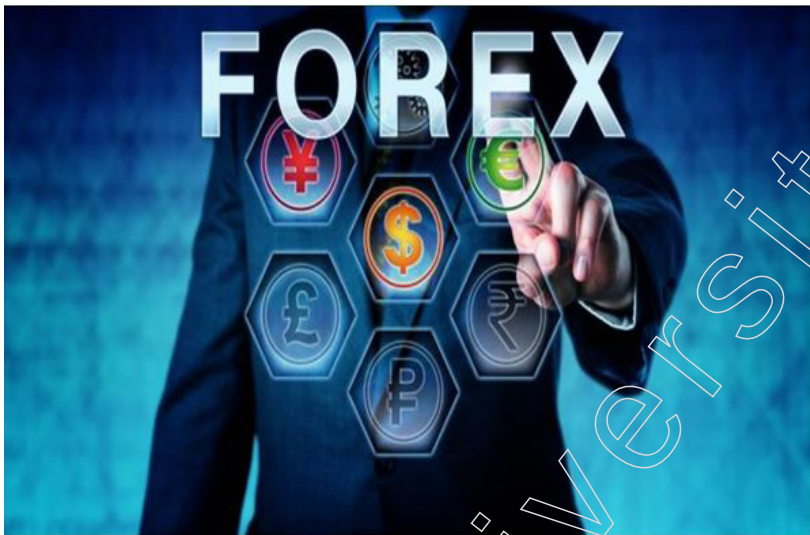
Notes

Objectives:

At the end of this unit, you will be able to:

- Understand the basic introduction of forex market
- Understand the trading in forex

Introduction



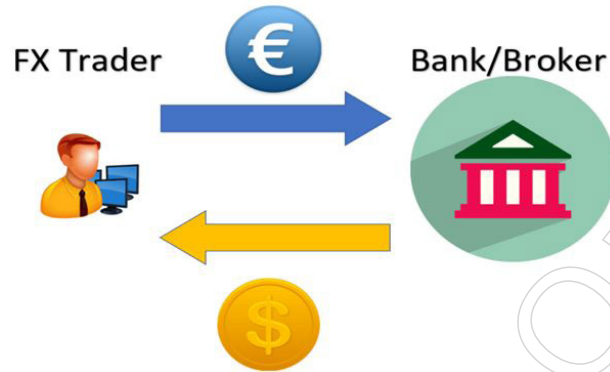
The Forex market is a thrilling place to be. One of the advantages of trading in the currency market is that you can do so at any time that is convenient for you. The forex market is a global over-the-counter (OTC) market which regulates currency exchange rates around the globe. Forex, FX, or the currency market are all terms used to describe the foreign exchange market. Participants or players in this market have the ability to buy, sell, exchange, and speculate on currencies. Banks, forex dealers, commercial companies, central banks, investment management firms, hedge funds, retail forex dealers, and investors all participate in these foreign exchange markets.

The global Foreign exchange market ('FX', 'Forex', or 'FOREX') is the world's largest market by daily turnover, exceeding the combined turnover of the world's stock and bond markets by more than US\$5 trillion every day. One of the numerous reasons why so many private investors and individual traders have entered the FX market is the industry's high turnover. Many advantages have been discovered by the investors, many of which are not available in other markets. Foreign exchange, often known as FX or currency trading, is a phrase used to describe forex (in basic terms, currency). It is a decentralised global market in which all of the world's currencies are traded. It is the world's most liquid stock market.

This market has a lot of liquidity (a lot of buyers and sellers) and competitive pricing (the spread between bid and ask price is relatively narrow). The rise of forex trading, investing, and management is on an increasing track, notwithstanding the volatility in other markets.

Notes

1.4.1 Introduction to Forex Market



The foreign exchange market, sometimes known as the 'forex market,' is a method that enables a worldwide network that allows buyers and sellers to trade or exchange currencies from other countries. A forex market is one of the most liquid financial markets in the world, allowing for 'over-the-counter' currency trading.

Banks in New York employ modern telecommunication technology known as SWIFT (Society for Worldwide Interbank Financial Telecommunications) to conduct foreign exchange transactions at electronic clearinghouses such as the Clearing House Interbank Payment System (CHIPS).

The foreign exchange market is a marketplace where people can purchase and sell foreign currencies. It's a worldwide internet network where you may buy and sell currencies from all over the world. The foreign exchange market is responsible for determining the exchange rate for all currencies in the globe. This market is also known as the currency, foreign exchange, or forex market. Individuals, businesses, commercial banks, central banks, importers and exporters, investors, brokers, immigrants, and tourists make up its framework. The foreign exchange market is a computerised system with no physical location. From 5 p.m. EST on Sunday through 4 p.m. EST on Friday, this market is open 24 hours a day. This is the most liquid financial market on the planet. The foreign exchange market always trades currencies in pairs, with the value of one of the currencies in the pair being related to the value of the others. There are two levels to this worldwide market. The interbank market and the over-the-counter market are the first and second, respectively.

The interbank market is where the world's largest banks trade and exchange currencies. People and organizations trade on the over-the-counter market, which has grown in popularity as a result of the numerous organisations that now offer online trading platforms.

Features of Foreign Exchange Market

- **Liquidity is High**

By its very nature, the FX market is huge and liquid. A trader with high liquidity can deal with any currency. Trading does not have to be done at a specific time; you can do it whenever you like. Different sorts of currencies are accepted by buyers and sellers all around the world. The most liquid financial market on the planet is the foreign exchange market. It entails trading of numerous currencies all around the world. All traders in this market have the freedom to buy or sell currencies whenever they want. They are

allowed to exchange currencies without affecting the rates of the currencies they are trading. Currency prices remain constant both at the time of placing the order and when it is executed, allowing you to achieve the projected profits.

- **Transparency in the Market**

All market data and information is available to traders in the foreign exchange market. They may quickly follow the price variations of multiple currencies without the need for a broker by using real-time portfolio and account tracking. All of this data aids in making better trading decisions and maintaining investment control.

- **24 Hours a Day, 7 Days a Week**

Foreign currency markets are open 24 hours a day, seven days a week. It provides a platform for traders to trade currencies at any time. It gives you plenty of time to make all of the essential adjustments whenever and wherever you need them.

- **Market that is ever-changing**

The foreign exchange market is a fast-paced environment. Currency values change every second and hour in these marketplaces. These values fluctuate in response to shifting demand and supply pressures, which aids in the determination of exchange rates. This market is known as the optimal place to trade because of its fast-changing nature.

- **Reduced Trading Costs**

The cost of trading on the FX market is really minimal. There are no commissions in these marketplaces, as there are with other investments. The only expense of trading in the forex market is the difference between the purchasing and selling values of currencies. Because the costs are low, the risk of losing money is likewise low, allowing small investors to profit from trading.

- **Dollar Most Commonly Traded**

The most popular trading currency is the dollar. In the international exchange market, the dollar is the most widely traded currency. Every country's currency is linked with this currency in the forex market. The dollar is one of the two currencies traded in a large percentage of daily transactions.

- **International Dealer Network**

The foreign exchange market serves as a conduit for communication between dealers and clients. Dealer's institutions are placed all over the world to conduct exchange and trading activity.

- **"Over-the-Counter" Market**

The forex market is a highly unregulated market in which banks initiate over-the-counter transaction by telex and telephone in several nations.

1.4.2 Overview of Forex Market

The Foreign Exchange Market (foreign exchange market) is a market where buyers and sellers trade foreign currencies. Simply said, a foreign exchange market is a market where different countries' currencies are bought and traded. The foreign

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exchange market, sometimes known as FOREX, is a global network that allows for global transactions. Currency values, like every other market, are determined by the supply and demand of sellers and purchasers. Other macro forces, though, are at work in this market. Interest rates, central bank policies, the rate of economic growth, and the political atmosphere of the country in question can all influence demand for specific currencies. The forex market is open 24 hours a day, five days a week, allowing traders to react to news that may not have an impact on the stock market until much later. Because so much of currency trading is focused on speculation or hedging, traders must be aware of the variables that could produce significant currency surges.

Participants of Foreign Exchange Market



- **Central Bank:** The central bank of each country regulates the exchange rates of its currency to keep variations within the intended range and maintain control over the money supply in the market.
- **Commercial Banks:** Commercial banks act as a conduit for foreign currency transactions, facilitating international trade and exchange for their customers as well as other FX activities such as foreign investment.
- **Traditional Users:** Traditional users include foreign tourists, firms conducting global business operations, patients receiving treatment in hospitals in other countries, and students studying abroad.
- **Traders and Speculators:** Traders and speculators are profit-oriented individuals who strive to profit by trading on short-term market trends.
- **Brokers:** Brokers are financial specialists who operate as a reliable mediator between dealers and investors by delivering the most competitive quotes.

The Foreign Exchange Market's Functions

The foreign exchange market is the world's largest financial market, and it serves a variety of important tasks. The following are the three basic functions of a forex market:



1. Transfer Function:

The transfer of funds (foreign currency) from one country to another for the settlement of payments is the most simple and apparent activity of the foreign exchange market. It essentially entails the exchange of one currency for another, with FOREX's job being to transfer purchasing power from one country to another.

For example, if an Indian exporter imports goods from the United States New York city and the payment is to be paid in dollars, FOREX will simplify the conversion of the rupee to the dollar. Credit instruments such as bank draft, foreign exchange bills, and telephone transfers are used to carry out the transfer function.

2. Credit Function:

FOREX's credit function is to provide importers with short-term loans in order to promote the smooth flow of products and services from one country to another. An importer can fund foreign imports with credit. If an Indian firm HCL wishes to buy machinery in the United States of America, it can pay for it by issuing a bill of exchange in the foreign currency market with a three-month maturity.

3. Hedging Function:

A foreign exchange market's third most important function is to hedge foreign exchange risks. Foreign exchange participants are frequently concerned by swings in exchange rates, or the price of one currency in terms of another. The party affected by the change in the exchange rate may gain or lose money. Overseas trading companies might use tools like a letter of credit or a forward contract to mitigate the risk of currency volatility. The goods are to be supplied at a mutually agreed price and on a predetermined future date.

As a result of this, FOREX provides services for hedging anticipated or current claims/liabilities in exchange for forward contracts. A forward contract is a three-month agreement to purchase or sell foreign exchange for another currency at a price agreed upon today at a future date. As a result, no money is transferred during the contracting process.

In the foreign currency markets, there are various dealers, the most prominent of which are banks. Banks have branches in several countries through which foreign exchange is facilitated; such banks are referred to as Exchange Banks.

Currency Pairs Most Commonly Used

The US dollar is the most widely traded, dominant, and powerful currency in the world. The size of the US economy, which is the greatest in the world, is the fundamental reason for this. In most currency exchange operations around the world, the US dollar is the favoured base or reference currency. The currency pairs listed below are some of the most actively traded (high liquidity) in the global forex market. The majority of foreign exchange transactions include these currencies. However, this is not necessarily the greatest currency to trade for every trader, as this (the best currency pair to trade) is determined by a variety of factors:

Notes

EUR/USD (Euro – US Dollar)

GBP/USD (British Pound – US Dollar)

USD/JPY (US Dollar – Japanese Yen)

USD/CHF (US Dollar – Swiss Franc)

EUR/JPY (Euro – Japanese Yen)

USD/CAD (US Dollar – Canadian Dollar)

AUD/USD (Australian Dollar – US Dollar)

The values of currency pairs alter when the prices of these main currencies fluctuate. As a result, the volume of trade between two countries changes. These pairs also symbolise countries with significant financial clout that are heavily traded around the world. These currencies are more volatile during the day due to trade, and the spread is usually smaller.

1.4.3 Trading in Forex

The foreign exchange market (sometimes known as the forex market or FX market) is a marketplace for exchanging foreign currencies. Forex is the largest global market, and the deals that take place there have an impact on everything from the cost of apparel imported from Venice to the cost of a margarita while on vacation in New York. Forex trading is, at its most basic level, analogous to the currency exchange you could perform while travelling abroad: A trader buys one currency and sells another, and the exchange rate swings frequently as supply and demand dictate.

The foreign exchange market, a global marketplace open 24 hours a day, Monday through Friday, is where currencies are transacted. All forex trading is done over the counter (OTC), which means there is no physical exchange (as there is for stocks) and the market is supervised by a global network of banks and other financial organisations (instead of a central exchange, like the New York Stock Exchange). Institutional traders, such as those who work for banks, fund managers, and multinational organisations, account for the great majority of trade activity in the FX market. These traders may merely be speculating on or hedging against future exchange rate swings, not necessarily intending to take physical possession of the currency. A forex trader, for example, would buy US dollars (and sell euros) if she feels the dollar will grow in value in the future, allowing her to buy more euros. Meanwhile, an American corporation with European operations could have used the forex market as a hedge if the euro drops, lowering the value of its earned income.

How Are Currencies Traded?

All currencies are given a three-letter code, similar to the ticker symbol of a stock. While there are more than 170 currencies in the world, the US dollar is used in the vast majority of currency transactions, so knowing its code is very useful: USD. The euro, which is accepted in 19 European Union countries, is the second most popular currency in the forex market (code: EUR).

Every transaction in forex is expressed as a combination of the two currencies being traded. The following seven currency pairs, collectively known as the majors, account for over 75% of all forex trading:

- EUR/USD
- USD/JPY
- GBP/USD
- AUD/USD
- USD/CAD
- USD/CHF
- NZD/USD

The Japanese yen (JPY), the British pound (GBP), the Australian dollar (AUD), the Canadian dollar (CAD), the Swiss franc (CHF), and the New Zealand dollar (NZD) are the other major currencies, in order of popularity (NZD).

How Are Forex Trades Quoted?

The current exchange rate for the two currencies is represented for each currency pair. Using EUR/USD (the euro-to-dollar exchange rate) as an example, here's how to understand that data:

- The base currency is the currency on the left (the euro).
- The quote currency is the currency on the right (the US dollar).
- The exchange rate is the amount of the quote currency required to purchase one unit of the base currency. As a result, the base currency is always expressed as one unit, however the quote currency fluctuates depending on the current market and the amount required to purchase one unit of the base currency.
- If somehow the EUR/USD exchange rate is 1.2, €1 will purchase \$1.20 (or, to put it another way, \$1.20 will purchase €1). Whenever the exchange rates increase, it signifies the base currency's value has increased in relation to the quote currency (since €1 now buys more US dollars), and when the exchange rate falls, it means the base currency's value has decreased.

A word of caution: Although there is a historical precedent for how some currency pairs are expressed, most currency pairs are presented with the base currency first and the quote currency second. Conversions from USD to EUR, for instance, are listed as EUR/USD rather than USD/EUR.

Types of Foreign Exchange Market

Many forex trades are really not conducted to exchange currencies (as you could do at a currency exchange while travelling), but rather to speculate on future price changes, similar to stock trading. Forex traders, like stock traders, try to acquire currencies whose values they believe will rise in relation to other currencies and sell currencies whose purchasing power they believe will fall. There are several methods to trade forex that will suit traders with varied objectives and these methods are listed below:

Notes

1. Spot Market

The spot market is a market where fast currency exchange transactions take happen. Currency purchasing and trading is done here for fast delivery. Buyers and sellers in the spot market can receive immediate payment at the current exchange rate. The trade-in spot market settles deals in one or two days and allows traders to be exposed to currency market volatility. Between agreement and trade, this can raise or lower price. Approximately one-third of all currency exchange transactions take place on the spot market.

2. Forward Market

This is a marketplace where transactions are made in order to conduct business at a later period. Both payment and delivery are made at a later date using an agreed-upon exchange rate, often known as the forward exchange rate. After 90 days, a contract is created between buyers and sellers for the selling and purchase of money. Forward contracts aren't the same as normal contracts. This means that these contracts can be customised or tailored to meet the specific demands of the members. No security deposit is required at the time of contract entry because no money is exchanged.

3. Future Market

The forward market and the future market are very similar. In the futures market, buyers and sellers make a contract to trade in the future. In this market, all payments and deliveries are made at a predetermined exchange rate, commonly known as the future rate. Future contracts, on the other hand, are conventional contracts that cannot be altered. These contracts are non-negotiable because they are standardised in terms of date, features, and size. Futures trading is centralised on stock exchanges such as the BSE, NSE, and KOSPI.

4. Swap Market

A swap market is one in which investors engage in simultaneous lending and borrowing of two different currencies. It is a contract between two or more parties for the exchange of cash flows based on a fixed notional principal amount. Currency swaps and interest swaps are the two types of swap transactions done in the swap market. A currency swap is the exchange of one country's fixed currency rates for another country's floating currency rates. Interest swap refers to the swapping of a floating rate of interest for a fixed rate of interest.

5. Option Market

The options market is a marketplace where people trade for the purpose of exchanging one currency for another at a fixed rate and on a specific date. An investor has the option to convert the currency under the option contract, but he or she is not obligated to do so. The option buyer has the right, but not the responsibility, to purchase the underlying currency in the contract at a future date and at a certain rate. Call and put options are the two types of options available. A put option provides you the choice to sell, while a call option gives you the opportunity to buy.

1.4.4 Advantages of Trading in Forex

Notes

- **Flexibility**

- The forex market offers traders a great deal of flexibility. This is due to the fact that there is no limit to the amount of money that may be traded. Furthermore, there is essentially no market regulation. This, especially considering the fact that the market is open 24 hours a day, makes for an extremely flexible trading environment. On the weekends or late at night, people with regular occupations can engage in Forex trading. They cannot, however, do the same if they are investing in their own country's stock or bond markets! As a result, part-time traders prefer Forex trading since it allows them to have a flexible schedule without interfering with their full-time jobs.

- **Transparency**

- The Forex market is enormous in size and encompasses different time zones! Notwithstanding this, Forex market information is readily available. Furthermore, no government or central bank has the power to corner the market or fix prices for an extended period of time on its own. Because of the temporal lag in transferring information, some entities may get short-term benefits. This advantage, however, cannot be maintained over time. The Forex market's scale also makes it fair and efficient!

- **Trading Options**

- Traders can choose from a wide range of trading alternatives on the forex markets. Traders can choose from hundreds of different currency pairings to trade. They also have the option of engaging in spot trade or entering into a long-term deal. Futures contracts are also available in a variety of sizes and maturities to fit the demands of Forex traders. As a result, the Forex market offers a solution for every budget and investor with a different risk appetite. It's also important to remember that the Forex markets have a huge trading volume. The Forex market sees more trade than any other market in the globe. As a result, Forex offers traders unrivalled liquidity, allowing them to join and exit the market in a matter of seconds, whenever they want!

- **Costs of Transactions**

- In comparison to other marketplaces, the forex market offers a low-cost transaction environment. Trading in Forex has extremely low transaction costs when compared to trading in other markets on a percentage point basis. This is due to the fact that the Forex market is dominated by dealers who issue a two-way quote after reserving a spread to cover their risks. In the Forex market, pure play brokerage seems to be quite minimal.

- **Leverage**

- Among all financial asset markets, forex markets offer the largest leverage. For trading in the forex market, a forex investor can use leverage or take out a loan of up to 20 or 30 times his or her capacity. The Forex market's arrangements allow investors to leverage their initial investment by up to 30 times and trade in the market! Profits and earnings are amplified as a result. As a result, even though Forex market moves are typically minor, traders wind up making or losing a large amount of money.

Notes

- **International Trade**
 - Since each and every country has its own national currency, thus the forex market is crucial for facilitating trade between countries.
- **Hedging Risk**
 - When conducting worldwide business operations and trading in foreign currency, the forex market allows you to hedge your risk of losing money due to currency changes.

1.4.5 Case Study on Forex Market Part 1

Case study: Forex and international payments)Standard Bank)

For retailers, cross-border transactions can mean back-office admin headaches and regulatory and compliance woes. We offered our client an online solution to clear the hurdles.

Challenges

- To make cross-border payments, our client needed to fill in forms manually and visit a Bureau de Change to perform the transaction
- The client was also concerned with currency fluctuations, which would have an impact on the cost of materials

Solutions

- Our International Banking Foreign Exchange (IBFX) helps to make the foreign payment process more manageable with a simple, easy to use platform
- It enables our client to conveniently initiate and track payments anywhere, anytime, and to secure spot rates instantly and guard against exchange rate volatility
- This is a secure payment method for international trade, which provided both our client and the exporter with a secure means of protecting their interest
- We advised which banks had existing banking relationships with us, ensuring that the client could safely send payments
- Funds were remitted via our Outward Telegraphic Transfer service, providing a safe and reliable method of transferring funds electronically
- Forex volatility was hedged through securing a competitive forward foreign exchange rate to convert the rand to foreign currency

1.4.6 Case Study on Forex Market Part 2

Case Study: Improve Your Foreign Currency Awareness With Your Customers Using CXI's Marketing Solutions

This case study is part of our case studies and resources series. For more insights from CXI visit our resources and news page. Contact us now to partner with CXI.

Customer

The customer is a publicly-traded, FDIC registered federal savings community bank located in the Midwest. They are a large savings bank with over \$10 billion in assets and approximately 100 full-service locations. Their primary focus is to provide exceptional full-service banking and lending expertise.

Challenge

The financial institution offered the foreign currency product for clients on an as-needed basis without much promotion or branch-wide awareness.

The bank identified the foreign currency service as an opportunity to generate fee income while better servicing its client's needs. This prompted the bank to seek a partner that could provide strong marketing support that could generate activity at their branches.

Solution

The bank and CXI implemented a comprehensive marketing program to promote awareness about the foreign currency service.

This marketing program was delivered via multiple channels and effectively informed their clients about the service and boosted their local awareness of the foreign currency exchange service.

Solution Specifics

The customer chose to partner with CXI to improve their foreign currency services to their clients. Once the service started, CXI provided the institution with full marketing support. This allowed the bank to easily increase awareness of their foreign currency services.

CXI quickly developed customized marketing collateral to match the customer's brand style by following their brand guidelines.

Within a month of receiving the brand guidelines, CXI developed the design and copy for the following marketing collateral: Statement Inserts, iPoster, Landing Page, ATM Screen, Online Banking Banner Ad, and Help Box.

After receiving approval on all designs and copy for each collateral and channel, the CXI marketing team collaborated with its preferred printing and distribution partners. This made the distribution process seamless by delivering all of the marketing collateral directly to the customer.

These are all of the marketing solution specifics that were created to generate awareness for the customer:

1. Statement Insert:

Placed in all the statements the bank currently send to their customers

2. Landing Page:

Designed layout and created content with keywords to help optimize their SEO

Notes

Notes

local presence online to increase awareness to all of their existing and potential new clients

3. Online Banking Banner Ad (730x100):

Placed on the bank's website to target customers when they visit online

4. ATM Screen:

Placed directly on all branch ATM screens to increase awareness to all of their customers

5. Online Banking Banner Ad (150x250):

Placed on the bank's website to target customers when they visit online

6. Help Box:

Placed on the bank's website to target customers when they go online to the support area of the website

7. iPoster:

Placed in all local branches to generate awareness when the customer visits the branch

Results

Since switching over to CXI, the customer is now reaching a wider audience for their foreign currency services. This includes many clients which are important high net-worth account holders of the bank.

They are now exchanging a significant amount of foreign currency. Overall awareness was drastically improved, along with their volume and revenue. The customer is now benefiting from a significant increase in foreign currency transactions.

This increase of awareness along with the easy foreign currency ordering process has been noticed by clients who have provided very positive feedback about the full experience.

During the bank's first year with CXI, both the number of transactions and volume increased by nearly 100 percent. The customer's revenue reported before CXI was \$1,558.39. Since switching over to CXI, the customer-generated \$15,559.82 within their first year.

It's clear to see why using CXI's foreign exchange marketing solutions is designed to work. It directly puts the customer front and center to reap the benefits of a dramatic boost in transactions, volume, and revenue with the following results:

100%

Increase in **transactions** in the first year of using CXI's marketing solutions

99%

Increase in **volume** in the first year of using CXI's marketing solutions

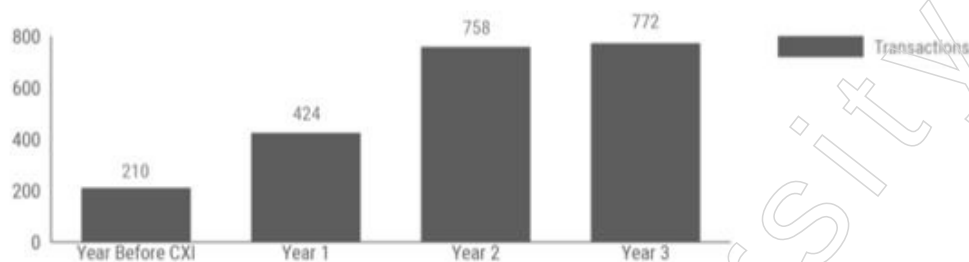
10x

Increase in customers **revenue** in the first year of utilizing CXI's marketing solutions

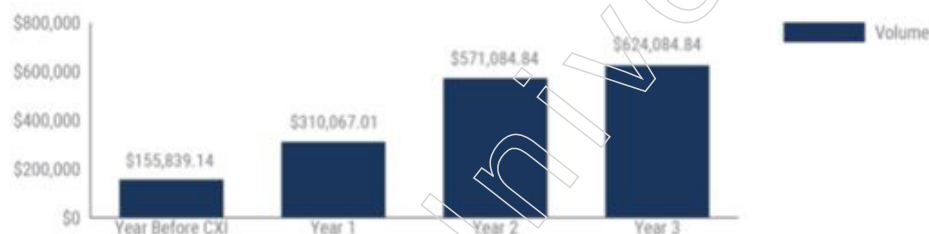
\$30k+

Total **revenue** of \$30,446.50 by using CXI's marketing solutions as of 2017

Foreign Currency Exchange Transactions Year Over Year



Foreign Currency Exchange Volume Year Over Year



Foreign Currency Exchange Revenue Year Over Year



Check your Understanding

1. The _____ market is a global over-the-counter (OTC) market which regulates currency exchange rates around the globe.
2. _____ markets are open 24 hours a day, seven days a week. It provides a platform for traders to trade currencies at any time
3. The foreign exchange market is a marketplace where people can purchase and sell _____

Notes

4. In the international exchange market, the _____ is the most widely traded currency. Every country's currency is linked with this currency in the forex market.
5. The _____ is a market where fast currency exchange transactions take happen. Currency purchasing and trading is done here for fast delivery.

Summary

- The foreign exchange market, sometimes known as the 'forex market,' is a method that enables a worldwide network that allows buyers and sellers to trade or exchange currencies from other countries. A forex market is one of the most liquid financial markets in the world, allowing for 'over-the-counter' currency trading.
- Banks in New York employ modern telecommunication technology known as SWIFT (Society for Worldwide Interbank Financial Telecommunications) to conduct foreign exchange transactions at electronic clearinghouses such as the Clearing House Interbank Payment System (CHIPS).
- The foreign exchange market is a marketplace where people can purchase and sell foreign currencies. It's a worldwide internet network where you may buy and sell currencies from all over the world. The foreign exchange market is responsible for determining the exchange rate for all currencies in the globe. This market is also known as the currency, foreign exchange, or forex market. Individuals, businesses, commercial banks, central banks, importers and exporters, investors, brokers, immigrants, and tourists make up its framework. The foreign exchange market is a computerised system with no physical location. From 5 p.m. EST on Sunday through 4 p.m. EST on Friday, this market is open 24 hours a day. This is the most liquid financial market on the planet. The foreign exchange market always trades currencies in pairs, with the value of one of the currencies in the pair being related to the value of the others. There are two levels to this worldwide market. The interbank market and the over-the-counter market are the first and second, respectively.
- By its very nature, the FX market is huge and liquid. A trader with high liquidity can deal with any currency. Trading does not have to be done at a specific time; you can do it whenever you like. Different sorts of currencies are accepted by buyers and sellers all around the world. The most liquid financial market on the planet is the foreign exchange market. It entails trading of numerous currencies all around the world.
- All market data and information is available to traders in the foreign exchange market. They may quickly follow the price variations of multiple currencies without the need for a broker by using real-time portfolio and account tracking. All of this data aids in making better trading decisions and maintaining investment control.
- The foreign exchange market is a fast-paced environment. Currency values change every second and hour in these marketplaces. These values fluctuate in response to shifting demand and supply pressures, which aids in the determination of exchange rates. This market is known as the optimal place to trade because of its fast-changing nature.
- The foreign exchange market is the world's largest financial market, and it serves a variety of important tasks. The following are the three basic functions of a forex market: Hedging, transfer and credit

- The US dollar is the most widely traded, dominant, and powerful currency in the world. The size of the US economy, which is the greatest in the world, is the fundamental reason for this. In most currency exchange operations around the world, the US dollar is the favoured base or reference currency. The currency pairs listed below are some of the most actively traded (high liquidity) in the global forex market. The majority of foreign exchange transactions include these currencies.

Activity

1. Make a power point presentation on trading in the forex market as compared to trading in domestic market

Questions and Exercises

1. Write a detailed article on the Overview of Forex Market
2. List out various Advantages of Trading in Forex

Glossary

- **Forex Market:** The foreign exchange market, a global marketplace open 24 hours a day, Monday through Friday, is where currencies are transacted. All forex trading is done over the counter (OTC), which means there is no physical exchange (as there is for stocks) and the market is supervised by a global network of banks and other financial organisations (instead of a central exchange, like the New York Stock Exchange). Institutional traders, such as those who work for banks, fund managers, and multinational organisations, account for the great majority of trade activity in the FX market. These traders may merely be speculating on or hedging against future exchange rate swings, not necessarily intending to take physical possession of the currency. A forex trader, for example, would buy US dollars (and sell euros) if she feels the dollar will grow in value in the future, allowing her to buy more euros. Meanwhile, an American corporation with European operations could have used the forex market as a hedge if the euro drops, lowering the value of its earned income.
- **Forward Market:** This is a marketplace where transactions are made in order to conduct business at a later period. Both payment and delivery are made at a later date using an agreed-upon exchange rate, often known as the forward exchange rate. After 90 days, a contract is created between buyers and sellers for the selling and purchase of money. Forward contracts aren't the same as normal contracts. This means that these contracts can be customised or tailored to meet the specific demands of the members. No security deposit is required at the time of contract entry because no money is exchanged.
- **Swap Market:** A swap market is one in which investors engage in simultaneous lending and borrowing of two different currencies. It is a contract between two or more parties for the exchange of cash flows based on a fixed notional principal amount. Currency swaps and interest swaps are the two types of swap transactions done in the swap market. A currency swap is the exchange of one country's fixed currency rates for another country's floating currency rates. Interest swap refers to the swapping of a floating rate of interest for a fixed rate of interest.

Notes

- **Hedging Function:** A foreign exchange market's third most important function is to hedge foreign exchange risks. Foreign exchange participants are frequently concerned by swings in exchange rates, or the price of one currency in terms of another. The party affected by the change in the exchange rate may gain or lose money. Overseas trading companies might use tools like a letter of credit or a forward contract to mitigate the risk of currency volatility. The goods are to be supplied at a mutually agreed price and on a predetermined future date.
- As a result of this, FOREX provides services for hedging anticipated or current claims/liabilities in exchange for forward contracts. A forward contract is a three-month agreement to purchase or sell foreign exchange for another currency at a price agreed upon today at a future date. As a result, no money is transferred during the contracting process.

Further Readings

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3. the difference between leasing & hire purchase Padmalatha Suresh and Justin Paul. Management of Banking and Financial Services. Pearson. Fourth Edition, 2017.
4. Gurusamy. Essentials of Financial Services. Tata McGraw-Hill Education. Second Edition, 2010.
5. Anderson, Chishti and Millie et al. The Insurtech Book: The Insurance Technology Handbook for Investors, Entrepreneurs and FinTech Visionaries. Wiley. First Edition, 2018.
6. Khan M Y. Financial Services. Mc Graw Hill. Tenth Edition.

Check your Understanding – Answers

1. Forex
2. Foreign currency
3. foreign currencies.
4. Dollar
5. spot market

Module - II: Financial Services and Merchant Banking

Notes

Structure:

2.1 Financial Services

- 1.1.1 Introduction to Financial System
- 1.1.2 Introduction To Financial Services
- 1.1.3 Role of Financial Services in Economic Development
- 1.1.4 Evolution of Financial Service Sector
- 1.1.5 Types of Financial Services
- 1.1.6 Types of Fund Based Services -1
- 1.1.7 Types of Fund Based Services- 2
- 1.1.8 Types of Fund Based Services- 3
- 1.1.9 Types of Non Fund Based Services - 1
- 1.1.10 Types of Non Fund Based Services - 2
- 1.1.11 Types of Non Fund Based Services - 3
- 1.1.12 Introduction to Investment Banking
- 1.1.13 Investment Banking Services - 1
- 1.1.14 Investment Banking Services - 2

1.2 Merchant Banking

- 2.1.1 Introduction to Merchant Banking
- 2.1.2 Recent developments in Merchant Banking
- 2.1.3 Registration of Merchant Bankers Application
- 2.1.4 Code of Conduct for Merchant Bankers
- 2.1.5 Services of Merchant Banking
- 2.1.6 Issue Management
- 2.1.7 SEBI Guidelines for Issue Management
- 2.1.8 Pre- Issue Management Obligations
- 2.1.9 Post- Issue Management Obligations
- 2.1.10 Case Study on Issue Management
- 2.1.11 Introduction to Underwriting
- 2.1.12 Underwriting Obligations
- 2.1.13 Regulatory Framework related to Merchant Banking- Companies Act
- 2.1.14 Regulatory Framework related to Merchant Banking- SCRA

Notes

Unit - 2.1: Financial Services

Objectives:

At the end of this unit, you will be able to:

- Understand the basic introduction to financial system
- Understand introduction to financial services
- Understand the role of financial services in economic development
- Understand the evolution of financial service sector
- Understand the types of financial services
- Understand the types of fund based services
- Understand the introduction to investment banking

Introduction



A financial service is a component of the financial system that offers a variety of financial products and services, including credit instruments, financial products, and services. Cheques, bills, promissory notes, debt instruments, letter of credit, and other financial instruments are examples.

Mutual funds come in a variety of shapes and sizes when it comes to financial products. Increasing the number of investing options available. There are also items like credit cards, debit cards, and so on.

Leasing, factoring, hire buy finance, and other services enable many sorts of assets to be obtained for ownership or on lease. There are various forms of leases available, as well as factoring. As a result, financial services enable the user to obtain any asset on credit at a reasonable interest rate and at his convenience.

The presence of financial services enables a country's economic position to improve, resulting in increased production in all sectors, resulting in economic growth.

People benefit from economic expansion in the form of economic prosperity, which means a higher quality of living for each individual. Financial services enable a person

to obtain or receive a variety of consumer products via hire purchase from this location. There exists numerous financial enterprises that obtain advantage from the process. These financial institutions encourage investment, manufacturing, and saving, among other things.

2.1.1 Introduction to Financial System

A Snapshot:

Individuals such as borrowers and lenders, as well as institutions such as banks, stock exchanges, and insurance firms, are all active participants in the transfer of funds and assets in a financial system.

It allows investors to increase their wealth and assets while also contributing to economic growth.

It provides a variety of functions in the economy, including acting as a payment system, giving savings choices, providing liquidity to financial markets, and safeguarding investors from financial dangers.

For a healthy financial system to operate at the corporate, national, and international levels, a precise set of rules developed under various government policies is required.

A financial system is an economic structure in which financial institutions help borrowers, lenders, and investors transfer monies and assets. Its purpose is to distribute economic resources efficiently in order to foster economic growth and provide a return on investment (ROI) for market players.

One of the most essential parts of our country's economic development is the Indian financial system. This system coordinates the flow of cash between the country's citizens (household savings) and those who can intelligently invest it (investors/businessmen) for the mutual benefit of both sides.

The financial system is composed of the multiple services supplied to an individual by multiple financial institutions such as banks, insurance firms, pension funds, and mutual funds.

A financial system is a collection of institutions that allow money to be exchanged, such as banks, insurance firms, and stock exchanges. Financial system exists from a firm to regional and to global scale. Borrowers, lenders, and investors all exchange current funds to finance projects for consumption or productive investment, as well as to earn a profit on their financial holdings. The financial system also contains a set of guidelines (which clearly states the various rules and regulations which the borrowers and the lenders utilise in order to determine which projects are funded, who finances initiatives, and the terms of financial transactions).

The financial system, like any other industry, can be organised via markets, central planning, or a combination of both.

Borrowers, lenders, and investors negotiate loans and other transactions in financial markets. The economic good sold on both sides in these marketplaces is usually money in some form: present money (cash), claims on future money (credit),

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or claims on the future earning potential or value of real assets (equity). Derivative instruments are also included. Financial instruments that are based on the performance of an underlying real or financial asset, such as commodities futures or stock options, are known as derivatives.

These are all traded in financial markets between borrowers, lenders, and investors according to supply and demand laws.

In an effectively planned financial system (e.g., a single firm or a command economy), the financing of consumption and investment plans is guided directly by the management or central planner, rather than by counterparties in a transaction. The planner, whether a company manager or a party leader, determines which initiatives receive funding, whose projects receive cash, and who funds them. Both give-and-take marketplaces and top-down central planning are present in most financial systems. In terms of internal financial decisions, a business firm is a centrally organised financial system; yet, it often operates within a broader market, interacting with external lenders and investors to carry out its long-term ambitions.

At the same time, all modern financial markets are governed by some form of government regulation that limits the types of transactions that are permitted. Because financial systems have such a direct impact on decisions about actual assets, economic performance, and consumer protection, they are frequently highly restricted.

The financial system of a country is a crucial tool for the country's economic development because it aids in wealth generation by linking savings and investments. It aids in the wealth creation and development of both parties by facilitating the flow of cash from families (savers) to business firms (investors). All conditions and mechanisms controlling the production, distribution, exchange, and holding of financial assets or instruments of any kind are included in the institutional arrangements.

The following are the four main components of the financial system:

- Financial Services
- Financial Assets/Instruments
- Financial Markets
- Financial Intermediaries

1. Financial Services

The Financial services encompasses the design and delivery of financial instruments, as well as consulting services to individuals and enterprises in the banking and related institutions, personal financial planning, leasing, investment, assets, and insurance, among other things.

These services include the following:

- Banking Services: This term refers to all of the services provided by banks, from simple money deposits and withdrawals to the issuance of loans, credit cards, and other financial products.
- Foreign Exchange services: Currency exchange, foreign exchange banking, and wire transfers are all examples of foreign exchange services.

- Investment Services: Asset management, hedge fund management, and custody services are all examples of investment services.
- Insurance Services: is concerned with the sale of insurance policies, brokerages, underwriting, and reinsurance.

Advisory services, venture capital, and angel investment are just a few of the various options available.

2. Financial Assets/Instruments

The Financial Instruments are a market for short-term money and financial assets that serve as a money replacement. The word short-term refers to any financial asset that can be converted into money fast, usually for a period of one year.

The following are some of the most important instruments:

- Call /Notice-Money: Money borrowed on demand for a relatively short period of time is known as call/notice money. Call Money refers to money that is lent for a single day. Holidays and Sundays are excluded from this calculation. Call money is money borrowed on one day and reimbursed the next working day. Notice money refers to money borrowed or lent for more than a day and up to 14 days. These transactions do not require any type of collateral security.
- Term Money: Term money refers to deposits that have a maturity duration of more than 14 days. The entrance requirements are the same as Call/Notice Money, with specified businesses not permitted to lend for more than 14 days.
- Treasury Bills: Treasury Bills are the union government's short-term (up to one year) borrowing instruments. It's a guarantee from the government to pay the stated amount after the specified period from the date of issue has passed (less than one year). They are sold at a lower price than their face value, and when they mature, the face value is returned to the holder.
- Certificates of Deposits: A Certificate of Deposit is a money market instrument issued in dematerialized form or as a Promissory Note for funds deposited for a predetermined period with a bank or other eligible financial institution.
- Commercial Paper (CP): is a note that serves as evidence of the issuer's debt obligation. The debt is converted into an instrument when commercial paper is issued. CP is an unsecured promissory note that is privately placed with investors at a market-determined discount rate of face value.

3. Financial Markets

The financial markets can be divided into two categories:

- **Capital Market**

A capital market is an organised market that offers businesses with long-term financing. The facilities and institutional arrangements for borrowing and lending long-term funds are also referred to as the capital market.

There are three types of capital markets:

- Corporate Securities Market: Companies' equity and preference shares, debentures, and bonds are all examples of corporate securities. The corporate

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security market is a delicate and dynamic one. It is split into two categories: primary and secondary.

- Government Securities Market: Government securities are purchased and sold in this market. Bonds and credit notes are used to issue the securities. Banks, insurance companies, provident funds, the RBI, and individuals are among the buyers of such assets.
- Long-Term Loans Market: Banks and financial institutions that provide long-term loans to businesses to help them modernise, expand, and diversify their operations. The Long-Term Loan Market is organised into three categories: Term Loans, Mortgages, and Financial Guarantees.

● Money Market

The money market is where short-term monies are traded. Unorganized and organised money markets are the two forms of money markets.

- Unorganized Market: Moneylenders, indigenous bankers, chit funds, and other unorganised market participants make up the unorganised market.
- Organized Money Market: Treasury Bills, Commercial Paper, Certificates of Deposit, Call Money Market, and Commercial Bill Market are all part of the organised money market. The RBI's laws and regulations govern organised markets. In India, the Reserve Bank of India (RBI) is in charge of the Organized Financial Market.

4. Financial Intermediaries

A financial intermediary is a company that connects the surplus and deficit money. A bank is the best example of an intermediary since it converts bank deposits into bank loans. The financial intermediary's job is to distribute monies from persons with excess cash to people who don't have enough money to meet their needs.

The following are the functions of a financial intermediary:

- The conversion of short-term liabilities to long-term assets is known as maturity transformation.
- Risk transformation is the process of converting risky assets into ones that are relatively risk-free.
- Small deposits can be matched with big loans, and large deposits can be matched with small loans using convenience denominations.

There are two categories of financial intermediaries:

- Depository Institutions: are banks and credit unions that gather money from the general public and utilise it to make loans to consumers.
- Non-depository Institutions (NDIs): are brokerage businesses, insurance companies, and mutual fund companies that do not accept deposits but sell financial goods to customers.

Through the provision of diverse financial instruments and efficient mobilisation of savings, the Indian Financial System accelerates the rate and amount of savings. It contributes to the country's increased national output by giving financing to corporate customers to expand their respective businesses. Through rural development banks

and co-operative societies, it aids economic development and raises people's living standards, as well as encourages the development of the weaker sections of society. These are some key facts concerning India's financial system.

Financial System Characteristics

- It is important to a country's economic development.
- It encourages saving as well as investment.
- It connects savers with investors.
- It aids in the creation of capital
- It aids in risk allocation.
- It makes it easier for financial markets to expand.
- It contributes to the financial deepening and broadening process.

Economic resources are limited in every functioning economy, while individuals have unlimited wants and aspirations. This issue, known as scarcity, is one of the most important economic forces. It does, however, make it difficult for an economy to decide when, where, and to whom to allocate its resources. As a result, a financial system structure capable of distributing economic resources efficiently to encourage growth emerged.

It also allows participants to gain from:

- Providing a method of payment (banks)
- Providing a means for members to earn interest in the form of time value (investment institutions)
- Defending them against financial dangers (insurance)
- Collecting and disseminating financial data (credit bureaus)
- To ensure stability, there are governing regulations (central banks and governments)
- Keeping cash on hand and converting investments into cash (banks and financial institutions)

The functions of the financial system are briefly described.

1. Funds are Pooled

People's savings are transferred from households to commercial groups in a financial system. As a result of these advances in production, better commodities are produced, raising people's living standards.

2. Formation of Capital

Finance is required for business. Banks, homes, and various financial entities make these available. They mobilise savings, resulting in the formation of capital.

3. Facilitates Payment

The financial system provides easy ways to pay for products and services. New payment mechanisms, such as credit cards, debit cards, and checks, make transactions quick and simple. A well-functioning payment system enables businesses

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and merchants to receive money in exchange for their goods or services. Cash, cheques, credit cards, and, in some cases, cryptocurrency can all be used to make payments.

4. Provides Liquidity

Liquidity in the financial system refers to the ability to turn money into cash. Investors can liquidate their interests in assets such as shares, debentures, bonds, and other financial instruments on the financial market. On a daily basis, the price is set based on the actions of the market forces of demand and supply.

5. Short- and long-term requirements

The financial market considers the varying requirements of individuals and corporations. This allows for the most efficient utilisation of funds for beneficial causes.

6. Risk Function

The financial markets offer protection against hazards to one's life, health, and income. A developing economy necessitates the use of risk management.

7. Better Decisions

Financial Markets provide data about the market and different types of financial assets. This assists investors in comparing several investment possibilities and selecting the best one. It aids in the selection of portfolio allocations for their wealth.

8. Financial Requirements of the Government

The government requires a large sum of money to create defensive infrastructure. It also necessitates funding for social welfare, public health, and education, among other things. Financial markets provide them with this.

9. Economic Development

India is a country with a diverse economy. Government intervention in the financial sector is used to impact macroeconomic factors such as interest rates and inflation. As a result, corporate financing can be made available at a lower cost. This leads to the country's economic progress.

10. Savings

Individuals and corporations can invest in a variety of investments and watch them increase over time thanks to public savings. Borrowers can use them to fund new projects and boost cash flow in the future, while investors earn a return on their investment.

2.1.2 Introduction To Financial Services



Figure: Representing Financial Services

Financial services are the products and services provided by financial institutions.

A financial service is a component of the financial system that offers a variety of financial products and services, including credit instruments, financial products, and services. Cheques, bills, promissory notes, debt instruments, letter of credit, and other financial instruments are examples. Mutual funds come in a variety of shapes and sizes when it comes to financial products. Increasing the number of investing options available. There are also items like credit cards, debit cards, and so on. Leasing, factoring, hire buy finance, and other services enable many sorts of assets to be obtained for ownership or on lease. There are various forms of leases available, as well as factoring. As a result, financial services enable the user to obtain any asset on credit at a reasonable interest rate and at his convenience.

The presence of financial services enables a country's economic position to improve, resulting in increased production in all sectors, resulting in economic growth. People benefit from economic expansion in the form of economic prosperity, which means a higher quality of living for each individual. It is here that financial services enable a person to acquire or receive numerous consumer goods via hire purchase. There are a lot of financial entities that profit from the process. These financial institutions encourage investment, manufacturing, and saving, among other things.

Meaning & Features of Financial Services

The term "financial services" refers to the economic services given by various financial institutions in the area of money management. It is an intangible financial market product such as a loan, insurance, stocks, credit card, and so on. Institutions such as banks, insurance companies, investment funds, credit unions, brokerage firms, and consumer finance companies provide financial services.

Financial institutions such as banks, insurance companies, brokerage firms, consumer credit companies, and investment companies all provide services and products to individuals and businesses, making up the financial services industry.

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Banks, credit unions, and financial businesses provide services such as savings accounts, checking accounts, confirming, leasing, and money transfers. Financial services are services provided by financial and banking institutions such as loans, insurance, and so on.

It is an important part of the financial system that allows financial transactions to take place in a given economy. Financial services are critical for economic growth because they connect those who require finances with those who can provide them. It enables people to improve their living standards by allowing them to purchase numerous things on a hire purchase basis.

By insuring customers against losses, financial services operate as a barrier against risk originating from numerous unplanned activities. These services are consumer-oriented because they are planned and delivered in response to customer wants.

Financial services includes the creation and delivery of financial instruments and advisory services to individuals and organisations in the areas of banking and related institutions, personal financial planning, investing, real estate, and insurance, among other things.

The term “financial services” refers to the products and services offered by the finance business. The finance industry includes a wide range of businesses that deal with money management. Banks, credit card firms, insurance companies, consumer financing companies, stock brokerages, investment funds, and some government-sponsored enterprises are among these businesses.

Features of Financial Services

- **Funds Intermediary:** Financial services operate as financial mediators in the market, connecting borrowers and investors. It facilitates the gathering of those who have a surplus of finances and others who are in need of funds. Banking institutions provide financial services such as loans and credit facilities, which channel depositor funds to borrowers and generate revenue.
- **Client-Oriented:** These services are targeted to the needs of those who seek them out. Financial firms collect all pertinent information about consumers, including the quantity of credit needed, the length of time necessary, and their source of income. Financial institutions decide several features of these services, including as pricing, liquidity, and maturity time, after evaluating all of their clients' needs in an attempt to tailor them to meet the individual needs of their customers.
- **Inseparable:** Financial services are inseparable, which means that the company that provides them cannot be separated from them. The production of financial services and the provision of those services to customers happen at the same time. These services cannot be manufactured and stored ahead of time. Financial services are created by institutions at the precise moment when a customer is willing to accept them based on his needs.
- **Avoids Fund Shortages:** These services help to avoid a fund shortage in an economy by supporting proper money movement between people. Financial services enable the unrestricted movement of capital in the market, resulting in enough liquidity. People can readily obtain needed finances through services such as lending facilities and credit cards whenever the need arises.

- **Support Financial Transactions:** Financial services ensure that all financial transactions in a given economy go smoothly. It facilitates transactions by facilitating access to various financial instruments such as credit cards, debit cards, bill of exchange, and cheques.
- **Facilitates Economic Development:** These services have a significant role in the growth of the economy. Financial services provide a steady flow of capital throughout the economy's primary, secondary, and tertiary sectors. These industries can readily grow and expand their activities due to the availability of adequate cash. Growth in these critical economic areas contributes to overall economic development.
- **Improve Living Standards:** Financial services give customers the option of using high-quality goods by providing credit. People who are not financially strong and unable to purchase things on a cash basis can use credit facilities provided by financial institutions to purchase the products they desire. People's living standards will rise if they consume high-quality commodities in their daily lives.

Objectives of Financial Services

- **Raises Funds**
 - Financial services are an effective way for an economy to raise funds. It offers individuals, investors, corporations, and organisations a variety of financial instruments via which they can invest their money and raise funds.
- **Encourages Savings**
 - These services offer a variety of handy investing options that can help customers expand their savings. A mutual fund is one such solid alternative, as it allows people to invest and earn decent returns without taking on too much risk.
- **Deployment of Funds**
 - The proper deployment of financial resources into productive ways is enabled by financial services. In the financial market, there are several investment routes and instruments where people can invest their money to gain money.
- **Reduces Risk**
 - Financial services play a significant role in risk reduction. These services assist in risk diversification and provide insurance coverage to safeguard people from damage.
- **Economic Growth**
 - Financial services assist the government in achieving overall economic growth. For its different demands, the government can simply raise both short-term and long-term funds. It aids in the development of a country's overall infrastructure and employment prospects.

2.1.3 Role of Financial Services in Economic Development

To comprehend the role of financial services in the economic development, we must first recognise that this sector directs, manages, and supervises the movement of money in a given economy. The financial services sector in developed countries has always been strong.

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- **Assisting Businesses in Growing**
 - Financial services aid in the growth of enterprises by providing needed financial support, guaranteeing losses, and so on. Companies use the loans they issue to purchase fixed assets and/or invest in other sources of funding.
- **Growth of capital**
 - The financial services system in an economy drives both working and fixed capital growth through encouraging the issuance of debentures, shares, and short-term loans, among other things.
- **Encourages the growth of entrepreneurship**
 - Entrepreneurs seeking finance and investors for their businesses can also take advantage of financial services. Banks are hesitant to lend to fledgling entrepreneurs, but other market participants specialise in this area. Angel investors, venture capitalists, lending services, counselling services, and other services all help to foster entrepreneurship in India.
- **Construction of infrastructure**
 - Investment in infrastructure companies will encourage increased private sector participation in the area.
- **Healthy Competition**
 - Investors have the option of putting their money in a broad and expanding financial services sector and market. More clients for a service and company if the services are better. This ensures that enterprises compete, benefiting investors, the general public, and businesses in a country.
- **Encourage unrestricted trade.**
 - The availability of options for investors and the general public ensures that commerce is unrestricted, with trustworthy institutions and corporations acting as mediators. It also aids the growth of domestic and international trade in goods and services.
- **Finance Networking**
 - The financial services industry is made up of many different companies and banks. Rather, it is a collection of businesses that collaborate on a variety of financial issues. Consider the case of a person who possesses a large sum of money. He saves a portion of his money in a bank and invests the rest in the stock market. He makes a profit by investing in high-yielding equities. He now decides to purchase a vehicle and insure it. In this case, we observed how the individual is linked to various market categories. The businesses he dealt with have to be linked to other service providers, such as the ones we mentioned earlier.
- **Access to credit and loans is simple.**
 - The wheels of this financial system are also credits and loans. Borrowing and lending money, then repaying it with interest, is a time-honored mechanism of capital exchange. However, there is a big imbalance between loans and their repayment due to problems with low income and excessive market demand for money. Many businesses and people in India are unable to repay

loans and credit card debts. This leads to the economy's demise and the accumulation of debts and leverage. This industry needs to be controlled with a greater focus on the sort of buyer.

- **Generation of employment**

- Another way the financial services sector contributes to the economy is through job creation. This industry requires a diverse workforce with a variety of talents, including management, accounting, legal, information technology, and more. This industry does, in fact, require skilled workers. According to a study of India's top 250 corporations, the financial services sector employs about 28% of the country's workforce. This is beneficial to both workers and the society since it promotes a better awareness of how the financial market operates among the general public.

- **The economy is in balance.**

- Lastly, the financial services system contributes to the diversification of the capital market and relieves the government and central authorities of their monopoly. It stimulates more private-sector investment and overall market growth that is innovative and facilitative. This also protects the economy from shocks in the event of any unanticipated losses. The government and private financial service organisations are equally accountable for the economy's balance and seamless operation in this situation.

2.1.4 Evolution of Financial Service Sector

Fintech: the evolution of financial services

The term financial technology (shortened to fintech) was coined in 1993 as part of Citicorp's (better generally known by its banking brand Citibank) formation of the Financial Services Technology Consortium. Many of us recall Citicorp being at the forefront of technological innovation at the time, spending millions on developing systems and products in-house, giving it a significant competitive advantage over its competitors (Citicorp even set up multiple stand-alone technology businesses, the most well-known of which were CITIL and COSL, which fetched millions when Citicorp sold its shareholding).

Its goal in founding the Consortium was to encourage collaboration with other industrial participants as well as technology businesses.

We haven't seen the kind of collaboration requested by Citicorp between banks and technology suppliers to set standards, protocols, and transform the way we bank in the last 20 years. This is partly due to technology businesses competing with banks as financial service providers ('front-end disruptors') — marketplace lenders, e-wallets, online-only banks, and so on. The banking industry's outdated technology, refusal to give up margins in highly profitable sectors like remittances, and the exorbitant valuations of 'front-end disruptors' itself are all factors to consider.

Banking

Ordinary depositors continue to place their trust in traditional banks; the legal climate for disruptors remains unclear; and there isn't a single well-known name that

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everyone can relate to – at least not to the same level as Citibank, Deutsche Bank, or Barclays. Then there's the issue of literacy, unbanked people, and, of course, smartphone penetration.

The demand-side will drive the transition from traditional banking models to fintech, rather than the financial services sector itself. Banks that oppose change in the name of maintaining margins or reducing capital expenditure are likely to fall behind or perhaps go out of business. PSD2, if and when it is implemented, will also aid in the acceleration of this demand-side pressure.

Early technology innovation in banking was mostly limited to the back and middle offices, resulting in what are now known as “legacy” systems and the outsourcing/offshoring of operations. The front-end of the fintech revolution, as we know it, has changed the way consumers and businesses buy financial services. Because of the widespread adoption of block-chain technology, artificial intelligence, and IaaS/PaaS, we are likely to see fresh technologies pervade the back and middle offices of banks once more. We should see a quick transition of the sector once the cost-benefit analysis of these changes is obvious.

Insurance

In the past, insurance has lagged behind banks in adopting new technologies. Given the unpredictability/forward risk nature of the company, professional grasp of actuarial modelling (life insurance and pensions/annuities), and the concentrated character of the sector, insurance is tough to disrupt. In a similar vein to banking, recent changes to the industry's front-end have aided in lowering customer acquisition costs and increasing user experience.

In contrast to banks, the insurance business has seen comparison websites/marketplaces (Insurtech, anyone?) and insurers collaborate closely, cutting customer acquisition costs and the cost of insurance for the tech-savvy without feeling threatened.

Changes in the middle and back offices, such as block-chain technologies and smart contracts, telematics, and genetics advances, have the potential to improve transparency, better match pricing and risk, and streamline claims processing, all of which have previously been associated with poor service from the industry as a whole.

Trading and capital markets

With the emergence of algorithmic trading, dark pools, and newer trading venues/multilateral trading facilities, the capital markets have witnessed relatively few but some of the most impactful technical adoptions in the previous decade or so (MTFs). Traditional exchanges have evolved into technology enterprises that provide low latency networking and hosting, real-time data, and multi-asset class trading capacity.

One clear explanation for the rapid acceptance is that, unlike in other financial markets, incumbents stood to gain the most from change and had the financial resources to support it. Custody, clearing, and settlement are still in the early stages of development, with real-time settlements still a long way off. Some back-office incumbents' roles will be substantially altered by smart contracts, artificial intelligence, and shared ledgers.

Wealth management and investment advice

Due to the inclination of millennials and pre-millennials (where most wealth is still concentrated) for face-to-face human guidance, the wealth management business has likely resisted transformation. Investors are increasingly taking charge of their own money as a result of the forced introduction of paid-for advice as a result of RDR-like measures that have shifted advisers to collect fees from their clients in various countries.

Lower-cost exchange traded products, robo-advice, and personal financial tools have all been introduced/implemented. This shift has not been totally inclusive, leaving a segment of the population without access to financial advice. Robo-advice is still in its infancy and will gain from time, but it will remain a niche field for some time unless there is a big uptake by investors.

Payments

In certain ways, the payments business has been ahead of the banking and insurance industries in terms of technological adoption. Given the lack of legacy systems that banks had to deal with, fraud susceptibility, and the sheer volume and velocity of money flow, Visa and MasterCard had a vested interest in making technology function. Their cash-rich organisation has aided in the weakening of the licencing regime throughout the years.

Due to the relative expense, micro-payments has been the last stronghold of this industry to experience change. The widespread use of mobile technology has given people the push they need to make changes. This is, without a doubt, the single most important invention in bringing the unbanked into mainstream banking, particularly in emerging nations. Mobile technology has allowed more developed countries combine convenience, security, and loyalty.

Another significant shift has been the widespread adoption of crypto-currencies (the precursor to widespread adoption of underlying block-chain technologies), which, while still far from becoming fiat currencies, are becoming increasingly common in e-commerce, remittance, and savings/stores of value.

2.1.5 Types of Financial Services

Due to demand factors (increasing discretionary incomes, personalised financial solutions, etc.) and supply drivers, India's diversified and comprehensive financial services business is quickly expanding (new service providers in existing markets, new financial solutions and products, etc.). Several significant subsegments make up the Indian financial services business. Mutual funds, pension funds, insurance firms, stockbrokers, wealth managers, financial consulting companies, and commercial banks are among them, and they range in size from small domestic players to major global corporations. Individuals, private corporations, and public organisations are among the clients who benefit from the services.

These services are provided below:

1. Banking

The banking industry is India's financial services industry's backbone. There

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are a number of public (27), private (21), foreign (49), regional rural (56) and urban/rural cooperative (95,000+) banks in the country. The Reserve Bank of India (RBI) is in charge of overseeing and maintaining the banking sector's liquidity, capitalization, and financial health.

- This section offers the following financial services:
 - ◆ Individual banking (checking and savings accounts, debit and credit cards, and so on)
 - ◆ Banking for Businesses (merchant services, checking accounts and savings accounts for businesses, treasury services, etc.)
 - ◆ Borrowing (business loans, personal loans, home loans, automobile loans, working-capital loans, etc.)

2. Professional Advisory

- Professional financial advice service providers are well-represented in India, and they provide a diverse range of services to people and corporations, including investment due diligence, M&A counselling, valuation, real-estate consulting, risk consulting, and taxation consulting. These services are provided by a variety of companies, ranging from individual domestic consultants to major multi-national corporations.

3. Wealth Management

- Customers' wealth is managed and invested across a variety of financial instruments, including debt, equity, mutual funds, insurance products, derivatives, structured goods, commodities, and real estate, based on the clients' financial goals, risk profile, and time horizons.

4. Mutual Funds

- Professional investing services are provided by mutual fund service providers for funds that are made up of several asset classes, notably debt and equity-linked assets. When compared to the stock market and debt products, mutual fund solutions have a lesser buy-in. These products are particularly popular in India because they have lower risks, tax advantages, predictable returns, and diversification qualities. Due to its popularity as a low-risk wealth multiplier, the mutual funds market has seen double-digit growth in assets under management over the last five years.

5. Insurance

- This segment's financial services are generally divided into two categories:
 - ◆ General Insurance (automotive, home, medical, fire, travel, etc.)
 - ◆ Life Insurance (term-life, money-back, unit-linked, pension plans, etc.)
- Individuals and businesses can use insurance to protect themselves from unanticipated events and accidents. The type of the product, time horizons, customer risk assessment, premiums, and several other crucial qualitative and quantitative elements all influence payouts. In India, insurance firms are well-represented in the life insurance (24) and general insurance (39) sectors. The Insurance Regulatory and Development Authority of India regulates the insurance sector (IRDAI).

6. Stock Market

- Customers on the Indian stock exchanges (National Stock Exchange and Bombay Stock Exchange) can invest in a variety of equity-linked products through the stock market sector. Customers' returns are based on capital appreciation (increases in the value of the equity solution and/or dividends) and company disbursements to investors.

7. Treasury/Debt Instruments

- Investments in government and private-sector bonds are among the services provided in this area (debt). The bond issuer (borrower) promises the investor fixed payments (interest) and principal repayment at the conclusion of the investment period. Listed bonds, non-convertible debentures, capital-gain bonds, GOI savings bonds, tax-free bonds, and other instruments fall under this category.

8. Tax/Audit Consulting

- This section encompasses a diverse range of financial services in the areas of tax and auditing. Individual and commercial clients might be separated in this services domain. They are as follows:
 - ◆ Individual Income Tax (determining tax liability, filing tax-returns, tax-savings advisory, etc.)
 - ◆ Business Taxes (determining tax liability, transfer pricing analysis and structuring, GST registrations, tax compliance advisory, etc.)
- Service providers in the auditing market provide services such as statutory audits, internal audits, service tax audits, tax audits, process/transaction audits, risk audits, and stock audits, among others. These services are necessary to ensure the qualitative and quantitative smooth operation of commercial organisations, as well as to limit risk. More information on Indian taxation can be found here.

9. Capital Restructuring

- These services are largely facilitated to businesses, and they entail reorganising capital structure (debt and equity) to improve profitability or respond to crises such as bankruptcy, volatile markets, liquidity shortages, or hostile takeovers. Structured deals, lender negotiations, rapid M&A, and capital raising are common financial solutions in this industry.

10. Portfolio Management

- Portfolio managers analyse and optimise investments for clients across a wide range of assets. This segment includes a highly specialised and customised range of solutions that enable clients to achieve their financial goals through portfolio managers who analyse and optimise investments for clients across a wide range of assets (debt, equity, insurance, real estate, etc.). These services are both discretionary (investment only at the discretion of the fund manager with no client intervention) and non-discretionary (investment only at the discretion of the fund manager with no client intervention) (decisions made with client intervention).

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2.1.5 Types of Fund Based Services -1

- **Leasing/financing of equipment**

- A lease is an agreement in which a company obtains the right to use a capital item, such as machinery, in exchange for the payment of lease rentals. The person (or company) who obtains the privilege is referred to as the lessee. He is not given ownership of the property. Only the right to use the item is transferred to him. Lessor refers to the individual (or company) who grants the right.
- Leasing is a contract that allows a company to utilise and control assets without purchasing and owning them. It is a type of asset rental.
- The firm, on the other hand, does not have to own the asset in order to make an investment. It is primarily interested in obtaining access to the asset. As a result, rather than purchasing the asset, the company may consider leasing it.
- When comparing leasing to buying, the cost of leasing the asset should be compared to the cost of financing the asset using traditional methods, such as debt and equity. Lease rentals are identical to interest payments on borrowed funds, and lease financing is the same as debt.

- **Hire purchase**

- Leasing can be replaced with hire purchase. The term "hire purchase" refers to a transaction in which products are bought and sold on the condition that payment is paid in instalments. The buyer merely receives possession of the things. He isn't given ownership. Only after the last instalment is paid does he become the owner. The seller has the right to repossess the items if the buyer fails to pay any instalment. Interest is included in each instalment.
- Thus the term "hire purchase" refers to a transaction in which goods are purchased and sold on the terms that i) payment will be made in instalments, (ii) possession of the goods will be given to the buyer immediately, (iii) property ownership in the goods will remain with the vendor until the last instalment is paid, (iv) the seller can repossess the goods if any instalment is not paid, and (v) each instalment will be treated as hire charges until the last in

- **Consumer Credit**

- All asset-based financing options offered to individuals to help them obtain durable consumer items are referred to as consumer credit. In a consumer credit transaction, the individual/consumer/buyer pays a portion of the cash purchase price at the time the asset is delivered, and the remainder is paid with interest over a fixed period of time.
- A personal debt offered to individuals for the purchase of goods and services is known as consumer credit. The money required for the purchase of the product is paid in advance to the consumer under consumer credit. A person who uses a credit card to buy goods and services is the most common example of consumer credit.
- Consumer credit is a system that allows people to borrow money and pay it back over time. Consumers can use credit to purchase products or assets

without having to pay cash at the time of purchase. It provides consumers with spending flexibility as well as, in some situations, benefits and prizes.

- Consumer credit can apply to any sort of personal loan, but the phrase is most usually used to refer to unsecured debt for the purchase of goods and services. Consumer credit is short-term credit, which means that the borrower must repay the amount within a short period of time, usually 30 days.
- **Bill Discounting**
 - Bill discounting is a most popular fund-based financial service offered by financing organisations. The holder of a time bill (payable after a set period) does not have to wait until the maturity or due date. If he runs out of money, he can negotiate a discount with his banker. The banker credits the net amount in the customer's account after deducting a specified amount (discount). As a result, the bank purchases the bill and credits the amount of the bill less the discount to the customer's account. The drawee makes payment to the banker on the due day. If he doesn't pay, the banking will seek reimbursement from the customer who discounted the cost. In a nutshell, bill discounting refers to lending money against the security of a bill of exchange.

2.1.6 Types of Fund Based Services -2

- **Venture Capital**
 - The term "venture capital" simply refers to money set aside to fund new company endeavours. It entails lending money to start-up businesses. It's when you put money into a high-risk enterprise with the goal of making a lot of money. In a nutshell, venture capital refers to long-term risk capital provided in the form of equity financing.
 - Venture capital funding is, in reality, one of the newest arrivals into the Indian capital market. Because of the rising number of technocrat entrepreneurs with little capital to risk, there is a big opportunity for venture capital firms in our country. These venture capital firms give the necessary risk capital to entrepreneurs in order to meet the financial institutions' requirements for promoter contributions. These VCFS (venture capital firms) take an active role in coaching the aided businesses in addition to providing funding.
- **Housing Finance**
 - Housing financing simply refers to the provision of funds for the construction of homes. With the formation of National Housing Bank (NHB) by the RBI in 1988, it became a fund-based financial service in India. It is the country's premier home finance institution. Several specialised financial institutions/companies have entered the field of house finance up to now. HDFC, LIC Housing Finance, Citi Home, Ind Bank Housing, and others are among the institutions.
- **Insurance Services**
 - Insurance is a contract in which the insurer, i.e. the insurance company, agrees to make good the loss suffered by the insured (policy holder) against a specified risk, such as fire, or compensate the beneficiaries (insured) in the event of a specified event, such as an accident or death, in exchange

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for a sum of money (premium). The policy is the document that contains the conditions of the contract between the insurer and the insured in black and white. The covered property is the subject of the insurance policy. Insurable interest is the interest that the insured has in the insurance subject matter. Insurance services are split into two categories: (i) life insurance and (ii) general insurance, depending on the subject matter.

- As a result, insurance is a legal agreement between the insurer and the insured. It is a contract in which the insurance company agrees to compensate the insured if a specific event occurs in exchange for a fee. It is a contract between an insurer and an insured in which the insurer agrees to compensate the insured for any losses incurred as a result of the risk covered against.
- According to Mc Gill, "Insurance is a process in which uncertainties are made certain".
- In the words of Jon Megi, "Insurance is a plan wherein persons collectively share the losses of risks".
- As a result, insurance is a device that spreads the risk of a loss produced by an unpredictable event among a wide number of people who are exposed to it and who voluntarily join together to protect themselves against it. The 'insurance policy' is the document that contains all of the terms and conditions of insurance (i.e. the written contract). The 'sum assured' is the amount for which the insurance policy is purchased. The 'insurance premium' is the sum of money paid to the insurer in exchange for agreeing to cover the damage. The insured must pay this premium on a regular basis. It could be paid on a monthly, quarterly, half-yearly, or annual basis.

2.1.7 Types of Fund Based Services -3

- **Factoring**

- Factoring, as a fund-based financial service, provides resources to finance receivables and simplifies receivables collection. Another way to get short-term cash is to use account receivable credit from commercial banks and factoring companies. A commercial bank may provide financing by discounting its customers' bills or invoices. As a result, a company receives prompt payment for credit sales.
- Factoring is a business arrangement in which a factor purchases account receivables (receivables deriving from credit sales of products or services) and pays the supplier or creditor immediately in cash. As a result, it is a transaction in which a financial institution or bank purchases a firm's (client's) account receivables.
- As a result, the factor lends money to the client (supply) for account receivables. The factor is in charge of collecting the debts owed to the company. The risk is assumed by the financial institution (factor). The factor charges a fee for this type of service, as well as for the interest, in the interim. Factorage is the term for this price or payment. A factor is a financial institution that provides debt management and financing services resulting from credit sales.

- **Forfaiting**

- Forfaiting is a method of financing international trade receivables. It is a non-recourse purchase of receivables originating from the export of products and services by a banker or other financial institution. The exporter relinquishes his right to receive future payment from the buyer to whom products have been delivered to the forfaiter. Forfaiting is a strategy that allows an exporter to offer his goods on credit while yet receiving payment considerably ahead of schedule. In a nutshell, forfaiting is the process of a forfaitor (financial agency) discounting an export bill and paying the exporter in cash. The exporter does not need to be concerned about the collection of the export bill. He may focus solely on export trade.

- **Mutual Fund**

- Mutual funds are financial intermediaries that pool people's resources and invest them in a combination of corporate and government bonds. This portfolio of securities is actively managed by mutual fund operators, who generate revenue from dividends, interest, and capital gains. The profits are finally distributed to mutual fund investors. A mutual fund is a trust that pools the savings of a group of participants who are working toward a common financial goal. The funds raised are subsequently invested in capital market instruments such as stocks, bonds, and other assets.
- The income generated by these assets, as well as the capital gains realised, are distributed to unit holders in proportion to the number of units they own. Unit-holders are the people who invest in mutual funds. The funds are invested in securities in accordance with the offer document's stated goals. Mutual funds usually have a variety of schemes with various investment objectives that are launched on a regular basis. The risk of investing in securities is lessened since it is spread across a wide range of industries and sectors. Because all stocks may not move in the same direction, in the same percentage, or at the same time, diversification decreases risk. Before a mutual fund may collect funds from the public, it must be registered with the Securities and Exchange Board of India (SEBI), which supervises securities markets.

2.1.8 Types of Non Fund Based Services – 1

- **Merchant Banking**

- Merchant banking is a type of service banking that focuses on delivering non-fund related services such as arranging funds rather than giving them. The merchant banker only serves as a middleman. Its fundamental function is to move money from people who own it to those who require it. Today, a merchant banker is an organisation that understands the needs of promoters and financial institutions, banks, stock exchanges, and money markets on the one hand, and financial institutions, banks, stock exchanges, and money markets on the other. SEBI (Merchant Bankers) Rule, 1992 has defined a merchant banker as, "any person who is engaged in the business of issue management either by making arrangements regarding selling, buying

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or subscribing to securities or acting as manager, consultant, advisor, or rendering corporate advisory services in relation to such issue management”.

- All of these financial services provided by Merchant Bankers are included in fee-based advising services. In the financial services industry, merchant bankers play a critical role. In 1974, the Industrial Credit and Investment Corporation of India (ICICI) became the first development finance organisation to offer this service. After the mid-seventies, there was a huge increase in the number of merchant banking firms. Banks, financial institutions, non-banking financial firms (NBFCs), brokers, and others are among them.
- These organisations provide financial services such as loan syndication, portfolio management, corporate counselling, project counselling, debenture trusteeship, and mergers and acquisitions.
- **Credit Rating**
 - The rating agency's assessment of the issuer of a debt instrument's ability and willingness to satisfy debt service obligations as and when they arise is called a credit rating. Credit rating is valuable to investors, corporations (borrowers), banks, and financial institutions as a fee-based financial advisory service. It is an indicator for investors that expresses the underlying credit quality of a (debt) issue programme. The investor has a complete understanding of the company because the rating agency evaluates and publishes any impact of changes in business/economic conditions on the agency company on a regular basis.
 - Credit rating refers to a rating agency's expert opinion on the issuer of a debt instrument's relative willingness and capacity to meet financial commitments on time and in full. It assesses the ability and willingness of an issuer to repay both interest and principal during the life of the rated instrument. It is an assessment of a company's financial and operational prospects. In a nutshell, credit rating is the process of an impartial organisation evaluating a company's creditworthiness.

2.1.9 Types of Non Fund Based Services – 2

- **Custodial Services**

- Simply put, custodial services are the services given by a custodian (custodian services). A custodian is an entity or individual to whom security owners entrust their assets for safekeeping. A custodian is someone who looks after public property or securities. Custodians act as go-betweens for firms and their clients (i.e. securities holders) as well as institutions (financial institutions and mutual funds). Custodians and genuine owners of securities or properties have made an agreement to act as custodians for those who transfer it over. A custodian's job is to keep the securities or papers in safe hands.
- The task of a custodian is inherently dangerous and costly. Custodial charges are the money he receives for doing these duties. Thus, custodial service is the act of keeping securities safe for and on behalf of another person in exchange for a fee known as custodial charges.

- **Stock – Broking**

- Prior to the establishment of SEBI, stock exchanges were regulated by the Ministry of Finance under the Securities Contracts Regulation Act (SCRA) and operated as quasi-autonomous organisations. When trading malpractices emerged, the necessity to reform stock exchanges became apparent, and SEBI was established to ensure that stock exchanges effectively performed their self-regulatory duty. Stock broking has evolved into a professional advice business since then. A stockbroker is a person who buys, sells, or deals in shares or securities and is a member of a recognised stock exchange. In order to act as a stockbroker, each stockbroker must register with SEBI. While granting the certificate of registration, SEBI has the authority to set conditions.
- Stock broking has evolved into a professional advice business in recent years. A stock broker is an individual who is a member of a reputable stock exchange. He buys, sells, and trades stocks and securities. In order to act as a stock broker, each individual must register with the SEBI. He will have to follow the rules, regulations, and bylaws of the stock market as a member.

2.1.10 Types of Non Fund Based Services – 3

- **Securitization (of debt)**

- For the bank, loans to clients are assets. They're referred to as loan assets. Loan assets, unlike investment assets, are not tradable or transferrable. As a result, loan assets aren't liquid. The issue is how to make a bank's loan liquid. The solution to this challenge is to convert the loans into tradable securities. Loans are now liquid. They acquire the trait of marketability. This is accomplished through the securitization process. Securitization is a new financial concept. Existing or prospective cash flows are converted into marketable securities that can be sold to investors.
- It is the process of converting financial assets into securities, such as loan receivables, credit card balances, hire purchase debtors, lease receivables, trade debtors, and so on. Any asset that generates predictable cash flows can thus be securitized. Securitisation is the process of converting an illiquid asset into a security that can be traded on the open market afterwards. In a nutshell, securitization is the process of converting illiquid, non-marketable assets into securities that are liquid and tradeable. It is the process of converting a lending institution's assets into negotiable instruments.
- Factoring is not the same as securitisation. Factoring is the process of transferring debts without converting them into marketable securities. Securitisation, on the other hand, always entails the conversion of illiquid assets into liquid assets that may be sold to investors.

- **Loan Syndication**

○ Loan syndication is an arrangement in which a number of banks pool their resources to offer financing for a single loan. In a loan syndication, a group of 10 to 30 banks join together to offer funds, with one of the banks serving as the lead manager. The business firms choose the lead bank based on their trust in the lead management.

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- A single bank is unable to provide a large loan. As a result, several banks band together to establish a syndicate. Loan syndication is the term for this. As a result, loan syndication and consortium finance are extremely similar.

2.1.12 Introduction to Investment Banking

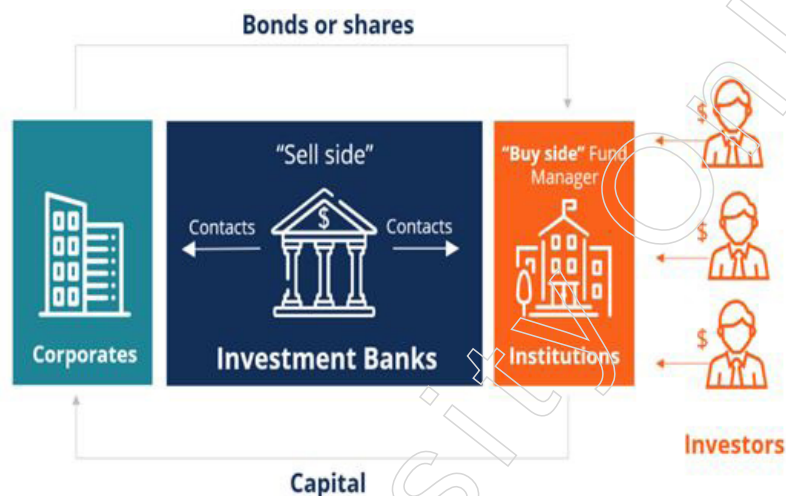


Figure: Representing Investment Banking Work

Investment banking is a section of financial firms that deals with the production of new debt and security instruments, underwriting initial public offerings (IPOs), merging or acquiring businesses, and assisting high-net-worth people and institutions with high-value investments.

Some of India's largest investment banks include Bank of America, Barclays Capital, Citigroup Investment Banking, Deutsche Bank, and JP Morgan.

Investment banking is a branch of banking that specialises on assisting individuals and businesses in raising funds and providing financial advice. They act as a link between security issuers and investors, as well as assisting new businesses in going public. They either buy all available shares at a price determined by their experts and resell them to the general public, or they sell shares on behalf of the issuer and receive a commission on each share sold.

Investment banking is one of the most complicated financial systems on the planet. They are used for a variety of purposes and corporate concerns. They offer a variety of financial services, including proprietary trading (where they trade securities for their own accounts), mergers and acquisitions advisory (where they assist companies in M&As), leveraged finance (where they lend money to companies to buy assets and settle acquisitions), restructuring (where they improve a company's structure to make it more efficient and help it make the most profit), and new issues (where these banks issue new securities).

Investment banking typically focuses on raising cash for other businesses, governments, and other organisations. Underwriting new debt and equity securities for all types of firms, assisting in the sale of securities, and assisting institutions and private investors with mergers and acquisitions, reorganisations, and broker transactions are all examples of investment banking activity.

Investment banks help institutions and individual investors by underwriting new debt and equity securities, assisting in the sale of securities, and facilitating mergers and acquisitions, reorganisations, and broker trades. Investment banks also provide advice to issuers on stock issuance and placement. Many significant investment banking firms are subsidiaries or affiliates of larger banks, and many have become household names, with Goldman Sachs, Morgan Stanley, JPMorgan Chase, Bank of America Merrill Lynch, and Deutsche Bank among the most well-known.

Investment banks, in general, assist with large, complex financial deals. If the investment banker's client is considering an acquisition, merger, or sale, they may offer guidance on how much a firm is worth and how to organise a deal. It may also entail issuing securities to raise funds for client groups and preparing the documents required by the Securities and Exchange Commission (SEC) for a firm to go public.

Investment banks employ investment bankers who assist firms, governments, and other organisations in planning and managing significant projects. They save their clients time and money by spotting project hazards before they proceed.

In theory, investment bankers are professionals who have their finger on the pulse of the current investing climate, thus firms and institutions resort to them for guidance on how to best plan their growth, as investment bankers can tailor their recommendations to the current state of affairs.

Let's examine at how an investment bank makes money by advising on acquisitions.

Consider the case of firm ABC purchasing XYZ. ABC is unsure how much firm XYZ is actually worth and what the long-term income, cost, and other benefits will be. In this situation, the investment bank will conduct due diligence to establish the company's value, close the purchase by assisting ABC in the preparation of relevant documents and advise it on the best time to close the deal. To assist XYZ, the investment bank works on the purchase side, while other investment banks may act on the sell side. The larger the deal, the more the commission earned by the bank.

2.1.13 Investment Banking Services – 1

1. Underwriting

- One of the key business sectors of an investment bank is underwriting. Underwriting is a service provided by investment banks to help firms and governments raise open market financing. When a company wishes to undertake an initial public offering (IPO) in the primary market, it hires an investment bank to underwrite it. Investment banks, in their capacity as underwriters, plan the entire public offering beforehand. It comprehends the required capital, as well as the reasons for the client's desire to raise capital. Second, it looks into the current market situation. It examines market conditions, target markets, risk-taking capacity, sensitivity, economic and political factors, and so on during this stage. Finally, the investment bank develops and makes the public offering based on the findings of this research. In the vast majority of cases, the investment bank agrees to investing a portion of its own capital in the public issue if it is not completely subscribed.

Notes

This is primarily to instil confidence in the public offering among investors. It is critical that the investment selects its underwriting client carefully. This is due to the fact that the bank is expected to commit its own funds. In reality, as high-growth start-ups that may or may not have complete financial stability are increasingly seeking equity money through an IPO, this stage has become even more critical. A thorough cost-benefit analysis is required.

2. Advisors in Mergers and Acquisitions (M&A)

- Mergers and acquisitions are, in a sense, the lifeblood of investment banking. Mergers have a wide range of applications. Mergers, acquisitions, tender offers, leverage buyouts, consolidations, and other sorts of transactions fall under the M&A umbrella. As a result, investment banks' function as M&A advisors is fairly broad. In an M&A transaction, there are two companies involved: the buy side company and the sell side company. To maximise value for their shareholders, each side hires its own investment banks as advisors. The investment bank assesses whether the merger or acquisition that its client desires is genuinely viable for the client's business as a buy-side M&A advisor. It develops an M&A strategy and assesses the worth of the firm the customer wants to buy if it is viable. Naturally, the valuation and terms of the M&A transaction will not be the same for both parties. As a result, investment banks can assist in the negotiation of a contract with the opposing party.
- Advisory services are charged by investment banks as a proportion of the deal value. Any M&A transaction is worth tens of millions of dollars. As a result, this is a lucrative business for an investment bank. According to KPMG's analysis, two-thirds of all M&A deals have traditionally lost value in the stock market. As a result, we can appreciate how risky these trades are.

3. Sales, Trading & Corporate Broking

- The major job of an investment bank's sales and trading division is to facilitate the buying and selling of securities and other financial instruments between the bank and large institutional clients or high-net-worth individuals. Investment banks approach major clients with profitable trading ideas in this scenario. They conduct and finalise trades on behalf of their clients, charging commission or brokerage on purchases and sales.
- It's vital to note that the transactions carried out by investment banks differ significantly from those carried out by brokerage firms. In two ways, these transactions are distinct. To begin with, investment banks only cater to major investors with the ability to make high-value transactions, whereas brokerage firms cater to even the smallest of investors. Second, an investment bank's transaction flow is that investors trade on investment banks' advice, whereas in brokerage houses, the brokers usually structure the trades as the investors request. Investment banks have begun to develop their own financial products to pitch to investors in recent years. The goods may include a combination of equities, equities plus debts, or a mix of all securities, including equities, debt, commodities, and derivatives. Furthermore, investment banks assist investors in risk hedging through derivative trading.

2.1.14 Investment Banking Services - 2

Notes

1. Asset Management Services

- Another attractive sector for investment banks is asset management. Investment banks frequently act as personal asset managers for their clients. Large insurance corporations, government provident fund departments, and other organisations use an investment bank's asset management services. Investment banks construct an efficient portfolio for their clients that maximises profits while assuming a specific level of risk that the client is willing to accept. The assets under management in such circumstances are obviously quite large, and investment banks charge a commission based on a proportion of the assets under management.

2. Research

- Although research is not the primary source of profit for investment banks, it is required to support the other profit-generating sections. Analysis work on stocks and other securities research at most investment banks' in-house research departments. The equities research assists the sales and trading departments in devising high-profit trading strategies. To come up with exceedingly exact equity valuations, investment banks use high-quality buy-side and sell-side analysts. Investment banks also conduct high-quality research in macroeconomics, market scenarios, political scenarios, credit analysis, and other quantitative analyses. This assists all of the investment bank's other profit-generating divisions in making a precise and educated judgement. For example, before investing in underwriting services, a thorough credit research is required, and understanding the market condition and macroeconomic considerations is beneficial before deciding on the ideal time to make an initial public offering.

As a result, we can infer that investment banking is a huge and sophisticated business that pays well.

Check your Understanding

1. A _____ is a component of the financial system that offers a variety of financial products and services, including credit instruments, financial products, and services
2. A _____ is an entity or individual to whom security owners entrust their assets for safekeeping.
3. _____ is a branch of banking that specialises on assisting individuals and businesses in raising funds and providing financial advice. They act as a link between security issuers and investors, as well as assisting new businesses in going public.
4. A _____ is an individual who is a member of a reputable stock exchange. He buys, sells, and trades stocks and securities
5. _____ as a fund-based financial service, provides resources to finance receivables and simplifies receivables collection

Notes

Summary

- A financial service is a component of the financial system that offers a variety of financial products and services, including credit instruments, financial products, and services. Cheques, bills, promissory notes, debt instruments, letter of credit, and other financial instruments are examples. Mutual funds come in a variety of shapes and sizes when it comes to financial products. Increasing the number of investing options available. There are also items like credit cards, debit cards, and so on. Leasing, factoring, hire buy finance, and other services enable many sorts of assets to be obtained for ownership or on lease. There are various forms of leases available, as well as factoring. As a result, financial services enable the user to obtain any asset on credit at a reasonable interest rate and at his convenience. The presence of financial services enables a country's economic position to improve, resulting in increased production in all sectors, resulting in economic growth.
- A financial system is an economic structure in which financial institutions help borrowers, lenders, and investors transfer monies and assets. Its purpose is to distribute economic resources efficiently in order to foster economic growth and provide a return on investment (ROI) for market players. The financial system of a country is a crucial tool for the country's economic development because it aids in wealth generation by linking savings and investments. It aids in the wealth creation and development of both parties by facilitating the flow of cash from families (savers) to business firms (investors). All conditions and mechanisms controlling the production, distribution, exchange, and holding of financial assets or instruments of any kind are included in the institutional arrangements.
- Due to demand factors (increasing discretionary incomes, personalised financial solutions, etc.) and supply drivers, India's diversified and comprehensive financial services business is quickly expanding (new service providers in existing markets, new financial solutions and products, etc.). Several significant subsegments make up the Indian financial services business. Mutual funds, pension funds, insurance firms, stockbrokers, wealth managers, financial consulting companies, and commercial banks are among them, and they range in size from small domestic players to major global corporations. Individuals, private corporations, and public organisations are among the clients who benefit from the services.
- Investment banking is a branch of banking that specialises on assisting individuals and businesses in raising funds and providing financial advice. They act as a link between security issuers and investors, as well as assisting new businesses in going public. They either buy all available shares at a price determined by their experts and resell them to the general public, or they sell shares on behalf of the issuer and receive a commission on each share sold.
- Investment banking is one of the most complicated financial systems on the planet. They are used for a variety of purposes and corporate concerns. They offer a variety of financial services, including proprietary trading (where they trade securities for their own accounts), mergers and acquisitions advisory (where they assist companies in M&As), leveraged finance (where they lend money to companies to buy assets and settle acquisitions), restructuring (where they improve a company's structure to make it more efficient and help it make the most profit), and new issues (where these banks issue new securities).

- One of the key business sectors of an investment bank is underwriting. Underwriting is a service provided by investment banks to help firms and governments raise open market financing. When a company wishes to undertake an initial public offering (IPO) in the primary market, it hires an investment bank to underwrite it. Investment banks, in their capacity as underwriters, plan the entire public offering beforehand. It comprehends the required capital, as well as the reasons for the client's desire to raise capital. Second, it looks into the current market situation

Activity

1. Make a power point presentation on the financial services and role of financial services in economic development

Questions and Exercises

1. Explain the various types of fund based and non-fund based services in detail
2. Describe Investment Banking and the various services of it.

Glossary

- Custodial Services: Simply put, custodial services are the services given by a custodian (custodian services). A custodian is an entity or individual to whom security owners entrust their assets for safekeeping. A custodian is someone who looks after public property or securities. Custodians act as go-betweens for firms and their clients (i.e. securities holders) as well as institutions (financial institutions and mutual funds). Custodians and genuine owners of securities or properties have made an agreement to act as custodians for those who transfer it over. A custodian's job is to keep the securities or papers in safe hands. The task of a custodian is inherently dangerous and costly. Custodial charges are the money he receives for doing these duties. Thus, custodial service is the act of keeping securities safe for and on behalf of another person in exchange for a fee known as custodial charges.
- Forfaiting: Forfaiting is a method of financing international trade receivables. It is a non-recourse purchase of receivables originating from the export of products and services by a banker or other financial institution. The exporter relinquishes his right to receive future payment from the buyer to whom products have been delivered to the forfaiter. Forfaiting is a strategy that allows an exporter to offer his goods on credit while yet receiving payment considerably ahead of schedule. In a nutshell, forfaiting is the process of a forfaitor (financial agency) discounting an export bill and paying the exporter in cash. The exporter does not need to be concerned about the collection of the export bill. He may focus solely on export trade.
- Bill Discounting: Bill discounting is a most popular fund-based financial service offered by financing organisations. The holder of a time bill (payable after a set period) does not have to wait until the maturity or due date. If he runs out of money, he can negotiate a discount with his banker. The banker credits the net amount in the customer's account after deducting a specified amount (discount). As a result, the bank purchases the bill and credits the amount of the bill less the

Notes

discount to the customer's account. The drawee makes payment to the banker on the due day. If he doesn't pay, the banking will seek reimbursement from the customer who discounted the cost. In a nutshell, bill discounting refers to lending money against the security of a bill of exchange.

- Insurance: This segment's financial services are generally divided into two categories:
- General Insurance (automotive, home, medical, fire, travel, etc.)
- Life Insurance (term-life, money-back, unit-linked, pension plans, etc.)
- Individuals and businesses can use insurance to protect themselves from unanticipated events and accidents. The type of the product, time horizons, customer risk assessment, premiums, and several other crucial qualitative and quantitative elements all influence payouts. In India, insurance firms are well-represented in the life insurance (24) and general insurance (39) sectors. The Insurance Regulatory and Development Authority of India regulates the insurance sector (IRDAI).

Further Readings

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6. Khan M Y. Financial Services. Mc Graw Hill. Tenth Edition.

Check your Understanding - Answers

1. financial service
2. custodian
3. Investment banking
4. stock broker
5. Factoring

Unit - 2.2: Merchant Banking

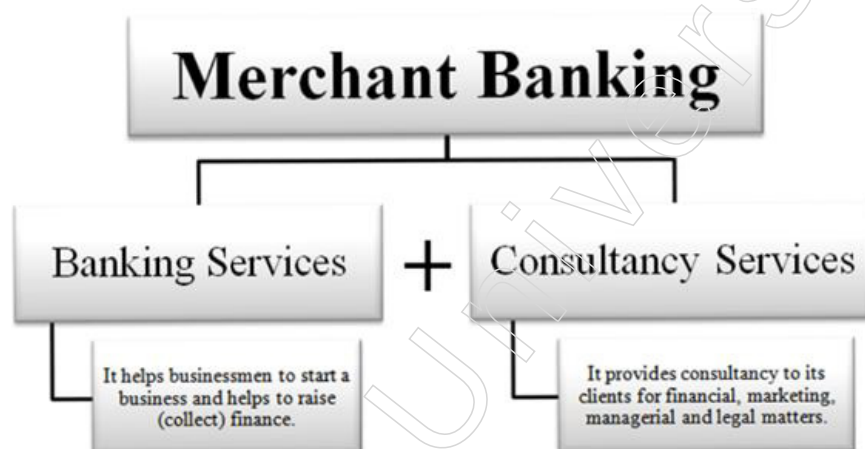
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Objectives:

At the end of this unit, you will be able to:

- Understand the introduction to merchant banking and its recent developments
- Understand the registration of merchant bankers application
- Understand the code of conduct for merchant bankers
- Understand the services of merchant banking
- Understand the issue management
- Understand the pre- issue and post issue management obligations
- Understand the introduction to underwriting
- Understand the regulatory framework related to merchant banking

Introduction



A merchant bank is a financial institution that gives companies capital in the form of shares rather than loans. A merchant bank also offers corporate advice to the companies in whom it invests. The historical phrase “commercial bank” in the United Kingdom refers to a bank. A merchant bank is a financial services organisation that has a private equity investment arm and also provides investment banking and other services. Because a merchant bank serves as both an advisor and a broker, as well as a principal, it takes a longer-term view than a normal investment bank, focusing on the sustainability of each investment opportunity and offering the best advice for a good collaboration with each client firm. A merchant bank is the traditional word for an investment bank in banking. It can also be used to refer to a bank’s private equity activity. Merchant banking is a vital service given by a variety of financial institutions that aids in the expansion of the corporate sector, which in turn contributes to the country’s overall economic development. Issue management, underwriting, portfolio management, loan syndication, consultant, advisor, and a variety of other responsibilities were all expected of merchant banks. Merchant banking is a service that combines banking and consulting.

Notes

Merchant banking is a service that combines banking and consulting. It advises clients with financial, marketing, management, and legal issues. Providing advice, assistance, and service is what consulting entails. It facilitates the start-up of a firm. It aids in the raising (collection) of funds. It aids in the expansion and modernization of the company. It aids in the restructuring of a company. It aids in the examination of sick business units. It also assists businesses in registering, purchasing, and selling stock on the stock exchange.

Merchant banking is a professional service that are provided by merchant banks to their customers in consideration of their financial needs in exchange for a charge. Merchant banks are financial institutions that provide major firms with fundraising, financial advice, and loan services.

These banks specialise on international trade, making them adept at working with huge businesses and industries. Merchant banking assists to strengthen the country's economic power by providing financing to international corporations and large corporate entities.

Merchant banks do not offer services to the general public; instead, they cater to businesses and companies of all sizes.

A merchant banker is a professional who assists in the purchase of securities. The merchant banker has many obligations, including private placement of securities, handling public securities issues, stock broking, international financial advising services, and so on.

A merchant banking firm is a financial institution that offers a combination of banking and financial advisory services. A merchant bank not only helps you organise your loans, but it also gives you sound advice on how to budget and invest your money. It is not everyone's cup of tea to run a firm and manage its money. In order for the corporation to work smoothly, a lot of factors must be considered. If you own a business and need help managing your finances, consider using the services of a merchant bank.

2.2.1 Introduction



Figure: Representing Merchant Banking

Merchant banking is a service that combines banking and consulting. It advises clients with financial, marketing, management, and legal issues. The term “consultancy” refers to the practise of providing paid advice, assistance, and services. It aids in the start-up of a firm. It aids in the raising (collection) of funds. It aids in the expansion and modernization of the company. It aids in the restructuring of a company. It aids in the recovery of sick business units. It also assists businesses in registering, purchasing, and selling stock on the stock exchange.

A merchant bank is a corporation that provides services such as IPOs, FPOs, loans, underwriting, financial counselling, or market making for large companies and individuals with high net worth, but does not provide basic banking services such as checking accounts.

It is a company that provides advice to its customers on financial, managerial, marketing, and legal issues. They frequently assist with large-scale business loans, international funding, and underwriting. These financial institutions are experts in dealing with global corporations.

It offers high-net-worth individuals and small/mid-sized businesses financial services such as underwriting, loan services, fundraising services, and financial advice.

A merchant bank assists a businessperson in starting a business and raising capital. They also assist them in expanding, updating, and reorganising their firm. They also assist with the registration, purchase, and sale of stock on the stock exchange.

It is not a bank for common people. Although it resembles an investment bank, a merchant bank is not the same as an investment bank. This bank only serves high-net-worth individuals and international corporations with operations all over the world. An investment bank, on the other hand, provides financial services to individuals, businesses, and governments.

A Merchant banker can be defined as “Any person who is engaged in the business of issue management either by making arrangements regarding selling, buying or subscribing to securities as manager-consultant, advisor or rendering corporate advisory services in relation to such issue management”

List of Top Merchant Banks

Many banks exist around the world, and some of them also offer investment banking services.

Leading Banks

- Bank of America Merrill Lynch
- Citigroup
- Goldman Sachs
- J.P. Morgan
- Morgan Stanley

Excellent Banks

- Barclays Capital

Notes

- Credit Suisse
- Deutsche Bank AG
- Evercore

Functions of Merchant Banking

The Securities and Exchange Board of India (SEBI) regulations of 1992 control merchant banking services in India.

- **Management of a Portfolio**
 - Merchant banking assists investors in making investment decisions by providing investment advice. The merchant bank assists investors with portfolio management by trading securities on their behalf.
- **Fundraising for clients**
 - Merchant banks help clients raise capital by purchasing securities on the domestic and foreign markets.
- **Promotional efforts**
 - The merchant bank also assists in the early stages of the business institute's promotion. It aids the organisation in developing their company concept and obtaining government permission.
- **Syndication of Loans**
 - Merchant banks give this service to their clients in order to obtain loans from banks and financial institutions.
- **Services for Leasing**
 - Customers of merchant banks can also take advantage of leasing services.
 - For new businesses, merchant banking offers a wealth of resources and opportunities. This, in turn, has a good impact on the economy of the country.
- **Entrepreneurs and small businesses receive special aid**
 - A merchant banker advises entrepreneurs and small businesses on the availability and presence of business possibilities, concessions, incentives, and government regulations, and assists them in maximising the benefits of each choice open to them.
- **Services to PSU's**
 - Merchant bankers provide a wide range of services to public sector businesses and units, as well as associated public utilities. They help with long-term capital raising, securities marketing, international cooperation, and securing long-term financing from lending institutions.
- **Sick units are being revived**
 - A merchant bank can assist in the resuscitation of ill industrial units. They work with a number of organisations, including banks, long-term lending institutions, and the Board for Industrial and Financial Reconstruction (BIFR). They can also plan and carry out complete revival packages.

- **Management of sick units' portfolios**

- Merchant bankers assist both issuers and investors in the resurrection of their securities. These bankers provide investment advice to their clients, who are primarily institutional investors. They buy and sell shares for clients as part of their portfolio management services. Some of these bankers manage both domestic and international mutual funds.

Role of Merchant Banking Firm

A merchant banking firm plays a crucial part in the public issue process. The merchant banker must maintain transparency regarding the details with the Securities Exchange Board of India while acting as a banker in an issue (SEBI).

A merchant banker's responsibilities in public offerings include the following.

- Adherence to a code of conduct: A merchant banking organisation must adhere to a code of conduct when conducting business. This includes keeping client information private while performing its functions.
- Information exchange: A merchant banker is needed to provide the following information:
 - ◆ The total number of issues in which the merchant banker is acting as a banker
 - ◆ Complete application details, including the amount of money received, should be supplied.
- Maintaining a record: Books of accounts and records of the organization's details must be kept for at least three years.

2.2.2 Recent developments in Merchant Banking

Certain contributing variables in India have contributed to recent developments in merchant banking. They really are:

- Merchant banking was at its peak between 1985 and 1992, when there were a lot of new issues. It is believed that 2010 will be a party year for merchant banks, with a slew of new issues on the horizon.
- Foreign investors are expanding into the Indian economy, both through portfolio investments and through foreign direct investments. It broadens the scope of merchant bankers in a variety of ways.
- The country's disinvestment in the government sector allows merchant banks a lot of room to act as advisors.
- New financial products enter the market on a regular basis. This essentially gives merchant banks more and more opportunities.
- Mergers and corporate restructuring, as well as MOUs and MOAs, are providing merchant bankers with a plethora of consulting opportunities.

Notes

Developments in Merchant Banking Establishment:

1. Setting up of Banks Subsidiaries

The merchant banking departments of nationalised banks have begun to form autonomous subsidiaries in order to better address the increased demand for broad-based financial services from the corporate sector. These divisions provide more specialised services backed by professional knowledge and expertise. On July 2, 1986, SBI Capital Markets Ltd. was established as the bank's first subsidiary. In 1987, Canara Bank established Canara Bank Financial Services Ltd. as a completely owned subsidiary. PNB Capital Services Ltd. was founded in mid-1988 by PNB. Other nationalised banks are forming a slew of subsidiaries.

2. Re-organization of Private Firms

Due to increased competition from nationalised banks' merchant banking subsidiaries, private merchant bankers have begun to reorganise their operations. J.M. Financial & Investment Consultancy Ltd., 20th Century Finance Corporation Ltd., LKP Merchant Financing Ltd., and others are examples of private merchant bankers who have begun to reorganise their operations.

3. Establishment of SUA

The Stockbroker Underwriters Association (SUA) was founded in 1984 to educate and safeguard the interests of investors, to offer information about new capital market issues, to develop a code of conduct for underwriters, and to provide legal and other services to members and the general public. SUA collaborates with merchant bankers and takes initiatives to promote capital market activity.

4. Securities and Exchange Board of India (SEBI)

On April 4, 1988, the Central Government established the Securities and Exchange Board of India to develop and regulate the securities market, safeguard investors, and define rules and standards for securities market regulation. The Board performs all tasks that the Central Government may designate to the Board/Chairman for the development and regulation of the securities market. People trading in the securities market, such as merchant bankers, underwriters, sub-brokers, portfolio managers, mutual funds, and others, must obtain Board approval.

5. Discount and Finance House of India (DFHI)

DFHI was established as a limited liability company under the Companies Act of 1956, with a paid-up capital of Rs. 100 crores. RBI has provided Rs. 51 crores, financial institutions have contributed Rs. 16 crores, and public sector banks have contributed Rs. 33 crores.

In order to meet operating capital requirements, it would also have lines of credit from public sector banks and a refinance facility from the Reserve Bank of India. Because it primarily deals in commercial bills, DFHI attempts to provide liquidity in the money market.

6. Credit Rating Information Services of India Ltd. (CRISIL)

Credit Rating Information Services of India Ltd. (CRISIL). CRISIL was established in 1987 to assist investors, merchant bankers, underwriters, brokers, banks, and other financial institutions. CRISIL assigns ratings to a variety of public instruments, including debt, equities, and fixed-income securities. It aids in the decision-making process for investors.

7. Stock-Holding Corporation of India Ltd. (SHC)

Stock-Holding Corporation of India Ltd. (SHC). The (SHC) was established in 1986 by the All India Financial Institutions to handle safe custody, distribution of shares, and collection of securities sale revenues. The establishment of SHC will undoubtedly have an impact on the capital market in the future.

2.2.3 Registration of Merchant Bankers Application



A merchant banker is a person who assists a company or entity in raising capital through initial public issues (IPOs) and further public offerings (FPOs), among other methods.

The merchant banker also provides advice on many aspects of Initial Public Offerings (IPOs) and Further Public Offerings (FPOs), as well as serving as the issue's underwriter, portfolio manager, or banker.

Merchant Banker also offers financial, marketing, and managerial, as well as other legal, advice to businesses.

Important Definition

- **Body Corporate** - The term "body corporate" has the meaning given to it in clause (7) of section 2 of the Companies Act, 1956.
- **Merchant Banker** - A merchant banker is a person who works in the issue management business, either by arranging for the sale, purchase, or subscription of securities, or by working as a manager, consultant, adviser, or providing corporate consulting services in connection with such issue management.
- **Net worth** - The total of the applicant's paid-up capital and free reserves at the time of filing an application under sub-regulation (1) of regulation 3 is referred to as net worth.
- **Principal Officer** - the term "principal officer" refers to a person who is in charge of proprietor, in the case of a proprietary concern, partner, in the case of a

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partnership firm, director, in the case of a body corporate who is responsible for the activities of the merchant banker.

Merchant banker classifications

The Merchant Banker has been classified into four groups based on the activities that they perform:

- That is, Category I—
- to carry out any issue management activity, which may include, but is not limited to, preparing a prospectus and other related information, deciding financial structure, securing financing, and final allotment and refund of subscriptions; and to serve as a consultant, manager, underwriter, and portfolio manager;
- Act as an adviser, consultant, co-manager, underwriter, or portfolio manager in Category II.
- Category III entails acting as an issue's underwriter, adviser, and consultant.
- Category IV entails acting just as an adviser or consultant on a matter.

Prerequisites For License

- No one is allowed to work as a merchant banker unless they have a certificate from SEBI.
- A merchant banker must have a minimum net worth, or capital adequacy, of not less than Rs. 5 crore.
- The applicant's other entity, which is already registered as a Merchant Banker, should be ignored.
- The minimum personnel requirement is two workers with prior expertise in Merchant Banking Applicant.
- An applicant must submit Form A along with extra information and a non-refundable fee of Rs. 50,000/- in the form of a demand draught.
- At the time of issuance of a certificate of first registration by SEBI, every merchant banker is required to pay a registration fee of Rs. 20 lakhs (as per SEBI rule, 2014). This initial registration certificate is valid for five years. If he desires to continue as a merchant banker, he must apply to SEBI for permanent certification at least three months before the validity of the first registration expires.
- The merchant banker must pay Rs. 9 lakhs for the initial block of three years towards permanent registration, which is due in terms of SEBI regulation 1992, schedule iii.h. For changes up to the mark, the merchant banker must obtain prior approval from SEBI.

Application And Registration Fees

S.No.	Particulars	Fees (RS)
1	Applicant Fee (Initial and Permanent Registration)	50,000/-
2	Initial Registration	20,00,000/-
3	Permanent Registration	9,00,000/-

Documents Required

- Company MOA and AOA (Memorandum and Article of Association of the applicant company)
- Provide the applicant's UIN (Unique Identification Number) obtained under the MAPIN Regulations, i.e. the Central Database of Market Participants (MAPIN) Regulations, 2003.
- Information about the directors/promoters, including their qualifications, experience in merchant banking, and other financial services
- The corporate shareholding pattern
- Details of key management personnel, including qualifications and expertise in merchant banking and other financial services
- Infrastructure facilities in detail
- Organizational Structure of the Applicant's Corporate Financial Accounts Report from the Principal Bankers
- Information about the registered intermediates who are linked to you.
- A minimum of two directors must sign a declaration of undertakings.
- In the last three years, the applicant has handled the following businesses:
 - ◆ Issue Management
 - ◆ Investment Advisers
 - ◆ Underwriting
 - ◆ Portfolio Management
 - ◆ Consultants/advisors to the problem

Eligibility for registration of merchant banker

- It is necessary for the applicant to be incorporated as a corporation.
- They must be provided with proper infrastructure, such as office space, equipment, and staff, in order to conduct business and successfully discharge their tasks and services.
- The candidate must have a minimum of two people working for him or her, and they must have prior expertise in merchant banking activities.
- The application must meet the minimum capital adequacy criteria, which requires a net worth of at least Rupees Five Crores.
- At no time shall the applicant, his partner, director, or principal officer be:
 - ◆ involved in any stock exchange litigation that has a negative impact on the applicant's business
 - ◆ convicted of a crime for which he or she is found guilty of moral turpitude or of being an economic offender;
 - ◆ The candidate must possess a professional qualification in the fields of finance, law, or business management, which must have been issued by a government-approved institution.

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Ineligible applicants of merchant banker

The Firm registered as a non-banking financial company with the Reserve Bank of India, as defined under Clause (f) of Section 45-I of the RBI Act, 1934, as amended from time to time. Exception: The above-mentioned organisations can apply for a merchant banker licence if they have been given registration by RBI to act as a primary or satellite dealer and do not take or hold any type of public deposit.

Any person who is directly or indirectly associated to the “applicant” whose application for Merchant Banker registration has already been denied by SEBI. Because the applicant is a corporation, the term directly or indirectly refers to any person who is an associate, subsidiary, or group company of the applicant.

Fit and proper criteria under merchant banker

- The Board confirms that the applicant making the application is a “fit and proper person” before granting a Certificate of Registration of Merchant Banker.
- The Board has the authority to deny an application for a Certificate of Registration as a Merchant Banker if the Applicant or any of his Principal Officers or key management personnel do not meet the “Fit and Proper Criteria.”
- The term “fit and proper person” refers to the applicant, the chief officer, and key management personnel, all of whom must meet the following criteria:
 - ◆ Integrity, reputation, and character are all important aspects of a person's life.
 - ◆ There are no convictions or restraining orders.
 - ◆ In terms of financial literacy and net worth, you must have the following skills.

It should also be emphasised that the Board has the authority to take additional factors into account when determining whether or not the applicant is a “fit and proper person.”

Process of registration

- In order to be granted Merchant Banker Registration, the Applicant must submit an application in Form A.
- A separate certificate of registration is required for a Merchant Banker to hold the position of Portfolio Manager under the Securities and Exchange Board of India (Portfolio Manager) Regulations, 1993.
- The applicant must pay a non-refundable application fee of Rs. 50,000 when submitting an application for registration, either by direct credit into the checking account through NEFT/RTGS/IMPS or another RBI-approved mode, or by a requirement draught payable to “Securities and Exchange Board of India” payable at Mumbai or the respective regional office.
- The applicant must provide any further information or clarification requested by the Board in order for the application to be processed, which may include:

- ◆ the other matter that the Board has also prescribed
- ◆ matters relating to a merchant banker's activities or
- ◆ information as it appears in the application

The applicant must provide any additional information or explanation requested by the Board in order for the application to be processed. This information or clarification can include:

- the Board's other requirements
- concerns relating to a merchant banker's or broker's business
- information submitted as part of the application

2.2.4 Code of Conduct for Merchant Bankers

According to SEBI regulations, merchant bankers in India must observe the following code of conduct:

- A merchant banker is responsible for safeguarding the interests of investors.
- In conducting business, a Merchant Banker must maintain high standards of ethics, decency, and fairness.
- A Merchant Banker must accomplish his or her responsibilities in a timely, ethical, and professional manner.
- A merchant banker must use due diligence, proper care, and independent professional judgement at all times.
- A merchant banker must make every effort to ensure that investor inquiries are adequately handled, that investor grievances are addressed in a timely and appropriate manner, and that if a complaint is not resolved promptly, the investor is informed of any additional options available to him or her under the regulatory system.
- A Merchant Banker is responsible for making proper disclosures to investors in a timely manner, in accordance with applicable legislation and norms, so that they may make an informed decision.
- Before making any investment choice, a Merchant Banker must make every effort to ensure that investors are given accurate and complete information without making any misleading or exaggerated promises or misrepresentations, and that they are informed of the risks involved.
- At the time of the offer's issuance, a Merchant Banker must make every effort to ensure that copies of the prospectus, offer document, letter of offer, or any other related literature are made available to investors.
- A Merchant Banker is not permitted to discriminate among its clients, except in the case of ethical and business concerns.
- A Merchant Banker may not make any statement, whether oral or written, that misrepresents the services that the Merchant Banker is capable of providing or has provided to any customer.
- A Merchant Banker must avoid conflicts of interest and disclose his or her interests fully.

Notes

- A Merchant Banker shall establish a process to manage any conflict of interest situation that may emerge in the course of its business, and shall take reasonable steps to resolve any such conflict in an equitable way.
 - While acting as Merchant Banker, the Merchant Banker shall make proper notification to the client of any conceivable source or prospective areas of conflict of responsibilities and interests that might impair its capacity to provide fair, objective, and unbiased services.
 - A merchant banker must always strive to provide the best possible advice to clients based on their requirements.
 - A Merchant Banker shall not disclose to anyone, directly or indirectly, any confidential information about its clients that has come to its knowledge, either orally or in writing, without first obtaining the client's permission, unless such disclosures are required to be made in accordance with any law currently in force.
 - Any change in registration status, any disciplinary action taken by the Board, or any material change in the Merchant Banker's financial status that may adversely affect the interests of clients/investors must be promptly communicated to the clients, and any outstanding business must be transferred to another registered intermediary in accordance with the affected clients' instructions.
 - A Merchant Banker shall not engage in any unfair competition, such as weaning clients away on the promise of a higher premium or favourable offer price, or engage in any other activity that is likely to harm the interests of other Merchant Bankers or investors, or put such other Merchant Bankers in a disadvantageous position while competing for or executing any assignment.
 - A merchant banker's merchant banking activity and any other activity must have an arm's length relationship.
 - Internal control methods and financial and operational capabilities are required for a Merchant Banker to protect its operations, clients, investors, and other registered entities from financial loss caused by theft, fraud, and other dishonest actions, professional misconduct, or omissions.
- In any documents, reports, or information provided to the Board, a Merchant Banker shall not make any false statement or conceal any material fact.
- Merchant bankers must maintain an adequate degree of knowledge and competence, as well as follow the provisions of the Act, its regulations, circulars, and guidelines, as applicable and relevant to the operations they do. The merchant banker must also follow the Ombudsman's decision, which is governed by the Securities and Exchange Board of India (Ombudsman) Regulations, 2003.
 - A Merchant Banker must quickly notify the Board of any action, legal proceedings, or other legal action taken against it in connection with a substantial breach or non-compliance by it with any law, rule, regulation, or order of the Board or any other regulatory body.
 - A Merchant Banker or any of its employers may not give direct or indirect investment advice regarding any asset in any publicly accessible media,

whether real-time or not, unless he discloses his interest in the security, including whether he has a long or short position in it. If an employee of the Merchant Banker gives such advice, the merchant banker must guarantee that the employee discloses the interests, if any, of himself, his dependent family members, and their long or short position in the security while giving such advice.

- A Merchant Banker must precisely define the responsibilities of the numerous intermediaries it has chosen so that there are no conflicts or ambiguities in their job descriptions.
- A Merchant Banker must give its compliance officer sufficient latitude and authority to carry out his or her tasks effectively.
- A Merchant Banker must create its own internal code of conduct to manage its internal operations and to establish standards of appropriate behaviour for its workers and officials while performing their jobs. A code like this could include things like maintaining professional quality and standards, integrity, secrecy, objectivity, avoiding or resolving conflicts of interest, and disclosing shareholdings and interests, among other things.
- A merchant banker is responsible for ensuring that proper business policies and governance are in place.
- Any person a Merchant Banker employs or appoints to conduct business must be fit, proper, and otherwise competent to serve in the position in which they are employed or appointed.
- In relation to dealings in the securities market, a Merchant Banker must ensure that it has the resources to supervise diligently and that it does supervise diligently persons engaged if appointed by it in the conduct of its business.
- In the conduct of its business, a Merchant Banker is accountable for the acts and omissions of its employees and agents.
- A Merchant Banker is responsible for ensuring that top management, particularly decision makers, have timely access to all essential company information.
- A Merchant Banker shall not be a party to or instrumental in the creation of a false market, price rigging or manipulation, or the passing of unpublished price sensitive information in respect of securities that are listed or proposed to be listed in any stock exchange to any person or intermediary in the securities market to any person or intermediary in the securities market.

2.2.5 Services of Merchant Banking

Merchant banks are financial institutions that specialise in providing specialty services such as bill acceptance, corporate financing, portfolio management, and other banking services. It establishes a secondary market in order to strengthen the country's economic operations.

The merchant bankers' services include the following:

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1. Corporate Counselling

- Merchant banking services begin with corporate counselling.
- Every new or existing industrial unit need it. Corporate counselling has a wide range of applications.
- It comprises services such as project counselling, project management, loan syndications, working capital management, capital restructuring, public issue management, fixed deposit, and lease finance, and it covers a wide variety of merchant banking activities.

2. Project Guidance

- This is a result of corporate advice. It is related to project funding and entails the creation of project reports, project costs, and the arrangement of financing patterns.
- The projects are evaluated based on their location, marketing, as well as their technical and financial viability.

3. Syndication of Loans

- It is a loan organised by a bank for a borrower who is most usually a large corporation, a municipal government, or a government department.
- As a result, before asking a financial institution for term loans, the merchant banker finalises the project's cost.
- The merchant banker then creates the capital structure, calculates the promoter's contribution, and estimates the amount to be raised.
- It also guarantees that the project follows the finance guidelines for industrial projects.

1. Capital Issues Management

- Selling securities to investors, such as equity shares, preference shares, debentures, and bonds, is part of capital issue management.
- The merchant bankers prepare the action plan and budget for the total expenses for the issues, as well as drafting the prospects, obtaining consent letters, coordinating with underwriters, and selecting the advertising agency for pre-issue and post-issue advertising. The merchant bankers also provide advice to the issuer company on the types of securities to be issued.
- The merchant banker should maintain tight communication and cooperation with all agencies participating in public issues to ensure the issue's success.
- The merchant banker is in charge of grooming the issue to secure full subscription.

2. Advisory Services to Corporations

- To provide exclusive services to their corporate clientele, merchant bankers establish corporate advisory service branches.
- According to SEBI standards, all issues must be managed by at least one authorised merchant banker in India.

- The choice of the correct types of security is critical to the issue's success.
- As a result, skilled counsel for merchant bankers is critical to their success and security.

6. Portfolio Management

- The goal of portfolio management is to reduce risk while increasing profits.
- As a result, portfolio management is limited to shares and debentures.
- Merchant bankers help their customers manage their portfolios by advising them on the best types of assets to invest in that are secure, liquid, and profitable.
- As a result, merchant bankers must keep up with market data and economic assessments on a frequent basis.

7. Mergers and Acquisitions Advisory Services

- The term "merger" refers to the joining of two companies in such a way that only one company survives and the other dies.
- Takeover, on the other hand, refers to the purchase of a firm by another corporation, as well as the process of acquiring and controlling an existing company's share capital.
- Merchant bankers operate as a go-between for two corporations, protecting their mutual interests.
- He obtains approval from the government's financial institutions or the RBI.

8. Consultancy to Sick Industrial Units

- A merchant banker helps current businesses expand and diversify.
- He evaluates their technology and processes, assesses their needs, and restructures their capital basis, as well as laying out a rehabilitation plan that banks and other financial institutions may approve.

9. Leasing

- In a lease transaction, the merchant banker provides services such as arranging lease credit facilities for leasing companies, providing advice on the best way to structure the deal, preparing legal documents, and providing tax advice.

10. Foreign Currency Financing

The fund given for international trade transactions is known as foreign currency finance. It could be in the form of export-import financing or a euro currency loan. Joint ventures or international collaborations between India and other countries.

The following are the key areas covered by this type of merchant activity:

- Assisting with the research and analysis of turnkey and construction contract projects.
- Assisting with applications to working groups, as well as liaising with the RBI, the ECGD, and other organisations.

Notes

- Assisting in the opening and operation of foreign bank accounts.
- Providing aid in acquiring export finance from the EXIM bank for capital goods exports, as well as obtaining the appropriate government approvals and clearances.
- Giving advice on how to cover exchange risk in the future.
- Assisting exporters in obtaining foreign currency guarantees and performance bonds.

11. Providing Venture Capital Financing

- Merchant bankers assist businesses in securing venture capital funding to fund new and creative ideas.

12. Broking

- Brokers are people who are primarily responsible for obtaining subscriptions to an issue from potential investors.
- Brokers are not required to be appointed, and corporations are free to hire as many as they like.

13. Act as Debenture Trustee

- Debenture trustees are trustees who are appointed to protect the interests of debenture holders. They must be nominated prior to a company's issuance of debentures. No one can function as a debenture trustee unless they have secured a certificate of registration from SEBI.

2.2.6 Issue Management

The management of corporate securities such as equity shares, preference shares, debentures, and bonds is referred to as issue management. It entails the marketing of new capital issues, as well as existing companies' rights issues and share dilution via letter of offer. Other issues are involved in the issue's management. Merchant bankers advise on the size and timing of the public offering in light of market conditions. Aside from that, merchant bankers aid corporate units in establishing a sound capital structure that is acceptable to financial institutions, as well as determining the quantum and terms of public issuance of various types of securities.

They also advise the issuing business on whether to go with a new issue, a bonus issue, a right issue, or a mix of these.

In summary, managing public issues is a difficult and technical task. It entails a number of strategic decisions as well as the cooperation of numerous entities.

Various agencies, such as underwriters, brokers, bankers, advertising agencies, printers, auditors, legal advisers, registrar to the issue, and merchant bankers, are involved in the management of public issues, providing specialised services to make the issue a success.

The apex agency, however, is the merchant bank, which plans, coordinates, and oversees the entire issue activity and instructs various agencies to contribute to the successful marketing of securities. In a rising economy, where the capital market serves as a stimulant for the industry's financial needs, issue management has

enormous potential. Merchant bankers and lead managers are terms used in the capital markets to describe issue managers. Despite the fact that the word Merchant Banking encompasses a wide range of services like as project consulting, portfolio management, investment counselling, mergers and acquisitions, and so on, Issue Management is perhaps the most important and significant role within it. So much so that the terms merchant banking and issue management are frequently used interchangeably.

The term “issue management” refers to the process of identifying and resolving problems. Product failures, software errors, material shortages, supplier troubles, and other factors can all cause problems. Identifying, tracking, evaluating, and working to fix and prevent future concerns are all part of issue management.



What is issue management in business?

The practise of swiftly detecting and resolving any problems that arise throughout the course of a project or within an organisation is known as issue management. This entails documenting the problems and fixing them after a thorough study and analysis of all relevant data.

The management of corporate securities such as equity shares, preference shares, debentures, and bonds is referred to as issue management. It entails the marketing of new capital issues, as well as existing companies' rights issues and share dilution via letter of offer. Other issues are involved in the issue's management. Merchant bankers advise on the size and timing of the public offering based on market conditions. In addition, merchant bankers aid corporate units in establishing a healthy capital structure that is acceptable to financial institutions, as well as determining the quantum and terms of public offerings of various types of securities.

They also advise the issuing business on whether to go with a new issue, a bonus issue, a right issue, or a mix of these. In summary, managing public issues is a difficult and technical task. It entails a number of strategic decisions as well as the cooperation of numerous entities. Various agencies, such as underwriters, brokers, bankers, advertising agencies, printers, auditors, legal advisers, registrar to the issue, and merchant bankers, are involved in the management of public issues, providing specialised services to make the issue a success.

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In a rising economy, where the capital market serves as a stimulant for the industry's financial needs, issue management has enormous potential. Merchant bankers and lead managers are terms used in the capital markets to describe issue managers. Although, in broad terms, the term Merchant Banking refers to a variety of services such as project consulting, portfolio management, investment consulting,

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mergers & acquisitions, and so on. Issue Management, on the other hand, is possibly the most important and significant function within it. So much so that the terms merchant banking and issue management are frequently used interchangeably.

2.2.7 SEBI Guidelines for Issue Management

SEBI's major goal is to not just control stock markets, but also to defend investors' interests. SEBI has issued the following guidelines for this purpose:

- Investor education has been promoted by SEBI. Several investor's associations have been established for this reason.
- Credit ratings are required for companies that raise public deposits as well as large amounts of money. An approved authority's credit rating provides a reasonable assessment of an organization's financial strength. There are four credit rating agencies for this purpose. They are as follows:
 - ◆ CRISIL
 - ◆ ICRA
 - ◆ CARE and
 - ◆ Duff and Phelps Credit Rating India Pvt. Ltd.
- SEBI has taken on the task of providing investors with accurate and timely information in order for them to make informed investment decisions.
- The corporation must disclose its capacity usage, adverse events, and substantial changes in key employees for the benefit of investors.
- For a publicly traded corporation, market prices are disclosed.
- Arrangement for publicising investor complaints and a system for redressing them.
- Disclosure in the prospectus is required.
- Contribution from promoters listed in the prospectus.
- In the event that a corporate issuance is oversubscribed, SEBI representatives will be present to investigate the allotment procedure.
- Setting up an investor grievances unit to handle investor complaints.
- Any underwriter whose business information are not provided to SEBI will have their registration revoked.
- For merchant bankers to extend their accountability to investors, SEBI has made it essential to attach a diligence certificate to the prospectus. The diligence certificate outlines the specifics of the stock offering. The investor can only submit a case of inaccurate statement in the prospectus on erring corporations if he or she has such a certificate.
- SEBI has established an advertisement code that corporations and investors must adhere to.
- SEBI has chosen representatives to look into the allotment process to avoid any malpractice, which gives individual investors more trust.
- For the first time, SEBI has included underwriters, registrars of issues, share transfer agents, and portfolio managers within its jurisdiction.

- Mutual funds have now been brought under SEBI's jurisdiction, and they must now reveal the NPV (Net Present Value) of their units on a daily basis, which benefits investors. A new scheme called stock invest account has been created in banks for the benefit of private investors.
- The fresh issue of shares will be applied from this stock invest account. The investor will inform the corporation issuing the shares of the stock invest account. If the company receives an allocation, it will notify the banker in accordance with SEBI standards, and monies will be released from the stock invest account to the bank.

2.2.8 Pre- Issue Management Obligations

Pre-Issue Activities

- **Memorandum of Understanding**

According to Regulation 18(2), every merchant banker (lead manager) must invariably sign into a Memorandum of Understanding (MoU) with the firm issuing the issue (issuer) outlining their mutual rights, liabilities, and obligations relating to the issue before taking any issue management. A draught of the Memorandum of Understanding is required. The lead manager may accept the draught and add any sections that he or she deems necessary to define his or her rights and obligations in relation to the issuer. While doing so, it must be ensured that neither party reserves any rights for itself that would have the effect of reducing their liabilities and obligations under the Companies Act in any way.

SEBI (Merchant Bankers) Rules and Regulations (Merchant Bankers) Regulations (Merchant Bankers) Regulations (Merchant Bankers) Regulations (Mer A copy of the MoU entered into with the issuer should also be provided to SEBI together with the offer document by the lead manager who is responsible for writing the offer documents.

- **Obtaining Appraisal Note**

An appraisal note is generated when the contract for problem management is awarded. Either in-house or from third-party appraisers, such as Financial Appraisal Services. Institutions, banks, and other financial institutions the appraisal note created in this manner sheds light on the recommended solution. the project's capital spends and the sources of finance it's possible that the project will be funded. Borrowing money from outside sources or investing capital are also options. Optimum The capital structure is dictated by the project's type and size. When a project requires a lot of money, equity investment is usually the best option. Following the fund appraisal, the Issuing Company's Board of Directors meets, followed by an Extra Ordinary General Meeting (EGM) of its members, at which various features of the issuing of securities are resolved. If the capital raises funds by issuing shares to NRIs/OCBs or FII's, a request for authorization from the Reserve Bank of India is made.

- **Appointment of Other Intermediaries**

The lead manager should make sure that any appointed intermediaries are registered with SEBI. Before advising the issuer on the appointment of other intermediaries, the lead manager must conduct an independent assessment of the various intermediaries' capability and capacity to handle the issue. The lead

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manager will advise the issuer to enter into a Memorandum of Understanding with the Intermediary(ies) concerned if it is required. The issue's lead manager should make sure that the issue's bankers are assigned to the obligatory collection centres. In the case of public offerings, there should be at least 30 mandated collection centres, which should generally include stock market locations. In conjunction with the lead manager, issuers may also engage authorised collection agents, subject to relevant disclosures. While the lead manager has complete discretion over the selection and appointment of collection agents, it is important to verify that the agents chosen are well equipped for the job, both in terms of infrastructure and staffing requirements.

- **Inter-se Allocation of Responsibilities**

When more than one lead manager is in charge of a problem, the responsibilities of each lead manager must be clearly defined, preferably as shown in Annexure (3). In the event of an issue's under-subscription, the lead manager in charge of tying up underwriting arrangements will be held liable for invoking underwriting obligations and ensuring that the underwriters pay the amount of development. The Inter-se Allocation of Responsibilities that comes with the Due Diligence Certificate must specifically state the name of the lead manager in charge of tying up underwriting arrangements.

- **Preparing Prospectus**

In accordance with Merchant Bankers Rules and Regulations, the lead manager shall ensure that suitable disclosures to investors are made. As a result, the lead manager should not only provide adequate disclosures, but also ensure that the lead manager complies with SEBI's Guidelines for Disclosure and Investor Protection, which also specify the contents of the prospectus and application form. The application form should include all relevant information and instructions for applicants, including the following:

To prevent misuse of instruments submitted with applications for shares/debentures in public issues, the reverse of the instruments has a number of application forms on it.

To enable the Registrars to print the stated details in the refund orders following the names of the payees, the Registrars must have the number of the savings bank/current account and the name of the bank with which the account is kept.

- **Submission of Draft Offer Documents**

The Lead Manager must give SEBI and the Stock Exchange(s) where the issue is planned to be listed at least 25 copies of the draught offer document. The Draft Prospectus must be sent to SEBI on a computer disc by the Lead Manager. Prospective investors will be able to obtain copies of the Draft Prospectus from the Lead Managers/ Stock Exchange. The Lead Manager must file a statement with SEBI after a period of 21 days from the date the draught prospectus was made public, including any complaints received from SEBI as well as any changes made to the document.

The Lead Manager in charge of authoring the offer documents must ensure that the issue's conditions and offer documents, such as the prospectus or letter of offer, comply with the SEBI Guidelines for Disclosure and Investor Protection.

Each draught offer document submitted to SEBI is accompanied by a SEBI-required Due Diligence Certificate. It must be verified that the prospectus format follows

the guidelines set forth by the Department of Company Affairs. In addition, a 'letter of offer' is submitted. The structure of the letter of offer should be consistent with the disclosures required by Memorandum 2A under Section 56(3) of the Companies Act, 1956, as well as the Stock Exchange Division of the Ministry of Finance's Guidelines.

- **Launching of a Public Issue**

The process of marketing the Issue begins once the legal processes and statutory approval for the Issue of Capital are completed. The Lead Manager is responsible for ensuring that public issue stationery is distributed to various collecting banks, brokers, and investors. The public offering is formally launched by holding a press conference, broker meetings, placing advertisements in major media, and mobilising brokers and subbrokers. The announcement of the issue's opening in the newspapers must also be made in newspapers 10 days before the issue's publication date. A certificate from a Chartered Accountant stating that the promoters' requisite contribution was raised prior to the Issue's opening is also required to be filed with SEBI. Collection numbers are received on a daily basis from Bankers to the Issue during the currency of the Issue. Another declaration is made in the newspapers regarding the issue's conclusion.

2.2.9 Post- Issue Management Obligations

Post-Issue Activities

After the Issue is closed, the Lead Manager is responsible for overseeing the Issue's Post-Issue actions. He is responsible for ensuring that the SEBI-required post-issue monitoring report is submitted.

Finalisation of Basis of Allotment (BOA): Aside from the post-issue lead-manager, the registrar to the issue, and regional stock-exchange officials, an association of public representatives is required to participate in the finalisation of the Basis of Allotment in the case of a public offering (Annexure 5). The data from accepted applications has been finalised, and Regional Stock Exchanges have been contacted to finalise the BOA.

Despatch of Share Certificates, etc.: The successful allottees' share certificates are then sent out, followed by demat credit, stock-invest cancellations, and reimbursement orders for unsuccessful applicants.

Issue of Advertisement in Newspapers: BOA, the number of applications received, and the date of shipment of share certificates and refund orders, among other things, are all announced in the newspaper.

Post-issue Obligations

After the issue is closed, the lead manager responsible for post-issue activities shall maintain close coordination with the Registrars of the Issue and arrange to depute its officers to the offices of various intermediaries at regular intervals to monitor the flow of applications from collecting bank branches, processing of the applications, including those accompanied by stockinvest and other matter, until the basis of allotment is finalised, despatch completed, and the issue is closed. During such inspections, any act of omission or commission on the part of any such intermediaries shall be notified to SEBI.

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Merchant bankers are held to a high standard by SEBI when it comes to resolving investor complaints. As a result, merchant bankers must be actively involved in post-issue refund and allotment processes, as well as periodically monitor investor grievances originating from these activities. Merchant bankers must develop strong inter-linkages with Issuers and Registrars to Issue in order to achieve this. SEBI has undertaken an all-out effort to reduce the number of investor complaints significantly.

Investor grievances must be given top priority by merchant bankers, who must take all preventative measures to reduce the number of complaints. They must also establish a robust grievance monitoring and redressal mechanism in collaboration with issuers and registrars, and take all necessary steps to rapidly settle issues in order to avoid penalties.

In the event of a return delay, the lead management must guarantee that the issuer pays interest for the time of delay, as required by the Companies Act of 1956.

The lead manager is responsible for ensuring that reimbursement orders, allotment letters, and certificates are only sent via registered mail.

Post-issue Monitoring Reports

The lead managers are expected to file certain post-issue reports, which SEBI has mandated. Lead managers must submit two post-issue reports to SEBI for each public offering: (a) a 3-day post-issue monitoring report and (b) a 78-day post-issue monitoring report.

During the interim period between reports, merchant bankers are supposed to keep SEBI updated on major developments on the specific issues they are leading.

1.8.7 SEBI Guidelines for Merchant Bankers

- There will be no more than one kind of merchant banker, and there will only be one equity merchant banker.
- Underwriting activity is permitted for the merchant banker. The merchant banker must apply for separate SEBI registration as a performing portfolio manager.
- A merchant banker is unable to perform the functions of a non-banking financial institution, such as receiving deposits, funding others' businesses, and so on.
- A merchant banker is solely allowed to engage in capital market activity.
- A merchant banker will be allowed to operate for a maximum of three years by SEBI. Merchant bankers are unable to operate without the approval of SEBI.
- A merchant banker's net worth should be at least Rs. 1 crore.
- The authorization charge, annual fee, and renewal cost must all be paid by the merchant banker.
- A single approved merchant banker must oversee all share issuances. The top manager should be in charge.
- SEBI will explicitly state what the lead manager's responsibilities are.
- Lead managers are in charge of allotting securities, reimbursements, and so

- on.
- All returns and reports relating to the issuing of shares shall be submitted to SEBI by the merchant banker.
- SEBI will issue a code of conduct for merchant bankers, which they must adhere to.
- Any infringement by the merchant banker will result in SEBI revoking the merchant banker's authorization.

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2.2.10 Case Study on Issue Management

Case Study – Issue Management

Seek to set the global standard in issue management excellence.

How can we reliably monitor and manage Issues and Corrective Actions throughout an organisation using a single framework and solution...

Introduction

With the rising complexity and consistency difficulties due to regulatory demands; and the emphasis on integrated processes, information traceability, risk coverage and consistency, the legacy issue management technology was being expanded beyond its limits. Management realised that a comprehensive issue management solution was necessary to limit risk and give a holistic view into heterogeneous companies with particular governance, channels, products, processes and consumers.

Objective

Implement a comprehensive Issue Management system that offers uniform definition and capture of the data related with and ownership of problems across groups and risk programmes. Including the ability to bi-directionally interface with other risk management and line of business apps to facilitate the collection, communication and management of problems and status. Allowing the users to have simplified search and reporting capabilities that employ standardised taxonomies for organization, product, risk, process, controls, policy, and requirements. As well as the ability to collect and drilldown to information regarding concerns, status and degrees of risk consistently across organisations, risk programs, regulatory reporting and for ad-hoc analysis.

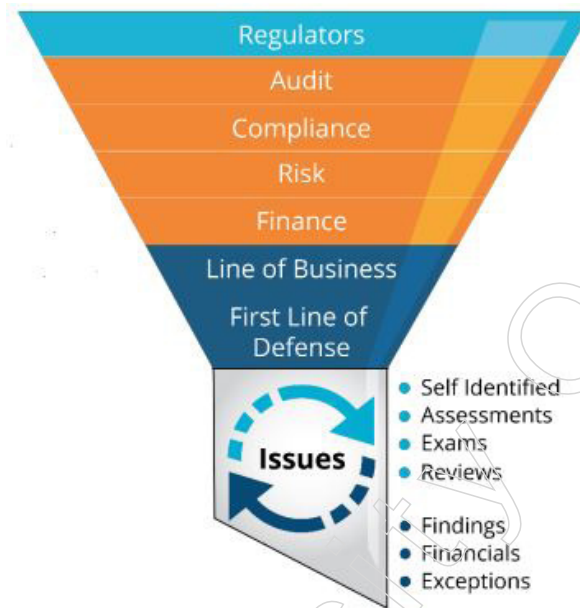
Comprehensive Solution

An environment to provide a single, automated approach for capturing and reporting information used for managing issues and related corrective actions was needed that could accommodate many different types of issues, each with their own customised data requirements and workflows, but which is still enforced enterprise standards in a single solution.

- Issues are captured across all business lines, product types, geographic locations and three lines of defense.
- Issues are captured across all business lines, product types, geographic locations and three lines of defense.
- Issue type specific workflows.

Notes

- Alignment and integration with the whole risk management package.



Although the process differed among the sorts of problems, there needed to be consistent criteria at each step of the issue lifecycle:

- Issue type specific workflows.
- Issue Identification
- Corrective Action Development
- Issue Tracking
- Issue Validation

Structured Workflow

Following the creation of problems, corrective actions, and milestones, tracking takes place via root cause investigation, correction, and closure while obtaining the necessary permissions.

- Preventing premature closure via a cascading chain of dependencies between problems, corrective actions, and milestones.
- All required fields, documentation, and timelines (status updates, answers, and closures) are strictly adhered to.
- Across all risk programmes, there is a clear sense of responsibility and accountability.
- Risk acceptance requires independent confirmation and careful diligence.

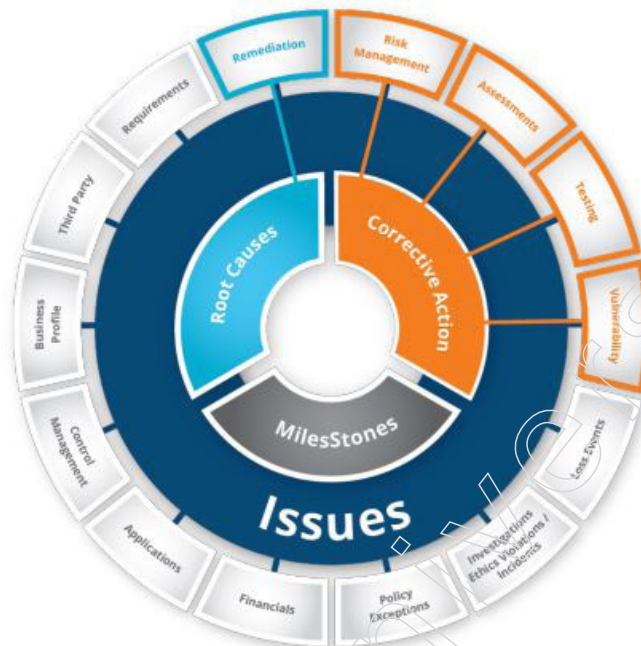
Integrated Reporting

Comprehensive reporting and standardised taxonomies provide an organization's problem management a comprehensive view.

- Issues and corrective actions are reported with various properties, statuses, and due dates, with dashboards emphasising queues and needed activities, avoiding premature closure.

- Policy deviations, control reviews, compliance testing, financial reporting, and risk assessments are all included.
- All lines of defence, as well as audit, examination committees, risk committees, the board of directors, and regulators, employ information in reporting.
- Reports include status updates, goal progress, escalation facilitation, and continuing monitoring.

Issue Management Scope



Result

In a platform that supports the increasing improved regulatory environment and gives a holistic picture of problems throughout the company, a single source for issue management delivers: Comprehensive solution, Structured workflow, and Integrated reporting.

In Closing

Our team developed a powerful, comprehensive solution that delivers deep insight into the risk associated with problem management through an integrated solution that meets corporate standards while supporting business-specific needs. The problem management capability gives enterprise-wide transparency, allowing business and risk leaders to address concerns more effectively.

Challenges

David, the Chief Audit Executive, is dissatisfied with his existing spreadsheet-based Audit Issue / SOX Deficiency management method, which he uses to manage 18 global resources. With global process owners and his team, he wants real-time visibility, collaboration, and accountability.

Notes

Current Approach & Problems

Previously, David's team followed up on Issues/Deficiencies with process owners via emails, and David summarised spreadsheets to deliver a status update to the CFO (weekly) and Audit Committee (quarterly).

The Audit Committee and the CFO both raised concern about the lack of visibility into issue status, which resulted in insufficient follow-up and delays in corrective action implementations. It was also an extremely inefficient process that necessitated IA's constant follow-up.

Audit Prodigy (AP) Solution:

Following the implementation of AP, David discovered that:

- His global process owners now have real-time access to updating issue status – establishing a common platform with IA
- All stakeholders can now see color-coded real-time status of every issue and thus know priorities and accountability – including on mobile devices
- Automated reminders eliminate the need for inefficient IA follow-up
- David's team can now download current issue status data.

Results

- Internal Audit and the rest of the firm can work together more effectively. In fact, the CAO is looking into using AP for both internal and external reporting.
- Prioritization of risks, visibility, accountability, and prompt corrective measures

2.2.11 Introduction to Underwriting



Underwriting is one of the most significant activities in the financial world since it involves an individual or an institution taking on the risk of a venture, an investment, or a loan in exchange for a fee. Banks, insurance companies, and stock exchanges all employ underwriters. In the early phases of the industrial revolution, the practise of having risk takers put their name underneath the entire risk that s/he undertakes in exchange for a specified premium gave rise to the term 'underwriting.'

An act of guarantee by an organisation for the sale of a particular minimum amount of shares and debentures issued by a Public Limited company is known as underwriting. Underwriting agreement, as defined by the Companies Act, is when a person commits to pick up shares indicated in an underwriting agreement after the public or others have failed to do so. A commission is paid to the underwriter who insures the sale of shares for this purpose. When the public fails to subscribe for the issue's shares, the underwriter is required to subscribe up to the maximum he has agreed to. When the market improves, he may decide to sell the shares to the general public.

As a result, the underwriter guarantees that the underwritten issue will be subscribed by him or others. According to the Indian Companies Act, every public limited company must raise a minimum amount of capital, and if it does not do so within 60 days after the prospectus's release, the directors must return the money to the public. The corporation must pay interest on the refund amount if the return is delayed for more than 78 days.

The people in charge of issuing the company's shares, known as issuers, might choose to have their shares underwritten. If the issue is not underwritten, it is possible that it will be undersubscribed, and even if only 90% of the minimum subscription is received, the money must be reimbursed in full. As a result, the issuer must act quickly to enlist the help of underwriters in order to complete the issue of shares successfully.

SEBI's Underwriting Guidelines

- The number of underwriters should be determined well in advance by the issuer, according to SEBI, and he must get prior authorization from SEBI. SEBI will only provide permission after investigating the underwriters' net worth and ongoing commitments.
- The arrangements agreed with the underwriters must also be reported to the Stock Exchange where the security will be listed.
- The following technique of firm allotment could be used in the remaining 75% of each class of securities that must be sold to the public.
- Companies must assign to three major kinds of allottees, according to SEBI.
 - ◆ QIB
 - ◆ HNI
 - ◆ Retailers
- Qualified institutional bidders are referred to as QIBs (Mutual Funds, banks, etc.).
- HNIs are individuals with a net worth of more than Rs. 1 lakh who invest in a single corporate security.
- Individuals who invest less than Rs. one lakh are known as retailers.

Types

Underwriters are divided into two categories. They really are.

- IDBI, IFCI, UTI, and SBI Capital Market are some of the institutional underwriters.

Notes

- Any NBFC is a non-institutional underwriter.

In India, institutional underwriting aids start-up enterprises in raising finance. Indeed, many businesses that would otherwise go unnoticed by the general public have benefited from the support of institutional underwriters.

Many institutional underwriters were in charge of promoting infrastructure enterprises in the steel, chemicals, fertiliser, and other industries.

Underwriters' Responsibilities

1. An underwriter must not only underwrite the securities, but also subscribe to the unsubscribed portion of the shares within 45 days.
2. His underwriting commitments should not exceed 20 times his net worth at any moment.
3. The underwriter is not entitled to anything other than the underwriting commission, which is 5% for shares and 2½% for debentures.

Advantages of Underwriting

1. Underwriting ensures the success of the proposed stock offering by providing risk mitigation.
2. Underwriting allows a business to reach the needed minimum subscriber level. Even if the general public does not subscribe, the underwriters will keep their promises.
3. The underwriter's reputation instils confidence in investors. The lead managers, or underwriters, provide financial recognition to the corporation whose shares are issued to the general public. As a result of the reputation of underwriters, the issuing company's reputation improves as well.

2.2.12 Underwriting Obligations

The following factors must be met, according to SEBI guidelines:

- Every public offering of capital must meet a minimum subscription threshold of 90%. This provision applies to both public and private issues.
- The corporation refunds the amount if it is unable to receive the issued amount from the public subscription and accepted development from the underwriters.
- The stock exchanges should be notified of the underwriting arrangement.
- All correspondence with the SEBI, government entities, and clients must include the underwriter's registration number.
- The SEBI may send warning letters or penalty advances to underwriters in order to alert them to their omissions.
- The SEBI developed the model underwriting agreement to simplify the legal relationship between the issuing company and the underwriters.
- Underwriting commitments under all agreements should not total more than twenty times the underwriter's network.

2.2.13 Regulatory Framework related to Merchant Banking-Companies Act

Notes

- 1) A company is one that is founded and registered under this Act or one that is already in existence as specified in section
- 2) An existing company is one that was created and registered under one of the preceding company laws:
 - a. any Act or Acts relating to corporations that were in effect before to the Indian Companies Act, 1866 (10 of 1866) and were repealed by the Act;
 - b. The 1866 Indian Companies Act
 - c. The Indian Companies Act of 1882; d. The Indian Companies Act of 1913; and
 - e. The Registration of Transferred Companies Ordinance of 1942.
3. A private company is one that has a minimum paid-up capital of one lakh rupees or such greater paid-up capital as may be required in its articles of incorporation.
 - a. Limits the ability to transfer its shares, if any exist;
 - b. Limits the number of members to fifty, except i. company employees, and ii. former company employees who were members of the company while in that employment and remained to be members after the employment ended; and
 - c. Prohibits any invitation to the public to subscribe for any of the company's shares or debentures;
 - d. Prohibits the solicitation or receipt of deposits from anyone other than the company's members, directors, or relatives. Provided, however, that where two or more people jointly own one or more shares in a corporation, they are recognised as a single member for the purposes of this definition;
4. A public company is one that meets the following criteria: a. it is not a private business; b. it has a minimum paid-up capital of five lakh rupees or such greater paid-up capital as may be required; and c. it is a private company that is a subsidiary of a non-private company.

Unless the context necessitates otherwise, unless the context requires otherwise,

1. An abridged prospectus is a memorandum that contains only the most important aspects of a prospectus as may be required by law.
2. The term "banking company" has the same meaning as "banking company" under the Banking Companies Act of 1949.
3. The Board of Company Law Administration established under section 10E is referred to as the Company Law Board.
4. Debenture includes debenture stock bonds and any other securities issued by a corporation, whether or whether they are secured by the firm's assets.
5. The term "derivative" has the same meaning as in Section 2 of the Securities Contracts (Regulation) Act, 1956, clause (aa).
6. Any security that has the characteristics of more than one form of security, including its derivatives, is referred to as a hybrid.

Notes

7. The term “issued” refers to a prospectus that is distributed to people regardless of whether they are current members or debenture holders of the corporation to whom the prospectus relates.
8. Prospectus means any document that is labelled or released as a prospectus, including any notice, circular, advertisement, or other document that invites public deposits or offers for the subscription or purchase of any shares in, or debentures of, a body corporate;
9. In respect to any provision of this Act where it arises, recognised stock exchange means a stock exchange, whether in or outside India, that has been registered by the Central Government in the Official Gazette as a recognised stock exchange for the purposes of that section.
10. Registrar means a Registrar or an Additional, Joint, Deputy, or Assistant Registrar who is responsible for the registration of companies under this Act.
11. The term “security” refers to securities as defined in section 2 clause (h) of the Securities Contracts (Regulation) Act, 1956.
12. The Securities and Exchange Board of India refers to the body formed under section 3 of the Securities and Exchange Board of India Act, 1992.
13. Share refers to a share in a company’s share capital, and includes stock unless a distinction between stock and shares is indicated or implied.

Companies Act provisions

The companies act, as well as the other enactments listed below, prescribe the different requirements that control merchant bankers on capital issues.

1. Provisions of the Companies Act, 1956
 - a. Prospectus (Sec. 55 to 68A)
 - b. Allotment (Sec. 55 to 75)
 - c. Commissions and discounts (Sec. 76 & 77)
 - d. Issue of shares at premium and at discount (Sec. 78 & 79)
 - e. Issue and redemption of preference shares (Sec. 80 & 80A)
 - f. Further issues of capital (Sec. 81)
 - g. Nature, numbering and certificate of shares (Sec. 82 to 84)
 - h. Kinds of share capital and prohibition on issue of any other kind of shares (Sec. 85 & 86)
 - ◆ Matters to be specified in prospectus and reports to be set out therein (Schedule 11)
 - ◆ The Securities Contracts (Regulations) Act, 1957 regarding transactions in securities
 - ◆ The Securities Contracts (Regulation) Rules, 1957.
2. Their capital sufficiency
3. They have a proven track record, extensive experience, and a good reputation.

4. The adequacy and quality of the employees they employ, as well as the infrastructure they have.

Notes

2.2.14 Regulatory Framework related to Merchant Banking- SCRA

Parliament passed the Securities Contracts (Regulations) Act in 1956, and it went into effect in February 1957. An act that regulates the business of dealing in securities and provides for various other items related to it in order to prevent unfavourable transactions in securities. 1. The Securities Contracts (Regulation) Act of 1956 may be referred to as the Securities Contracts (Regulation) Act of 1956. 2. It covers the entire country of India.

It will take effect on the date set by the Central Government by notification in the Official Gazette.

Definitions

- a. A contract is one that is made for or relates to the acquisition or selling of securities.
- b. Corporatization refers to the replacement of a recognised stock exchange, which is a body of individuals or a society registered under the Societies Registration Act, 1860 (21 of 1860), by another stock exchange, which is a company incorporated for the purpose of assisting, regulating, or controlling the individuals' or society's business of buying, selling, or dealing in securities.
- c. demutualization refers to the separation of ownership and management from trading rights of members of a recognised stock exchange in accordance with a system approved by the Securities and Exchange Board of India.
- d. The term "derivative" refers to:
 - ◆ A security derived from a debt instrument, share, loan, whether secured or unsecured, risk instrument, contract for differences, or any other type of security;
 - ◆ A contract whose value is derived from the prices, or index of prices, of underlying securities;
 - ◆ A contract whose value is derived from the prices, or index of prices, of underlying securities;
 - ◆ A contract whose value is derived from the prices, or index of prices, of underlying securities; A security formed and issued by the Central Government, whether before or after the beginning of this Act, is referred to as a government security.
- d. The term "member" refers to someone who is a member of a recognised stock exchange.
- e. A teji, a mandi, a teji mandi, a galli, a put, a call, or a put and call in securities is a contract for the purchase or sale of a right to buy or sell, or a right to buy and sell, securities in the future.
- f. A stock exchange that is currently recognised by the Central Government under section 4 is referred to as a recognised stock exchange.

Notes

- g. A stock exchange that may offer
- ◆ The issuance of shares for a legal consideration and the provision of trading rights to members of a recognised stock exchange in lieu of membership cards;
 - ◆ Restrictions on the right to vote;
 - ◆ The recognised stock exchange's property, business, assets, rights, liabilities, recognitions, contracts, legal proceedings by or against the recognised stock exchange, whether in the name of the recognised stock exchange or any trustee or otherwise, and any permission given to or by the recognised stock exchange;
 - ◆ Employees of one recognised stock exchange are transferred to another recognised stock exchange;
 - ◆ Any other element necessary for the corporatization or demutualization, as the case may be, of a recognised stock exchange recognised stock exchange to another recognised stock exchange;

Check your Understanding

1. _____ is a fee-based professional service provided by merchant banks to its customers in consideration of their financial needs
2. Merchant banks do not provide services to the _____; instead, they provide services to enterprises of all sizes.
3. In India the merchant banking services are controlled and regulated by _____ regulations of 1992.
4. _____ are those who are in charge of acquiring subscriptions from potential investors for a certain issue.
5. When the public fails to subscribe for the issue's shares, the _____ is required to subscribe up to the maximum he has agreed to

Summary

- A service that combines banking and advising is known as merchant banking. It provides financial, marketing, management, and legal advice to clients. The practise of offering paid advise, support, and services is referred to as "consultancy." It assists with the start-up of a business. It helps with fund raising (collection). It contributes to the company's growth and modernization. It aids in the reorganisation of a business. It helps ill business units get back on their feet. It also assists businesses with stock exchange registration, purchases, and sales.
- Merchant banking is a fee-based professional service provided by merchant banks to its customers in consideration of their financial needs. Merchant banks are financial institutions that provide fundraising, financial consulting, and loan services to multinational corporations.
- These banks specialise on international trade, which allows them to engage with large corporations and industries. By providing funding to international firms and huge corporate entities, merchant banking helps to increase the country's economic power.

- Merchant banks do not provide services to the general public; instead, they provide services to enterprises of all sizes.
- A merchant banker is a financial advisor who helps people buy securities. Private placement of securities, resolving public securities issues, stock broking, international financial advisory services, and so on are only some of the responsibilities of a merchant banker.
- In India the merchant banking services are controlled and regulated by The Securities and Exchange Board of India (SEBI) regulations of 1992.
- The management of corporate securities such as equity shares, preference shares, debentures, and bonds is referred to as issue management. It entails the marketing of new capital issues, as well as existing companies' rights issues and share dilution via letter of offer. Other issues are involved in the issue's management. Merchant bankers advise on the size and timing of the public offering in light of market conditions. Aside from that, merchant bankers aid corporate units in establishing a sound capital structure that is acceptable to financial institutions, as well as determining the quantum and terms of public issuance of various types of securities
- The term "issue management" refers to the process of identifying and resolving problems. Product failures, software errors, material shortages, supplier troubles, and other factors can all cause problems. Identifying, tracking, evaluating, and working to fix and prevent future concerns are all part of issue management.
- Underwriting is one of the most significant activities in the financial world since it involves an individual or an institution taking on the risk of a venture, an investment, or a loan in exchange for a fee. Banks, insurance companies, and stock exchanges all employ underwriters. In the early phases of the industrial revolution, the practise of having risk takers put their name underneath the entire risk that s/he undertakes in exchange for a specified premium gave rise to the term 'underwriting.'
- An act of guarantee by an organisation for the sale of a particular minimum amount of shares and debentures issued by a Public Limited company is known as underwriting. Underwriting agreement, as defined by the Companies Act, is when a person commits to pick up shares indicated in an underwriting agreement after the public or others have failed to do so.

Activity

1. Make a power point presentation on the rules imposed by SEBI on merchant bankers

Questions and Exercises

1. Explain the basic introduction of merchant banking and the various types of merchant banking services
2. Explain the basic introduction to Underwriting and also explain its obligations.
3. Explain the SEBI Guidelines for Issue Management

Notes

Glossary

- **Underwriting:** Underwriting is one of the most significant activities in the financial world since it involves an individual or an institution taking on the risk of a venture, an investment, or a loan in exchange for a fee. Banks, insurance companies, and stock exchanges all employ underwriters. In the early phases of the industrial revolution, the practise of having risk takers put their name underneath the entire risk that s/he undertakes in exchange for a specified premium gave rise to the term 'underwriting.' An act of guarantee by an organisation for the sale of a particular minimum amount of shares and debentures issued by a Public Limited company is known as underwriting. Underwriting agreement, as defined by the Companies Act, is when a person commits to pick up shares indicated in an underwriting agreement after the public or others have failed to do so. A commission is paid to the underwriter who insures the sale of shares for this purpose. When the public fails to subscribe for the issue's shares, the underwriter is required to subscribe up to the maximum he has agreed to. When the market improves, he may decide to sell the shares to the general public. As a result, the underwriter guarantees that the underwritten issue will be subscribed by him or others.
- **Issue Management:** The management of corporate securities such as equity shares, preference shares, debentures, and bonds is referred to as issue management. It entails the marketing of new capital issues, as well as existing companies' rights issues and share dilution via letter of offer. Other issues are involved in the issue's management. Merchant bankers advise on the size and timing of the public offering in light of market conditions. Aside from that, merchant bankers aid corporate units in establishing a sound capital structure that is acceptable to financial institutions, as well as determining the quantum and terms of public issuance of various types of securities. They also advise the issuing business on whether to go with a new issue, a bonus issue, a right issue, or a mix of these.
- **Sick Industries:** "An industrial company that, at the end of any financial year, has accumulated losses equal to, or exceeding, its entire net worth and has also suffered cash losses in such financial year and the financial year immediately preceding such financial year" is how industrial sickness is defined all over the world. In 1985, the Sick Industrial Companies Act (SICA) was passed to address a long-standing issue in the Indian economy: industrial sickness. A sick industrial unit, according to the statute, is one that has been in operation for at least five years and has amassed losses equal to or exceeding its whole net worth at the conclusion of any financial year.
- **Portfolio Management:** Portfolio management is the process of choosing, prioritising, and controlling an organization's programmes and projects in order to meet its strategic goals and deliverables. The goal is to strike a balance between change implementation and business as usual, all while maximising return on investment. A portfolio is a grouping of projects and/or programmes used to plan and manage investments at the organisational or functional level in order to maximise strategic advantages or operational efficiency. They can be controlled on a functional or organisational level. Portfolios exist as coordinating structures to assist deployment by ensuring the appropriate prioritisation of resources to align

with strategic aim and generate best value, where projects and programmes are focused on the deployment of outputs, outcomes, and benefits, respectively.

Notes

Further Readings

1. Gopal Rama C. Management of Financial Services. Vikas Publishing House. First Edition, 2014.
2. Pathak Bharti. Indian Financial System. Pearson. Fifth Edition.
3. Padmalatha Suresh and Justin Paul. Management of Banking and Financial Services. Pearson. Fourth Edition, 2017.
4. Gurusamy. Essentials of Financial Services. Tata McGraw-Hill Education. Second Edition, 2010.
5. Anderson, Chishti and Millie et al. The Insurtech Book: The Insurance Technology Handbook for Investors, Entrepreneurs and FinTech Visionaries. Wiley. First Edition, 2018.
6. Khan M Y. Financial Services. Mc Graw Hill. Tenth Edition.

Check your Understanding - Answers

1. Merchant banking
2. general public
3. The Securities and Exchange Board of India (SEBI)
4. Brokers
5. underwriter

Module - III: Venture Capital and Private Equity

Structure:

3.1 Ventutre Capital

- 3.1.1 Introduction to Venture Capital
- 3.1.2 Importance of Venture Capital Financing
- 3.1.3 Forms of Venture Capital
- 3.1.4 Characteristics of Venture Capital Financing
- 3.1.5 Phases in Venture Capital Financing - 1
- 3.1.6 Phases in Venture Capital Financing - 2
- 3.1.7 Types of Venture Capital
- 3.1.8 Structure of Venture Capital
- 3.1.9 Sources of Venture Capital Financing - 1
- 3.1.10 Sources of Venture Capital Financing - 2

3.2 Private Equity

- 3.2.1 Introduction to Private Equity
- 3.2.2 Private Equity vs Debt Financing
- 3.2.3 Why do Companies seek Private Funding?
- 3.2.4 Risks of Private Equity
- 3.2.5 Ways to Invest in Private Equity
- 3.2.6 Economic Benefits to Private Equity
- 3.2.7 Managing Risk as an Investor into PE
- 3.2.8 Difference between Private Equity & Venture Capital
- 3.2.9 Pre - Money Valuation in case of Venture Capital Financing
- 3.2.10 Post Money Valuation in case of Venture Capital Financing
- 3.2.11 Case Study

Unit - 3.1: Venture Capital

Notes

Objectives

At the end of this unit, you will be able to:

- Understand the basic introduction to venture capital
- Understand the basic importance of venture capital financing
- Understand the forms of venture capital
- Understand the types of venture capital
- Understand the structure of venture capital

Introduction



The Venture capital (VC) is a form of private equity and a form of financing which is generally provided by investors to startups and small businesses with long-term growth potential. The most prevalent sources of venture capital are well-heeled investors, investment banks, and other financial institutions. It does not always have to be monetary; it can instead be in the form of technical or managerial abilities. Venture money is typically offered to small enterprises with high growth potential or that have expanded quickly and are ready to expand.

Though it is dangerous for investors to put their money up, the prospect for above-average returns is enticing. Venture capital is gradually becoming a popular — even crucial — source of finance for new companies or projects with a short working history (under two years), especially if they lack access to capital markets, bank loans, or other debt instruments. The biggest disadvantage is that investors typically receive shares in the company and thus have a say in its choices.

- The Venture capital investment is a type of financing that is provided to businesses and entrepreneurs. It can be granted at various phases of their development, but it is most associated with early and seed round funding.
- Venture capital funds are normally only open to certified investors and manage pooled investments in high-growth possibilities in startups and other early-stage companies.
- Venture capital has grown from a marginal activity at the end of WWII to a complex business with various actors who all play a key role in fostering innovation.

Notes

3.1.1 Introduction to Venture Capital

- As a decade of venture capital investment growth declines due to uncertain economic conditions, one thing remains constant: VCs will continue to look for startups that do business in novel ways.
- Over the last ten years, venture money has exploded.
- Billion-dollar exits, the rise of Silicon Valley companies, and enormous sums from SoftBank's \$100 billion Vision Fund fueled a nearly 13-fold increase in annual capital invested from 2010 to 2019, bringing the total to over \$160 billion. Meanwhile, from 2016 to 2018, the number of mega-rounds (investments of \$100 million or more) virtually tripled.
- However, the economic crisis brought on by Covid-19 has slowed that expansion to some extent. Fewer VCs are investing in seed-stage firms, while overall VC deals in the US fell by 22% year over year (YoY) in March 2020.
- VCs are likely to be more selective in their investments, choosing more established companies that have proven to be resilient enough to weather the pandemic and expand once the economy recovers.
- However, as venture capital investments are long-term, they are resistant to short-term changes in many respects. VCs aren't necessarily searching for firms that will explode in popularity soon; instead, they want to invest in companies that will evolve into something spectacular in ten years.
- The basics of venture capital have remained largely unchanged. VCs gamble on businesses that are set to kick-start a fundamental shift in consumer or corporate behaviour — and this is true today as it was when the sector first started.

VC funding has boomed over the last decade

Deals with VC or CVC participation, Q1'09 – Q2'20 QTD (5/27/20)

\$753.9bn

77,226

\$13.3M

\$3.9M

Total Funding since 2009

Deals since 2009

Avg. Deal Size since 2009

Median Deal Size since 2009



Venture Capital

Venture capital is a type of finance for businesses as well as an investment vehicle for affluent individuals and institutions. In other words, it's a means for businesses to collect cash in the short term while investors expand their wealth over time.

VC businesses raise funds from investors to form venture funds, which are used to purchase equity in early- or late-stage companies, depending on the firm's focus (although some VCs are stage-agnostic). These investments are locked in until the firm is purchased or goes public, at which point VCs profit from their initial investment.

Venture capital entails a high level of risk, but also a high level of gain. On the one hand, VCs must invest in new technologies and businesses that have a lot of promise for growth but aren't lucrative yet — yet more than two-thirds of VC-backed start-ups fail. At the same time, depending on how successful a portfolio start-up is, VC investments can be quite profitable.

Accel Partners, for example, invested \$12.7 million in Facebook in 2005 for a 10% stock share. When the company went public in 2012, it made nearly \$9 billion after selling a portion of its stock for roughly half a billion dollars in 2010.

Another essential feature of venture capital is that the majority of investments are made over a long period of time. Start-ups typically take 5 to 10 years to grow, and any money invested in one is difficult to withdraw until the company is strong enough to attract purchasers in the mergers and acquisitions, secondary, or public markets. Because venture funds have a 10-year lifespan, VCs may see these investments through without feeling obligated to provide quick returns.

On the company side of venture capital transactions, venture capital enables entrepreneurs to fund their operations without taking on debt. Start-ups do not have to incur debt on their balance sheets or repay the money because they pay for venture capital in the form of shares. Venture capital is an attractive financing option for businesses wanting to grow quickly, as it can help them outrun the competition by allowing them to take in more investments at each growth stage.

Start-ups also seek venture funding to benefit from the experience, networks, and resources of venture capitalists. VCs typically have a large network of investors and expertise in the sectors in which they operate, as well as years of experience overseeing the growth of numerous start-ups. For first-time founders, the mentorship that VCs can provide is very valuable.

The B2C software, B2B software, life sciences, and direct-to-consumer (D2C) industries are where venture capital is most active today. Because of its low upfront expenses and large addressable market, the software business is a rich area for VC investment. Venture capital has helped companies like Google, Twitter, and Slack come to prominence.

While the life sciences industry requires more money to get started, it also has a large potential market and technological and regulatory moats to guard against competition. The sector is also garnering more interest during the coronavirus outbreak.

With start-ups like Warby Parker selling affordable, well-made products at scale through internet channels, the D2C market has also been a big focus for VC funding.

- Helps technological growth: When financial institutions foster new technology-based company endeavours, modern technology will be use in the country.
- Helps sick companies: Many sick businesses can recover after receiving proper care from venture capital firms.
- Helps development of Backward areas: Venture capital institutions are responsible for the development of backward areas and human resources through fostering industries in those areas.
- Helps growth of economy: The economic growth is boosted by fostering new entrepreneurs and rehabilitating ailing units. There will be a rise in consumer products manufacturing, which will raise people's living standards.

3.1.3 Forms of Venture Capital



Types of Venture Capital Funding

The Series A investor is the first professional investor to a deal at the start-up stage. The Series B, C, and D rounds of fundraising are followed by the Series B, C, and D rounds of funding. Mezzanine, late-stage, and pre-IPO capital are also available in the final rounds. A venture capitalist may specialise in providing finance for only one of these types of ventures, or they may give funding for all stages of the business life cycle. It's critical to understand the preferences of the VC you're approaching and to express clearly what type of money you're looking for:

- Seed Capital: You'd be looking for seed financing if you're just getting started and don't yet have a product or a well-organized firm. Few VCs invest at this stage, and the amount invested is likely to be modest. A sample product, market research, or administrative set-up fees could all be covered with investment cash.
- Startup Capital: At this point, your company should have a working sample product and at least one full-time principal. At this stage, funding is also scarce. This generally includes hiring additional key management, completing additional market research, and finalising the product or service before releasing it to the market.
- Early-Stage Capital: You've gotten your company off the ground, hired a management team, and sales are expanding two to three years into your business. However at this stage, VC money may be able to help you reach the break-even point in sales, improve productivity, or boost your company's efficiency.

- Long-term commitment: Before disinvesting, venture capital funds must be locked in for a few years. Investors that do not want their funds to be illiquid will charge a premium, often known as a liquidity risk premium. As a result, an investor who is willing to wait out the time horizon will reap the benefits of this premium. University endowments, for example, are looking for VC funds to invest in.
- Difficulty in determining current market values: It's impossible to estimate a VC's portfolio's current market value.
- Limited historical risk and return data and limited information: VC funds are more likely to invest in fresh and cutting-edge industries in a sector with minimal historical data or continuous trading data. Estimating cash flows or the likelihood of success is also tricky.
- Entrepreneurial/management mismatches: When there is a dilution of ownership and control, entrepreneurs may face issues. A good business idea could be ruined by poor management decisions. When a company grows, it can be tough for entrepreneurs to step up.
- Fund manager incentive mismatches: Investors looking for high-performing funds rather than large funds should look for managers who share their investment goals.
- Knowledge of competition: As previously said, assessing the competition in emerging sectors is more challenging than assessing the rivalry in established industries. As a result, doing a comprehensive competitive study for a VC fund is tough.
- Vintage Cycles: The state of the economy changes from year to year. During some years, venture capital financing is plentiful, resulting in low returns for investors. Even good companies can struggle to secure VC capital in a bad or depressed market.
- Extensive Operation Analysis and Advice: Venture capital funds planning to invest in technological startups may lack the necessary knowledge to evaluate them. Financial investment expertise is insufficient on its own. As a result, good fund managers must be capable of combining operational and financial research and advice. A fund manager who is unfamiliar with the industry would obstruct rather than help.

3.1.5 Phases in Venture Capital Financing – 1

The Five Stages of VC Funding Explained

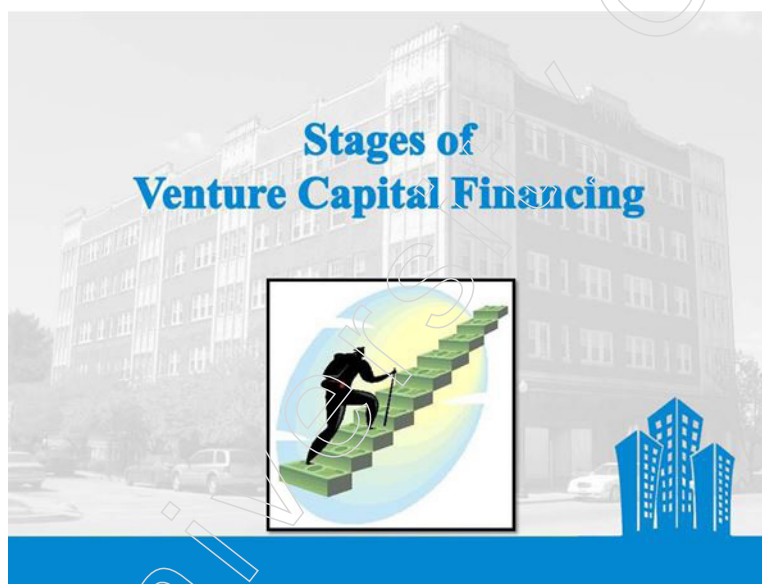
If you look at your iPhone or Android device's home screen, you'll probably see at least one app that was developed and marketed with venture cash. Instagram, Snapchat, and Dropbox, which are all free, have all attracted many rounds of funding en way to millions of downloads. Similarly, ride-hailing firms such as Uber and Lyft have leveraged venture capital funding to challenge established industries like taxi and limousine transportation.

In the previous several years, the amount of money invested in startups has increased. VCs invested approximately \$11 billion in seed and early-stage startups in 2013, an increase of more than 17% from 2012. While only around 1% of all new

Notes

businesses receive venture capital funding each year, it is a valuable resource for those who receive it and an indicator of major technological trends. For example, in 2014, there was far more VC interest in Bitcoin than ever before, indicating how the protocol was being adopted by a growing number of merchants and apps.

What does it imply when you hear about a Bitcoin-focused business or a new messaging service raising a “seed round”? We’ll break down the stages of VC fundraising in this piece – there’s no universal model, but many firms follow a similar set of procedures – so you can get a sense of what entrepreneurs go through while trying to raise enough money to deliver high-quality, scalable, and frequently free products to customers.



Stage 1: Seed capital

Stage 2: Startup capital

Stage 3: Early stage/first stage/second stage capital

Stage 4: Expansion stage/second stage/third stage capital

Stage 5: Mezzanine/bridge/pre-public stage

“VC funding serves as more fuel for the fire, enabling expansion to additional markets and diversification and differentiation of product lines.”

3.1.6 Phases in Venture Capital Financing – 2

The amount of money needed varies depending on where the company is in its life cycle. Even before preparing a business strategy, the entrepreneur spends time and resources analysing the market, locating, and understanding the target clients and their requirements. The entrepreneur continues to support the venture with his or her personal or family funds at the seed stage. The funds are required at this time to engage the consultant’s services in the development of business plans, as well as meetings with potential clients and technological partners.

The funds would then be used to develop the product/process and produce prototypes, as well as to hire key personnel and build up the management team. The

funding for putting together the manufacturing and marketing facilities come next, in that sequence. Finally, monies are required to expand the business and reach critical mass, which is required for profit generation. Entrepreneurs at various stages of their businesses are catered to by venture capitalists. Venture capitalists are referred to as angel investors or private equity suppliers/investors depending on the stage of business they finance.

Early-stage financing of relatively small but fast developing businesses was pioneered by venture capital. However, for a variety of reasons, venture capitalists have become increasingly active in expansion financing to support the growth of their current portfolio businesses. Venture capitalists began to work across a broader spectrum of investment interests as the demand for money from newer businesses grew. Because of the variety of chances available, venture capitalists were able to balance their activities in terms of time commitment, risk tolerance, and profit potential, all while assisting growing businesses.

For different sorts of venture capital investments, different venture capital firms have varied qualities and aptitudes. As a result, different Venture capitalists have varied stages of entrance and may identify and discriminate between different types of Venture capital investments, each appropriate for the stage of the investee company. These are:-

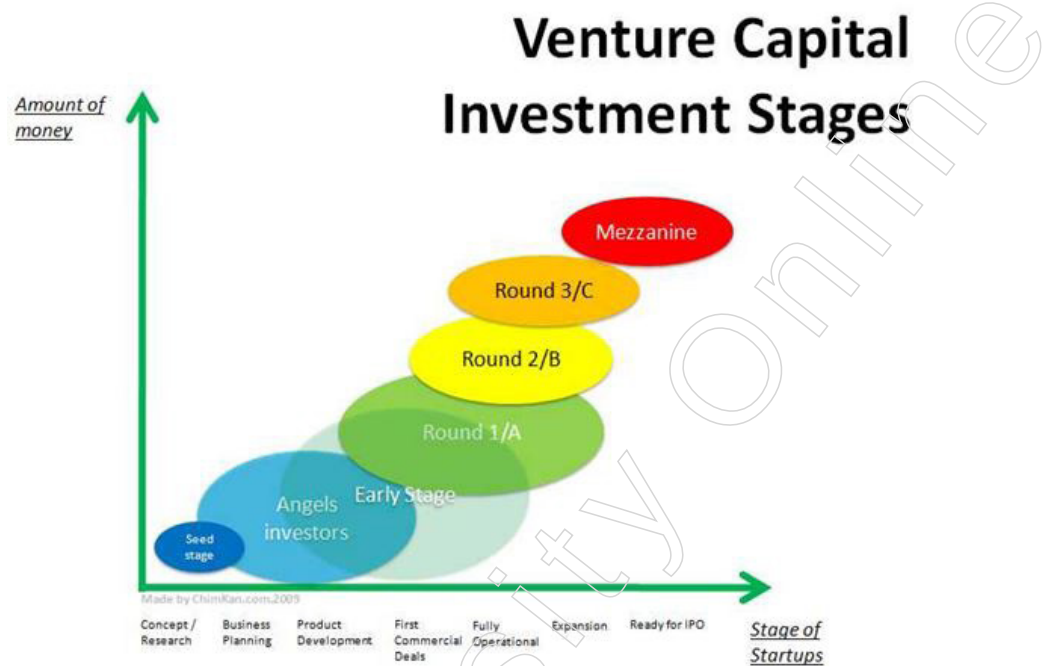
1. Early-Stage Finance

- Seed Capital
- Startup Capital
- Early/First Stage Capital
- Later/Third Stage Capital

2. Later Stage Finance

- Expansion/Development Stage Capital
- Replacement Finance
- Management Buy Out and Buy ins
- Turnarounds
- Mezzanine/Bridge Finance

Notes



Not every business goes through each of these stages in the same order. Service-based businesses, for example, rarely require starting money. It primarily applies to manufacturing and research-related operations. In the same way, second-round funding does not usually follow early-stage funding. If the company grows well, it will most likely generate enough income to fund its own expansion, eliminating the need for venture financing.

Risk perception and time orientation are shown in the table below for various stages of venture capital investment.

Financing Stage	Period (funds locked in years)	Risk perception	Activity to be financed
Early stage finance seed	7-Oct	Extreme	For supporting a concept or idea or R & D for product development
Start up	5-Sep	Very high	Initializing operations or developing prototypes
First stage	3-Jul	High	Start commercial production and marketing
Second stage	3-May	Sufficiently high	Expand market & growing working capital need
Later stage finance	1-Mar	Medium	Market expansion, acquisition & product development for profit making company
Buy out-in	1-Mar	Medium	Acquisition financing
Turnaround	3-May	Medium to high	Turning around a sick company
Mezzanine	1-Mar	Low	Facilitating public issue

- **Seed Capital**

It's a notion or an idea rather than a company. "The financing of initial product development or funds supplied to an entrepreneur to show the feasibility of an idea and qualify for start-up finance," according to the European Venture Capital Association.

The following are some of the features of seed capital:

- Lack of a ready-to-sell product
- In the absence of the entire management team
- The product/process is still in the research and development stage.
- The initial stage of technology transfer is the licencing stage.

In general, it takes 7 to 10 years for a seed capital investment to pay off. It is the most risky stage of venture capital investment because it is the most recent. The new technology and improvements that are being tried have a 50/50 chance of succeeding or failing. Such ventures, particularly hi-tech projects, sink a lot of money and require a lot of funding to adapt, start, and eventually succeed. While the early stages of financing are risky, they also provide the greatest potential for long-term rewards.

Typically, seed businesses lack the necessary assets or track record to acquire funding from traditional sources, and thus rely heavily on the entrepreneur's personal resources. After determining that the entrepreneur has exhausted his own resources, carried out his idea to a stage of acceptance, and begun research, seed funding is supplied. Rather than the human assets (a solid management team) that venture capitalists want, the asset underlying the seed funding is frequently technology or an idea.

Venture capitalists rarely make seed capital investments, and when they do, they are often tiny in relation to other types of venture capital. The following three issues can be blamed for the lack of interest in contributing big seed capital:

- By their very nature, seed capital ventures require a tiny quantity of money. The performance of all but the smallest venture capitalist's portfolio will be unaffected by the success or failure of a single seed capital investment. Seed capital investments are avoided by larger venture capitalists. This is due to the perception that tiny investments are inefficient in terms of the effort necessary to examine, structure, and manage them.
- Most seed capital investments have a time horizon of 7-10 years, which is longer than all but the most long-term focused investors would like.
- As the time to realisation is stretched, the danger of product and technology obsolescence grows. High technology investments, particularly in industries related to information technology, are more likely to experience this type of obsolescence.

- **Startup Capital**

It is distinct from seed capital investments as the second stage of the venture capital cycle. When a business is just getting started, it is common for an entrepreneur to want financial assistance. The start-up stage entails the establishment of a new firm. Here, the entrepreneur has taken a step closer to establishing a viable business. The company concept has been thoroughly researched, and the risk now is converting the notion into a product.

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“Capital required to finance product development, beginning marketing, and the establishment of a product facility,” according to the definition.

The characteristics of start-up capital are:

- The formation of a company or a business. The company is either in the process of being organised or has recently been created. Experts, experience, or a spin-off from R&D could all be used to launch new business ventures.
- The majority, but not all, of the team members have been established. For start-up financing, the entrepreneur's team's talents and fitness for the task, as well as their current status, is critical.
- Creation of a business plan or concept. Although the business plan should be thoroughly prepared, the market acceptance of the product is unknown. The business has not yet begun to trade.

In the early stages of a business, venture capitalists' investment criteria move from the idea to the people engaged and the market opportunity. Before committing any funds at this point, venture capitalists analyse the entrepreneur's managerial aptitude and capability, as well as the talents, suitability, and competency of the management team. They can provide managerial expertise and implementation monitoring if needed. The normal time horizon for start-up capital is 6 to 8 years.

By investing a lower amount of capital in start-ups at first, the risk is reduced. The company's success is used to determine whether additional funding is required. However, the time it takes for a startup investment to pay off is greater than the typical term of credit offered by most financial institutions. A longer time scale for employing the exit route necessitates ongoing monitoring of new initiatives.

Despite the possibility of high returns, most venture capital firms avoid participating in start-ups. The large discount rate that ventures capitalists apply to venture ideas at this level of risk and maturity may be one explanation for the scarcity of start-up finance. They frequently want to spread their risk by pooling funds. As a result, syndicates of investors are frequently involved in start-up financing.

● Early-Stage Finance

It is also known as first-stage funding, and it is given to a business owner with a proven product to begin commercial production and marketing without covering market expansion, de-risking, or acquisition costs. The company had entered the early success stage of its life cycle at this point. This stage includes the hiring of a proven management team, the development of a product, and the identification of a market.

Early-stage finance is described as “funding offered to enterprises that have finished the product development stage and require further cash to commence commercial manufacture and sales but are not yet profitable,” according to the British Venture Capital Association.

Early-stage financing may have the following characteristics:

- There is little or no revenue from sales.
- Profit and cash flow are still negative.
- A small but devoted management team made up of people with technical and specialty backgrounds who have limited experience managing a developing

company.

- Revenue and profit growth are expected to skyrocket soon.

The time horizon for early-stage financing is typically 4 to 6 years. Early-stage finance refers to the time when two of the most important aspects of a firm are in place, namely a fully assembled management team and a viable product. This round of financing is required by a corporation for any of the following reasons:

- Product development project overruns.
- Start-up period, there is an initial loss.

The company requires more equity funds that are not available from other sources, prompting venture capitalists who sponsored the company's startup stage to give further funding. Management risk is transferred away from internal reasons (lack of management, lack of product, etc.) and toward external sources (competitive pressures, insufficient will of financial institutions to provide adequate capital, risk of product obsolescence etc.)

Capital requirements, both fixed and working capital, are at their peak at this point. Furthermore, because new businesses lack a track record, financing will be difficult to come by, therefore venture capital, particularly equity investment without debt, is critical to the company's survival.

At this level, firms are typically exposed to the hazards listed below.

- Early-stage companies may have attracted the attention of and been challenged by a larger competition.
- Product obsolescence is a possibility. This is especially true if the company is in a high-tech industry such as computer or information technology.

● Second Stage Finance

It is financing provided for marketing and meeting the expanding working capital needs of a company that has begun production but does not have adequate positive cash flows to satisfy its growing needs. Second stage finance, also known as follow on finance, is described as the provision of capital to a firm that has previously received external capital but whose financial demands have since skyrocketed. This might be the second or even third capital inflow.

Second-stage financing has the following characteristics:

- A marketable product that has been developed
- A full management team has been assembled.
- One or more products are generating sales money.
- The company is losing money or, at best, breaking even, but the excess generated is insufficient to meet the company's demands.

Second round financing typically follows start-up and early-stage capital, and hence has a shorter period to maturity, ranging from 3 to 7 years. There are both positive and negative aspects to this stage of financing.

- Market development cost overruns.
- Failure of a new product to meet sales expectations.

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- A new marketing strategy is required to reposition items.
- Once the product flaw is discovered, it is necessary to re-define the product in the marketplace.

Positive reasons include:

- Sales look to be exceeding expectations, and the company must acquire assets to prepare for higher-than-expected production volumes.
- High-growth businesses grow faster than their working capital allows, necessitating more funding. The goal is to provide working capital for an enterprise's first expansion to satisfy the demands of growing stocks and receivables.

It is an acceptable aspect of venture capital because it represents an additional injection of funds. Provision for such additional financing is frequently incorporated as an option in the initial financing package, subject to specified management performance criteria.

• Later Stage Finance

Third-stage funding is given to a company that has established commercial production and basic marketing infrastructure, and is used for market expansion, acquisition, product development, and other purposes. It is supplied to help the company expand its market. The following characteristics characterise the businesses that are eligible for this round of funding.

- A well-established company that has successfully through the perilous early stages.
- Increasing the high yield, capital growth, and profitability of the business.
- A well-known market position and a structured organisational structure.

"Funds are used to expand the facility, advertise it, provide working capital, or develop new goods." A combination of equity and debt or subordinate debt is used in third-stage financing. In the United States, it is referred to as "mezzanine" financing since it is halfway between equity and debt. It's also known as the final round of financing before a trade sale or public offering.

Later stage investments have a lower failure rate than early stage investments, which is why venture investors favour them. This is because enterprises at this stage have historical performance data, a track record of management, and established financial control methods. The realisation time frame is shorter, ranging from 3 to 5 years. This gives a running yield to venture capitalists, which helps them balance their own portfolio of investments. Furthermore, the loan component of third-stage finance provides investors with a tax benefit and a higher return.

Later stage finance is divided into four categories.

- Finance for expansion and development
- Finance to Replace
- Turnaround Finance
- Buyout Financing

Expansion / Development Finance

By obtaining economies of scale, a business established in a specific market can raise its earnings enormously. This expansion can be accomplished either organically, by increasing production capacity and establishing a proper distribution infrastructure, or through acquisitions. In any case, expansion necessitates funding, and venture capitalists encourage both organic and acquisition-based expansion.

Real market input is used to analyse competition at this level. It's possible that the entrepreneur may discover that he must develop his management team in order to handle development and manage a larger company.

The time it takes for an expansion or development investment to pay off is one to three years. It is preferred by venture capitalists because it provides better returns in a shorter period of time while posing a reduced risk. Funds are required for the construction of additional or larger factories and warehouses, increased production capacity, the development of improved or new products, the development of new markets, or the entry into exports of an established business that has already broken even and begun to profit.

Replacement Finance

Rather than generating additional cash and changing the ownership arrangement, it entails replacing one stakeholder with another. Entrepreneurs and their partners sell shares to venture capitalists, allowing them to lower their stake in unlisted companies. They also buy non-promoter ordinary shares and convert them to preference shares with a predetermined dividend payment. These are then converted to ordinary shares when the company is sold or listed on a stock exchange. As a result, a venture capitalist makes a capital gain in 1 to 5 years.

Buy-out/Buy-in Financing

It is a recent development and a new type of venture capital investment. Management buyout funds are granted to present operating management to acquire or purchase a major shareholding in the company they run. Management The monies provided to enable a manager or a group of managers from outside the company to buy into it are referred to as buy-in. Among later-stage finance, it is the most common type of venture capital. It is less hazardous since venture capitalists invest in businesses that are stable, continuous, and more established. The cash will be used to purchase and revitalise a current product line or division of a multinational corporation.

MBO (management buyout) carries a low risk because the company being purchased has been in operation for some time and has a healthy cash flow to deliver regular returns to venture capitalists who structure their investments with a sensible mix of loan and equity. There has been a progressive trend away from start-up and early-stage financing and toward MBO chances in recent years. This trend is due to the lower risk associated with start-up funding.

Turnaround Finance

It's an uncommon type of later-stage financing that most venture capitalists avoid due to the higher risk. When a well-established business falls sick, it needs financial and management aid to undergo a big restructuring to resurrect earnings growth.

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Unquoted companies frequently have more debt than equity at the start of their development, and their cash flows are slowing down due to a lack of managerial talent and an inability to capitalise on market opportunities.

Sick enterprises at later stages of development usually do not have a large debt load, but they do lack skilled personnel at various levels. These businesses are forced to hand over control to new management. In 2 to 5 years, the venture investor must complete the recovery process with hands-on management. Early-stage investment has a similar risk profile and expected rewards.

Bridge Finance

It is a company's pre-public offering or pre-merger/acquisition financing. This is the final round of funding before the anticipated exit. Venture capitalists assist in the formation of a solid and experienced management team that will aid the company in its IPO. Most of the time, bridge financing aids in the improvement of a company's valuation. Bridge financing often has a six-month to one-year payback period, thus the risk is modest. The bridge loan is repaid using the profits of the public offering.

3.1.7 Types of Venture Capital

Funding for the start-up(Seed Funding)

Seed investment, also known as seed capital, is money committed to assist entrepreneurs with the earliest steps of starting a business. This can encompass product research and development, market research, business, and the drafting of a business plan, among other things. The owners themselves, as well as their family and friends, may offer seed funding.

Start-up capital

Seed investment and start-up capital are often used interchangeably. There are, however, slight variances.

Typically, business founders obtain start-up financing once they have completed the seed fundraising stages. It can be used to build a product prototype, hire key management professionals, and so on.

First stage, first round or series A

The initial stage, round, or series Businesses who have a product and desire to commence commercial manufacturing, sales, and marketing are given a first stage.

Expansion funding

Expansion capital is the money a firm needs to extend its operations, as the name implies. The money might be used to expand into new markets, develop new goods, invest in new equipment and technology, or even buy a new business.

Financing for late-stage projects

Late-stage investment is available to companies that have achieved commercial manufacturing and sales success. Companies at this level may have seen enormous revenue growth but are still losing money.

Bridge funding

Bridge financing, also known as mezzanine financing, assists a firm in meeting its short-term expenses associated with preparing for an initial public offering (IPO).

3.1.8 Structure of Venture Capital

The Venture Fund Structure

The most common investment instrument for venture investing is a venture fund. Each is set up as a limited partnership with a finite life (typically 7–10 years) that is governed by partnership agreement covenants. Profit sharing is paid out in the form of carried interest (about 20% of the fund's returns).

The fund's business is managed by the Management Company. The management company receives a 2% management fee from the fund and uses it to cover the costs of running the venture firm, such as rent, personnel wages, and so on. Only after the Limited Partners have been reimbursed does it pay carried interest.

Limited Partners (LPs) are investors who put money into the venture fund. Institutional investors, such as pension funds, insurance companies, endowments, foundations, family offices, and high-net-worth individuals, make up most limited partners.

The management company's venture capital partner is known as the General Partner (GP). Because they have a fiduciary responsibility to their Limited Partners, GPs raise and manage venture funds, set, and make investment decisions, and assist their portfolio companies in exiting.

The venture fund provides funding to portfolio companies (startups) in exchange for preferred equity shares. Only if there is a liquidity event (such as mergers and acquisitions or initial public offerings) and these shares may be converted to cash can the fund realise gains.

3.1.9 Sources of Venture Capital Financing – 1

Sources of venture capital financing



Personal Investment

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When it comes to starting your own firm, you should be the initial investor. Cash or your own assets should be used. This demonstrates to the investor how confident you are in your idea.

Love Money

The money you receive from your family, friends, or relatives is referred to as “love money.” With family or friends, a business connection should not be taken lightly. They are people who, after you, believe in your ideals.

Angels

An angel investor is a wealthy individual who makes direct investments in tiny businesses. In the corporate sector, an angel is the first person to invest in a firm. Angel investors assist entrepreneurs in bringing their visions to life.

Business Incubators

Business incubators assist companies by providing non-financial resources such as office space, marketing, and other services. Incubator programmes assist entrepreneurs in establishing their businesses.

Government

Startups contribute to the growth of the economy and provide revenue for the government. As a result, the government has established a number of schemes through which companies can obtain funding for their ideas.

3.1.10 Sources of Venture Capital Financing - 2

Main Sources of Venture Capital in India



Following are the important sources of venture capital:

Primary Sources of Venture Capital

- A wealthy private individual.
- Pension funds, trusts, insurance companies, banks, and other financial institutions are examples.

Institutional Sources of Venture Capital

Following are the institutional sources of venture capital:

- **All India Financial Institutions**
 - The Industrial Development Bank of India has a venture capital division.
 - Industrial Finance Corporation of India's Venture Capital and Technological Finance Corporation is a subsidiary corporation.
 - Industrial Credit and Investment Corporation of India and Unit Trust of India jointly launched a fund worth 20 crores.
- **By State Finance Corporation**
 - Gujarat Finance Corporation is a sponsor of Venture Capital Limited (GVFL).
 - Andhra Pradesh Industrial Development Corporation Venture Capital Limited is a subsidiary of the Andhra Pradesh Industrial Development Corporation (APIDC).
- **By Banks**
 - CAN FIN and Canara Bank are partners in the CAN Bank Venture Capital Fund.
 - SBI Venture Capital Fund is a venture capital fund managed by SBI.
 - The Grindlays Bank-sponsored India investment fund.
 - The Central Bank of India is sponsoring infrastructure leasing.
- **Private Sector Companies**
 - Mafat Lal and Hindustan Lever sponsored the Indus venture capital fund, which is managed by 20th-century venture capital Corporation Limited.
 - V. V. Desai is the founder of the venture capital fund.

Other Sources of Venture Capital in India

Various more sources in India, in addition to the sources, give not only venture money but also various sorts of help and services, such as:

Equality capital

This is where most of the venture financing comes from.

Most venture capital funds in India provide support in the form of equity shares.

However, the sort of assistance provided cannot exceed 49 percent of the entire equity capital.

It's important to remember that the goal of a venture capital firm buying equity shares in a company is to eventually sell them for a profit.

Conditional Debt

The following are the main qualities of the Debt:

- When the project reaches the point of producing sales, the debt is repaid in the form of royalties.

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- On such debts, no interest is paid.
- Venture capital funds impose a royalty of between 2 to 15%.
- When a project becomes commercially sound, the entrepreneur is given the option of paying a high interest rate rather than a fund royalty in these types of sources.

Income Note

This is a type of venture capital that requires the entrepreneur to pay a royalty on sale as well as interest.

The funds are offered as unsecured interest at a rate of 9% at various phases of development.

Establishment of Shares in the Market

This facility is available to small businesses who are unable to access public funds due to the high cost of issuing shares and a lack of developed infrastructure.

The State Bank of India offers several types of services in India.

These institutions purchase the shares of enterprises after a thorough evaluation, in accordance with their rules, bye-laws, and Government of India requirements, with the objective of having the firm issue its own public securities when it reaches profitability in 1-2 years.

Public Proposal in Phases

The Indian government has made this provision available to profit-making businesses.

To that end, plans are made to issue profit-bearing company shares to the public in stages, allowing people's capital to reach the market.

However, such businesses must issue 60% of their shares to stock markets to be listed.

Public Deposits

In India's corporate sector, the importance of public deposits has risen in recent years.

As a result, the entrepreneurs may be able to secure funding for future ventures.

However, the government's recommendations must keep this in mind so that the public is not misled.

Check your Understanding

1. _____ is a sort of private equity and a form of financing provided by investors to startups and small businesses with long-term growth potential
2. _____ At this point, your company should have a working sample product and at least one full-time principal. At this point,, funding is also scarce
3. _____ financing of relatively small but fast developing businesses was

pioneered by venture capital.

4. In general, it takes from 7 to 10 years for a _____ source of financing to pay off. It is the riskiest level of venture capital financing because it is the most recent.
5. _____ strategies are critical since we know that VC investors contribute funds with the intention of exiting after a few years

Summary

- The Venture capital (VC) is a sort of private equity and a form of financing provided by investors to startups and small businesses with long-term growth potential. The most prevalent sources of venture capital are well-heeled investors, investment banks, and other financial institutions. It does not always have to be monetary; it can instead be in the form of technical or managerial abilities. Venture money is typically offered to small enterprises with high growth potential or that have expanded quickly and are ready to expand.
- As a decade of venture capital investment growth declines due to uncertain economic conditions, one thing remains constant: VCs will continue to look for startups that do business in novel ways. Over the last decade, venture money has exploded.
- Billion-dollar exits, the rise of Silicon Valley companies, and enormous sums from SoftBank's \$100 billion Vision Fund fueled a nearly 13-fold increase in annual capital invested from 2010 to 2019, bringing the total to over \$160 billion. Meanwhile, from 2016 to 2018, the number of mega-rounds (investments of \$100 million or more) virtually tripled.
- Seed Capital: You'd be looking for seed financing if you're just getting started and don't yet have a product or a well-organized firm. Few VCs invest at this point, and the amount of money spent is likely to be modest. Study of the market and a prototype product, or administrative set-up fees could all be covered with investment cash.
- Startup Capital: At this point, your company should have a working sample product and at least one full-time principal. At this point, funding is also scarce. This generally includes hiring additional key management, completing further market research, and finalising the item or service before releasing it to the market.
- Early-Stage Capital: You've gotten your business up and running, hired a management staff in place, as well as expansion of sales with a range of two to three years into your business. However at this point, VC money may assist you reach the break-even point in sales, improve productivity, or boost your company's efficiency.
- Expansion Capital: The business is well-established, and you're attempting to locate a venture capitalist to help you take it to the next stage. At this point, funding could assist you expand into new areas or boost one's marketing efforts. You should look for venture capitalists who specialise in later-stage investments.
- Late-Stage Capital: The organisation is doing well in terms of sales and revenue, and you've hired a second level of management. Here at this point you may

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require funds to grow your capacity, enhance the marketing efforts, or enhance the working capital.

- **Bridge Financing:** You can be seeking for a partner to assist you identify an opportunity for a merger or purchase, or to raise money through a public stock offering. There are venture capitalists who specialise in initial public offerings (IPOs), buyouts, and recapitalizations at this end of the business spectrum. If you're considering an IPO, a VC may be able to help with bridge or mezzanine financing, which is short-term funding that helps you cover the costs of going public.
- **Risk versus reward** will be a major consideration for the VC. The larger the inherent risks the longer is the time taken till the VC exits and the earlier a VC invests. As a result, the VC will anticipate a bigger return on investment at this point, often a ten-fold return in four to seven years. A later-stage VC may be aiming for a two- to four-fold return in two years.

Activity

1. Make a power point presentation on types of venture capital

Questions and Exercises

1. Explain venture capital financing in detail.
2. Explain the sources of venture capital financing

Glossary

- **Venture Capital (VC):** The Venture capital (VC) is a sort of private equity and a form of financing provided by investors to startups and small businesses with long-term growth potential. The most prevalent sources of venture capital are well-heeled investors, investment banks, and other financial institutions. It does not always have to be monetary; it can instead be in the form of technical or managerial abilities. Venture money is typically offered to small enterprises with high growth potential or that have expanded quickly and are ready to expand.
- **Bridge Financing:** You can be seeking for a partner to assist you identify an opportunity for a merger or purchase, or to raise money through a public stock offering. There are venture capitalists who specialise in initial public offerings (IPOs), buyouts, and recapitalizations at this end of the business spectrum. If you're considering an IPO, a VC may be able to help with bridge or mezzanine financing, which is short-term funding that helps you cover the costs of going public.
- **Risk versus reward** will be a major consideration for the VC. The larger the inherent risks the longer is the time taken till the VC exits and the earlier a VC invests. As a result, the VC will anticipate a bigger return on investment at this point, often a ten-fold return in four to seven years. A later-stage VC may be aiming for a two- to four-fold return in two years.

Further Readings

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6. Khan M Y. Financial Services. Mc Graw Hill. Tenth Edition.

Check your Understanding - Answers

1. The Venture capital (VC)
2. Startup Capital
3. Early-stage
4. seed capital
5. Exit

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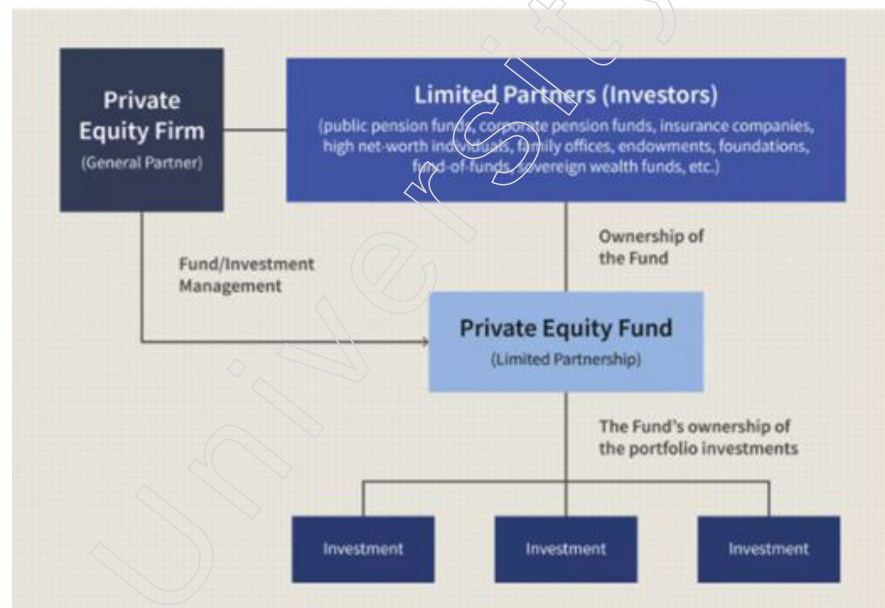
Unit - 3.2: Private Equity

Objectives:

At the end of this unit, you will be able to:

- Understand the basic introduction to private equity
- Understand the private equity vs debt financing
- Understand the ways to invest in private equity
- Understand the economic benefits to private equity
- Understand the difference between private equity & venture capital

Introduction



Private equity is a type of alternative investment that involves money that isn't traded on a public exchange. The private equity funds and investors invest directly in private enterprises or engage in buyouts of publicly traded companies, causing public equity to be delisted. Private equity is funded by institutional and individual investors, and the funds can be used to support innovative technology, make acquisitions, grow working capital, and boost and stabilise a balance sheet.

Limited Partners (LPs) normally own 99 percent of a fund's shares and have limited liability, whereas General Partners (GPs) own 1 percent of the shares and have full liability. The latter is also in charge of the investment's execution and management.

- Private equity is a type of private financing that takes place outside of public markets and involves funds and investors directly investing in firms or buying them out.
- The private equity firms charge management and performance fees to investors in their funds.
- The ease of access to alternative forms of finance for entrepreneurs and

firm founders is one of the benefits of private equity, as is the lack of quarterly performance pressures. The fact that private equity valuations are not determined by market forces negates these benefits.

- From complex leveraged buyouts to startup financing, private equity can take many shapes.

3.2.1 Introduction to Private Equity

In the last 13 years, about \$100 billion has been invested in India's private equity industry. Many businesses have benefited from this important source of capital. Many small and medium-sized businesses have benefited from private equity investments. This has resulted in the creation of job opportunities as well as influencing the development of strategic competencies. Private equity investments poured in at a rate of roughly \$26.5 billion in 2017, and the trend is projected to continue in the coming years.

When investors invest directly in private enterprises, they are referred to as private equity funds. These securities are not traded on stock exchanges and are subject to industry-specific regulations. Private equity investments, on the whole, have long holding periods. As a result, retail and institutional investors who can afford to invest huge sums of money over a longer length of time are attracted to private stocks. This massive sum of money is then utilised by the corporation to support expansions, acquire new technology, reinforce its balance sheet, and so on. These funds have a 10- to 13-year investment term, after which the fund is closed and the money are returned to the partners.

Private equity is a type of investing that involves purchasing a portion or all of a company that is not publicly traded. Before being sold for a big profit, the investment is used to increase value and improve performance. Early-stage enterprises needed private funding to help them grow, which led to the development of private equity investing.

Due to the obvious attractive profits, increased focus on governance, and unpredictable public equities markets, private equity investing has expanded in recent years.

What are Private Equity (PE) Funds and How Do They Work?

Private equity funds invest in private companies that are not publicly traded in exchange for a portion of their ownership. When unlisted companies are unable to fund themselves through the issuing of equity or debt instruments, or venture capitalists, they typically turn to PE funds. These firms provide a diverse portfolio to investors, lowering the risk factor. A PE Fund's investment term extends from 4 to 7 years. The corporation expects the investors to exit the investment after 7 years and receive good profits.

The Benefits of Investing in Private Equity Funds (PEFs)

Potential that has yet to be realised

Private equity investments in companies offer a lot of untapped potential. Investing in unlisted privately-owned companies with high development potential might yield decent returns for investors. Investors can also invest in companies that aren't doing

Notes

well on the stock market but will eventually go private.

A Strict Selection Process for Companies

Private equity firms are extremely picky about which companies they invest in, and they devote a tremendous amount of time and resources to evaluating them. They are also concerned about the risk factor and make steps to reduce it. They look for companies that present investors with all of the necessary attributes after filtering all of the probable companies.

Clear Accountability

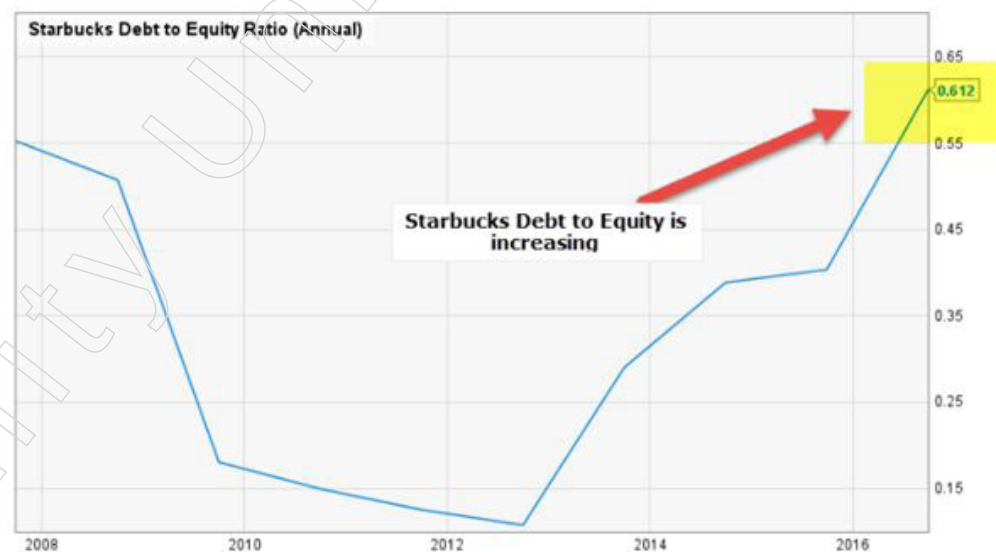
Management teams of private equity-owned enterprises are accountable to an engaged professional shareholder who does have the right to protect and act on their shareholding.

3.2.2 Private Equity vs Debt Financing

Debt Financing vs Equity Financing

The main distinction between debt and equity financing is that debt financing is the process by which a company raises cash by selling financial instruments to investors, whereas equity financing is the method by which a company raises capital by selling its shares to the public.

In 2009-10, Pepsi's debt to equity ratio was around 0.50x. However, it began to rapidly rise and is now at 2.792x. So, how does this affect Pepsi? What caused its debt-to-equity ratio to skyrocket? What is the main distinction? What impact does it have on the company's financial strength?



What is Debt Financing?

Debt refers to the act of borrowing money, and debt financing refers to the act of borrowing money without relinquishing ownership rights. Debt finance entails paying both the interest and the principal on a set date; nevertheless, there are tight terms and agreements in place because if the debt requirements are not met or are breached, harsh repercussions will be imposed.

The interest rate and the maturity or payback date of loan borrowings are usually predetermined or pre-discussed. The principal might be repaid in full or in part, depending on the terms of the loan agreement. Debt can take the form of a loan or the sale of bonds; nevertheless, neither alters the terms of the borrowings. According to the terms of the agreement, the money lender can get his money back. As a result, lending money to a firm is usually risk-free, because you will almost always get your principal back, as well as the agreed-upon interest.

Debt finance can be secured or unsecured. Security is usually a guarantee or assurance that the loan will be paid back, and it can be of any sort. Some lenders, on the other hand, will offer you money based on your idea or the goodwill associated with your name or brand. Various sorts of security can be supplied to obtain debt finance based on security, or debt finance can also be obtained as a type of unsecured loan.

What is Equity Financing?

To grow, the organisation requires cash or new funds on a continuous basis. Debt or equity financing can be used to raise these money. Let's talk about equity financing now that you've learned about debt financing. Equity financing, as opposed to debt financing, is a method of raising capital by selling the company's stock to the financier.

When you sell stocks, you're giving the financier a share of the company's ownership. The percentage of ownership provided to the financier is determined by the amount of money invested in the business. Finance is essential for every business and at every stage of its development, whether it is a startup or an established corporation.

The term "equity finance" refers to a company's ownership. Companies prefer equity financing since the investor takes all the risk, and in the event of a business failure, the investor suffers a loss as well. However, a loss of equity is a loss of ownership because stock allows you a say in the company's operations, especially during difficult times.

Aside from ownership rights, the investor also receives future profit claims in the company. The satisfaction of equity ownership can take several forms; for example, some investors are content with their ownership rights, while others are content with dividend payments. Some investors, on the other hand, are pleased with the company's stock price increase.

Investing in a company can be done for a variety of reasons and requirements. For more information, see the notes below.

Key Differences

- Debt financing is the borrowing of debts, whereas equity financing is the raising and enhancement of share capital through the public issue of shares.
- Bank loans, corporate bonds, mortgages, overdrafts, credit cards, factoring, trade credit, instalment purchase, insurance lenders, asset-based firms, and other kinds of debt financing are available. Angel investors, corporate investors, institutional investors, venture capital firms, and retained earnings, on the other hand, are sources of equity funding.
- In comparison to debt financing, equity financing is less hazardous. Unless otherwise stated in the agreement, debtors will not be granted the opportunity to

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influence management. Equity holders, on the other hand, will undoubtedly have an impact on management. If the debts are listed in the agreement, they can be turned into equity, however converting equity into debts is very impossible. The term of the indebtedness is fixed, whereas the term of equity financing is unknown. Debts have a maturity date, and they must be paid at a specified rate of interest. Equity financing, on the other hand, has no set maturity date and requires the payment of dividends on a regular basis, and only when the company is profitable.

Comparative Table

Base of Difference	Debt	Equity
Meaning	Funds borrowed from financiers without giving them ownership rights;	Funds raised by the company by giving the investor's ownership right;
What is it for the company?	Debt finance is a loan or a liability of the company.	Equity finance is an asset of the company, or the company's own funds.
What does it reflect?	Debt finance is an obligation to the company.	Equity finance gives the investor's ownership rights.
Duration	Debt finance is comparatively short term finance.	Equity, on the other hand, is long term finance for the company.
Status of the lender	Debt financier is a lender to the company.	The shareholder of the company is the owner of the company.
Risk	Debt falls under low-risk investments.	Equity falls under high-risk investment.
Types of financing	Debt financing can be categorized by Term Loan, Debentures, Bonds, etc	Shares and Stocks can categorize equity.
Investment Payoff	Lenders get paid to interest over and above the principal amount financed.	Shareholders of the company get a dividend on the ratio of shares held/profit earned by the company.
Nature of the return	The interest payable to the lenders is fixed and regular and also mandatory.	Dividend paid to the shareholders is variable, irregular as it completely depends on the profit earnings of the company.
Security	Security is required to secure your money. However, several companies raise funds even without giving security.	No security is required in case of investing in a company as the shareholder gets ownership rights.

3.2.3 Why do Companies seek Private Funding?

Companies can benefit from issuing in the private placement market by maintaining

secrecy, gaining access to long-term, fixed-rate funding, diversifying financing sources, and expanding their financing capacity.

“Why would I issue a private placement?” is one of the most prevalent queries we hear from CEOs and CFOs. A private placement is an alternative to traditional capital sources such as bank debt or issuing securities on the public bond market for both public and private companies to raise capital through the private sale of corporate debt or equity securities to a limited number of qualified investors (aka lenders).

Here are our top 11 reasons to issue a private placement:

- **Privacy and Control**

Companies that value privacy can benefit from private placements. Unlike public debt and equity offerings, which necessitate public filings, disclosures of corporate information, and disclosures of financing documentation and terms, private placement agreements are conducted in confidence, with limited public disclosure requirements. Companies would not be obligated to public shareholders if they used a private placement.

- **Long Maturities**

Private placements offer longer maturities than traditional bank financing. They're great for businesses that want to stretch or layer their refinancing obligations beyond the standard 3-5-year bank tenor. Longer maturities also allow for less amortisation, which can be appealing to businesses looking to invest in capital assets, acquisitions, and/or projects with a longer investment return runway.

- **Fixed Rate**

Private placements are typically offered at a set interest rate to reduce interest rate risk. Fixed-rate financing allows businesses to avoid the risk of floating-rate coupons rising in value if underlying interest rates rise. Companies can usually dedicate the cost of loan capital for specific project financings, acquisitions, or big capital investment programmes with a fixed coupon.

- **Diversify Capital Sources**

Private placements aid in the diversification of a company's capital sources and capital structure. Insurance firms and other major institutional investors' investment appetite in the private placement market is often unaffected by many of the market conditions that influence bank lending activity. Because the terms of private placements can be modified, they are often designed to supplement existing bank credit facility capacity rather than compete directly with them. Companies can improve their access to debt capital by creating capital access in both the private debt and bank markets. During market cycles when bank liquidity is constrained, diversification of financing sources becomes even more critical.

- **Additional Capacity**

Many businesses make private placements because they have outgrown their borrowing capacity and want cash beyond what their current lenders (banks, private equity firms, and other financial institutions) can give. Private placements are primarily

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focused on cash flow lending parameters and can be done on a secured or unsecured basis, depending on the issuer's current capital structure.

- **Buy-and-Hold**

Private placements are often "buy-and-hold," which means the debt investment isn't obtained with the intention of reselling to a third party. As a result, borrowers who use a private placement benefit from the option to maintain a long-term connection with the same investor over the duration of the loan.

- **Ease of Execution**

Both privately held middle-market enterprises and huge public companies commonly complete private placement financings. These transactions give issuers access to financing on a par with underwritten public debt offerings, but without the need for preconditions like ratings, public registrations, or minimum size criteria. For public companies, private placements can provide better execution and structural flexibility than the public market for small issuance sizes.

- **Cost Savings**

In many cases, a company can make a private placement for a substantially cheaper all-in cost than a public offering. The Security and Exchange Commission (SEC) registration, legal documentation, and underwriting fees for a public offering can be costly for public issuers. Furthermore, unlike banks, which frequently rely on supplementary services and fee creation to boost investment returns, private placement lenders rely only on the yield from the notes they buy. Private placements can be a very appealing alternative to the public debt market when you consider the yield-equivalent savings on avoided underwriting fees, as well as the yield premium frequently associated with first-time issuers and small issuance premiums.

- **Fewer Investors**

Unlike when corporations issue debt securities on the open market, where they may deal with hundreds of investors, private placement deals typically involve fewer than 10-20 investors, and in many cases, are completed with a single large institutional investor. This technique can significantly reduce issuers' investor tracking load while also allowing them to focus their investor relations efforts on a few key financial partners.

- **Familiar Pricing Process**

The price of private placement debt transactions follows a similar pattern to that of public securities. The underlying U.S. Treasury rate corresponding to the tenor of the notes issued, plus a credit risk premium (a "credit spread"), is reflected in the coupon set for fixed-rate notes issued. This procedure ensures that institutional investors' approach to determining the transaction's economics is as transparent as possible.

- **Speed of Execution**

The rise and maturity of the private placement market has resulted in enhanced paperwork standardisation, pricing and terms transparency, and increased funding capability. As a result, the private market can handle transactions ranging from \$10 million to \$1-\$2 billion. When this is combined with standardised documentation and a smaller pool of investors, an investment can be completed in as little as 6-8 weeks (for

an initial transaction, with follow-on financings executed within a shorter time frame). As previously stated, issuing a private placement vs a public corporate bond can be faster (especially for first-time issuers) due to the absence of prospectus preparation, rating agency diligence, and SEC registration procedures.

3.2.4 Risks of Private Equity

A private equity firm's and/or portfolio company's value can plummet before they have a chance to react. Risk is inherent in investing, but the problems facing private equity now extend far beyond uncertain economic cycles and volatile markets. Strategic, operational, and external risks are all potentially disruptive forces that can wipe out everything you've worked so hard to achieve in the twinkling of an eye.

Risks abound for private equity businesses, ranging from disruptive technology and cybercrime to fraud and regulatory compliance. And these dangers are appearing at an ever-increasing rate. News, especially bad news, travels almost instantly around the world, giving private equity firms and their portfolio companies little time to react before the consequences are felt.

These companies must monitor and handle the expanding hazards, but this has proven difficult. The focus and resources of many private equity companies are not matched with controlling the industry's rising risks.

- **Technology Risk**

Information security is only one aspect of managing technological risk. Changing technologies provide an opportunity for private equity firms to deliver business value, predict challenges, and support the firm's growth. Technology risk management must not just measure the PE firm's risk exposure, but also the risk exposure of the firm's portfolio of firms, to be effective. A portfolio company's risk is a risk for the PE firm as well. Technology risk management practises must adapt as quickly as technology expands and evolves.

- **Third Party Risk**

Private equity firms frequently hire third parties to undertake services as their interests grow. As a result, PE businesses are increasingly exposed to outside contractors, who can quickly harm the firm's reputation and investments. Third parties are necessary for operations, but financial services regulators have made it plain that outsourcing tasks to third parties does not absolve the PE company of duty.

- **Fraud and Misconduct Risk**

Firms that are eager to sell a portfolio firm may fall victim to fraud perpetrated by third parties. For companies with stakes in international markets where fraud, bribery, and corruption are common, this risk might be amplified. With their limited partners and regulators, private equity firms and funds have a long tradition of transparency. When it comes to potential fraud or misbehaviour issues, transparency is crucial.

- **Cyber Risk**

Employees, third parties, and other outsiders all pose cyber hazards to private equity organisations. Attacks have become so regular that some PE firms believe that increasing security spending will not dissuade them. However, we believe that this

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short-sighted strategy only renders these businesses more vulnerable to cyber-attacks and exposes them to regulatory penalties.

- **Compliance Risk**

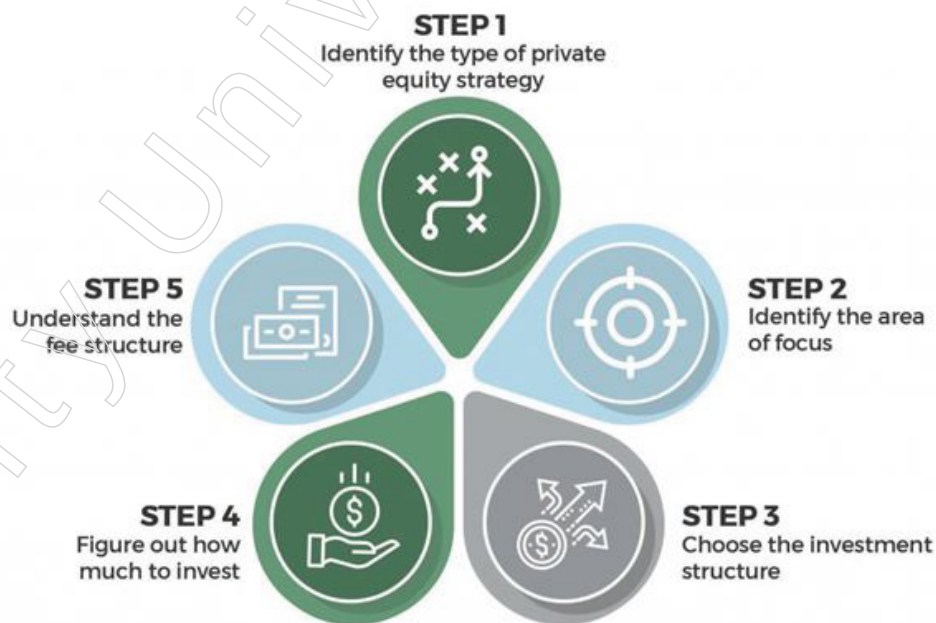
More regulation and monitoring is being imposed on private equity businesses than ever before. Over the last few years, the number of laws, rules, and regulations affecting the private equity industry has increased dramatically. The private equity business model is no longer only based on performance; it must now balance expenses with a responsibility to maintain a strong compliance infrastructure.

- **Crisis Management Risk**

When a corporate crisis occurs, the capacity to respond promptly is critical for maintaining a company's reputation and ensuring continuous success. Fraud, misbehaviour, or bribery allegations can swiftly devalue a private equity firm. Reputations are formed faster than they are destroyed. Because of social media and the speed with which news is disseminated, businesses now have only a few hours to respond effectively. It's critical to always have a crisis management team on standby. Risk management is critical for private equity firms. While it may be costly and time consuming in the short term, it will save the company a lot of money in the long run.

3.2.5 Ways to Invest in Private Equity

Private equity investments are often only available to accredited investors and can provide a layer of diversification not available in public markets.



Step 1: Identify the Type of Private Equity Strategy

Private equity, at its most basic level, is a strategy in which a firm obtains control of a running business. Success is determined by the economy's performance, the performance of the industry in which the company operates, and the strength of the company's underlying growth.

Risks include an economic downturn, the instability of excessive debt, and the company's inherent commercial risks.

Private equity, on the other hand, has discrete areas of focus that expose investors to risk-and-return profiles that are slightly different from those described above. The following are examples of private equity investments:

Venture Capital

Both venture capital and private equity funds invest in private companies. Venture capital, on the other hand, invests in companies that are still in the early stages of development.

Furthermore, their ownership may be insufficient to exert control over management. Instead, venture capital firms often hold ten percent or more of a company and can assist management. As a result, if an early-stage company achieves tremendous growth, the return profile may be significantly better than private equity. However, the chances of failure are also higher.

Debt is less of a factor in this case since early-stage companies have less leverage due to less consistent cash flows or the utilisation of hard assets. In terms of risks and rewards, venture capital is so different from private equity that it is regarded a separate asset class.

Growth Equity

Growth equity is a sort of private equity investment that is made in companies that are larger than start-ups but smaller than established corporations. These firms require assistance in growing and are looking for partners to help them professionalise their operations or bring funds to invest.

Growth equity managers may have to share ownership and control with the present management team, limiting their ability to influence the company. Furthermore, compared to larger companies, growth equity firms use less debt.

Leveraged Buyouts

The most typical type of private equity strategy is a leveraged buyout (LBO).

These can be large transactions, with large private equity firms acquiring well-known and significant enterprises. The \$27.8 billion acquisition of Harrah's Entertainment by Apollo Global Management and TPG Capital in 2006 is an example of a major buyout. KKR, Blackstone, and Warburg Pincus are just a few of the well-known PE firms that have invested in very big LBOs.

LBOs can also be done by private equity firms on smaller transactions that target a certain market niche.

Step 2: Identify the Area of Focus

PE firms occupy diverse niches within the above-mentioned private equity strategies, trying to operate in less competitive markets. Private equity managers need to find these niches if they want to make a lot of money for their investors.

Notes

Lower-Middle Market

The size of the company that a private equity firm buys is one of the most typical areas of attention. Private equity managers may choose to invest in the 'lower-middle market,' which is a strategy in which they seek out companies that are too tiny for larger private equity firms and thus discover better deals.

We spoke with a highly astute lower-middle market manager, and he detailed this strategy on our podcast, which you can listen to [here](#).

Combining a low acquisition price, rapid growth of these enterprises, and a high sale price can greatly increase returns. In addition, a focus on the lower middle market makes for good private equity investments for small investors.

Industry Specialization

Industry specialisation is another niche. Private equity firms are increasingly concentrating their efforts on specialised businesses in which they have substantial experience and connections.

These private equity funds may offer a unique perspective on how a specific industry is evolving, as well as a vision for what successful enterprises should look like. Private equity managers can focus on certain niches and outperform, making these investments worthwhile.

Step 3: Choose the Investment Structure: Independent Sponsors versus Committed Funds



Independent sponsors and committed (commingled) funds are two prevalent investment formats in the private equity business.

Independent Sponsors

Independent sponsors, on the other hand, do not have committed funds and instead rely on a network of investors. On a deal-by-deal basis, these firms identify investment possibilities and then seek funding to fund their purchases.

Investors gain from the fact that they maintain discretion and control over which investments they make. They also avoid the risk of 'capital calls' occurring at inopportune times. Finally, the fee structures for these investments may be more favourable than those for committed funds.

Committed Funds

These funds' investors have given up control over acquisition targets to the private equity managers. As a result, when a private equity management issues a capital call, investors must fund their commitments regardless of their feelings about the acquisition.

Because an investor's cash is combined with that of other investors in the same pool, these funds are sometimes known as 'commingled' vehicles. The investor benefits from this arrangement since it is more hands-off. They can spend less time on due diligence on each deal after they have gained confidence in the private equity fund.

Before attempting to raise a fully committed fund, independent sponsors typically seek to establish a track record by executing successful deals on a deal-by-deal basis. Some independent sponsors, on the other hand, are willing to never raise committed funds.

Step 4: How Much Money Do You Need to Become a Private Equity Investor?

Depending on an investor's circumstances, the amount of money they can put into private equity can vary substantially.

How Can You Become a Private Equity Investor?

Private equity can only be purchased by accredited investors (those with a net worth of at least \$1 million).

As an investor's wealth grows, he or she may decide to devote a larger amount of their portfolio to private equity. However, because of their extended investment horizons, PE investments have a limited amount of liquidity (i.e., five years or more). As a result, investors should be able to satisfy their daily financial obligations without having to tap into their private equity assets.

A 'capital call' occurs when a private equity firm identifies and executes a deal, then calls on investors to fund their original financial commitment to the fund. As a result, investors must be certain that they will have access to the committed amount at the time of the capital call.

Minimum Private Equity Investment Amounts

Private equity investment minimums might be substantial; however, they vary widely depending on the fund's size. Other factors that influence minimums include the fund's reputation or history, the strategy it employs, and the investor's relationship.

With a net worth of \$20 million to \$30 million, it is not uncommon for minimum PE investments to be in the \$1 million area. (Assumes an investor wants to work with a few private equity companies and allocates 10% of their portfolio to private equity.)

However, there are low-cost PE investments as low as \$250,000 that can operate exceptionally profitable niche models, bringing the required net worth below \$10 million.

Small investors can use these structures as private equity investments.

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Step 5: Understand the Fee Structure

Being a successful private equity fund investor necessitates a thorough awareness of the various fees involved.

Private equity managers frequently use variants of the traditional “2 and 20” fee structure found in alternative investing. The “2 and 20” refers to a 2% annual management charge on the total capital payable to the fund. And then there’s another payment of 20% on the profits (usually calculated over a set ‘hurdle rate’ of around 8%).

Variations in this fee structure are becoming more visible as competition for capital develops in the space. Other charges to be aware of are:

- Management fees
- Other fund-level fees
- Access fees (brokers, fund of funds)

PE Fund Fees to Invest in Private Equity

The management fee covers the firm’s continuing expenses, such as personnel wages, consultant due diligence fees, acquisition search fees, travel, and entertainment.

Organizational expenses, operational costs, accounting and legal fees, and fund administration costs are commonly imposed in addition to management fees. Fees may differ depending on the size of the private equity fund (a small percentage for big funds or a larger percentage for smaller funds).

Regulatory requirements compel private equity companies to declare both ‘gross’ and ‘net’ fees when reporting performance to investors. These reporting standards assist PE investors in gaining a better understanding of how complex fee arrangements influenced the results they received.

Access Fees to Invest in Private Equity

Investors should also be aware of the fees that brokers, financial advisors, or fund of funds structures charge to connect them with managers.

Identifying managers is often a difficult task for investors. Advisors or platforms that execute investment transactions may also be of assistance. These intermediaries can charge transaction fees (usually between 1% and 4% of the money raised) or maintenance fees (around 1 percent annually).

These layers of fees can mount and worsen an investor’s return profile due to the opaque nature of the alternative investment industry. As a result, to gain access to alternative assets like private equity, investors rely on personal connections and referrals from friends.

3.2.6 Economic Benefits to Private Equity

- In addition to the increased productivity that comes with higher levels of innovation, private equity helps to provide an enabling environment for the economy as a whole to improve productivity. Companies funded by private equity are at least as resilient as other businesses.

- Private equity allows businesses to maximise their potential. They can drive their development and remain autonomous with the funding provided by private equity firms and their funds. Furthermore, private equity firms typically offer their experience and great contacts to their portfolio companies, which they can leverage. This allows for expansion while also bolstering a company's inventive capacity and competitiveness.
- When compared to publicly traded or family-owned enterprises, private equity-backed companies expand faster, have a more targeted strategy, and have a superior funding structure.
- Infusion of funds: PE firms have huge wallets and can provide the funds needed to support expansion. These companies may give the funds needed to refurbish a facility, purchase new equipment, or start a marketing campaign.
- Expertise: Private equity can help your company find the talent it needs. These are usually hands-on groups that will assist you in achieving new business objectives and increasing the value of your firm. They give professionals who are willing to roll up their sleeves and work with you, whether it's to launch online distribution, secure a government contract, or meet another critical demand in your company.
- Annual mastermind events are held by some PE organisations. These workshops are designed for CEOs and company leaders and provide an opportunity to share best practises and learn about emerging trends. Your route to a new community of peers and significant business connections begins with the proper PE firm.
- Private equity is one option to reward your management team if you're seeking for a way to do so. PE investors want to know that your management team, with all of their skills and experience, will remain in place. To achieve this, they frequently give equitable and worthwhile reward schemes.
- Returns that have been proven. Private equity businesses are masters of value creation. According to a Boston Consulting Group analysis, two-thirds of private equity purchases resulted in at least 20% annual growth for the purchased business, with nearly half achieving profits of 50% or more. Over the last 20 years, private equity has outperformed stocks by 4% in the United States.
- Dedicated to achieving success. Private equity firms have a vested stake in the success of your company. You can count on a PE firm's dedication to ensuring your company's future success if they buy or invest in it.

3.2.7 Managing Risk as an Investor into PE

So, how can private equity firms manage and reduce the risks they face, given all the security threats, resiliency issues, and regulatory pressures? A clear approach is required, one that integrates infrastructure and business resiliency measures to preserve the firm's equity assets while also demonstrating a commitment to operational excellence, which is now seen as a must by industry stakeholders. This plan must include the following elements:

- Contingency Planning: A complete disaster recovery (DR), business continuity planning (BCP), and scenario-based planning strategy for the entire firm,

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such as in the event of a pandemic. It's critical for private equity companies to anticipate the effects of a business disruption and put in place procedures ahead of time to avoid undue harm to the company - whether that harm takes the form of operational, financial, or reputational damage.

- Security Preparedness & Protections: To keep your private equity firm safe from cyber threats, use a comprehensive written information security plan (WISP) as recommended by the SEC, infrastructure security controls and monitoring tools such as active threat protection services and intrusion detection systems, and ongoing employee education, awareness, and training tools to cultivate a security culture that will protect again.
- Third Party Oversight: As previously mentioned, the SEC has now highlighted third-party oversight in two of its recent guidance recommendations (related to cybersecurity and business continuity planning), and as PE firms look to expand their outsourcing efforts and leverage critical third parties such as cloud providers, administrators, and accountants, the importance of maintaining strict oversight of these providers becomes clearer with each passing day. Because private equity companies profit greatly from these outsourced tasks, they should continue to own those relationships and monitor how well each provider manages risk on a regular basis.

3.2.8 Difference between Private Equity & Venture Capital

Venture capital and private equity are two types of financial support used by businesses at various phases of development. Because of their similar concepts, they are frequently mistaken for one another. There is, however, a significant distinction between these two conceptions. Private equity is a big investment in established enterprises, whereas venture capital is a small investment made in the early phases of a company's development. Investors make investments in private equity funds for the objective of making money. Venture capital, on the other hand, refers to funding for projects backed by young entrepreneurs, who are high-risk, and require money to form their ideas.

What is Venture Capital?

- Individuals or investors invest funds in start-ups or small businesses with the goal of launching a new concept and launching a new entrepreneur. All new private enterprises that are unable to secure money from the public sector can turn to venture capital.
- This sort of investment has a significant level of risk, but it is backed by new and highly qualified entrepreneurs. Venture capital firms help start-up businesses get off the ground before they go public.
- It's a common funding method that's occasionally required to raise funds for bank loans, capital markets, or other debt instruments. A Venture Capitalist is this type of investor, and the capital they supply is termed equity capital.

What is Private Equity?

- Private equity can be defined as capital investment in private companies that are not listed on a stock exchange by companies or investors. These funds

are invested in by high-net-worth companies or individuals. These investors buy private company shares or gain the ability to take public companies private and de-list them from public stock exchanges.

- Private equity firms buy existing businesses and help them grow and thrive. Venture capital, mezzanine capital, leveraged buyouts, and growth buyouts are the company's major strategies.
- This company has grown to be an important part of the financial services industry and one of the most appealing funding solutions.

Difference Between Venture Capital and Private Equity

Parameters	Venture Capital	Private Equity
Meaning	These are small investments used to grow the company in their primary stage	It is the investments to those firms which are not listed on any public stock exchange
Investment Stages	Initial stage	Later stage
Fund Invested	In a large number of firms	In a few companies
Industries	Industries such as high technology, energy conservation, etc. that need initial investments	All Industries
Focus on	Management Skill	Corporate Governance
Risk Involved	High	Low
Capital Required	For operations growth	It is required for business expansion and growth

3.2.9 Pre - Money Valuation in case of Venture Capital Financing

What is pre-money valuation

The worth of the Subject Company immediately prior to the investment transaction is known as pre-money valuation. In terms of how to determine the Subject Company's pre-money valuation, it's likely to be negotiated to a figure that both the Subject Company and the investor agree on as a proxy for the company's enterprise worth at the time.

The nature of venture investment is that the Subject Company's worth may be bargained rather than assessed using market, income, or cash techniques of valuation.

Venture capital is a type of investment that is frequently utilised to fund new businesses. The Subject Company could be a startup with no revenue yet; in this case, there are no financial measures to utilise to determine value. This is frequent in technology start-ups; a new application, platform, or technology may have a lot of potential, but it's still in development. Venture capital is sought to give the funds required to get a firm to the finish line and launch the product or service it is producing. Because the product or service's future market success is a complete uncertainty at the moment of investing, the investment and the value of the Subject Company are both highly speculative.

Notes

In this case, the investor will most likely look at comparable companies with a proven track record to make assumptions about the Subject Company's future value, examining EBITDA multiples and stock prices of similar businesses—and taking into account the time it took for similar businesses to reach their current values. These assumptions will define the level of risk the investor is willing to take as well as the investor's pre-money valuation of the Subject Company.

The per-share price of the stock the investor will be purchasing with the investment, and eventually, the portion of the Subject Company the investor will hold, will be determined by the negotiated value of the Subject Company.

VCGiant, for example, has agreed to invest \$10 million in ShoutyFace, a startup social media platform with a pre-money valuation of \$40 million. Prior to VCGiant's investment, ShoutyFace and VCGiant agreed that ShoutyFace was worth \$40 million. VCGiant will own 20% of ShoutyFace after the \$10 million investment, depending on ShoutyFace's post-money worth.

Impact of Pre-Money Valuation On Financing

As previously said, when deciding how much to invest and the pre-money valuation of the Subject Company, an investor will take into account the success of similar companies as well as the time horizon for return on investment.

The extent of the investor's ownership share in the Subject Company, as well as the proportion of the company's current stockholders, will be determined by the pre-money value. The Subject Company will give the investor equity shares in exchange for the investor's capital. This formula determines the price per share (PPS) that an investor pays for a stock:

PPS = Pre-money Value/Fully Diluted Capitalization

All outstanding shares, plus granted stock options, warrants, shares reserved for any employee stock option plans and any increase in share reserves for the plans dictated by the term sheet, as well as all shares issued in consideration for convertible notes and SAFEs, are included in the fully diluted capitalization (simple agreements for future equity).

VCGiant, for example, will invest \$10 million in ShoutyFace based on a pre-money valuation of \$40 million. All outstanding stock, all granted options and warrants, shares currently reserved under an employee option plan, an increase in the shares reserved for the option plan, and all shares issued in consideration for convertible notes and SAFEs are all included in the fully diluted capitalization, according to the term sheet. The completely diluted capitalisation of ShoutyFace is as follows:

Stock	20,000,000 shares
Options	6,800,000 shares
Warrants	700,000 shares
Plan shares (current)	5,000,000 shares
Plan shares (increase)	5,000,000 shares
Note & SAFE shares	5,000,000 shares
Total	42,500,000 shares

The PPS that VCGiant will pay for its stock in this case is:

\$40 million/42,500,000 shares = \$0.9412.

VCGiant's \$10 million investment will buy nearly 10,625,000 shares, giving it a pre-money stake of roughly 25% in ShoutyFace.

PPS and pre-money worth are closely proportional—as one rises or falls, the other falls. The higher the pre-money value, the more an investor will pay per share, resulting in a lower ownership position due to the purchase of fewer shares.

For example, if ShoutyFace's negotiated pre-money value is \$35 million rather than \$40 million, its PPS will be \$0.8235. VCGiant's \$10 million investment will buy more than 12,143,000 shares, putting its ownership stake in ShoutyFace closer to 29% pre-money.

3.2.10 Post Money Valuation in case of Venture Capital Financing

The equity worth of a company after it gets funds from a round of financing is known as post money valuation. Due to the fact that adding cash to a company's balance sheet enhances its stock worth, the post money valuation will be higher than the pre money valuation.



Share Price vs. Equity Value

The overall worth of a company's equity, not the individual share price, is its post-money value. Putting more cash on the balance sheet will affect the equity value, but it will have no effect on the individual share price. This is demonstrated in the example below.

Post Money Valuation Example

The following is a three-part example of how to calculate a company's post-money valuation after a Series X fundraising round.

Notes

Notes

Pre vs Post Money Valuation			
	#1 Pre Money	#2 Series X	#3 Post Money
Enterprise Value	50,000,000		50,000,000
Cash	-	27,000,000	27,000,000
Debt	-		-
Equity Value	50,000,000		77,000,000
Shares Outstanding	1,000,000	540,000	1,540,000
Share Price	\$ 50.00		\$ 50.00
Founders' Shares	350,000		350,000
Founders' % Ownership	35%		23%

1st part

The company listed below is valued at \$50 million in pre-money equity. The company has one million shares issued and consequently a share price of \$50.00 before the round of financing.

2nd part

The company will raise \$27 million in fresh stock at a \$50 million pre-money valuation, resulting in the issuance of 540,000 new shares.

3rd part

The company will add the \$27 million in cash to its pre-money worth of \$50 million to arrive at a post-money valuation of \$77 million (assuming no transaction fees). The company will have 1.54 million shares outstanding after the transaction, therefore its share price will remain at \$50.00.

Pre vs Post Money Valuation			
	Pre Money	Series X	Post Money
Enterprise Value	50,000,000		50,000,000
Cash	-	27,000,000	27,000,000
Debt	-		-
Equity Value	50,000,000		77,000,000

3.2.11 Case Study

VCs and entrepreneurs regularly use the terms “pre-money” and “post-money” valuation.

Pre-money refers to the worth of a company before it obtains outside funding or the most recent round of financing, whereas post-money refers to the value after it receives outside funds or the most recent capital injection. The value of a company before external finance or the most recent round of funding is referred to as pre-money

valuation. Outside funding or the most recent injection are included in the post-money valuation. It's crucial to understand which notion is being discussed because they're both vital in value.

In the future, the discounted cash flow approach will be utilised to calculate a company's pre-money valuation.

These two numbers are also multiplied to get a pre-money valuation:

- i. The price of the company's preferred stock per share
- ii. Prior to funding, the company's fully diluted capital

Example

Before starting a fund-raising campaign

There are 400000 shares of common stock outstanding.

400000 option pool shares issuable under outstanding options + additional shares earmarked for issue under the company's option plan(s)

200000 in Series A finance

Pre-financing fully diluted capital – 1000000

If the company is considering a Series B round of fundraising at a price of \$1 per share,

The company's pre-money valuation is $1000000 \times \$1 = \1000000 .

Money raised = $200000 \times \$1 = \200000 if the company sells 200000 shares of series B capital.

After-fund-raising scenario

There are 400000 shares of common stock outstanding.

400000 option pool shares issuable under outstanding options + additional shares earmarked for issue under the company's option plan(s)

200000 in Series A finance

200000 in Series B funding

Fully diluted capital after financing – 1200000

$1200000 \times \$1$ Equals \$1200000 in post-money value

The pre-money valuation is also included to the capital raised to compute the post-money valuation.

$\$1000000 + \$200000 = \$1200000$ in post-money value

The logo for snapdeal.com, with 'snapdeal' in blue and '.com' in red.

Notes

Post-money value of a contract

These are the many sources of funding that Snap Deal has gotten so far.

Date	Round	Funded By	Amount in \$ million
Jan 2011	1	Nexus VC and Indo-US	12
Jan 2011	2	Bessemer VC along with Nexus and Indo-us	45
Jun 2013	3	E bay	50
Feb 2014	3	E bay	133
May 2014	5	Blackrock, Temasek	100

(Wall Street Journal estimate):

After round 5 fundraising, the post-money valuation is \$1000 million.

\$100 million is the amount invested in the fifth round.

\$1000 million – \$100 million Equals \$900 million in pre-money valuation

Snap deal's post-money valuation after round 4 in February 2014 was \$750 million.

Valuation \$900 million – \$750 million = \$150 million = a 20% increase in three months.

According to Snapdeal's CEO, Kunal Bahl, the company has expanded by 500 percent in the last year and is on track to reach \$1 billion in gross merchandise value this year.

Basic formulae

Post-money Valuation = New Investment * (Total post investment shares outstanding / shares issued for new investment)

Pre-money Valuation = Post-money Valuation – New Investment

Check your Understanding

1. The private equity funds and investors invest directly in private enterprises or engage in buyouts of publicly traded companies, causing public equity to be _____
2. _____ are distinguished by the fact that the money pooled in for the purpose of fund investing is not traded on a stock exchange and is not available for public subscription
3. _____ is a type of fund that invests in tiny, new businesses and startups that have limited or no access to outside financing markets
4. The main distinction between debt and equity financing is that _____ is the process by which a company raises cash by selling financial instruments to investors

5. _____ carry a higher level of risk because individual and corporate investors participate in startups at an earlier stage before their ideas have had a chance to fully materialise.

Notes

Summary

- Private equity is a form of alternative investment that involves money that isn't exchanged on a public exchange. The private equity funds and investors invest directly in private enterprises or engage in buyouts of publicly traded companies, causing public equity to be delisted. Private equity is funded by institutional and individual investors, and the funds can be useful to support innovative technology, make acquisitions, grow working capital, and boost and stabilise a balance sheet. Limited Partners (LPs) normally own 99 percent of a fund's shares and have limited liability, whereas General Partners (GPs) own 1 percent of the shares and have full liability. The latter is also in charge of the investment's execution and management.
- Although private equity can be used to refer to both venture capital and private equity, it is more commonly used to refer to venture capital. The boundary between private equity and venture capital isn't always clear in practise. Diversifying their portfolios, PE and VC firms are investing in more businesses at different stages of development.
- Debt is termed as an act of borrowing money, and debt financing is known as an act of borrowing money without relinquishing ownership rights. Debt finance entails paying both the interest and the principal on a set date; nevertheless, there are tight terms and agreements in place because if the debt requirements are not met or are breached, harsh repercussions will be imposed.
- In most cases, interest rates and repayment terms are already agreed upon or discussed in advance of a loan agreement. Depending on the terms of the loan agreement, the principal may be returned in full or in part. There is no difference between taking out a loan or selling off bonds when it comes to borrowing money. The money lender is entitled receive his money back under the terms of the agreement. As a result, lending money to a company is often risk-free, as you are virtually always guaranteed to get your money back and the agreed-upon interest.
- Selling stock means you're handing over a stake in the company to the investor. Financier's ownership stake is determined by how much money they invest in business. Financing is necessary for any business, whether it is a start-up or an established corporation, at any stage of its development.
- The ownership of a business is referred to as "equity finance." If your business fails, your investors will also lose money. This is why companies prefer equity financing over other forms of financing. A loss of equity, on the other hand, is a loss of ownership because stock gives you a say in the company's operations, especially in difficult times.
- For the economy at large, private equity provides an enabling environment for increased productivity through higher levels of innovation. At the very least, private equity-backed businesses are just as resilient as their counterparts.

Notes

- Investing in private equity allows companies to maximise their potential. With the help of private equity firms and their funds, they will be able to grow and remain independent. It's also common for private equity firms to provide their portfolio companies with access to their expertise and extensive networks. A company's inventive capacity and competitiveness are bolstered as a result of this.

Activity

- Make a power point presentation on the difference Between Angel Investors, Venture Capital & Private Equity

Questions and Exercises

- Explain the concept and risks of Private Equity
- Differentiate between Private Equity vs Debt Financing
- Explain the Ways to Invest in Private Equity

Glossary

- Private Equity:** Private equity is a type of alternative investment that involves money that isn't traded on a public exchange. Private equity funds and investors invest directly in private enterprises or engage in buyouts of publicly traded companies, culminating in the delisting of public stock. Private equity is funded by institutional and individual investors, and the funds can be used to support innovative technology, make acquisitions, grow working capital, and boost and stabilise a balance sheet. Limited Partners (LPs) normally own 99 percent of a fund's shares and have limited liability, whereas General Partners (GPs) own 1 percent of the shares and have full liability. The latter is also in charge of the investment's execution and management.
- Debt Financing:** Debt financing is when a company sells debt instruments to individuals and/or institutional investors to raise money for working capital or capital expenditures. Individuals or institutions become creditors in exchange for lending money and obtain a guarantee that the principle and interest on the loan will be repaid. Another approach to raise money in the debt markets is to sell stock in a public offering, which is known as equity financing.
- Venture Capital:** Venture capital is a type of finance for businesses as well as an investment vehicle for affluent individuals and institutions. Wealthy investors want to put their money into firms that have a long-term growth potential. This funding is known as venture capital, and the investors are known as venture capitalists; in other words, it is a mechanism for businesses to acquire funds in the short term while investors expand their wealth over time. Venture capitalists typically invest in early-stage companies, which are riskier due to their illiquidity, but have the potential to produce substantial profits if invested in the right venture. A venture capital firm can fund a company by investing in equity and capital gains, participating in debentures, and granting conditional loans.
- Angle Funds:** Angle Funds are mutual funds in which investors known as 'Angels' pool their money. This pooled sum is subsequently invested in large amounts in startups, giving the investors greater bargaining power. Angel Funds are governed in India under the Securities Exchange Board of India (Alternative Investment

Funds) Regulations, 2012, under Category I of Alternative Investment Funds. Angel funds are grouped together in Category I with venture capital funds, SME funds, social impact funds, and so on.

- **Angel Investors:** Angel investors are well-established and experienced investors with knowledge of the sector. In the usual course of business, traditional venture capital or equity funds are not interested in investing in start-ups or firms in their early phases. This is due to the lack of certainty and track record on the profits from such ventures. Angel Investors play a critical role in such scenarios since they invest their money and their belief in enterprises. Individuals or companies with a high net worth might be angel investors. Angel investors provide much-needed help in the early stages of a business, whereas venture capital funds focus on investing in later stages.

Further Readings

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2. Pathak Bharti. Indian Financial System. Pearson. Fifth Edition.
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4. Gurusamy. Essentials of Financial Services. Tata McGraw-Hill Education. Second Edition, 2010.
5. Anderson, Chishti and Millie et al. The Insurtech Book: The Insurance Technology Handbook for Investors, Entrepreneurs and FinTech Visionaries. Wiley. First Edition, 2018.
6. Khan M Y. Financial Services. Mc Graw Hill. Tenth Edition.

Check your Understanding – Answers

1. Delisted
2. Private equity funds
3. Venture capital
4. debt financing
5. angel funds

Notes

Module - IV: Leasing, Hire Purchase and Credit Rating

Structure:

4.1 Leasing

- 4.1.1 Introduction to Leasing
- 4.1.2 Essential Elements of a Lease
- 4.1.3 Classification of Lease
- 4.1.4 Merits Demerits of Leasing
- 4.1.5 Pricing Method of Leasing -1
- 4.1.6 Pricing Method of Leasing -2
- 4.1.7 Pricing Method of Leasing -3
- 4.1.8 Pricing Method of Leasing- 4
- 4.1.9 Accounting Standards related to Leasing
- 4.1.10 Legal Aspects of Leasing
- 4.1.11 Numerical/ Illustration on Leasing vs Buying- based on NPV
- 4.1.12 Case Study on Leasing

4.2 Hire Purchase

- 4.2.1 Introduction to Hire Purchase
- 4.2.2 Terminologies related to Hire Purchase
- 4.2.3 Historical perspective on Hire Purchase
- 4.2.4 Difference between Leasing & Hire Purchase
- 4.2.5 Forms of Hire Purchase Agreements
- 4.2.6 Accounting aspects related to Hire Purchase
- 4.2.7 Legal Aspects of Hire Purchase

4.3 Consumer Credit

- 4.3.1 Introduction to Consumer Credit
- 4.3.2 Sources of Consumer Credit
- 4.3.3 Factors affecting demand for Consumer Credit
- 4.3.4 Merits & Demerits of Consumer Credit

4.4 Credit Rating

- 4.4.1 Introduction to Credit Rating Concept
- 4.4.2 Historical Background of Credit Rating
- 4.4.3 Types of Credit Rating
- 4.4.4 Credit Rating Methodology
- 4.4.5 Credit Rating Methodology
- 4.4.6 Advantages and Limitations of Credit Rating
- 4.4.7 Credit Rating Agencies in India
- 4.4.8 Factors Affecting Credit Score
- 4.4.9 Difference Between Credit Score & Credit Rating

Unit - 4.1: Leasing

Notes

Objectives

At the end of this unit, you will be able to:

- Understand the basic introduction to leasing
- Understand the basic terminologies related to leasing
- Understand the types of leasing and its pricing
- Understand the accounting standards related to leasing
- Understand the legal aspects of leasing

Introduction



Leasing is a special type of short-term borrowing. Companies must go global in the context of globalisation. They must diversify, extend, and update their firm to do this. This would necessitate a significant financial expenditure. Entrepreneurs are no longer willing to put their investments in factories and machinery on hold.

Instead, they explore for different ways to fund the projects. Leasing has recently arisen as a third key source of intermediate and long-term financing for corporate enterprises, in addition to debt and equity financing.

Leasing is a method for a company to get the use of certain fixed assets in exchange for a series of contractual, monthly, tax-deductible payments. A lease is a contract in which the lessee pays the owner to secure the use of physical property for a set length of time. The lessee is the person who receives the services or assets under the lease agreement, while the lessor is the person who owns the assets. A tenancy is a legal agreement between a tenant and a landlord that might be for a specific or indefinite amount of time (called the term of the lease). Rent is the consideration for the lease.

Notes

Lease finance is defined as a “contract between lessor and lessee whereby the former acquires the equipment/goods/plant as required and specified by the lessee and passes on the goods to the lessee for use for a specific place and in consideration promises to pay the lessor a specified sum in a specified mode at specific interval and at a specified place.”

4.1.1 Introduction to Leasing



Leasing has become a popular method of financing industrial equipment all around the world. Leasing has emerged as an important additional source of funding in India, and it is gaining traction among businesses. A slew of non-banking financial enterprises have sprung up, and many major banks have launched wholly-owned leasing divisions. Leading financial institutions have also entered the leasing and financing of equipment market. The significance of leasing cannot be overstated. The leasing method enables you to own and operate an asset without really owning it.

It is a type of finance in which large capital investments are replaced by recurring rental payments. In a typical leasing transaction, the lessor buys the title to the leased equipment by paying the full market value for the asset designated by the lessee, and then leases it to the lessee under a lease agreement for a period often less than the item's depreciable life. An asset can be acquired using lease financing without incurring the initial purchase cost by simply paying lease rentals over a specified period of the lease contract.

It's essentially an off-balance sheet financing, with neither the asset transaction nor the loan appearing on the financial statement. The payment of periodic lease rentals will be recorded as a business expense in the financial position statement. It's essentially a contract in which the asset's owner (the lessor) offers another party (the lessee) an exclusive right to use the asset for a certain length of time in exchange for a set amount due on a regular basis (lease rents) over the lease period. The lease transaction might be compared to the owner of the asset extending an instalment credit to the person who is utilising the asset, but without surrendering title of ownership.

A lease is a contract between a lessor (the asset's owner) and a lessee (the asset's user) in which the owner grants the user the right to use an asset for a set period of time in exchange for a fee called the lease rental. The lessee pays the lessor the rental in instalments over a period of time.

A lease is a contract in which the owner (lessor) of equipment conveys the right to use the equipment to the user (lessee) for a specified length of time in exchange

for a rental fee. Unless there is a provision for transfer of ownership to the lessee, the assets revert to the lessor at the conclusion of the lease period. In most cases, the lessee is responsible for guaranteeing and maintaining the asset. The main distinction between a lease transaction and other asset financing plans such as hire purchase in India is that a lease contract does not allow for the transfer of ownership from the lessor to the lessee, whereas other asset-based financing plans do. As a result, the tax and accounting features of leasing agreements differ from those of other types of financing

4.1.2 Essential Elements of a Lease

Commercial lease agreements can be complicated legal documents at times. It is critical to understand how these types of contracts will affect you and your business, whether you are the landlord or the tenant. Before signing any business leasing agreement, it's critical to comprehend the contract's sometimes-complex terms.



The following is a list of often used terms, as well as their definitions, that you may encounter in your lease offer:

Term: The amount of time the tenant will rent the property from the landlord.

Rate: The rate per square foot that is being requested in respect to a certain piece of property (for example, John has chosen to market his property at a \$8.00 per square foot rate).

Lessee: The person to whom the lease is given. Also referred to as the "tenant."

Lessor: The person who issues the lease. Also referred to as the "landlord."

Early Occupancy: A period of time during which a tenant is permitted to occupy a space prior to the start of their lease.

Tenant Improvement Allowance: The amount of money that the landlord contributes to the tenant's space renovations. Any fees in excess of this amount will be paid by the tenant.

Commencement/Start Date: The landlord's and tenant's rights and obligations under the lease agreement commence on the date specified in the lease agreement.

Sub-lease: When a tenant rents space to a third party for a portion of the present tenant's lease contract, it is known as a sub-lease. In most sublease agreements, the original tenant retains the covenant on the lease in the event that the sublessee fails

Notes

4.1.3 Classification of Lease

1. Financial Lease

Financial leases are long-term, non-cancellable lease contracts. The most important feature of a financial lease agreement is that it includes a clause in which the lessor undertakes to transfer title to the asset at a nominal cost at the conclusion of the lease period. At the end of the lease, the lessee must have the opportunity to purchase the item he has used. The lessor recovers 90 percent of the asset's fair value as lease rentals under this lease, and the lease period is 75 percent of the asset's economic life. The lease agreement is final and non-negotiable. Practically all of the risks associated with asset ownership, as well as all of the benefits that come with it, are transferred to the lessee, who is responsible for upkeep, insurance, and repairs. The lessor retains only the title deeds. The term 'financial lease' is sometimes used to refer to a capital lease. Financial leases are quite prevalent in India for high-cost, high-technology equipment.

2. Operational lease

In practically every way, an operating lease differs from a financial lease. The lessee has just a limited right to use the asset under this lease arrangement. The lessor is in charge of the asset's upkeep and maintenance. There is no option for the lessee to buy the asset at the end of the lease tenure. The lease is typically for a short amount of time and is revocable at any time. Because the rate of obsolescence in these types of assets is relatively high, mines, computer hardware, vehicles, and autos are considered to be suited for operational leasing.

3. Sale and lease back

It's a type of financial leasing. The owner of an asset sells the item to a third party (the buyer), who then leases the asset back to the owner in exchange for lease rentals. However, the assets are not physically traded under this arrangement; instead, everything is done through records. This is merely a transaction on paper. A sale and leaseback deal is appropriate for assets that do not depreciate but do appreciate, such as land. The advantage of this strategy is that the lessee can be totally satisfied with the asset's condition before converting the sale to a lease agreement after taking possession of it.

4. Leveraged leasing

A third party is involved in a leveraged lease transaction, in addition to the lessor and lessee. The lessor borrows a portion of the asset's purchase price (say, 80%) from a third party, the lender, and the asset is used as collateral for the loan. The lessee pays the lender directly from the lease rentals, and the surplus after the lender's demands are met goes to the lessor. The lessor, as the asset's owner, is entitled to a depreciation allowance for the asset.

5. Direct leasing

Direct leasing is when a company buys the right to utilise an asset directly from the manufacturer. The manufacturer retains ownership of the asset that is leased out. Manufacturers, financial businesses, independent lease companies, special purpose leasing companies, and other direct lessors are among the most common.

4.1.4 Merits and Demerits of Leasing

Notes

Merits of Leasing

1. Leasing allows you to own and use new machinery or equipment without making a massive financial investment.
2. Leasing allows firms to keep their cash reserves safe.
3. Lease agreements require smaller, more frequent payments, allowing firms with limited capital to better manage their cash flow and respond to changing economic situations.
4. Leasing also allows companies to upgrade assets more regularly, ensuring that they have the most up-to-date technology without having to make further financial investments.
5. It provides the flexibility of matching the payback duration to the equipment's useful life.
6. Considering asset finance agreements cannot be revoked by lenders and repayments are often fixed, it gives firms peace of mind and certainty.
7. They can, however, be configured to offer extra perks such as equipment servicing or variable monthly payments based on a company's needs.
8. It's simple to get because it's backed by the asset being funded, rather than other personal or business assets.
9. The rental, which can occasionally surpass the asset's purchase price, can be paid out of the revenue earned by its use, which has a direct impact on the lessee's liquidity.
10. Instalments on a lease are just for material costs.
11. The lessee can acquire the leased item at a reduced cost if they choose the purchase option, as they will pay the asset's residual or non-depreciated value.
12. For the national economy, this method of financing enables access to cutting-edge technology that would otherwise be unavailable due to high pricing and difficult to obtain through loan agreements.

Demerits of Leasing

1. It is an ineffective method of project financing because rental is due quickly after signing a lease agreement, whereas new projects earn income only after a protracted gestation time.
2. Some tax benefits, incentives, and subsidies may not apply to leased equipment.
3. During the lease time, the value of real assets (land and buildings) may increase. In this situation, the lessee could miss out on a potential capital gain.
4. Financing costs are often greater than debt financing costs.
5. For a pre-closing lease agreement, a manufacturer (lessee) must pay a significant penalty to the lessor.
6. There is no single law that governs leasing transactions.

Notes

7. Due to the lessor's economic power in less developed legal systems, leasing agreements might result in inequality between the parties, leading to the lessee accepting an unfavourable contract.

Benefits/Importance of Leasing

1. 100% funding is available.

If you are short on cash and want to start a new business, you can get 100% financing. The terms are set up in such a way that the advantages of leasing include access to all equipment and assets without having to pay anything up front. Yes, you will have to pay the lease payments according to the terms and conditions, but it will not be at the start of a new enterprise when you are scrambling to meet all the deadlines. The lessee faces no real obstacles because he will be paying the lease payments from the increased earnings that the organisation will generate at the start of the lease.

2. There is no chance of obsolescence.

The lessor owns the asset that an individual is utilising in accordance with the conditions of a lease arrangement. He is the one who is exposed to obsolescence, whilst the lessee gains from leasing. If a new version of the asset you're utilising becomes available, you may effortlessly switch from the old to the new. You can set up new leases to stay current with new technology rather than buying new equipment and putting your money on hold. The lessor's headache is upgrading his assets to new and faster ones.

3. Flexibility

Asset flexibility is a significant benefit of leasing. A corporate entity might use an asset for a specific length of time or for the duration of the asset's life. It is not his problem to locate a buyer when he no longer wants to utilise it. He only has to return it to the owner in accordance with the lease terms. The lease rents are structured in such a way that the lessee's requests and position are readily accommodated. He can now pay using the money he earns after he's used it. One of the most important advantages of leasing is that it allows the lessee to choose the payment period.

4. Finance at a low cost

One of the most significant advantages of leasing is that it is significantly less expensive than the other options available to you.

It allows you to use an asset without having to go through the formalities or make monetary payments that come with purchasing one.

5. Reduction in taxes

One of the most significant advantages of leasing is that a lessee can organise his rental payments to take advantage of applicable tax breaks. If you have a high tax rate, you can increase your rental income to lower your taxable income, or vice versa. All of these contributions must be deducted from your income, and your tax will be less than the income minimum. Tax advantages are available to both the user and the owner.

6. Off-balance-sheet financing

Leasing provides off-balance-sheet funding, which is a significant advantage. The lease payment is a liability, but it is not shown on the balance sheet. Any new investor is unaware of any debt or lease payments the company owes because they are not mentioned in the financial statement.

7. Using funds in a different way

Leasing has the advantage of allowing you to use your money in different ways. It enables the lessee to acquire and use plant and machinery, equipment, and other significant assets without depleting the required capital. The money has been saved and may now be put to better use by the business owner. When you utilise leased equipment, it improves your company's capital position.

8. Asset management can be outsourced.

One of the most major benefits of leasing is the ability to outsource asset management. Purchasing assets for a company's operation, growth, and expansion is never easy. The process does not finish here; you must first keep the asset in good working order so that it can produce 100 percent returns. The business owner will then have to dispose of this asset as he sees fit. This is a time-consuming process that will divert valuable resources from other priorities. Leasing will allow you to stretch the expense of the asset while also removing it from your premises.

9. Termination power

When the lease time is finished, the lessee has the option to buy the asset. The advantages of leasing include termination rights, which allow the lessee to be more flexible in his operation. In today's fast-paced world, the concept of "sharing economy" or leasing is gaining popularity, as it allows users to utilise a product under specified terms and conditions without having to pay for it outright. Purchasing assets for use in company activities is costly, yet necessary. Daily survival, growth, and expansion plans all rely on particular assets, and leasing appears to be a blessing in disguise right now.

10. Keep your money safe.

Depreciation on high-profile equipment assets is increasing as technology advances at a faster rate. One of the most significant advantages of leasing is that it provides a corporation with a different source of funding. You can simply lease the equipment you require without having to worry about depreciation. Because you haven't borrowed any money, your borrowing ability stays intact. The current line of credit is still available for use.

4.1.5 Pricing Method of Leasing -1

Setting the right rental pricing methods is crucial to your company's success. If you charge exorbitant prices, you risk losing sales to competition and losing clients. Setting prices too low, on the other hand, can result in tight profit margins or even the inability to meet your production costs. In both circumstances, your company's financial stability is jeopardised.

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A reasonable price establishes the worth of your goods, attracts customers, and secures profit. Setting an effective price plan, on the other hand, is not easy, and there are numerous things to consider. These expenditures include your buy, maintenance, and depreciation charges, as well as a competitive marketplace analysis, identifying and analysing your customers' purchasing habits, and setting your business goals.

An effective pricing strategy will aid you in navigating the break-even period and establishing a long-term profit strategy.

Here's a list of pricing strategies to get you started:

1. Cost plus margin

This is one of the most basic pricing strategies, in which you evaluate the costs of owning the item and then add a profit margin.

Let's imagine the total cost of an asset's upkeep, depreciation, and other expenses is \$50. The owner chooses to add a \$30 margin to the asset and rents it for \$80 per day. It will take roughly 25 days to break even at \$80 per day if it breaks even at 2000 units. The following is a simple formula calculation:

$$\text{Price} = \text{Cost} + \text{Profit}$$

This is one of the simplest ways to cover your expenditures and create a profit, provided that assets are properly maintained, serviced, and made available. It is advantageous for small rental enterprises to continue to operate on a cost-plus margin pricing approach in order to stay afloat in the market.

2. Competitive pricing

Rental enterprises do not exist in a vacuum. They must keep an eye on the competition at all times, which is where competitive pricing comes into play.

This technique is based on the idea of maintaining pricing the same or similar to what other rental companies charge. When your rental company is well-established and has a good market position, this strategy works well.

Customers are more likely to pay a competitive price if your company and items are well-known. Customers may choose to rent from a "known company" if you are new and charge the same price as an established business.



It's easier to examine competitors' pricing models now that e-commerce sales are on the rise and comparison shopping is easier. This data should be used in conjunction with a thorough examination of your target audience and other rental competitors in the market.

1. Price = Competitor's price
2. Price < Competitor's price
3. Price > Competitor's price

Choose one of the three alternatives listed above based on your competitor research. Each pricing strategy has its own set of results that are influenced by a variety of circumstances.

1. To begin, a company that sets the same price as its competitors must offer a unique product or service. Customers will be more likely to choose your product as a result of this.
2. Second, choosing a lower price than the competition will necessitate the company's production costs to be kept to a minimum. This is due to the fact that charging a low price will diminish profit margins in order to boost sales.
3. Third, charging a higher price than the competition necessitates premium product characteristics to justify the higher price.

1. Psychological pricing:

Here are a few psychological pricing examples. "Buy one, get one free," "50 percent off today only!" and "\$1.99 only!" A psychological pricing technique convinces customers that the price of the equipment they're renting is the best, or that it's on sale.



To upsell, businesses might use the psychological pricing technique. Let's imagine a forklift is on sale for \$ 14.99 per day and may be rented for fifteen days. A customer needs a forklift for ten days but is encouraged to rent it out for fifteen days as part of a sale deal. This offer helps both the business and the customer by extending the leasing duration and lowering the price.

2. Bundle pricing

You can group rented assets together and charge a single price for them. Customers profit because they spend less than they would if they rented both things separately.

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If you work in AV rentals, for example, you can package a camera with lenses as a bundled item and charge a predetermined price. Because renting items separately costs more than a bundled deal, the buyer will see this as a cheap offer.

This is a good price strategy for rental companies who know what their best-selling items are and how to package them with basic accessories. This will lengthen the rental cycle for assets and asset stock, resulting in higher profitability.

Setting a price for your rental business strategically takes time and involves thorough market analysis. However, for organisations that want to keep growing and making money, this is one of the most vital instruments. Your rental company's image is enhanced by competitive and fair pricing.

4.1.6 Pricing Method of Leasing -2

Pricing strategies for rental companies: A two-step approach

Setting the correct rental prices is a delicate balancing act. If you under-price your things, you may see a lot of use but not make any money.

Setting the correct rental prices is a delicate balancing act. If you under-price your things, you may see a lot of use but not make any money. If you overprice them, you'll find yourself renting them out less frequently and attracting fewer budget-conscious customers.

At the end of the day, rental firms must do their homework. They must include in purchasing costs, depreciation, maintenance, and other expenditures such as shipping and delivery. However, pricing entails more than just crunching statistics. Calculating when you'll break even requires doing the math, which should be part of the process. Before pricing your rental equipment, it's also critical to grasp the playing field and research the market.

The first step in getting this awareness is to lay out the options available to your customers. You must be aware of their choices. Consider the alternatives that could be used to replace your product. Are you up against consumers who want to buy rather than rent equipment? Maybe your main competitors are companies that rent out identical things. In that scenario, review their rates and look for any discrepancies.

In essence, there are two approaches to figure out the proper pricing for your rental equipment: first, calculate your cost-plus margin and use it as a starting point, then analyse the industry and place yourself somewhere along the spectrum. While most rental organisations employ these strategies separately, they are more effective when

used together. Let's go through them in greater depth so you can develop a solid pricing strategy for your rentals.

Looking in: Cost plus margin

Calculating your cost plus margin is the first method for determining what you need to charge to run a profitable rental business. You can do this by calculating your equipment's total cost of ownership (which includes the elements mentioned at the beginning, such as purchase prices, depreciation, maintenance, and other expenses). You can start looking at margins and setting revenue objectives after you know your break-even threshold. If you require \$40,000 in revenue to break even and \$40,000 in profits, you'll need \$80,000 in sales.

You can start tinkering with the numbers in the next level. If you charge \$80.00 per day for a product, for example, you'd have to rent it out for 1,000 days. You'd have to rent out ten stock items for 100 days apiece if you had a ten-item inventory. Naturally, this is a simplified example with only one product and no discount for longer periods of time. It's all about experimenting with different options until you find something that feels perfect.

While this is a quick and easy approach to look into base prices, it isn't the only one. And, because this method works from the inside out, the formula ignores your clients and competition. As a result, this procedure may not be sufficient in determining the correct number.

Looking out: Research the marketplace

Doing market research is another way to set rental pricing (and acquire additional perspective in the process). The purpose is to establish a baseline for standard practices in your rental business. This can be done by looking at companies that rent out similar things and seeing how they position themselves. Are they a high-end option in the industry? Are they undercutting competitors? Or do they fall someplace in between? Analyzing direct competitors helps you understand who you're up against and may even reveal chances you might have overlooked otherwise.

Apart from researching your competitors, it's also beneficial to learn more about future clients because, after all, they're the ones who will rent from you. What are the rental prices that they are willing to pay? What role does pricing play in their decision-making process? Questions like these can help you get into your consumers' heads and figure out a fair price for your rental equipment. This strategy takes into account external factors and aids in the discovery of pricing-related opportunities in the rental business.

Moving forward and pricing your rentals

There is no one-size-fits-all method for determining the best rental equipment price. Every company has its own set of products, and each market necessitates a different approach. The greatest suggestion is to do your research and figure out what will work best for you and your consumers. You can make an informed decision and set a pricing for your products when you've obtained a thorough grasp of your business and the market, you're in

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4.1.7 Pricing Method of Leasing- 3

The Leasing Revenue Model as well as the Leasing Arrangements

The leasing model typically involves three parties: the seller, the buyer (lessee), and the financier (lessor). Ownership of an item (usually equipment) is transferred from the seller to the lessor in exchange for payment. The lessee then enters into a lease with the lessor for the use of the item in exchange for a monthly fee. When the leasing contract expires, the seller may or may not reclaim ownership of the item.

1. Industries Applicable for Leasing Arrangements:

Leasing arrangements are most common in transactions involving the exchange of expensive physical goods. Leasing arrangements for the use of equipment are common in the clean technology and medical device markets.

2. Goods that are Compatible with Leasing Arrangements:

Medical diagnostic equipment and devices, capital equipment, physical infrastructure and manufacturing equipment are examples of “big-ticket items” that can generate income through leasing arrangements.

3. In the Leasing Revenue Model, Customer Relationships are Important:

Leasing agreements, due to their length, foster ongoing relationships between sellers and lessors. Frequently, a service agreement will exist alongside the leasing arrangement, requiring the seller to provide support to the lessor for the duration of the contract.

4. Considerations for Marketing:

Leased equipment sellers rely heavily on relationship-building and providing excellent customer service. Because contracts are typically for a long period of time, repeat sales to the same customer, often a large health-care, industrial, or energy network, are critical.

5. Lease's Operational Implications:

Quality control is critical because leasing opportunities can only be successful with equipment that retains residual value and has proven reliability and durability over time.

6. Implications for Strategy and Finance:

Leasing revenues can assist the seller in meeting the need for early customers and early revenues, but leasing comes at the expense of the seller's full revenue potential because revenues are split between the seller and the lessor.

The Most Important Metrics

Working with leasing revenue necessitates salespeople concentrating on generating repeat sales in the form of lease renewals or expanded leasing arrangements. The cost of financing is also important to consider, because leasing technology typically necessitates the participation of a financial backer.

The Leasing Model's Advantages and Disadvantages

Leasing is a useful market expansion model because it allows the sale of expensive items to customers who do not want to take the risk of an outright purchase or cannot afford to pay a large upfront sum. However, because of the high transaction and processing costs associated with leasing, it is only appropriate for high-value items. Leasing agreements can also be complicated, and all parties must have a clear understanding of the ownership and payment obligations when a leasing contract is terminated or broken.

4.1.8 Pricing Method of Leasing-4

To remain competitive, industrial enterprises must improve product quality while lowering costs. This cannot be accomplished without modern means of production; therefore, firms must replace morally and physically obsolete equipment on a timely basis. Significant financial resources are required to solve long-term tasks such as re-equipping enterprises with fixed assets.

Leasing has evolved into the most appropriate method of financing business investments. The main advantage of leasing is that it does not provide money, but rather the necessary equipment that can be used immediately in the manufacturing process. Leasing, as a mechanism for alternative financing, plays a significant role in the implementation of strategic tasks for enterprise technical re-equipment.

The total amount of leasing payments for the duration of the lease can be calculated as the sum of its constituent parts:

$$LP = D + CP + \text{Fee} + AS + VAT$$

where, LP = total amount of leasing payments;

D = amount of depreciation due to the lessor in the current year;

CP = payment for the used credit resources by the lessor for the acquisition of property- the object of lease agreement;

Fee = commission fee to the lessor for the provision of property under a leasing contract;

AS = payment to the lessor for additional services to the lessee provided in the leasing contract;

VAT = value added tax paid by the lessee on the services of the lessor.

The amount of depreciation D is calculated by the following equation:

$$D = BV \cdot RD / 100$$

where, BV = book value of property;

RD = rate of depreciation, interest per annum.

The payment for used credit resources by the lessor for the acquisition of property CP is calculated by the following equation:

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$$CP = CR \cdot RL / 100$$

where, RL = interest rate for a loan, interest per annum;

CR = credit resources used for the acquisition of property, payment for which is carried out in the billing year (it is implied that it is related to the average annual residual value of the property).

Payment for additional services AS provided in the leasing contract is calculated as following:

$$AS = E_1 + E_2 + \dots + E_i / T$$

where, $E_1, E_2 \dots E_i$ = expenses of the lessor for each service provided by the contract.

Value added tax amount VAT is calculated as following:

$$VAT = (LP + CP + Fee + AS) \cdot RVAT / 100$$

where, LP, CP, Fee, AS are same as mentioned above

RVAT = rate of value added tax, interest per annum.

To calculate the commission Fee, following methods are implied:

The commission Fee can be calculated as a percentage of the book value of the property:

$$Fee = i^* \cdot BV$$

where, i^* = commission rate, in percent per annum;

BV = book value of property.

The commission Fee can also be calculated as a percentage of the average annual residue value of property:

$$Fee = \frac{RV_b - RV_e}{2} \cdot \frac{R_c}{100}$$

where, RV_b and RV_e are the residual value of the property at the beginning and end of the year, respectively;

R_c = commission rate, which is set as a percentage of the average annual residual value of the property.

The most common method for calculating the leasing payments is when the commission fee is calculated as a percentage of the unpaid property value (balance of debt):

$$Feet = x_t \cdot i$$

where $Feet$ = commission fee in the period t , $t = 1, n$, x_t = unpaid value of the property (balance of debt).

Thus, we can categorise leasing payments based on the following characteristics:

In Terms of Payment Methods

1. in monetary forms (the most common in practice);
2. in a mixed form (in both compensational and monetary form);
3. compensatory (if payments are made for goods produced using the leased asset or by providing counter services to the lessor).

In Terms of Calculation Methods

1. with an advance payment (with a partial prepayment at the time of signing the contract, the respective sums of money are subtracted from the total amount of mandatory leasing payments in the future and the remainder sums are paid in the established order);
2. in the form of a fixed rate, established in monetary terms (the most common option), in natural or mixed terms, as well as in absolute terms;
3. as a percentage of the leased object's value;
4. in the form of share payments (a portion of the proceeds from the sale of products manufactured on leased equipment).

In Terms of Frequency of Payments

1. periodic (according to the parties' agreed-upon schedule, monthly, quarterly, or annual). This method most closely resembles the essence of leasing. A one-time payment converts a leasing transaction into a simple property purchase;
2. one-time (made after the property has been delivered and the acceptance certificate has been signed by both the lessee and the supplier).

In Terms of Contribution of Payments

1. progressive (gradually increasing as the leased equipment develops and the lessee's output volume grows);
2. straight-line (paid in proportionally equal parts);
3. time of year (taking into account seasonality of cash flows of the lessee);
4. regressive (decreases gradually with relatively large payments in the early stages of leasing).

The commission fee is not affected by the payment schedule for lease payments when using the first two methods of calculation. In the third version of the calculation, which is used in leasing companies, the commission fee of the lessee, and thus the total amount of leasing payments, is determined by the leasing payment schedule. The commission fee in leasing companies is calculated as a percentage of the unpaid property value.

The following are the most common methods of leasing payment:

1. Payments that are regressive (the amount of payments decreases during the term of the contract);
2. Annuity payments (the amount of payments is constant);

Notes

3. Seasonal leasing payments (the amount of payments corresponds to the seasonality of the lessee's inflow of funds);
4. Lease payments that are progressive (the amount of payments increases over the term of the contract).

4.1.9 Accounting Standards Related to Leasing

IAS 17 — Leases

IAS 17 Leases specifies the accounting standards and disclosures that lessees and lessors must follow when dealing with leases. Finance leases (which transfer substantially all of the risks and rewards of ownership and give rise to asset and liability recognition by the lessee and a receivable by the lessor) and operating leases (which transfer substantially all of the risks and rewards of ownership and give rise to asset and liability recognition by the lessee and a receivable by the lessor) are the two types of leases that must be classified (which result in expense recognition by the lessee, with the asset remaining recognised by the lessor).

In December 2003, IAS 17 was republished, and it now applies to yearly periods beginning on or after January 1, 2005. As of January 1, 2019, IAS 17 will be replaced by IFRS 16 Leases.

History of IAS 17

Oct-80	Exposure Draft E19 Accounting for Leases
Sep-82	IAS 17 Accounting for Leases
1-Jan-84	Effective date IAS 17 (1982)
1994	IAS 17 (1982) was reformatted
Apr-97	Exposure Draft E56, Leases
Dec-97	IAS 17 Leases
1-Jan-99	Effective date of IAS 17 (1997) Leases
18-Jan-05	Revised version of IAS 17 issued by the IASB
1-Jan-05	Effective date of IAS 17 (Revised 2003)
16-Apr-09	IAS 17 amended for Annual Improvement to IFRSs 2009 about classification of land leases
1-Jan-10	Effective date of the april 2009 revisions to IAS 17, with early application permitted (with disclosure)
1-Jan-19	IAS 17 will be superseded by IFRS 16 Leases

Related Interpretations

IFRIC 4 Determining Whether an Arrangement Contains a Lease

SIC-15 Operating Leases – Incentives

SIC-27 Evaluating the Substance of Transactions in the Legal Form of a Lease

Summary of IAS 17

Objective of IAS 17

The goal of IAS 17 (1997) is to regulate the relevant accounting principles and disclosures for lessees and lessors in regard to finance and operating leases.

Scope

Except for leases for minerals, oil, natural gas, and similar regenerating resources, and licencing agreements for films, videos, plays, manuscripts, patents, copyrights, and similar things, IAS 17 applies to all leases. [International Accounting Standard 17] .2]

However, for the following leased assets, IAS 17 does not apply as a measuring basis: [IAS 17] .2]

Lessors deliver property to lessees under operating leases that is accounted for as investment property and for which the lessee employs the fair value model set out in IAS 40. (see IAS 40) Lessees' biological assets kept under finance leases (see IAS 41) Lessors give biological assets as part of operating leases (see IAS 41)

Classification of leases

If a lease transfers substantially all of the risks and rewards associated with ownership, it is described as a finance lease. Operating leases cover all other types of leases. At the start of the lease, a classification is formed. [International Accounting Standard 17] .4]

The substance of the deal, not the form, determines whether a lease is a financing lease or an operating lease. The following are examples of situations that would generally lead to a lease being designated as a financing lease: [International Accounting Standard 17] .10]

The lessee receives ownership of the asset at the end of the lease term

the lessee has the option to purchase it at a price that is expected to be sufficiently less than fair value at the time the option becomes exercisable that it is reasonably certain that the option will be exercised at the lease's inception

Even if title is not transferred at the inception of the lease, the present value of the minimum lease payments amounts to at least substantially all of the fair value of the leased asset the lease assets are of a specialised nature such that only the lessee can use them without major modifications, the lease term is for the majority of the asset's economic life, even if title is not transferred at the inception of the lease, the present value of the minimum lease payments amounts to at least substantially all of the fair value of the leased

Other circumstances that could lead to a finance lease classification include: [IAS 17] .11]

1. If the lessee has the right to terminate the lease, the lessee is responsible for the lessor's damages as a result of the termination.
2. Gains or losses resulting from changes in the fair value of the residual are passed on to the lessee (for example, by means of a rebate of lease payments)
3. The lessee has the option to renew the lease for a second time at a significantly lower rent than market rent.

Notes

When a lease comprises both land and buildings, the categorization of each element as a financing or operating lease must be determined individually. An important consideration in deciding whether the land element is an operational or a financing lease is that land has an unlimited economic life [IAS 17.15A]. The minimum lease payments (including any lump-sum upfront payments) are allocated between the land and buildings elements in proportion to the relative fair values of the leasehold interests in the land element and buildings element of the lease at the inception of the lease whenever it is necessary to classify and account for a lease of land and buildings. [IAS 17.16]

When the amount initially recognised for the land portion is insignificant, the land and buildings may be considered as a single unit for lease classification purposes and classified as a finance or operational lease. [International Accounting Standard 17 .17] If the lessee's interest in both land and buildings is categorised as an investment property in accordance with IAS 40 and the fair value model is used, separate measurement of the land and buildings elements is not necessary. [IAS 17.18]

Accounting by Lessees

Lessees' financial accounts should adhere to the following principles:

1. Finance leases should be recorded as an asset and a liability at the lower of the asset's fair value and the present value of the minimum lease payments (discounted at the lease's implicit interest rate, if practical, or at the entity's incremental borrowing rate) at the start of the lease period. [IAS 17.20]
2. The finance charge and the decrease of the outstanding liability should be divided equally across finance leasing payments (the finance charge to be allocated so as to produce a constant periodic rate of interest on the remaining balance of the liability) [IAS 17.25]
3. The depreciation strategy for assets kept under finance leases should be the same as for assets bought outright. If the lessee does not have a realistic expectation of obtaining ownership at the end of the lease, the asset shall be depreciated over the shorter of the lease term or the asset's life. [IAS 17.27]
4. Unless another systematic method is better descriptive of the time pattern of the user's benefit, lease payments should be recognised as an expense in the income statement over the lease term on a straight-line basis for operational leases. [IAS 17.33]

Regardless of the incentive's structure or form, or the timing of payments, lessees should recognise incentives for the agreement of a new or renewed operating lease as a reduction in rental expense over the lease period. [SIC-15]

Accounting by Lessors

Lessors' financial statements should adhere to the following principles:

1. The lessor should record a financing lease as a receivable in the balance sheet at the start of the lease period, in an amount equal to the net investment in the lease [IAS 17.36]
2. The lessor shall recognise finance revenue in accordance with a pattern that reflects

a stable periodic rate of return on the lessor's outstanding net investment in the finance lease [IAS 17.39]

3. According to the nature of the asset, assets held for operational leases should be presented in the lessor's balance sheet. [IAS 17.49] Unless another systematic method is more indicative of the time pattern in which the use benefit gained from the leased asset is lessened, lease revenue should be recognised on a straight-line basis over the lease duration. [IAS 17.50]

Regardless of the incentive's structure or form, or the timing of payments, the lessor should recognise incentives for the conclusion of a new or renewed operating lease as a reduction in rental income over the lease term. [SIC-15]

Manufacturers and dealer lessors should account for selling profit or loss in the same period as an outright sale. If artificially low interest rates are used, the selling profit should be limited to that which would apply if a commercial rate of interest was used. [IAS 17.42]

Initial direct and incremental costs spent by lessors in negotiating leases must be recognised during the lease term under the 2003 modifications to IAS 17. They can't be charged to a cost when they're incurred anymore. Manufacturers and dealer lessors are exempt from this approach since such costs are recognised as an expense when the selling profit is recognised.

Sale and Leaseback Transactions

Any surplus proceeds over the carrying amount in a sale and leaseback transaction that results in a financing lease are postponed and amortised throughout the lease period. [IAS 17.59]

For a transaction that results in an operational lease, use the following formula: [IAS 17.61]

1. The profit or loss should be recognised promptly if the transaction is clearly carried out at fair value.
2. If the sale price is less than fair value, profit or loss should be recognised right away, unless the loss is offset by future rents at a lower price, in which case the loss should be amortised over the duration of use.
3. If the sale price is more than fair value, the difference should be delayed and amortised over the life of the asset.
4. If the carrying amount is less than the fair value at the time of the transaction, a loss equal to the difference should be recognised immediately. [IAS 17.63]

Disclosure: lessees – finance leases [IAS 17.31]

1. the asset's carrying value
2. Total minimum lease payments and their present value are reconciled.
3. the present value of minimum lease payments as of the balance sheet date, for:
4. the upcoming years

Notes

5. 2–5 taken together
6. Contingent rent is recognised as an expense after five years.
7. under noncancellable subleases, total future minimum leased income
8. a basic summary of major leasing terms, such as contingent rent provisions, renewal or purchase options, and dividend, borrowing, or further leasing restrictions

Disclosure: lessees – operating leases [IAS 17.35]

1. amounts of minimum lease payments due on noncancellable operating leases at the balance sheet date for:
 2. the following year
 3. Years 2 through 5 taken together
 4. Total anticipated minimum sublease revenue under noncancellable subleases after five years
 5. For the period, rent and sublease payments were recorded as income.
 6. Contingent rent is accounted for as a cost.
 7. a basic summary of major leasing terms, such as contingent rent provisions, renewal or purchase options, and dividend, borrowing, or further leasing restrictions

Disclosure: lessors – finance leases [IAS 17.47]

1. a comparison of the lease's gross investment and the present value of minimum lease payments;
2. gross investment and the present value of minimum lease payments due in the coming year
3. Years 2 through 5 taken together
4. Unearned finance income after five years
5. leftover values that aren't guaranteed
6. uncollectible lease payments receivable cumulative allowance
7. Contingent rent is accounted for in income.
8. a broad summary of major lease agreements

Disclosure: lessors – operating leases [IAS 17.56]

1. amounts of minimum lease payments under noncancellable operating leases at balance sheet date, in the aggregate, and for:
 2. the following year
 3. Years 2 through 5 taken together
 4. more than five years
 5. Rent is counted as income when it is contingent.

6. a broad summary of major lease agreements

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4.1.10 Legal Aspects of Leasing

Tax Status of True Leases

The lessee's annual lease payments are tax deductible if one requirement is met: The IRS must accept that a contract is genuinely a lease and not merely a renamed instalment loan. Before commencing on a lease transaction, all parties involved should seek an opinion from the IRS on the prospective lease's tax status. In most cases, the IRS's view is based on the following general guidelines:

1. The equipment's remaining usable life at the end of the lease term must be greater than one year or 20% of its initial anticipated useful life.
2. For tax purposes, leases longer than 30 years are not considered leases.
3. The lessor must receive a fair market rate of return on his or her investment from the lease payments.
4. Apart from the transaction's tax benefits, this profit potential must exist.
5. Renewal choices must be reasonable, which means that the renewal rate must be closely tied to the asset's economic value during the renewal term.
6. If the lease agreement specifies a buy option at the end of the lease period, the purchase price must be determined using the asset's current fair market value.
7. The lease payment plan should not be very expensive early in the lease and extremely cheap later on. A payment plan like this shows that the lease structure is just being used to evade taxes.
8. The lessor must give a minimum of 20% equity in the case of a leveraged lease.
9. Property with a limited use value (valued exclusively by the lessee) cannot be leased.

If the IRS disagrees that a contract is actually a lease, taxes are imposed as if the property was sold to the lessee and pledged to the lessor as collateral for a loan. The IRS seeks to prohibit lease deals set up solely to speed up tax deductions, which is why the restrictions were put in place. For example, under MACRS depreciation regulations, a structure would generally be depreciated over 39 years.

It would be conceivable to put up a 3-year lease that permitted the lessee to effectively write off the building's cost for tax purposes over that time period. This would boost the lessee's tax deductions at the expense of the US Treasury's tax receipts. These IRS rules are in place to keep this from happening.

Legal Aspects of Leasing

Since there is no separate law in India for leasing, the provisions relating to bailment in the Indian Contract Act apply to equipment leasing agreements. Section 148 of the Indian Contract Act defines bailment as:

Notes

“The delivery of goods by one person to another, for some purpose, upon a contract that they shall, when the purpose is accomplished, be returned or otherwise disposed off according to the directions of the person delivering them. The person delivering the goods is called the ‘bailor’ and the person to whom they are delivered is called the ‘bailee’.”

The obligations of the lessor and lessee are similar to those of the bailor and bailee (other than those specifically mentioned in the least contract) as defined by the provisions of sections 150 and 168 of the Indian Contract Act because an equipment lease transaction is regarded as a contract of bailment. These restrictions essentially have the following ramifications for both the lessor and the lessee.

During the term of the agreement, the lessor must handover the asset to the lessee, legally authorise the lessee to use it, and leave the item in the lessee’s peaceful ownership.

The lessor is responsible for paying the lease rentals on time, protecting the lessor’s title, taking appropriate care of the asset, and returning the leased asset at the end of the lease period.

A lease agreement’s contents are as follows:

The lease agreement spells forth the lessor’s and lessee’s legal rights and obligations. It usually includes phrases related to the following:

1. The lessor, the lessee, and the equipment are all described.
2. The amount, the date, and the location of lease rental payments.
3. The date and location of the equipment delivery.
4. The lessee is responsible for receiving and maintaining custody of the leased equipment.
5. Lessee’s obligation for upkeep, repairs, registration, and other items, as well as the lessor’s rights in the event of a lessee default.
6. The right of the lessee to benefit from the equipment manufacturer’s/ warranties. supplier’s
7. The lessee will purchase insurance on behalf of the lessor.
8. Changes in lease rentals as a result of external factors such as bank interest rates, depreciation rates, and tax incentives.
9. The lessee has the option of renewing his or her lease.
10. When the lease period ends, the equipment must be returned.
11. In the event of a disagreement, an arbitration mechanism is used.

4.1.11 Numerical Illustration on Leasing vs Buying- based on NPV

Example

Assume you’re a manager who needs to determine whether to lease or buy a firm asset.

Notes

Purchase: The asset's capital cost (at time zero) is \$200,000, with a salvage value of \$60,000 at the end of the fifth year. Over the course of six years, the purchased asset can be depreciated using the MACRS 5-year life depreciation with the half-year convention (Table A-1 at IRS(link is external)) (from year 0 to year 5).

Lease (Operating): The asset can be leased for a period of five years, with yearly lease payments (LP) of \$50,000 due from year one to year five.

For five years (from year one to year five), the asset would generate \$100,000 in annual revenue, with operating costs of \$20,000, \$25,000, \$30,000, \$35,000, and \$40,000.

Calculate the ATCF for both alternative and incremental analyses using a 40% income tax rate and a minimum ROR of 16 percent. Determine which option is the better decision.

Purchase:

Year	0	1	2	3	4	5
Revenue		100,000	100,000	100,000	100,000	100,000
Salvage						60,000
- Operating cost		-20,000	-25,000	-30,000	-35,000	-40,000
-Depreciation	-40,000	-64,000	-38,400	-23,040	-23,040	-11,520
Taxable income	-40,000	16,000	36,600	46,960	41,960	108,480
- Income tax 40%	16,000	-6,400	-14,640	-18,784	-16,784	-43,392
Net Income	-24,000	9,600	21,960	28,176	25,176	65,088
+Depreciation	40,000	64,000	38,400	23,040	23,040	11,520
- Capital Cost	-200,000					
ATCF	-184,000	73,600	60,360	51,216	48,216	76,608

If the asset is bought, the NPV at i of 16 percent is \$20,221.

Lease:

Notes

Year	0	1	2	3	4	5
Revenue		100,000	100,000	100,000	100,000	100,000
- Operating cost		-20,000	-25,000	-30,000	-35,000	-40,000
- Lease Operating cost		-50,000	-50,000	-50,000	-50,000	-50,000
Taxable income		30,000	25,000	20,000	15,000	10,000
- Income tax 40%		-12,000	-10,000	-8,000	-6,000	-4,000
Net Income		18,000	15,000	12,000	9,000	6,000
ATCF		18,000	15,000	12,000	9,000	6,000

If the asset is leased, the NPV at a rate of 16 percent is \$42,180.

Incremental:

Year	0	1	2	3	4	5
Purchase ATCF	-184,000	73,600	60,360	51,216	48,216	76,608
Lease ATCF		18,000	15,000	12,000	9,000	6,000
Incremental ATCF	-184,000	55,600	45,360	39,216	39,216	70,608

NPV_{Purchase-Lease} at i^* of 16% equals -\$21,959.

We can conclude that leasing the asset is more economically satisfying because the NPV for leasing is higher than purchasing, and the incremental NPV_{Purchase-Lease} is negative.

Because decision analysis is a similar asset, revenue is comparable in both options and can be cancelled out in both analyses. As a result, revenue does not need to be a known variable. Without revenue as a known variable, NPV can be estimated.

4.12 Case Study on Leasing

Notes

Case study: Equipment leasing vs. purchasing

A case study analysis of leasing business equipment compared to purchasing the same equipment.

What factors should you consider when deciding whether to lease or buy a piece of equipment for your company? Let's pretend you're trying to decide whether to lease or buy:

You can put 25% down on a \$50,000 piece of equipment and pay off the balance with four annual instalments of \$11,830 at a rate of 10% interest. The equipment will be used for eight years in your firm before being scrapped for \$2,500.

Alternatively, you can lease the same equipment for eight years for \$8,500 per year, with the first payment due upon delivery. During the lease, you'll be responsible for the equipment's upkeep.

For the whole period at issue, you anticipate a total federal and state income tax rate of 40%. You also assume a 6-percentage-point cost of capital (the 10 percent financing rate adjusted by your tax rate).

The tables below show how you may use a cash flow analysis to help you decide whether to lease or buy. If cost were the only factor to consider, you would choose to buy the asset rather than lease it because the cost of buying is \$32,204 in current dollars against \$34,838 for leasing. Even if cost isn't your primary consideration, a cash flow analysis can show you how much you're spending for non-cost aspects that may influence your leasing decision.

Cash flow analysis of purchase

This research assumes a \$50,000 piece of equipment is purchased with a 25% down payment, 10% interest, and four annual instalments of \$11,830. (all payments are made on the last day of the year).

At the end of each year, interest is regarded to accrue on the outstanding balance of the loan, and it is calculated as follows (the last column represents the portion of each annual payment that goes to principal and reduces the outstanding loan total):

Year End	Outstanding Loan	Interest	Principal
1	37,500	3,570	8,080
2	29,420	2,942	8,888
3	20,532	2,053	9,777
4	10,755	1,075	10,755

The 200 percent falling balance approach is used to calculate depreciation.

Notes

	(A)	(B)	(C)	(D)	(E)	(F)	(G)	(H)
	Year	Cash	Prior Year's	Prior Year's	Tax Savings [40% x (C	Net Cash Flow [B	Discount Factor (6% Cost	Present
		Payments	Interest	Depreciation	+ D)]	- E]	of Cap.	Value
								[F x G]
1		12,500	0	0	0	12,500	1.0000	12,500
2		11,830	0	10,000	4,000	7,830	0.9434	7,387
3		11,830	3,750	16,000	7,900	3,930	0.8900	3,498
4		11,830	2,942	9,600	5,017	6,813	0.8396	5,720
5		11,830	2,053	5,760	3,125	8,705	0.7921	6,895
6			1,075	5,760	2,734	(2,734)	0.7473	(2,043)
7				2,880	1,152	(1,152)	0.7050	(812)
8								
9		(2,500)			(1,000)	(1,500)	0.6274	(941)
		Net Cash Flow						32,204

Cash flow analysis of leasing

This analysis assumes that \$50,000 of equipment will be leased for eight years at an annual rent of \$8,500, with the first payment due on delivery and subsequent payments due on January 1st of each year. The company is assumed to have a 40 percent combined federal and state income tax rate (tax benefits are determined as of the first day of the year following the year for which the rental deduction was claimed) and a 6% cost of capital.

	(A)	(B)	(C)	(D)	(E)	(F)
	Year	Lease	Prior Year's	Tax Savings	Net Cash Flow	Discount Factor (6% Cost of Present
		Payment	[40% x B]		[B - C]	Value [D
					Capital)	x E]
1		8,500			8,500	1.000
2		8,500	3,400		5,100	0.9434
3		8,500	3,400		5,100	0.8900
4		8,500	3,400		5,100	0.8396
5		8,500	3,400		5,100	0.7921
6		8,500	3,400		5,100	0.7473
7		8,500	3,400		5,100	0.7050
8		8,500	3,400		5,100	0.6651
9			3,400		(3,400)	0.6274
		Net Cash Flow				34,838

Check your Understanding

- _____ is a technique for a business to obtain access to fixed assets in exchange for a series of contractual, monthly, tax-deductible payments

Notes

2. A lease is a contract in which the _____ pays the owner in exchange for the right to use physical property for a specific period of time.
3. _____ is the person who issues the lease. Also referred to as the “landlord.”
4. It is called “_____” when a business purchases the right to use a product directly from the manufacturer. It is the manufacturer who owns the leased asset
5. If a contract specifies a lease, the lessor is responsible for transferring an _____ to the lessee, authorising the lessee to use it lawfully, and then returning the asset to the lessee when the lease is up.

Summary

- Leasing is a technique for a business to obtain access to fixed assets in exchange for a series of contractual, monthly, tax-deductible payments. A lease is a contract in which the lessee pays the owner in exchange for the right to use physical property for a specific period of time. The lessee obtains the services or assets under the lease arrangement, whereas the lessor owns the assets. A tenancy is a legally binding agreement between a tenant and a landlord that may be for a certain period of time or indefinitely (called the term of the lease). The consideration for the lease is the rent.
- A lease is a contract between a lessor (the asset's owner) and a lessee (the asset's user) in which the owner allows the user the right to use an asset for a specified length of time in exchange for a lease rental charge. The lessee pays the lessor the rental over a period of time in instalments.
- Leasing enables you to own and operate new machinery or equipment without having to make a large financial commitment.
- Leasing helps businesses to protect their financial reserves. Lease arrangements call for smaller, more frequent payments, helping small businesses to better manage their cash flow and adapt to changing economic conditions. Companies may also update equipment more often with leasing, ensuring that they have the most up-to-date technology without having to make further financial commitments.
- Is an ineffective method of project financing because rental is due quickly after signing a lease agreement, whereas new projects earn income only after a protracted gestation time. Some tax benefits, incentives, and subsidies might not apply to leased equipment. During the lease time, the value of real assets (land and buildings) may increase. In this situation, the lessee could miss out on a potential capital gain. Financing costs are often greater than debt financing costs.
- It's critical to your company's performance to set the correct rental price techniques. You run the risk of losing customers and revenue if you offer outrageous charges. However, if you set your pricing too low, you may not be able to cover your manufacturing expenses, resulting in poor profit margins or even bankruptcy. As a result, your company's financial stability is in jeopardy in both situations.
- Setting a suitable price for your products promotes value, attracts consumers, and ensures profits. When it comes to creating an efficient pricing strategy, however,

Notes

the task is far from simple and requires careful consideration of several variables. A competitive market study, identifying and analysing your clients' purchase behaviours, and creating your company objectives are all included in these costs.

- Developing a long-term profit plan will be easier if you have an effective pricing strategy in place.

Activity

1. Write a magazine type article on leasing

Questions and Exercises

1. Explain the terminologies related to leasing
2. Explain the types of leasing
3. Explain the accounting standards related to leasing

Glossary

- **Financing Leases:** are contracts with a fixed duration that cannot be terminated at any time. The most significant aspect of a financial lease agreement is that the lessor agrees to transfer ownership of the asset for a minimal cost at the end of the lease term. The lessee must be able to buy the object he has used at the conclusion of the lease. Under this lease, the lessor collects 90% of the asset's fair value in lease rents, and the lease term is 75% of the asset's economic life. The lease is final and cannot be changed. Almost all of the risks and advantages of asset ownership are shifted to the lessee, who is responsible for maintaining, insuring, and repairing the asset.
- **Lease:** A lease is a contract in which the equipment's owner (lessor) grants the user (lessee) the right to use the equipment for a set period of time in exchange for a rental charge. The assets revert to the lessor at the end of the lease period unless there is a provision for transfer of ownership to the lessee. The lessee is usually responsible for ensuring and maintaining the asset. The key difference between a lease transaction and other asset financing plans in India, such as hire buy, is that a lease contract does not allow the lessor to transfer ownership to the lessee, whereas other asset-based financing plans do. As a result, leasing agreements differ from other types of financing in terms of tax and accounting.
- **HVAC** stands for "heating, ventilation, and air conditioning" systems. There is normally an HVAC provision in most offer to lease agreements that explains who is responsible for these expenditures.

Further Readings

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3. Padmalatha Suresh and Justin Paul. Management of Banking and Financial Services. Pearson. Fourth Edition, 2017.

4. Gurusamy. Essentials of Financial Services. Tata McGraw-Hill Education. Second Edition, 2010.
5. Anderson, Chishti and Millie et al. The Insurtech Book: The Insurance Technology Handbook for Investors, Entrepreneurs and FinTech Visionaries. Wiley. First Edition, 2018.
6. Khan M Y. Financial Services. Mc Graw Hill. Tenth Edition.

Check your Understanding - Answers

1. Leasing
2. Lessee
3. Lessor
4. direct leasing
5. asset

Notes

Notes

Unit - 4.2: Hire Purchase

Objectives:

At the end of this unit, you will be able to:

- Understand the basic introduction to hire purchase
- Understand the terminologies related to hire purchase
- Understand the merits & demerits of hire purchase
- Understand the benefits/importance of hire purchase
- Understand the difference between leasing & hire purchase
- Understand the forms of hire purchase agreements
- Understand the accounting aspects related to hire purchase
- Understand the legal aspects of hire purchase

Introduction



Hire Purchase is one of the most prevalent ways to finance the purchase of various assets. It helps by spreading a large asset's cost over a longer time period. As a result, a significant amount of capital can be diverted to other vital uses.

Hire purchase refers to a technique of financing a fixed asset that will be purchased at a later date. The purchase price is paid in instalments under this kind of financing. After the last instalment is paid, ownership of the asset is transferred.

The hire purchase (HP) or leasing is an asset financing technique that allows businesses or individuals to own and control an item for a specific length of time while paying rent or instalments to cover depreciation and interest on the asset's capital cost.

Hire Purchase is described as a deal in which the owner of the assets rents them out to the hirer in exchange for regular payments. Once all of the agreed-upon payments have been made, the hirer has the opportunity to purchase and own the asset. Aside from the asset's purchase, these recurring payments contain an interest component paid toward the asset's utilisation.

'Hire-Purchase' is a British word that is also known as 'rent-to-own' or 'instalment plan' in other countries. Companies can improve their earnings performance by renting and purchasing goods. Hire purchase has long been used for vehicle financing, whether

it's a personal car, a business vehicle, or something else, but now it's also used to finance equipment, machinery, and other items.

Notes

The Hire Purchase Act of 1972 governs the hire purchase system.

A hire purchase agreement is defined in this Act as “an agreement under which goods are let on hire and under which the hirer has an option to purchase them in accordance with the terms of the agreement and includes an agreement under which:

- The owner delivers possession of goods thereof to a person on condition that such person pays the agreed amount in periodic instalments.
- The property in the goods is to pass to such person on the payment of the last of such instalments, and
- such person has a right to terminate the agreement at any time before the property so passes.”

4.2.1 Introduction to Hire Purchase



The hire purchaser, also known as the hirer, agrees to rent the products for a set length of time, which includes both principal and interest repayment, with the option to purchase.

The property (goods) are delivered to the hire purchaser immediately after signing the hire purchase agreement, but ownership or title is not transferred until the final instalment is paid to the owner (hiree). The hirer has the right to terminate the agreement at any time before the asset is delivered to him.

To put it another way, the hirer has the option to buy the asset. If the hirer wants to end the agreement, he or she must either

- Return the asset to avoid paying the next instalment.
- Take possession of the asset by paying the future instalments in full or at a discount as mutually agreed.

The term “hire purchase” refers to a transaction in which products are purchased and sold under the following conditions:

- (i) Payment will be payable in instalments,

Notes

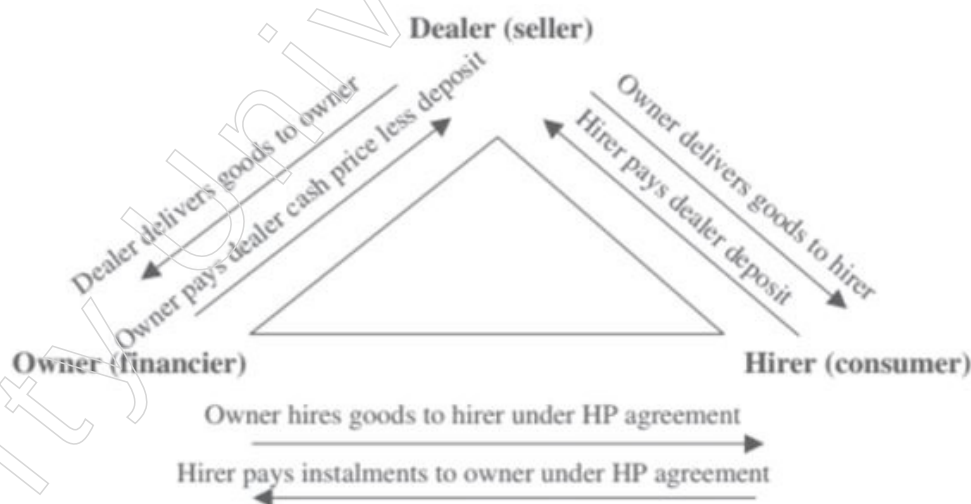
- (ii) The buyer receives immediate ownership of the goods.
- (iii) Until the last instalment is paid, the vendor retains property (ownership) in the items.
- (iv) In the event of nonpayment of any instalment, the seller has the right to repossess the items.
- (v) Until the last instalment is paid, each instalment is treated as a hire fee.

This approach is not only favourable to the hirer, but it is also the most effective and secure type of credit sales for the asset's present owner.

Hire purchase is a way of purchasing or financing capital goods in which the commodities are nearly immediately available for use, but the payment is paid in smaller instalments over a certain period of time. Only once all instalments have been paid is ownership transferred.

In technical terms, it is an agreement between the asset buyer (or user) and the financing company in which the financing company purchases the asset on the buyer's behalf, the buyer uses it for business purposes, and the buyer repays the financing company in small instalments known as hire charges.

In other words, hire purchase is a method of financing or acquiring an asset for use in which the financing company rents the asset to the buyer for a set period of time in exchange for small instalments known as hire charges, and the buyer has the option to purchase the asset by paying all of the instalments over time.



Hire Purchase Transaction

Hire Purchase's Features:

The following are the main characteristics of hire buy financing:

1. After paying the final instalment, the hire purchaser becomes the owner of the asset.
2. Each instalment is regarded as a hire charge for the asset's use.
3. The asset can be used immediately after the hire purchaser has reached an agreement with the hire seller.

4. If the hire vendor is unable to collect the instalment payment, he or she has the authority to repossess the asset.

4.2.2 Terminologies related to Hire Purchase

The hire-purchase system is a unique method of buying and selling things. It is a unique method of purchasing and selling items. The purchaser pays the price of the items in instalments under this approach. Annual, six-monthly, quarterly, monthly fortnightly, and other instalments are possible.

Accounting Terminologies for the Hire Purchase System

1. Hire seller/Hire vendor/Owner

Under the terms of the agreement, the hirer is required to pay the sum on a regular basis. A hire seller is someone who sells products to a buyer through the hire purchase system. The owner of goods transfers possession to a person on the condition that the recipient repay the agreed-upon price in periodic instalments.

2. Hirer/Hire purchaser/Hire buyer

Under a hire-purchase deal, the person who acquires possession of goods from the owner. A hirer is a person who buys items from a hire vendor or receives goods from an owner under a hire purchase arrangement.

3. Cash price/Cash value

Any deposit is deducted from the total cash charge. It is the price at which the things can be acquired for cash by the hirer.

4. Initial Payment

The money that is paid at the moment of receiving the goods. A down payment is the initial cash payment paid by the hire purchaser to the vendor at the time of signing the hire purchase agreement.

5. Hire Purchase Price

The total amount due from the hire-purchaser in order to execute the transaction according to the agreements. The cash payment and future instalment interest are included in the hire buy price. It is the total amount due to the vendor by the hirer.

6. Charge for Hire Purchase

The difference between the products' net hire-purchaser price and their net cash price. The hire purchase charge is the difference between the hire purchase price and the cash amount indicated in the hire purchase agreement.

Merits & Demerits of Hire Purchase

Merits of Hire Purchase

1. Assets can be used right away without having to pay the full cost.

Notes

2. Since the payment is spread out over time, expensive assets can be used.
3. Rent payments that are fixed make budgeting easier because all expenses are known ahead of time.
4. Because it is a secured loan, it is very easy to obtain.
5. There's no need to be concerned about the asset's worth falling soon because there's no need to purchase it.

Demerits of Hire Purchase

The following are some of the drawbacks of hire purchase:

1. Because of the significantly high interest rates, the total amount paid towards the asset could be much larger than the asset's cost.
2. The length of time it takes to pay the rent.
3. Ownership is only transferred at the conclusion of the contract. Until then, the hirer is unable to change the asset.
4. Any covenants that are added to the contract raise the price.
5. There may be a penalty if the hired asset is no longer needed due to a change in the business plan.

Benefits/Importance of Hire Purchase

1. The customer benefits tremendously because he has to pay in instalments. This technique is extremely beneficial to low-income individuals.
2. Since the payment is spread out over a period of time, even the most expensive assets can be used.
3. It encourages purchasers to be thrifty by requiring them to set aside a portion of their income for instalment payments. This instils in people the habit of saving.
4. The buyer does not have to be concerned about the asset rapidly deteriorating in value because there is no commitment to purchase the asset in the case of Higher Purchase.
5. Purchasers of rental property also benefit from a tax break on the interest they pay.
6. It is not necessary to pay the whole cost of the goods in order to use them. The goods can be used right away after paying a small deposit.
7. All future expenses are known well in advance with the help of hire buy, which aids in better financial management.
8. Any asset depreciation is not the buyer's responsibility. The proprietor, i.e. the depreciation payment is the responsibility of the vendor.

4.2.3 Historical Perspective on Hire Purchase

Hire-purchase transactions began in England in the mid-nineteenth century, against the backdrop of the Industrial Revolution, when sewing machines were marketed under a formal agreement to hire with the option to purchase. As a result,

other consumer durable goods began to fall under the scope of such agreements. The introduction of automobiles accelerated the spread of hire-purchase transactions.

Initially, such agreements had only two parties: the owner and the hirer. With the establishment of large-scale financing companies after World War I, the transactions took on a triangular shape. The new popular form was one in which the owner, rather than dealing directly with the hirer, sold his goods to financing companies, who then rented them out to the hirers/intended purchasers under hire-purchase transactions.

In the latter half of the nineteenth century, the hire purchase contract was developed in England. They arose in response to a demand for a method of payment for goods on credit that would provide some security to credit suppliers. A person who had “bought or agreed to buy goods” at the time could, under applicable laws, transfer a good title to a third party. If an instalment sale was treated as a purchase or an agreement to purchase goods, the seller would have no protection against a buyer in possession of the goods who might sell them to a third party.

Hire-purchase transactions were first introduced in India at the turn of the twentieth century. The Madras-based Auto Supply Company Ltd. (1920), later known as Commercial Credit Corporation, was the first hire-purchase company. Other notable companies based in the north included the Motor and General Finance Company and the Instalment Supply Company (1925).

Hire-purchase agreements gained popularity in the post-war years, proving particularly useful in the road transport and automobile industries, namely financing on commercial vehicles. Several government-appointed committees, including the Masani and James Raj Committees, have acknowledged the role of hire-purchase agreements in the development of the road transport industry. With the proliferation of hire-purchase transactions, there has also been a fair amount of litigation. The courts have been active in elaborating on the various aspects and features of hire-purchase agreements.

4.2.4 Difference between Leasing & Hire Purchase

In essence, there are two ways to finance assets: lease financing and hire purchase. These alternatives differ in many ways, including asset ownership, depreciation, rental payments, duration, tax implications, asset repairs and upkeep, and the amount of financing available.

The primary distinction between Hire Purchase (HP) and leasing is ownership. Monthly payments and an optional purchase cost can be made with the former, after which you will own the car. With the latter, you'll just be paying for the vehicle's depreciation throughout the life of your contract, and you won't be able to own it at the conclusion.



Notes

These are discussed in the following order:

Ownership of the Asset: In a lease, the lessor owns the asset (owner of asset). The lessee is only allowed to utilise the equipment and does not have the option to buy it. The hirer has the opportunity to purchase in hire purchase. After the last instalment is paid, the hirer becomes the owner of the asset/equipment.

Depreciation: Depreciation is claimed as an expense on the lessor's records in lease financing. In the case of a hire buy transaction, however, the hirer is able to claim depreciation.

Payments for Leases: Lease payments cover the cost of using an asset. It's usually calculated using an asset's cost over its useful life. In the event of a hire purchase, the monthly payment includes both the principal and interest for the duration of the asset's use.

Duration: Lease agreements are often for longer periods of time and for larger assets such as land and property. Hire Purchase agreements are typically used for assets that have a shorter term and are less expensive, such as renting a car or machinery.

Tax Impact: The total lease rentals are represented as spending by the lessee in the lease agreement. The hirer claims the depreciation of the asset as an expense in hire purchase.

Repairs and maintenance: The lessee is responsible for repairs and maintenance of the asset under a financial lease, whereas the lessor is responsible in an operating lease. The hirer bears liability in a hire purchase.

Extent of Finance: Lease financing is a comprehensive financing option in which no down payments are necessary; however, in the case of hire buy, the hirer must often pay a 20 to 25 percent margin money up front. As a result, we refer to it as partial financing, such as loans.

4.2.5 Forms of Hire Purchase Agreements

There are two types of hire-purchase agreements.

1. The items are purchased by the financier from the dealer in the first form.

- The customer signs a hire-purchase arrangement with the financier.
- The customer becomes the owner of the products under this arrangement.
- After paying all of the agreed hire instalments and exercising his option to purchase the products for a minimal fee.
- The financier pays the owner, who then recovers the expense from the customer.

2. In other form

- The customer buys the products and enters into a hire-purchase agreement with a financial institution.

- Under which he retains custody of the goods till payment of the money paid to the owner on his behalf by the lender.
- In the case that the customer fails to meet the terms of the hire-purchase agreement, the financier has the right to confiscate the goods.

4.2.6 Accounting Aspects Related to Hire Purchase

A hire purchase agreement is a contract between two parties in which one party buys an asset from the other. He pays per month hire costs because he has no money to pay. The asset is in the possession of the vendor. When the buyer pays the complete cost of the assets in the form of hire charges, ownership of the asset is transferred to the buyer. On his own risk, the vendor may transfer the asset before the last instalment is paid. If the buyer defaults, the seller has the right to recover his asset from the hire purchaser.

Both the hire purchase and instalment payment systems are identical in terms of accounting. Before we start accounting, there are a few things we should be aware of.

- a) The cash price is the price that will be paid if an asset is purchased in cash rather than on a monthly basis.
- b) Hire price = cash price + interest for risk of giving asset on instalment.
- c) Down payment = Payment made at the start of a hire purchase agreement. Hire purchase accounting can be done in four different ways.

1. The first method is the cash price method.

We deal with hire purchase transactions the same way we deal with typical transactions using the cash price technique. We keep track of all transactions and events that occur.

- Journal Entries in Purchaser's Books
 - a) To purchase assets on a hire-purchase basis
 - ◆ Asset on hire purchase account Dr.
 - ◆ Vendor account Cr.
 - b) To make a down payment to the vendor
 - ◆ Dr. Vendor Account
 - ◆ Bank/cash
 - (c) When Interest on Unpaid Installments Is Due
 - ◆ Interest on Hire Purchase account Dr.
 - ◆ Vendor Account Cr.
 - (d) For Payment in Instalments (Interest payment will be also included in it)
 - ◆ Dr. Vendor Account
 - ◆ Cr. in cash or in a bank account
 - (e) For transferring interest to profit and loss account
 - ◆ Profit and Loss account Dr.

Notes

- ◆ Interest on hire purchase account Cr.
- (f) Charges for depreciation
 - ◆ Depreciation account Dr.
 - ◆ Assets on hire purchase account Dr.
- (g) If the Asset is returned to you
 - Hire Vendor account Dr.
 - Asset on hire purchase account Cr.

According to Hire Vendor's records,

- a) For giving assets on hire
 - ◆ Hire purchaser account Dr.
 - ◆ H.P. Sale Cr.
- b) For down payment received
 - ◆ Bank account Dr.
 - ◆ H.P. Sales Cr.
- c) For Interest receivable
 - ◆ Hire purchaser account Dr.
 - ◆ Interest account Cr.
- d) For installment due
 - ◆ Installment due account Dr.
 - ◆ H.P. Sales Cr.
- e) For installment received
 - ◆ Bank account Dr.
 - ◆ Hire purchaser account Cr.
- f) For installment not due at the year
 - ◆ Hire purchase stock account Dr.
 - ◆ Trading account Cr.
- g) For stock reserve
 - ◆ Stock Reserve account Dr.
 - ◆ Hire purchase stock account Cr.

2. The Interest Suspense Method is the second method.

We open an interest suspense account in this approach. All unpaid interest on the hire purchase asset will be credited to the interest suspense account. The interest account will be debited and the interest suspense account will be credited when interest is due.

The following entries will be recorded in the hire buyer's books.

- a) For transferring total interest payable on hire purchase deal
 - ◆ Interest suspense account Dr.
 - ◆ Hire purchase account Cr.
- b) When interest is due
 - ◆ interest account Dr.
 - ◆ interest suspense account Cr.

The rest of the entries will be identical to the first way.

In the hire vendor's books

- a) To transfer the complete amount of interest due to the interest suspense account.
 - ◆ hire purchaser account Dr..
 - ◆ interest suspense account Cr.
- b) when interest is due
 - ◆ interest suspense account Dr.
 - ◆ interest account Cr.

The first technique will be used for all journal entries.

The balance sheet's disclosure

Current Assets

Hire purchase debtors

Less balance in interest suspense account

3. Trading is the third method.

The hire purchase trading account is formed in the book of the asset vendor in the form of the hire purchase system in this approach.

4. The fourth method is the stock and debtor method.

Hire purchase stock, hire purchase debtor, and hire purchase adjustment account are all managed using this system. The following entries will be recorded in the vendor's books.

- a) When goods are sold on hire purchase
 - ◆ hire purchase stock account Dr. (Hire purchase price)
 - ◆ stock account Cr. (Actual cost of sale of goods)
 - ◆ hire purchase adjustment account Cr. (difference between hire purchase price and actual cost)
- b) When installments become due for payment

Notes

- ◆ hire purchase debtors account Dr.
- ◆ hire purchase stock account Cr.
- c) When cash is received
 - ◆ Cash account Dr.
 - ◆ Hire purchase debtor account Cr.
- d) stock reserve account on opening stock
 - ◆ stock reserve account Dr.
 - ◆ hire purchase adjustment account Cr.
- e) Stock reserve on closing stock
 - ◆ Hire purchase adjustment account Dr.
 - ◆ Stock reserve account Cr.”

4.2.7 Legal Aspects of Hire Purchase

In India, there is no specific legislation governing hire buy transactions. In 1972, the Hire Purchase Act was passed. In 1989, an amendment bill was submitted to change several of the act's provisions. However, the act has not yet been implemented. The provisions of are not in conflict with general law and can be used as a guideline in situations where there are no provisions in general laws that govern hire buy agreements in the absence of a specific statute. The act has measures that govern:

The hire-purchase agreement's format and contents

- Warranties and the hire-purchase agreement's terms and conditions
- Charges for hire-purchase must be kept to a minimum.
- The hirer's and the owner's rights and responsibilities.

In the lack of a special statute, the provisions of the Indian Contract Act and the Sale of Goods Act govern hire purchase transactions.

Check your Understanding

1. The hire purchaser, often known as the hirer, agrees to rent the items for a _____ amount of time, which includes both principle and interest payments, with the option to buy.
2. The _____ includes the initial deposit as well as future instalment interest. It is the entire sum owed by the hirer to the vendor.
3. Hire Purchase agreements are most often used for assets with a _____ and lower cost, such as automobile rentals or equipment.
4. In the lack of a special statute, the provisions of the Indian Contract Act and the Sale of Goods Act govern _____ transactions.
5. A hire purchase agreement is a contract between two parties in which one party buys an _____ from the other.

Summary

- It is common practise to finance the acquisition of different assets via hire purchase. Spreading the expense of a significant item over a longer period of time helps. Thus, a substantial quantity of money may be devoted to other important purposes.
- 'Hire-Purchase' is a British word that is also known as 'rent-to-own' or 'instalment plan' in other countries. Companies can improve their earnings performance by renting and purchasing goods. Hire purchase has long been used for vehicle financing, whether it's a personal car, a business vehicle, or something else, but now it's also used to finance equipment, machinery, and other items.
- The Hire Purchase Act of 1972 governs the hire purchase system.
- When a fixed asset is acquired in the future, the term "hire buy" is used to describe the financing method. This kind of financing allows buyers to spread out the cost of a purchase over a period of time. Ownership of the asset is transferred when the final payment is made.
- Leasing, also known as hire purchase (HP), is a kind of asset financing that enables companies and individuals to rent or pay in monthly instalments to cover depreciation and interest on the asset's capital cost while simultaneously owning and controlling it.
- The owner of the assets leases them to the hirer in return for monthly payments, and this is what is meant by a "hire purchase" agreement. All of the agreed-upon payments have been completed and a buyer's option is available. Interest is paid in addition to the asset's purchase price in these recurrent instalments.
- Hire purchase is a way of purchasing or financing capital goods in which the commodities are nearly immediately available for use, but the payment is paid in smaller instalments over a certain period of time. Only once all instalments have been paid is ownership transferred.
- In technical terms, it is an agreement between the asset buyer (or user) and the financing company in which the financing company purchases the asset on the buyer's behalf, the buyer uses it for business purposes, and the buyer repays the financing company in small instalments known as hire charges

Activity

1. Write a magazine type article on hire purchase

Questions and Exercises

1. Explain the difference between leasing & hire purchase.
2. Explain the Terminologies related to Hire Purchase
3. Explain the importance and Legal Aspects of Hire Purchase

Glossary

- **Hire Purchaser:** The hire purchaser, often known as the hirer, agrees to rent the items for a fixed amount of time, which includes both principle and interest payments, with the option to buy. The property (goods) are provided to the hire purchaser immediately after signing the hire purchase agreement, but ownership

Notes

Notes

or title is not transferred until the last payment is paid to the owner (hired). The hirer has the right to cancel the agreement at any moment before the asset is handed to him.

- **Initial Payment:** The money that is paid at the moment of receiving the goods. A down payment is the initial cash payment paid by the hire purchaser to the vendor at the time of signing the hire purchase agreement.
- **Leasing:** Leasing is a method for a company to get the use of certain fixed assets in exchange for a series of contractual, monthly, tax-deductible payments. A lease is a contract that allows a lessee to rent tangible property for a certain length of time in exchange for payments to the owner.
- **Lease:** A lease is a contract that spells out the terms under which one party agrees to rent an asset—in this case, real estate—from another party. It ensures that the lessee, also known as the tenant, has access to the property while simultaneously ensuring that the lessor—the property owner or landlord—receives monthly payments for a certain length of time. If either the lessee or the lessor does not follow the contract's terms, they will suffer consequences. A lease is a type of legal entity.

Further Readings

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4. Gurusamy. Essentials of Financial Services. Tata McGraw-Hill Education. Second Edition, 2010.
5. Anderson, Chishti and Millie et al. The Insurtech Book: The Insurance Technology Handbook for Investors, Entrepreneurs and FinTech Visionaries. Wiley. First Edition, 2018.
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Check your Understanding - Answers

1. Fixed
2. hire purchase pricing
3. shorter duration
4. hire purchase
5. asset

Unit - 4.3: Consumer Credit

Notes

Objectives:

At the end of this unit, you will be able to:

- Understand the basic introduction to consumer credit
- Understand the basic sources of consumer credit
- Understand the factors affecting demand for consumer credit
- Understand the merits & demerits of consumer credit

Introduction



Consumer credit is a way for consumers who buy things to get a head start on the money they'll need to pay for them. A person utilising a credit card is the most common illustration of consumer credit. He pays for products and services with his credit card, then repays the credit card company at a later period.

Simply put, consumer credit is a term that refers to an unsecured loan utilised to acquire goods and services. Debts taken out to buy a land or a house, on the other hand, are not covered by consumer credit. Consumer credit is a type of credit provided by financial organisations or banks to customers to enable them to purchase ordinary products and services at any time. In exchange, clients are charged interest over the course of the loan repayment period.

Consumer credit refers to any type of credit given to individuals that is not secured by real estate or financial assets such as stocks and bonds and is not utilised for business purposes. Automobiles, house repair and modernization, appliances, education, major leisure items, and revolving credit on credit cards are all examples of instalment credit. Use, method of generation (direct and indirect closed-end credit, noninstallment credit, and open-end credit), and type of financial institution providing the loan are all methods to categorise consumer credit (depository institutions, finance companies, credit unions, others).

Notes

Consumer credit, often known as consumer debt, is a loan taken out by a person to purchase goods and services. A credit card or any type of personal loan can be used to obtain consumer credit. Revolving credit and instalment credit are the two types of consumer credit. Revolving credit is similar to a credit card in that the user gets approved for a specific amount of credit and can use it whenever he or she wants it. With instalment credit, the borrower makes a certain number of fixed-amount payments over a set period of time until the loan is paid off. Consumer credit mainly refers to tangible commodities, such as automobiles or gadgets like televisions, which depreciate swiftly. Investment purchases such as stocks, bonds, real estate, and similar property are not included. Since buying real estate is considered an investment and the property purchased is considered an asset, a home loan would not be considered consumer credit. Using consumer credit, whether it's an instalment or revolving account, usually comes with fees. If a person carries a balance, they normally incur interest as well as late fees if they don't make their payments on time. Consumers are usually compelled to pay a minimum amount against their loan each month. If they don't make their payments on instalment credit, they risk having the item seized as well as penalty costs for not paying the agreed-upon amount.

For example, consider consumer credit because you use your credit card to buy services and material commodities rather than investment instruments like real estate or stocks, it is considered consumer credit. You have a certain amount of money that you can spend on everything from dining out to home furnishings, electronics, and other material goods. Because it works in a similar way, having a line of credit with a specific store is also considered consumer credit.

4.3.1 Introduction to Consumer Credit

What is Consumer Credit?



A personal debt offered to individuals for the purchase of goods and services is known as consumer credit. The money required for the purchase of the product is paid in advance to the consumer under consumer credit. A person who uses a credit card to buy goods and services is the most common example of consumer credit.

Consumer credit is a system that allows people to borrow money and pay it back over time. Consumers can use credit to purchase products or assets without having to pay cash at the time of purchase. It provides consumers with spending flexibility as well as, in some situations, benefits and prizes.

Consumer credit can apply to any sort of personal loan, but the phrase is most usually used to refer to unsecured debt for the purchase of goods and services.

Consumer credit is short-term credit, which means that the borrower must repay the amount within a short period of time, usually 30 days.

Retailers utilise consumer credit to entice customers to purchase more. When people buy things on credit, they buy more. As a result, bankers, retailers, and other companies provide consumer credit to enable consumers to acquire the products and services that they desire.

Consumer credit interest rates are higher than interest rates on other types of borrowing. The consumer is expected to repay the credit he obtained with interest at a defined rate within a specified time frame.

Consumer credit is utilised by customers to purchase depreciating commodities. Consumer credit also indicates a family's or individual's entire spending. Consumer credit is typically used to acquire things that are used on a daily basis or are essentials, such as food, cosmetics, clothing, dry cleaning services, and so on.

When it comes to measuring economic development, consumer credit is also crucial. The economist examines consumer spending on a monthly basis to determine if the economy is expanding or contracting. For example, if people are obtaining credit quickly and are confident that they will be able to repay the loan on time, this shows that the economy is expanding. When they cut back on spending and don't use credit to buy goods and services, on the other hand, it indicates that they are concerned about future spending and aren't confident in their financial stability anytime soon. The economy suffers as a result of this.

4.3.2 Sources of Consumer Credit



We all have money or credit needs, whether they are short-term or long-term. As your credit demands emerge, you should get familiar with your possibilities.

- **Commercial banks**

Commercial banks give loans to people who can afford to pay them back. Loans are the sale of money's use by those who have it (banks) to those who want it (borrowers) and are willing to pay a price for it (interest). Banks provide a variety of credit options, such as personal loans, house loans, and credit card loans.

Notes

Consumer loans are for purchases that are made in instalments and are paid back monthly with interest. Cars, yachts, furnishings, and other expensive durable goods account for the majority of consumer borrowing.

Residential mortgages, home building, and home upgrades are all possible uses for home loans.

Within defined credit limitations, credit card credit may be accessible in the form of cash advances.

- **Savings and credit associations (S & Ls)**

Savings and loan associations, as depicted in *It's a Wonderful Life*, specialise in long-term home loans for homes and other real estate. Personal instalment loans, home renovation loans, second mortgages, school loans, and savings account loans are all available through the S&L today. S&L provides credit to creditworthy people, although collateral may be required in some cases. S & L loan rates vary depending on the amount borrowed, the repayment period, and the collateral. Because S&L loans money from depositors, which is a relatively cheap source of funding, its interest expense is often lower than that of other types of lenders.

- **Credit Unions (CU)**

Credit unions are a type of cooperative financial institution (CU). Credit unions are not-for-profit cooperatives that serve people who share a common interest. Because of their cheaper costs, they are able to offer better lending and savings terms than commercial banks. Sponsoring corporations may give employees and office space, and some companies agree to withdraw loan and savings payments from members' salaries and apply them to bank accounts, lowering credit union costs. Savings and credit cooperatives.

Personal loans and savings accounts at credit unions are frequently affordable. UCs typically have less stringent qualification requirements and provide speedier loan service than banks or S&Ls.

- **Consumer Finance Company (CFC)**

Personal instalment loans and second mortgages are the specialty of consumer finance companies. Unsecured CFC loans are frequently available to consumers with no credit history. CFCs are typically eager to lend money to those who are having trouble getting credit elsewhere, but the interest rate is greater because the risk is larger.

The interest rate is determined by the loan balance and the repayment plan. CFCs handle loan applications fast, frequently the same day they are received, and create payment plans that are suited to the borrower's income.

- **Company that Finances Distribution (SFC)**

If you've ever purchased a car, you've probably had the option of financing it through the manufacturer's finance business. These SFCs let you to pay for expensive products over time, such as a car, huge appliances, furniture, laptops, and stereos.

Although you do not contact the SFC directly, the trader will normally advise you that your instalment slip has been sold to a sales finance firm. Then, instead of paying

your monthly payments to the merchant from whom you purchased the products, you pay them to the SFC.

- **Company that provides life insurance**

Insurance companies often allow you to borrow up to 80% of a life insurance policy's accrued cash value (or life insurance policy). Loans against some policies aren't required to be repaid, but any remaining balance is subtracted from the amount your beneficiaries receive after your death.

Because compound interest works against you, it's critical to pay back at least some of the interest. Because they assume no risk and incur no collection fees, life insurance companies charge lower interest rates than other lenders. The cash value of the policy is used to guarantee loans.

- **Pawnshops**

Lenders, who have recently become famous thanks to reality shows, are an unusual but widespread source of secured loan. They maintain your property and provide you a portion of its worth in exchange for it. Your property will be returned to you if you pay the loan and interest on time. If you don't, the lender will sell it, though you can ask for an extension. The interest rates charged by pawnbrokers are greater than those charged by other lenders, but you don't have to apply or wait for approval. What is the biggest attraction of pawn shops? They don't ask many questions.

- **Loan Sharks**

Loan sharks are a type of financial predator. The state has not given these predatory lenders permission to operate. They impose exorbitant fees for refinancing, redemptions, and late payments, and they only provide you a limited amount of time to repay. They are well-known for employing violent or criminally motivated collection practises. Keep a safe distance from them. After all, they're prohibited.

- **Friends and Family**

Family members might sometimes be your finest source of credit. All of these transactions, however, should be handled with care. Otherwise, miscommunications may occur, affecting family relationships and friendships.

4.3.3 Factors affecting demand for Consumer Credit

1. Credit scores have improved.

On July 1, 2017, Equifax, Experian, and TransUnion introduced a new credit rating system that removed certain civil obligations and tax liens. As a result, FICO believes that about 7% of individuals now have credit scores that are up to 20 points higher than before. Due to better FICO ratings, many consumers who previously lacked the necessary credit score to obtain capital (loans, credit cards) now qualify. This trend, combined with the general increase in credit scores as bankruptcies are removed from credit records, will allow consumers to borrow at higher levels. At the same time, many customers who were bankrupted or had their homes foreclosed on during the real estate crash, which peaked in early 2010, are rebuilding their credit. According to a recent report from Barclays PLC, personal bankruptcies will be removed from the credit reports of more than six million Americans in the next five years. Through

Notes

credit, these consumers will soon have more purchasing power. Finally, credit score education programmes have proven to be effective in persuading consumers to change negative credit-related behaviours. According to FICO, its consumer education effort, Open Access, now provides free access to credit scores and activities individuals may take to improve their scores to over 200 million people. These characteristics alone will help companies like Synchrony Financial and Ally Financial, as well as Elevate Credit, Prosper, and LendingClub, grow faster in the consumer finance market.

2. The economy is experiencing an uptick in confidence.

Consumer confidence in the economy in the United States reached a 16-year high in March 2017 and has stayed high since then. Following President Donald Trump's election, economists forecast considerable economic gains in the housing, job, and stock markets in the near future, according to his pro-business and pro-deregulation programme. Furthermore, the Federal Reserve has only hiked interest rates three times since the financial crisis, but plans to do so at least twice — if not three times — this year. A strong economic recovery is marked by an increase in interest rates.

When customers believe the economy is improving, they are more likely to make significant purchases such as homes, vehicles, and other substantial assets. As a result, their credit needs grow, contributing to an increase in consumer loan demand. Smaller luxury products that need short-term borrowing, such as vacations and holiday gifts, may also see a surge in expenditure. We're currently in the midst of vacation season, with the holiday shopping season rapidly approaching. Throughout the rest of the year, we expect consumer credit demand to rise. Traditional banks, disruptive players in the online lending space such as LendingTree, Quicken Loans, and SoFi, and smaller "Main Street" businesses that are so important to local economies all stand to benefit from the increase in consumer confidence and its subsequent positive effect on consumers' demand for credit.

3. The rate of unemployment is decreasing.

The economy's recovery has resulted in a welcome drop in the unemployment rate. Unemployment reached a 16-year low of 4.3 percent in May 2017. Disposable income hit an all-time high of \$14.49 billion in the same month. Both of these figures have a significant impact on consumer credit activity. After all, as more people get jobs and presumably earn more money, their spending increases, as does their demand for credit. From a lending standpoint, the emergence of what experts refer to as the New Middle Class, which has been fueled in part by Americans' gradual return to work following the recession. This term refers to the estimated 160 million consumers in the United States who were badly affected by the financial crisis and now have near-prime or subprime credit as a result of the crisis, and will continue to have less-than-prime credit despite adjustments in FICO score standards.

4. Lenders must quickly prepare themselves to serve a larger number of customers.

As the demand for consumer credit grows, it's critical to provide a quick and easy way to get it. Evidence suggests that the increased demand for consumer loans and credit cards has created a unique opportunity for online lenders and other fintech-powered loan providers to meet this market's needs — and that credit providers who

use fintech to streamline the application and approval processes can successfully compete with traditional lenders who still use time-consuming, antiquated processes. The door to creative consumer credit solutions is now open, and the moment is right.

Notes

4.3.4 Merits & Demerits of Consumer Credit



Credit, in whatever form, has advantages and disadvantages for customers, and it must be used properly to reap the most rewards. Many of us can use credit to finance or mortgage a car or home, or to pay for education or furniture with a credit card, or even to buy clothing when we're short on cash but need to extend our wardrobes. Many people profit from using consumer credit properly, yet improper use of consumer credit results in massive debt and anxiety.

Merits of Consumer Credit

- **Flexibility and convenience:** Credit is excellent for making online purchases or avoiding the need to carry significant sums of money when shopping, renting a car, dining out, or for other forms of leisure. Many people's only option in an emergency, such as when their roof has to be fixed or their car requires a new gearbox, is to use credit.
- **Rewards:** Consumers can benefit significantly from utilising credit cards if they are used responsibly. Many department stores and car dealerships provide clients with favourable financing options, such as late payments and cheap interest rates. Credit cards frequently offer cashback, frequent flyer miles, and reward points to cardholders. These advantages and awards are free money for consumers who resist the impulse to overspend and remove money from their credit cards each month.
- **Not Taking Money from Relatives:** Consumer credit allows people to get money when they need it without having to rely on relatives or friends. It also prevents them from borrowing from unscrupulous individuals or businesses who demand exorbitant interest rates. Borrowing from friends and family can lead to squabbles,

Notes

arguments, and resentment, so establishing a credit line with a credit card company or lender can assist avoid these issues and keep transactions secret.

Demerits of Consumer Credit

- **Debt:** Borrowing, unfortunately, encourages people to spend more than they earn, resulting in debt. The level of a consumer's debt is determined by his vigilance in using credit and his ability to repay it, which can quickly grow from hundreds to thousands of dollars.
- **Costs of financing:** Taking out a loan involves borrowing money that you don't have. Financing costs, or the fee charged to the consumer for the privilege of borrowing money, are included in such loans. When a person makes a payment on a line of credit, finance or interest costs must be paid first, and the leftover amount of the payment is utilised to cover the whole amount. Financing charges can swallow up to three-quarters of a payment, causing the borrower to wait longer for payment. Interest rates are calculated using the card's annual percentage rate and the borrower's credit or payment history. The higher your credit score, the more likely you are to receive a cheaper interest rate.

Check your Understanding

1. _____ is a type of credit provided by financial organisations or banks to customers to enable them to purchase ordinary products and services at any time.
2. In exchange, clients are charged _____ over the course of the loan repayment period.
3. Consumer credit is short-term credit, which means that the borrower must repay the amount within a short period of time, usually _____
4. _____ banks give loans to people who can afford to pay them back
5. _____ are a type of cooperative financial institution. They are not-for-profit cooperatives that serve people who share a common interest

Summary

- Simply put, consumer credit is a term that refers to an unsecured loan utilised to acquire goods and services. Debts taken out to buy a land or a house, on the other hand, are not covered by consumer credit. Consumer credit is a type of credit provided by financial organisations or banks to customers to enable them to purchase ordinary products and services at any time. In exchange, clients are charged interest over the course of the loan repayment period.
- Consumer credit refers to any type of credit given to individuals that is not secured by real estate or financial assets such as stocks and bonds and is not utilised for business purposes. Automobiles, house repair and modernization, appliances, education, major leisure items, and revolving credit on credit cards are all examples of instalment credit. Use, method of generation (direct and indirect closed-end credit, noninstallment credit, and open-end credit), and type of financial institution providing the loan are all methods to categorise consumer credit (depository institutions, finance companies, credit unions, others).

- Consumer credit interest rates are higher than interest rates on other types of borrowing. The consumer is expected to repay the credit he obtained with interest at a defined rate within a specified time frame.
- Consumer credit is utilised by customers to purchase depreciating commodities. Consumer credit also indicates a family's or individual's entire spending. Consumer credit is typically used to acquire things that are used on a daily basis or are essentials, such as food, cosmetics, clothing, dry cleaning services, and so on.
- When it comes to measuring economic development, consumer credit is also crucial. The economist examines consumer spending on a monthly basis to determine if the economy is expanding or contracting. For example, if people are obtaining credit quickly and are confident that they will be able to repay the loan on time, this shows that the economy is expanding. When they cut back on spending and don't use credit to buy goods and services, on the other hand, it indicates that they are concerned about future spending and aren't confident in their financial stability anytime soon. The economy suffers as a result of this.
- Credit, in whatever form, has advantages and disadvantages for customers, and it must be used properly to reap the most rewards. Many of us can use credit to finance or mortgage a car or home, or to pay for education or furniture with a credit card, or even to buy clothing when we're short on cash but need to extend our wardrobes. Many people profit from using consumer credit properly, yet improper use of consumer credit results in massive debt and anxiety.

Activity

1. Make a power point presentation on the basic sources of consumer credit

Questions and Exercises

1. Explain the basic factors affecting demand for consumer credit
2. Write a magazine type article on consumer credit
3. Explain the merits & demerits of consumer credit

Glossary

- **Loan Sharks:** Loan sharks are a type of financial predator. The state has not given these predatory lenders permission to operate. They impose exorbitant fees for refinancing, redemptions, and late payments, and they only provide you a limited amount of time to repay. They are well-known for employing violent or criminally motivated collection practises. Keep a safe distance from them. After all, they're prohibited.
- **Consumer Credit:** A personal debt offered to individuals for the purchase of goods and services is known as consumer credit. The money required for the purchase of the product is paid in advance to the consumer under consumer credit. A person who uses a credit card to buy goods and services is the most common example of consumer credit. Consumer credit interest rates are higher than interest rates on other types of borrowing. The consumer is expected to repay the credit he obtained with interest at a defined rate within a specified time frame. Consumer

Notes

credit is utilised by customers to purchase depreciating commodities. Consumer credit also indicates a family's or individual's entire spending. Consumer credit is typically used to acquire things that are used on a daily basis or are essentials, such as food, cosmetics, clothing, dry cleaning services, and so on.

- Pawnshops: Lenders, who have recently become famous thanks to reality shows, are an unusual but widespread source of secured loan. They maintain your property and provide you a portion of its worth in exchange for it. Your property will be returned to you if you pay the loan and interest on time. If you don't, the lender will sell it, though you can ask for an extension. The interest rates charged by pawnbrokers are greater than those charged by other lenders, but you don't have to apply or wait for approval. What is the biggest attraction of pawn shops? They don't ask many questions.

Further Readings

1. Gopal Rama C. Management of Financial Services. Vikas Publishing House. First Edition, 2014.
2. Pathak Bharti. Indian Financial System. Pearson. Fifth Edition.
3. the difference between leasing & hire purchase Padmalatha Suresh and Justin Paul. Management of Banking and Financial Services. Pearson. Fourth Edition, 2017.
4. Gurusamy. Essentials of Financial Services. Tata McGraw-Hill Education. Second Edition, 2010.
5. Anderson, Chishti and Millie et al. The Insurtech Book: The Insurance Technology Handbook for Investors, Entrepreneurs and FinTech Visionaries. Wiley. First Edition, 2018.
6. Khan M Y. Financial Services. Mc Graw Hill. Tenth Edition.

Check your Understanding - Answers

1. Consumer credit
2. Interest
3. 30 days.
4. Commercial
5. Credit unions

Unit - 4.4: Credit Rating

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Objectives:

At the end of this unit, you will be able to:

- Understand the basic introduction to credit rating concept
- Understand the basic types of credit rating
- Understand credit rating agencies
- Understand the methodologies used by credit rating agencies for rating
- Understand the process used by credit rating agencies
- Understand the difference between credit score & credit rating

Introduction



The rating agency's assessment of the issuer of a debt instrument's ability and willingness to satisfy debt service obligations as and when they arise is called a credit rating. Credit rating is valuable to investors, corporations (borrowers), banks, and financial institutions as a fee-based financial advisory service. It is an indicator for investors that expresses the underlying credit quality of a (debt) issue programme. The investor has a complete understanding of the company because the rating agency evaluates and publishes any impact of changes in business/economic conditions on the agency company on a regular basis.

A credit rating is a numerical estimate of a borrower's creditworthiness in general or in relation to a specific debt or financial obligation. An individual, a corporation, a state or provincial authority, or a sovereign government can all be given a credit rating if they want to borrow money.

Individual credit is rated on a three-digit numerical scale by credit bureaus such as Experian, Equifax, and TransUnion, using a version of Fair Isaac Corporation (FICO) credit scoring. A credit rating organisation, such as S&P Global, Moody's, or Fitch Ratings, assesses and evaluates enterprises and governments' creditworthiness.

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The entity seeking a credit rating for itself or one of its debt issues pays these rating companies.

- A credit rating is a numerical estimate of a borrower's creditworthiness in general or in relation to a specific financial obligation.
- Credit ratings determine whether a borrower is approved for credit and, if so, at what interest rate the loan will be repaid.
- Any organisation that wants to borrow money, whether it's an individual, a corporation, a state or provincial authority, or a sovereign government, is given a credit rating or score.
- Individual consumers' credit is assessed on a numeric scale based on credit agencies' FICO calculations.
- Credit agencies use a letter-based methodology to assess bonds issued by businesses and governments.

4.4.1 Introduction to Credit Rating Concept



The estimate of a borrower's capacity to meet their financial obligations is known as a credit rating. It is an estimate of an individual's, entity's, or commercial instrument's creditworthiness based on a number of characteristics that signify the ability and willingness to meet financial obligations on time. Credit rating is instrument-specific and is used to assess a variety of commercial instruments based on credit risk and the obligation's capacity to fulfil debt obligations according to the terms of the agreement.

Simply explained, a credit rating is a statement of opinion on a debt instrument based on a credit risk appraisal provided by a rating agency as of a specific date, indicating the likelihood of the borrower repaying the principle and interest in a timely manner. During the default risk assessment and quality rating process, three criteria must be considered:

- The ability of the issuer to pay.
- The instrument owner's assertion on the issue's strength.
- The relevance of the issuer's market in terms of economics.

Credit Ratings are expressed in alphabetical or alphanumerical symbols, allowing investors to identify between debt products based on their underlying credit quality.

Authorized credit rating agencies assign a codified rating to a particular issue. Well-known financial institutions and reputable banks/finance businesses have pushed these agencies. Credit rating is a relative ranking determined by a systematic analysis of a company's strengths and weaknesses, as well as debt instruments issued by the company, based on financial statements, project analysis, creditworthiness factors, and the project's and company's prospects at a given point in time.

Objectives of Credit Rating

Credit rating aims to:

- Provide investors with quality information at a reduced cost
- Establish a solid foundation for a proper risk-return structure
- Borrowers should be held to a healthy level of discipline
- Assist in the formulation of institutional investment policy guidelines

As a result, credit rating in financial services is a faith-building exercise for the development of a healthy financial system.

Approaches to Credit Rating

Credit rating is a technique for examining the investment worth of financial securities independently as an input to investment decision-making that typically employs one or more of the following approaches: (i) implicit judgmental approach, (ii) explicit judgmental approach, and (iii) statistical approach. While implicit judgmental adopts a beauty-contest method in which a wide variety of promoter, project, environment, and instrument attributes are assessed 'generally.'

The explicit judgemental technique entails identifying and measuring the criteria that are crucial to an objective assessment of an instrument's credit/investment worthiness in order to arrive at a numerical credit score or index. Finally, using a statistical approach eliminates personal bias present in both explicit and implicit assessment by assigning weights to each of the factors and calculating the final credit rating score.



Significance of Credit Rating

The credit rating of a project or instrument is always project/instrument specific. Different credit ratings might be assigned to different financial instruments issued by the

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same company at the same time. Similarly, credit ratings for similar securities issued by the same corporation at various dates may differ. Investors, banks, and other financial institutions, as well as investment advisers, benefit from credit ratings because it aids them in making business decisions. An approved competent authority's credit rating provides a bird's eye perspective of an organization's and its instruments' financial strength. It can greatly assist an investor in determining whether his investment is going to be safe.

Investors and regulators have become more reliant on credit rating organisations' opinions as financial markets have become more sophisticated and worldwide, and the borrower base has become more diverse. Credit ratings aim to offer a consistent and acceptable ranking of relative credit risks, with specific reference to the rated instrument.

The following areas/instruments are eligible for credit rating:

- Shares of stock
- Ratings for the banking industry
- Credit score for each person
- Rating for the insurance industry
- New products, such as floating rate notes, index-based bonds, and long-term deep discount bonds, are being developed
- Intermediaries in the financial services industry are rated
- Securitization
- Companies that are raising capital from outside the country are rated

Credit rating is predicted to take on a multi-faceted function in the economy, encompassing rating of products, services, suppliers, customers, management schools, merchant bankers, banks, health services, schools, political parties, and politicians, among other things.

Methodology of Credit Rating

The credit rating process begins when a potential issuer approaches a rating agency for a review. Experts in assessing banks should be given free reign to collect data and informants, as well as thoroughly study the business's strengths and flaws. The entire grading procedure is based on anonymity, so even the most private corporate strategies, marketing plans, and future outlooks are exposed to the steam of analysis.

The ranking is based on a thorough examination, study, and interpretation of a variety of variables. The world of investing is subjected to a constant barrage of political, economic, social, and other pressures that no one can comprehend with adequate precision. As a result, a logical approach to systematic evaluation is required, and agencies use various techniques within the scope of some common traits. The following are some of the most important variables to consider:

- **Business Analysis or Company Analysis**

This involves an examination of industry risk, the company's market position, operational efficiency, and legal situation.

- Industry risk includes aspects such as the nature and basis of competition, major success factors, demand supply position, industry structure, government policies, and so on.
- Within the industry, the company's market position includes things like market share, competitive advantages, selling and distribution arrangements, product and customer diversity, and so on.
- In comparison to competitors, the company's operating efficiency includes locational advantages, labour relationships, cost structure, and manufacturing.
- Legal Status: Prospectus terms; trustees and their responsibilities; procedure for prompt payment and protection against forgery/fraud, and so forth.

- **Economic Analysis**

To evaluate an instrument, an analyst must devote a significant amount of time to researching numerous economic activities as well as analysing the characteristics unique to the industry with which the analyst is concerned. Ignoring these aspects would be a mistake because individual organisations are constantly subject to changing environments, and economic activities have an impact on corporate profitability, investor attitudes and expectations, and the price of the instrument. As a result, economic variables including growth rate, national income, and spending cannot be overlooked. Surveys, various economic indicators, and indices are used in the analysis when undertaking economic forecasting.

- **Financial Analysis**

This comprises an examination of accounting, quality, earnings, cash flow protection, and financial flexibility.

- Accounting Quality: Overstatement/understatement of profit; auditor qualification; income recognition procedures, inventory value and depreciation policies, off-balance-sheet obligations, and so forth.
- Earnings Protection: Future earnings growth sources, profitability ratios, and earnings in relation to changes in fixed income.
- Cash flow adequacy: in respect to debt and fixed and working capital requirements; future cash flow variability; capital investment flexibility; working capital management, and so on.
- Financial Flexibility: Ability to raise funds through asset redeployment; alternative financing strategies in times of crisis.

- **Management Evaluation**

- Management planning and control system track record, depth of managerial skills, succession plans
- Assessment of one's ability to deal with adversity
- Goals, philosophy, and strategies are all important.

- **Geographical Analysis**

- Advantages and disadvantages of the location
- Benefit to the company/division/unit in the backward area

Notes

• Fundamental Analysis

For the evaluation of finance firms, fundamental analysis is required. This involves an examination of the company's liquidity management, profitability, and financial situation, as well as interest and tax sensitivity.

- Capital structure; term matching of assets and liabilities policy; and liquid assets in relation to financing obligations and maturing deposits are all examples of liquidity management.
- Asset Quality: The company's credit risk management; credit monitoring system; sector risk; exposure to borrowers; problem credit management, and so on.
- Profitability and financial position: historical earnings, fund deployment spread, revenue from non-fund-based services, reserve accretion, and so on.
- Interest and tax sensitivity: exposure to interest rate changes, interest rate and tax low hedging, and so forth.

Drawbacks of Credit Rating

Some of the disadvantages of credit rating are as follows:

- Investors/creditors can use the ratings procedure to help them determine the risks connected with the instrument/credit obligation. It makes no attempt to make an investment recommendation and ignores factors such as market prices and personal risk/reward preferences that could influence investing decisions.
- Certain primitives are used in the rating process. The agency, for example, does not conduct audits. Instead, it must rely entirely on data supplied by the user. As a result, the rating process is jeopardised to the extent that the information provided is erroneous and incomplete.
- To the extent that a given firm's instrument receives a lower rating, the company has an incentive to shop about for the greatest possible rating, jeopardising the rating process's integrity.

4.4.2 Historical Background of Credit Rating

Credit ratings offer institutional and retail investors with information that helps them determine whether issuers of bonds and other debt instruments and fixed-income securities will be able to meet their obligations. Credit rating agencies (CRAs) issue letter grades to provide objective analyses and independent assessments of companies and countries that issue such securities. Ratings for sovereign debt are assigned to countries.

This rating considers a country's or foreign government's overall creditworthiness. The volume of foreign, public, and private investment, capital market transparency, and foreign currency reserves are all factors considered in sovereign credit ratings. Sovereign ratings take into account political conditions such as overall political stability and the level of economic stability a country will maintain during times of political transition.

Sovereign ratings are used by institutional investors to qualify and quantify a

country's overall investment climate. The sovereign rating is frequently used by institutional investors to determine whether they will consider specific companies, industries, and classes of securities issued in a particular country. Individual companies and specific classes of individual securities, such as preferred stock, corporate bonds, and various classes of government bonds, are assigned credit ratings, debt ratings, or bond ratings.

Ratings can be assigned to both short-term and long-term obligations. Long-term ratings examine and assess a company's ability to meet its obligations in relation to all securities issued. Short-term ratings are based on a security's ability to perform given the company's current financial condition and general industry performance conditions.

In 1913, John Knowles Fitch established the Fitch Publishing Company, which provided financial statistics for the investment industry through "The Fitch Stock and Bond Manual" and "The Fitch Bond Book." Fitch introduced the AAA through D rating system in 1923, which has since become the industry standard. Fitch merged with IBCA of London, a subsidiary of Fimalac, a French holding company, in the late 1990s with plans to become a full-service global rating agency. Fitch also acquired Thomson BankWatch and Duff & Phelps Credit Ratings, two market competitors.

Moody's Investors Service

Moody's assigns letter grades to countries and companies' debt in a slightly different manner. Investment grade debt ranges from Aaa (the highest possible grade) to Baa3, indicating that the debtor is able to repay short-term debt. Below investment grade is speculative grade debt, also known as high-yield or junk. These grades range from Ba1 to C, with the likelihood of repayment decreasing as the letter grade decreases.

History

"Moody's Manual" was first published in 1900 by John Moody and Company. The manual published basic statistics and general information about stocks and bonds from various industries. "Moody's Manual" was a national publication from 1903 until the 1907 stock market crash. Moody's began publishing "Moody's Analyses of Railroad Investments" in 1909, which added analytical information about the value of securities. Extending this concept resulted in the establishment of Moody's Investors Service in 1914, which would provide ratings for nearly all of the government bond markets at the time over the next ten years. Moody's began rating commercial paper and bank deposits in the 1970s, eventually evolving into the full-service rating agency it is today.

Standard and Poor's

S&P has 17 ratings for corporate and sovereign debt. Anything with a rating of AAA to BBB- is considered investment grade, which means it can repay debt without issue. Debt with ratings ranging from BB+ to D is regarded as speculative, with an uncertain future. The lower the rating, the greater the likelihood of default, with a D-rating being the worst case scenario.

History

Henry Varnum Poor's "History of Railroads and Canals in the United States"

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was published in 1860, paving the way for the securities analysis and reporting that would emerge over the next century. Standard Statistics began publishing corporate bond, sovereign debt, and municipal bond ratings in 1906. In 1941, Standard Statistics merged with Poor's Publishing to form Standard and Poor's Corporation, which was bought out by The McGraw-Hill Companies in 1966. Standard and Poor's is best known for indexes such as the S&P 500, a stock market index that serves as a tool for investor analysis and decision-making as well as a U.S. economic indicator.

4.4.3 Types of Credit Rating

A credit rating reflects current perceptions of the possibility of timely interest and principal payment on the rated obligation. It is an objective, unbiased, and independent assessment of the issuer's ability to meet its financial obligations.

The following are the common types of credit rating:

- Sovereign credit rating: It is a credit rating assigned to a sovereign entity, such as the government. Investors wishing to invest overseas use the sovereign credit rating to determine the risk level of a country's investing environment.
- Credit Rating of Real Estate Builders and Developers: Housing and real estate are essential drivers of economic development and form the backbone of the country's infrastructure. The real estate market is attracting huge investments from both domestic and foreign investors as government policies emphasise faster economic growth.

Investors and clients, on the other hand, should be cautious in their exposure because the industry is highly unstructured. Credit rating agencies have recently begun to offer ratings to builders and developers with the goal of assisting and guiding potential real estate buyers.

CRISIL provides credit ratings such as National Developers Rating and Real Estate Rating.

- Corporate Debt credit rating: A company's credit rating is a financial indicator for possible debt securities investors, such as bonds. Rather evaluating the entire firm, a credit rating is normally assigned to a financial instrument such as a bond, secured debt, or debentures.
- Equity rating or IPO grading: The grade provided to the initial public offering (IPO) of equity shares or any other securities that may be converted into or exchanged for equity shares later by a Credit Rating Agency (CRA) registered with SEBI is known as equity grading.

The grade is based on how well the issue's fundamentals stack up against those of comparable publicly traded equity instruments in India.

Such grading is usually done on a five-point scale, with higher scores suggesting stronger fundamentals and lower scores indicating weaker fundamentals, as seen below:

- Poor fundamentals, IPO grade 1
- Below IPO grade 2 Fundamentals that are average

- Fundamentals are average in this IPO.
- IPO grade 4: The fundamentals are above average.
- Grade 5 of the IPO Strong foundations

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Importance of Credit Rating

A higher credit rating indicates that the company or entity is more likely to repay the borrowed credit, as a credit rating is an estimate of a borrower's creditworthiness. A lower credit rating, on the other hand, may indicate that they are more likely to default. This can make borrowing money difficult for them because lenders will view them as high-risk borrowers.

However, credit rating is essential in other ways as well:

For Lenders

1. By considering the risk of the business borrowing the money, lenders and investors can make better and more solid investment decisions.
2. When lenders know a potential borrower's credit score, they can be comfortable that their money will be repaid on time and with the correct interest rate.

For Borrowers

1. Companies with a higher credit rating are considered as less risky and hence have an easier time getting loan applications accepted.
2. Lenders such as banks and financial organisations will also offer lower-interest loans to businesses with a better credit rating.

As a result, having a better credit rating can help a company get funds and expand while also lowering borrowing costs. These ratings can also assist lenders in obtaining more thorough financial information and encouraging higher accounting practises.

4.4.5 Credit Rating Methodology - 1

Methodology of Credit Rating

The credit rating process begins when a potential issuer approaches a rating agency for a review. Experts in assessing banks should be given free reign to collect data and informants, as well as thoroughly study the business's strengths and flaws. The entire grading procedure is based on anonymity, so even the most private corporate strategies, marketing plans, and future outlooks are exposed to the steam of analysis.

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Notes

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1. Management planning and control system track record, depth of managerial skills, succession plans
2. Assessment of one's ability to deal with adversity

3. Goals, philosophy, and strategies are all important.
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Fundamental Analysis

For the evaluation of finance firms, fundamental analysis is required. This involves an examination of the company's liquidity management, profitability, and financial situation, as well as interest and tax sensitivity.

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2. Asset Quality: The company's credit risk management; credit monitoring system; sector risk; exposure to borrowers; problem credit management, and so on.
3. Profitability and financial position: historical earnings, fund deployment spread, revenue from non-fund-based services, reserve accretion, and so on.
4. Interest and tax sensitivity: exposure to interest rate changes, interest rate and tax low hedging, and so forth.

4.4.5 Credit Rating Methodology – 2

The credit rating technique used by SAHA is made up of several factors organised into quantitative and qualitative categories, each of which contributes to the final grade with different weights.

The quantitative analysis components are

- SAHA-Score
- Industry comparative financial ratio analysis
- Analysis of fund flows and free cash generation
- Base-case and stress scenario financial projection analyses
- Risk specific factors analysis
- The qualitative analysis affecting the final rating covers
- Company risk analysis
- Industry risk analysis
- Analysis of shareholding structure
- Analysis of parent/subsidiary dependencies
- Compliance with corporate governance principles

Quantitative Analysis

SAHA-Score

SAHA-Score is a scoring model that indicates a theoretical default likelihood, intended to discriminate default instances, based on the financial data of industrial

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enterprises listed on BIST since its inception. It is of relevance in SAHA's credit rating methodology. SAHA-Score is a unique modelling research based on data from institutions that were and are still functioning in Turkey, therefore representing the structural characteristics of Turkish businesses and markets.

Industry Comparative Financial Ratio Analysis

A result of a company peer comparison in the industry in terms of financial ratios and performance is another criterion within the scope of quantitative analysis. Comparative ratios are studied in six categories, with a total of 60 ratios being analysed. These are the categories:

- Liquidity ratios (13 ratios)
- Cash ratios (9 ratios)
- Financial structure ratios (16 ratios)
- Operating ratios (10 ratios)
- Profitability ratios (10 ratios)
- Growth performance (2 ratios)

Analysis on Funds Flow and Free Cash Generation

Separating the company's funds flow sources and their allocation in recent years is another examination within the purview of quantitative research. The goal of the analysis is to determine the efficiency of the company's money flows, their fit with the features of the field of operation, and the sources and reasons of any inadequacies.

The Cash Production study, in addition to examining the composition of sources and uses of funds, looks at the adequacy of the company's operational and free-cash generation capability in comparison to its obligations, allowing a classification of the company's liability servicing performance.

Base-case and Stress Scenario Analysis on the Financial Projection

While the company's historical performance and current state are vital indicators, it's also crucial to diagnose future dangers. As a result, estimates are based on the company's financial model, and several scenarios are examined. The financial analysis model is designed to assess the company's financial strength in future base-case and stress-case scenario scenarios based on various assumptions. Two sets of estimates for the next five years are generated for these parameters based on the assumptions in the model, which are categorised as: a) General economic parameters and b) Operational and financial parameters of the company.

The assumptions for the base-case scenario are based on the company's medium-term budget and planning estimates. The performance of the company is evaluated in this scenario under the premise that the activities planned under normal conditions would proceed without substantial deviations.

The assumptions for the stress-case scenario are derived by determining the values that will result in a future stress situation while considering the volatility of the general economic and operational/financial parameters.

The increasing and decreasing future trends of the company's liabilities, as well as changes in overall risk to meet these commitments, are analysed using these assumptions.

Default Specific Risk Factors Analysis

Specific elements that influence the likelihood of default are assessed independently. Here are a few:

Age

Size

Growth trends based on real sales income, volatility in variables such as real sales revenue, gross profitability, EBITDA, net Profitability and share market value

Qualitative Analysis

The risk considerations associated with the scope of activity, the company's corporate governance level, and the shareholders'/parent company's opinion are all part of the qualitative analysis. The examination of the field of activity also involves an assessment of the industry and the company's position within it.

Industry Risk

The analysis and evaluation of elements such as the industry's contribution to the economy and growth trend, competitive environment, and circumstances within, ease of entrance, marketing channels, and supply structure are all covered under the heading of industry risk.

Company Risk

The company's strategy, market share and position, growth trend, production capacity and utilisation, cost structure, product quality, organisation and stability, as well as ability to access and diversity of financing sources, alternative financing sources, short/long-term liability structure, off-balance sheet liabilities, and accounting practises are evaluated as the main factors that constitute such risks.

Parent/subsidiary Company Relationship

Another aspect of company risks is the ability to discern the rating-determining risks that may develop if the assessed company is a parent company or a "captive" subsidiary company of the parent company.

The number of affiliates, industry and strategic compatibility, the size of the related party, commercial and financial relations, the scale of mutual obligations, the consolidation scope of the financial reports, and the possible risks that the affiliates may reflect are all taken into consideration when analysing the parent companies.

The parent company's incorporation, governance, alignment of parent and subsidiary companies in terms of their fields of operation, commercial and financial ties, mutual guarantees and obligations are all scrutinised in the case of a subsidiary company.

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Compliance with the Corporate Governance Principles

The qualitative study's second major subheading tries to separate the company's corporate governance concerns. The standard criterion in this regard is the company's level of conformity with corporate governance standards. The corporate governance competency examined in the context of credit rating is not as extensive as the corporate governance rating study, but it does raise concerns about widespread compliance with basic principles. This grade is utilised if the company already has a valid corporate governance rating from an authorised rating agency. If this is not the case, a credit rating is assigned within the scope of the credit rating project.

Shareholders

One of the determining variables in a company's credit risk rating is its shareholders. When assessing the risk to shareholders, both the shareholders' reputation and the company's importance to the shareholders are considered.

The corporate/structural quality, age, size, past performance, corporate governance, and credit rating of the primary partner are all taken into consideration when it comes to the shareholders' reputation. Factors such as the main partner's strategic position, participation rate in the company, the company's and the main partner's fields of activity's compatibility and complementarity, the main partner's control level, its effect on the decision-making procedure, and the guarantees and sureties are evaluated while considering the importance of the company for the shareholders.

4.4.6 Advantages and Limitations of Credit Rating

The following are the benefits of credit rating:

1. Assists in Investment Decisions:

Credit ratings indicate the creditworthiness of the issuing company as well as the risk associated with a specific security. Investors can decide whether or not to invest in a company based on its credit rating.

2. Investing Decision Independence:

Taking investment decisions is extremely difficult for the average person. They seek advice from stock brokers, merchant bankers, or portfolio managers before making investment decisions. Credit rating services make the task easier by associating rating symbols with specific securities. A rating symbol assigned to a specific instrument suggests the instrument's creditworthiness and indicates the degree of risk involved in it.

3. Safety assurance:

A high rating reassures the investor about the instrument's safety. Companies with high instrument ratings maintain healthy financial discipline.

4. Instruments of Choice:

Credit rating agencies help investors choose a specific instrument from a wide range of options by rating securities.

5. Rating Dependence:

The ratings given to the instruments are genuine and dependable. The rating agencies are independent of the issuing company and have no business ties to it. As a result, they give the instruments a fair rating. This instils confidence in investors.

6. Constant Monitoring:

Credit rating agencies not only assign rating symbols, but they also monitor them on a continuous basis. Depending on the company's performance and position, the rating agency may downgrade or upgrade the rating symbols.

7. Easy Fund Raising:

If the instruments issued by the company are highly rated, it becomes very easy for the company to raise funds from the market. A high rating instils confidence in investors. Many investors prefer to invest in instruments that provide safety and easy liquidity over high rates of return.

8. Excellent Corporate Image:

A high credit rating of securities helps to improve a company's corporate image. Investors are more confident when they have a high credit rating. This contributes to the company's good corporate image.

9. Lower cost of public issue:

A company with highly rated instruments must expend the least amount of effort in raising funds through a public offering. A good credit rating generates positive publicity for the company. Companies that use highly rated instruments benefit from increased goodwill and corporate image among customers, shareholders, investors, and creditors. Investors are confident in their investments, and creditors are assured of timely interest and principal payments.

10. Lowers and easy cost of borrowing:

A company with highly rated debt instruments must expend the least amount of effort to raise funds from the market. A high risk rating indicates a low level of danger. Because of the high rating of the instrument, the company will be able to offer a low interest rate. Because of the low risk involved, investors will accept low interest. A high credit rating allows the company to borrow from a broader range of lenders. It can easily approach financial institutions, banks, investment firms, the general public, and so on for borrowings.

11. Assist Unpopular Businesses:

A good credit rating increases the company's exposure. If a company's instruments receive publicity, the company with little publicity gains popularity. The company will now find it easier to raise funds from the market.

12. Rating Promotes Development:

The rating encourages the company's management to expand their operations or diversify their production activities, resulting in the company's future growth.

Notes

Disadvantages

The following are some of the drawbacks of credit ratings:

13. Non-disclosure of Critical Information:

The firm being rated may not provide the credit rating agency with all material or important information. Any decision made in the absence of such critical information may leave investors in the dark.

14. Biasness is a possibility:

The credit rating agency's rating is based on information obtained from the company. The information gathered by the rating agency may be skewed due to the rating team's personal bias.

15. New Company's Issues:

Rating agencies assign ratings based on information provided by the company. A new company, on the other hand, may not be able to provide enough information to demonstrate its financial stability. As a result, it may receive a lower credit rating. A low credit rating may make it difficult to raise funds from the market.

16. Nature is static:

The rating is based on a static analysis of the company's current and historical data at a specific point in time. A variety of political, economic, social, and environmental factors have a direct impact on the company's operations. Any changes made after the rating may undermine the rating's very purpose.

17. A rating is not a certificate of safety:

Rating grades assigned by rating agencies are simply opinions about a company's ability to meet its interest obligations. Rating symbols do not point to financial stability, product quality, management, or staff, among other things. In other words, rating does not provide a certificate of the company's complete soundness.

18. Differences in Rating Grades:

Because of a variety of factors, the same instrument may be rated differently by different rating agencies. This may cause investors to become perplexed.

4.4.5 Credit Rating Agencies in India

A credit rating agency (CRA) evaluates and assesses the creditworthiness of an individual or a corporation. To put it another way, these agencies look at a debtor's income and credit lines to determine whether he or she can repay the loan and whether there is a credit risk involved.

Securities and Exchange Board of India (SEBI) reserves the right to authorise and regulate credit rating agencies according to SEBI Regulations, 1999 of the SEBI Act, 1992.

How do credit rating agencies work?

Credit rating agencies assess a company, person, or entity and issue ratings to them. Companies, state governments, non-profit organisations, countries, securities, local government bodies, and special purpose entities can all be rated by these authorities. Financial statements, type of debt, lending and borrowing history, payback capabilities, historical credit repayment behaviour, and other criteria are all considered when determining a rating. Each of these elements plays a part in calculating the result, the credit score.

The credit rating agency does not decide on whether an entity should be granted credit; rather, it gives the report and extra information to help the lender analyse the situation and make an informed choice.

List of registered credit rating agencies

The following credit rating agencies, according to SEBI, are registered and authorised to compute and distribute credit scores/reports with financial institutions and applicants.

CRISIL Limited: CRISIL (Credit Rating Information Services of India Limited) was founded in 1987 and is one of the oldest credit rating companies in the country. In 2016, the agency began rating infrastructure. In addition to India, CRISIL has offices in the United States, the United Kingdom, Poland, Hong Kong, China, and Argentina.

India Ratings and Research Pvt Ltd: Fitch Group's India Ratings and Research division delivers reliable and timely credit evaluations on the country's credit market. Corporate issuers, financial institutions, managed funds, urban municipal governments, project finance firms, and structured finance companies are all represented by the firm. The company's headquarters are in Mumbai, with offices in Ahmedabad, Delhi, Chennai, Bengaluru, Hyderabad, Pune, and Kolkata as well.

ICRA Limited: In 1991, Moody's and the Indian Financial and Banking Service Organisation formed the Investment Information and Credit Rating Agency (ICRA). The company is notable for providing corporate governance, performance, and mutual fund rankings, among other things.

CARE: Since April 1993, Credit Analysis and Research Limited (CARE) has been a credit rating agency. The agency assigns a credit rating to businesses to assist them in raising financing for their investment needs. Credit risk and risk-return expectations can help investors make decisions. The firm has regional offices in New Delhi, Pune, Kolkata, Chandigarh, Jaipur, Ahmedabad, Bengaluru, Chennai, Coimbatore, and Hyderabad, in addition to its headquarters in Mumbai.

Brickwork Ratings India Pvt Ltd: Brickwork Ratings (BWR) is accredited by RBI and empanelled by NSIC, NCD, and MSME ratings and grading agencies, in addition to being registered with SEBI. NABARD has granted it accreditation for MFI and NGO grading. Companies requesting financing from IREDA, Renewable Energy Service Providing Companies (RESCOs), and System Integrators are all graded by Brickwork (SIs). Brickwork's main booster and strategic planner was Canara Bank.

SMERA Ratings Limited: SMERA assesses and certifies the legitimacy of existing micro, small, and medium businesses (MSMEs). MSMEs can improve, grow, and obtain more affordable/quicker financing.

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Infometrics Valuation and Rating Pvt Ltd: Finance specialists, former bankers, and administrative services workers created this SEBI-registered, RBI-accredited credit rating business. It assesses financial institutions such as banks, non-banking financial institutions, large corporations, and small and medium-sized businesses (SMUs).

Process used by Credit Rating Agencies

Major Steps Involved in Credit Rating Process

Investors benefit from credit ratings because they provide a straightforward, easily recognised tool that combines a potentially unknown issuer with an instructive and meaningful indicator of credit quality.



Credit ratings provide an objective assessment of a company's creditworthiness when it issues debt instruments. They also supply investors with low-cost information regarding a corporation's creditworthiness.

Credit Rating Process of Financial Instruments

The steps involved in credit rating process are explained below:

1. Receipt of the Request

The credit rating process begins when credit rating agencies receive a formal request for rating from a corporation that wishes to have its issuing obligations under a proposed instrument rated.

The rating agency and the issuer company have reached an agreement.

The contract outlines the terms of the rating assignment and addresses the following points:

1. It mandates that the credit rating agency (CRA) maintain the information private.
2. It gives the issuer corporation the option of accepting or rejecting the rating.
3. It mandates that the issuer company supply the CRA with all relevant information for rating and subsequent surveillance.

2. Assignment to Analytical Team

The CRA assigns the job to an analytical team after receiving the above request.

The team is typically made up of two members/analysts who are experts in the relevant business area and oversee completing the rating assignments.

3. Obtaining Information

The client company provides the necessary information to the analytical team. Typically, issuers are given a set of information needs as well as a broad framework for discussion.

The conditions are derived from the issuer's business experience and broadly confirm to all aspects that affect the rating.

The analytical team examines data from the company's financial records, cash flow estimates, and other pertinent data.

4. Plant Visits and Meeting with Management

The team travels and interacts with the company's leaders to get classification and a deeper knowledge of the client's activities.

Plant visits allow for a better understanding of the manufacturing process, as well as an assessment of the state of the equipment and main facilities, an assessment of the technical personnel's quality, and a formation of an opinion on the key variables that influence the level, quality, and cost of production.

The CRAs retain direct contact with the issuing company in order to incorporate non-public information into the rating decision and to make the rating forward-looking.

The management meeting covers a wide range of subjects, including competitive positioning, strategies, financial policies, historical performance, risk profile, and strategies, as well as financial data evaluation.

5. Presentation of Findings

After the investigation is completed, the findings are considered in depth by an internal committee comprised of top credit rating agency analysts.

All issues that have an impact on the ranking are identified

A viewpoint about the ranking is generated as well

Finally, the team's results are presented to the rating committee

6. Rating Committee Meeting

This is the final authority when it comes to rating.

The only component of the procedure in which the issuer is not directly involved is the rating committee meeting.

The rating is determined following a comprehensive examination of all aspects affecting the issuer, with a focus on the most important issues.

7. Communication of Decision

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Finally, the issuer receives the assigned rating grade along with the explanations or justification for the credit rating.

Credit ratings that are not approved are either rejected or re-evaluated once the issuer provides more information.

The credit ratings that have been rejected are not made public, and complete confidentiality is preserved.

8. Dissemination of the Public

When the issuer accepts the rating, the credit rating agencies publish it in printed reports for the public to see.

9. Monitoring for Possible Change

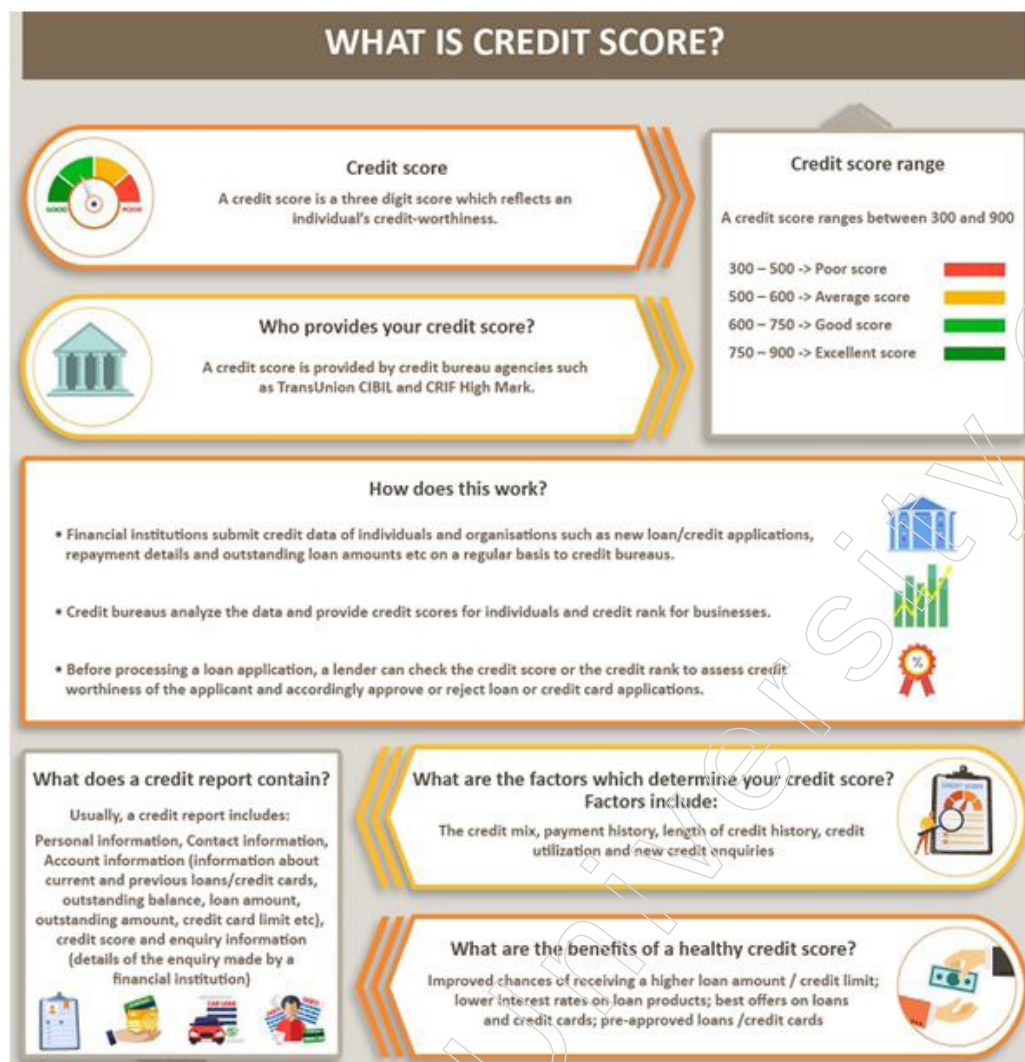
When a corporation decides to employ a rating, CRAs are required to keep track of the accepted ratings throughout the duration of the instrument.

The CRA keeps a close eye on all ratings considering new political, economic, and financial developments as well as industry trends.

All this data is evaluated on a regular basis to identify organisations that may be affected by large changes. CRAs make any modifications to the rating public through published reports.

4.4.8 Factors Affecting Credit Score

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Your credit ratings are influenced by several factors, including on-time payments and how much of your credit limit you utilise. Several factors influence your credit ratings, including whether you pay your payments on time and how long you've had credit. Understanding how credit scores are affected might help you plan the most efficient method to grow or protect your credit.

Credit scoring businesses use information from your credit reports to create your ratings. While they aren't willing to provide their exact methods, they do reveal the essential ingredients they utilise to compute scores.

Why are you so concerned? Because your credit typically determines whether you can acquire a credit card or a car loan, and at what interest rate; if you can purchase a house or rent the apartment of your dreams; and even how much you pay for car insurance and utility deposits.

While each scoring model's specific criteria vary, the following are the most prevalent elements that effect your credit ratings.

History of payments: Payment history is the most essential factor in credit rating, and even a single missed payment can lower your score. When

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assessing you for new credit, lenders want to know that you will pay back your debts on schedule. Payment history accounts for 35% of your FICO® Score, which is used by 90% of the nation's top lenders.

- Amounts that are owing: The next most important component in your credit scores is your credit consumption, as measured by your credit utilisation ratio. Divide the entire revolving credit you're currently utilising by the total of all your outstanding credit limits to get your credit utilisation ratio. This ratio looks at how much of your available credit you're using and might show you how reliant on non-cash funds you are. Using more than 30% of your available credit is seen as a red flag by creditors. Your credit utilisation makes up 30% of your FICO® Score.
- Credit history length: The length of time you've had credit accounts accounts for 15% of your FICO® Score. This covers the average age of all your accounts, the age of your oldest credit account, and the age of your newest credit account. The longer your credit history, the higher your credit score will be.
- New credit: accounts for 10% of your FICO® Score, as do the amount of credit accounts you've recently created and the number of hard inquiries lenders conduct when you apply for credit. Too many accounts or enquiries can imply a higher level of risk, which can lower your credit score.
- Credit mix: People with excellent credit frequently have a varied credit portfolio, which may include a vehicle loan, credit card, school loan, mortgage, or other credit products. Credit scoring models look at the different sorts of accounts you have and how many of each you have to determine how well you handle a variety of credit products. Your FICO® Score is based on your credit mix, which accounts for 10% of your total score.

Factors that don't affect your credit score

- Checking your own score: It has no effect on your credit score if you receive your own score from your bank or a free credit score service. Because monitoring your own credit score is considered a soft pull on your credit, this is the case. It has no effect on your score if you check it as many times as you like.
- Rent and utility payments: Your rent and utility payments are usually not recorded to the credit bureaus, so they do not affect your credit score. If you utilise a rent-reporting service or are late on utility payments, you are exempt. It's possible that the utility provider will charge it off or sell it to a collector, who would report it to the credit bureaus, lowering your credit score. Experian Boost, for example, allows you to add utility payment information to your Experian credit report, which can have an impact on your credit.
- Income and bank balances: Some employer information is included in credit reports, but it is only used to match account data to the correct person. Getting a raise isn't going to help you improve your score. Because only credit accounts are listed on credit reports, not savings, checking, or investment accounts, the balances in other accounts won't assist your score.

4.4.11 Difference Between Credit Score & Credit Rating

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Credit Rating vs. Credit Score

What is the difference between a credit rating and a credit score? Although the two names are sometimes used interchangeably, there is a differentiation between them. A credit rating, given as a letter grade, indicates a company's or government's creditworthiness. Individual customers and small enterprises can both benefit from a numerical credit score, which is also an expression of creditworthiness.

Only businesses can use certain credit ratings, such as the Dun & Bradstreet PAYDEX, Experian's Intelliscore Plus, or the FICO Small Business Scoring Service. The PAYDEX scale is 0 to 100, while the Intelliscore Plus and FICO SBSS scales are 300-850 and zero to 300, respectively. Individual credit scores might range from 300 to 850.

Your credit score as a consumer is a number derived from information contained in your credit reports from the three major credit reporting bureaus—Equifax, Experian, and TransUnion. Your personal credit score will be important whether applying for a personal loan, a mortgage, or a new credit card.

Both ratings and scores are intended to demonstrate a borrower's likelihood of repaying a debt to potential lenders and creditors. They are not produced by creditors or consumers, but by independent third parties. The entity requesting the credit score, as well as the creditor, pay for it.

- Credit ratings are utilised by corporations and governments and are expressed as letter grades.
- Individuals and certain small businesses utilise credit scores, which are numbers.
- The three major credit reporting agencies contribute to an individual's credit score, which ranges from 300 to 850.
- A FICO score is a credit score that is calculated using data from the three main credit agencies.
- Credit rating companies, such as S&P Global, create credit ratings.

Credit Rating	Credit Score
• A credit rating is an indication of your actual payment history for a specific debt. • The ratings for each item are expressed on a scale of R0-R9, with R0 meaning the debt is too new to rate and R9 meaning you either have bad debt, are placed for collection or declared bankruptcy. • A letter is assigned to each credit rating describing the type of credit being used: "I" for installment (e.g. a car loan), "O" for open (e.g. a cell phone) and "R" for revolving (e.g. a credit card).	• A credit score is an indication of the likelihood that you'll repay the debt based on past financial history and determines your creditworthiness. • The ratings for each item are expressed on a scale from 300-900, with 300-574 meaning poor and 741-900 meaning excellent. • Credit scores are calculated by two Canadian credit bureaus: Equifax and TransUnion.

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Check your Understanding

1. In general, a _____ is a numerical estimate of a borrower's creditworthiness in relation to a particular debt or financial obligation.
2. A _____ is a component of the financial system that offers a variety of financial products and services, including credit instruments, financial products, and services.
3. The _____ is where the government raises short-term funding. Depositors' money is used by commercial banks to buy these.
4. _____ It is a credit rating assigned to a sovereign entity, such as the government. Investors wishing to invest overseas use the sovereign credit rating to determine the risk level of a country's investing environment.
5. Investors in _____, such as bonds, can use a company's credit rating as a financial indicator.

Summary

- In general, a credit rating is a numerical estimate of a borrower's creditworthiness in relation to a particular debt or financial obligation. A credit rating can be given to an individual, a corporation, a state or province, or a sovereign government if they want to borrow money.
- Credit bureaus such as Experian, Equifax, and TransUnion use a version of Fair Isaac Corporation (FICO) credit scoring to rate individual credit on a three-digit numerical scale. This assessment and evaluation is done by a credit rating agency such as S&P Global, Moody's or Fitch Ratings. Those seeking a credit rating for themselves or one of their debt issues pay these rating agencies.
- A credit score is a number that ranges from 300 to 850 and represents a person's creditworthiness. A borrower's credit score improves the way he or she appears to potential lenders. A credit score is calculated using information from your credit history, such as the number of accounts you have open, the total amount of debt you owe, and your repayment history, among other things. Credit scores are used by lenders to assess the likelihood of a borrower repaying a loan on time.
- Creditworthiness is how a lender evaluates whether or not you will default on your debt obligations, or whether or not you are creditworthy. Your creditworthiness is what creditors consider before extending you fresh credit.
- A financial service is a component of the financial system that offers a variety of financial products and services, including credit instruments, financial products, and services. Cheques, bills, promissory notes, debt instruments, letter of credit, and other financial instruments are examples. Mutual funds come in a variety of shapes and sizes when it comes to financial products. Increasing the number of investing options available. There are also items like credit cards, debit cards, and so on. Economic growth is enabled by the presence of financial services, which increases output across all industries and thus improves the country's economic position.
- An increase in the standard of living is a result of economic growth, and everyone benefits. Financial services allow people to buy or receive a wide range of

consumer goods via hire purchase in this location. Many financial institutions benefit from this process. Investment, manufacturing, and saving are all encouraged by these financial institutions

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Activity

1. Make a power point presentation on credit rating, its importance and the basic factors affecting credit score

Questions and Exercises

1. Explain the difference between credit score & credit rating.
2. Write a short note on introduction to financial services.
3. Explain the types and methodologies used by credit rating agencies for rating

Glossary

- **Financial Service:** A financial service is a component of the financial system that offers a variety of financial products and services, including credit instruments, financial products, and services. Cheques, bills, promissory notes, debt instruments, letter of credit, and other financial instruments are examples. Mutual funds come in a variety of shapes and sizes when it comes to financial products. Increasing the number of investing options available. There are also items like credit cards, debit cards, and so on. Leasing, factoring, hire buy finance, and other services enable many sorts of assets to be obtained for ownership or on lease. There are various forms of leases available, as well as factoring.
- **Credit Rating:** A credit rating is an assessment of the credit risks posed by a financial instrument or financial entity. It is a rating provided to a certain organisation based on its credentials and the extent to which the entity's financial accounts are solid in terms of previous borrowing and lending. Typically, it takes the form of a detailed report based on the entity's or person's financial history of borrowing or lending, as well as their credit worthiness as determined by the entity's or person's financial statements of assets and liabilities, with the goal of determining their ability to meet debt obligations. It aids in determining the solvency of a specific entity. Various credit rating organisations, such as Standard & Poor's, Moody's Investors Service, and ICRA, among others, publish these ratings based on extensive analysis.
- **Credit Score:** A credit score is a number that ranges from 300 to 850 and represents a person's creditworthiness. A borrower's credit score improves the way he or she appears to potential lenders. A credit score is calculated using information from your credit history, such as the number of accounts you have open, the total amount of debt you owe, and your repayment history, among other things. Credit scores are used by lenders to assess the likelihood of a borrower repaying a loan on time.
- **Creditworthiness:** Creditworthiness is how a lender evaluates whether or not you will default on your debt obligations, or whether or not you are creditworthy. Your creditworthiness is what creditors consider before extending you fresh credit. A lender's willingness to trust you to pay your debts is determined by your creditworthiness. A creditworthy borrower is one that a lender believes is willing,

Notes

competent, and responsible enough to make loan payments on time until the debt is repaid. Lenders analyse creditworthiness in a variety of methods, including analysing your credit and debt history and, in many situations, determining your capacity to repay the debt with the amounts due.

Further Readings

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3. the difference between leasing & hire purchase Padmalatha Suresh and Justin Paul. Management of Banking and Financial Services. Pearson. Fourth Edition, 2017.
4. Gurusamy. Essentials of Financial Services. Tata McGraw-Hill Education. Second Edition, 2010.
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6. Khan M Y. Financial Services. Mc Graw Hill. Tenth Edition.

Check your Understanding - Answers

1. credit rating
2. financial service
3. money market
4. Sovereign credit rating
5. debt securities

Module - V: Recent Trends & Use of Technology in Financial Services Sector

Notes

Structure:

- 5.1 Technology In Financial Sector
 - 1.1.1 Introduction to Technology used in Financial Markets
 - 1.1.2 Introduction to Technology used in Financial Services
 - 1.1.3 Use of Softwares in Financial Sector - 1
 - 1.1.4 Use of Softwares in Financial Sector - 2
 - 1.1.5 Emerging Issues related to Technology
 - 1.1.6 Future Prospects of Technology
 - 1.1.7 KYC Details
 - 1.1.8 Introduction to Mobile Apps
 - 1.1.9 Role of Mobile Apps in Banking Sector
 - 1.1.10 Role of Mobile Apps in Finance Sector

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Unit - 5.1: Technology In Financial Sector

Objectives:

At the end of this unit, you will be able to:

- Understand the basic introduction to technology used in financial markets
- Understand the basic introduction to technology used in financial services
- Understand the use of software's in financial sector
- Understand the emerging issues related to technology
- Understand the introduction to mobile apps

Introduction

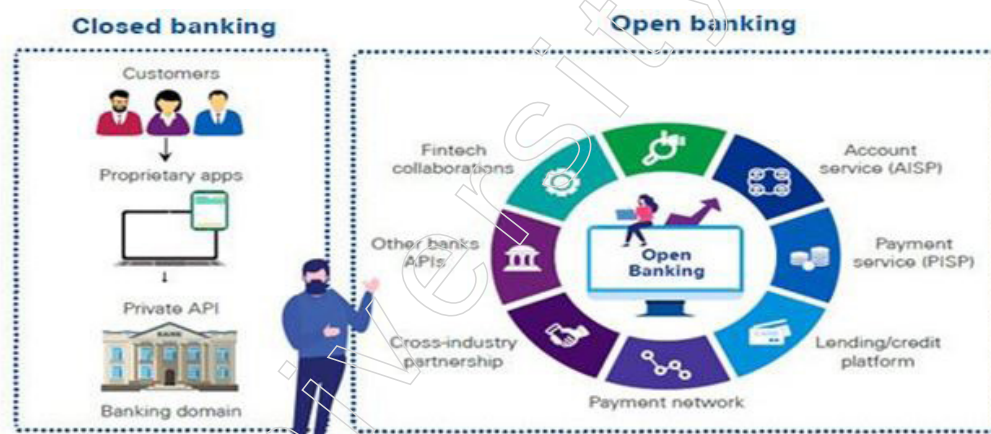


Image: Fintech In India- Powering a Digital Economy

Since the 2008 Global Financial Crisis (GFC), the banking and financial sector landscape has experienced a spectacular shift, thanks to financial technology businesses, colloquially known as 'FinTechs.' FinTechs, as both innovative disruptors and facilitators, have contributed to the contemporary banking and financial industry through a variety of channels, including cost reduction, improved customer service, and financial inclusion. FinTechs have played a key role in unbundling banking into basic activities such as payment settlement, maturity transformation, risk sharing, and capital allocation.

Fintech is the most current buzzword in the financial industry; the newest evolution of Fintech, spearheaded by start-ups, offers problems for regulators and market players alike, particularly in balancing the potential advantages of innovation with the potential hazards of innovative approaches in the finance sector. Traditional financial institutions have been transformed by fintech. FinTech refers to the rising technology advancements in the financial sector. The banking industry is rapidly being shaped by fintech. Around the globe, new financial technologies (FinTech) have sprung up. FinTech, or Financial Technology, is a company that combines emerging technology trends in order to give better financial solutions to its clients in the form of digital payments and transactions. In recent years, the Indian fintech industry has experienced a surge in the number of start-up entries.

With each new company, the sector has developed significantly and is now creating a reputation for itself on a worldwide scale. According to the most recent CB Insights surveys, these are the 20 Indian fintech businesses that have been named among the top 250 worldwide promising start-up companies. UPI, BHIM, Payment wallet, digital bank, and many more services are available, and we use them on a daily basis. Which represents the importance of money and technology in our lives. India has emerged as the world's fastest growing FinTech market and the third biggest FinTech ecosystem. We now use smartphones to perform complex financial transactions such as sending or receiving money, paying bills, purchasing goods and services, purchasing insurance, trading on stock exchanges, opening bank accounts, and applying for personal loans without ever physically interacting with a bank employee.

"Fintech in India has the potential to catch up with its global counterparts as the various ecosystem players come together to orchestrate a much-needed change in the industry. We have the talent and the funding to support this change. The key for success will be the ready adoption by the big banks."

- Neha Punater, Partner, Fintech, KPMG in India

Fintech companies are those that use technology to compete with, empower, and/or collaborate with financial institutions. External partnerships are formed by fintech start-ups with financial institutions, universities and research institutes, technological specialists, government agencies, industry consultants, and associations. Through these collaborations, they build a highly integrated ecosystem that brings together all of the organisations' knowledge, experience, technology, and resources.

FinTech is commonly defined as an industry that utilises technology to improve the efficiency of financial institutions and the delivery of financial services. It is "technologically enabled financial innovation that could result in new business models, applications, processes or products with an associated material effect on financial markets and institutions and the provision of financial services" (FSB, 2019). FinTech's are "start-ups and other companies that use technologies to conduct the fundamental functions provided by financial services, impacting how consumers store, save, borrow, invest, move, pay, and protect money" (McKinsey, 2016).

5.1.1 Introduction to Technology used in Financial Markets

"New financial services technology trends will hit the market in 2020. The growth of financial businesses is also expected to be centered on their ability to mold the sharing economy and customer intelligence, and deal with advances in technologies such as blockchain, robotics, Artificial Intelligence (AI), and more."

The impact of technology on financial services has been enormous in recent years. To keep ahead of the competition, businesses must abandon established financial methods and adopt flexible, innovative alternatives.

The impact of technology on organisations will shift dramatically by the year 2020 and beyond. Businesses will use FinTech (Financial Technologies) to construct new business models, resulting in a flurry of technology-driven product and service innovation. The fact that the FinTech market is constantly expanding demonstrates this. It was valued at \$127.66 billion in 2018 and is anticipated to reach \$309.98 billion by 2022, according to a report. According to another report, the global FinTech usage rate increased by around 64% in 2019.

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However, it's critical to keep a close eye on financial services technology trends because disruptive forces that were successful in 2019 may not be so in 2020.

Financial markets are becoming more open, accessible, inclusive, and efficient as a result of digital disruption. It also aids authorities in gaining a better understanding of the risks that participants normally accept.

Here are five technologies that could revolutionise financial markets in the near future:-

- **Artificial intelligence and natural language processing**

Many financial institutions are turning to algorithms to perform tasks that have previously been performed by humans. Algorithms for machine learning have vastly improved. These algorithms are becoming more widely available as processor capabilities improve at a reduced cost. Artificial intelligence techniques enable computers to learn from user interactions and patterns without having to be explicitly coded.

Self-driving cars, practical voice recognition, chess champions, and more relevant and realistic web searches have all been made possible by machine learning and other artificial intelligence technologies in recent years. Software exists in the financial markets that analyses voice patterns from recorded calls at investment banks, brokerages, and even on the customer side. It can quickly learn to spot scams and irregularities. It can also search the recordings for keywords, decrypt colloquial encryption, and do complicated searches.

In the financial markets, smart algorithms can detect new trade trends or system abuse. In the fast-paced financial trading industry, where speed of judgments is critical, these technologies also automate the decision-making process.

- **Robo advisers**

Given the current situation, the last few Wolves of Wall Street and Dalal Street are likely to be seen. We may just have robots of Wall Street and Dalal Street in the future. Yes, algorithms have grown to comprehend financial goals, risk profiles, and other intricate elements of an investment in order to create a personalised investment portfolio. Based on self-learning algorithms, it can reallocate funds, book profits, and square off positions. The platform may be accessed via the web or via a smartphone, making it extremely simple to use and customise.

All of this is self-contained and does not require the user to interact with a live person. Unlike a human adviser who charges a monthly fee for portfolio management, you get this service for free.

- **Quantum 'sealed envelope'**

Information-theft-related scandals have always been a nightmare for financial industry participants. Hackers have always managed to remain one step ahead of security software and passwords thus far. This, however, could alter very soon. A team of researchers from Geneva, Singapore, Cambridge, Waterloo, and Ontario have used a groundbreaking theoretical paper co-authored by Dr Adrian Kent of the University of Cambridge's Department of Applied Mathematics and Theoretical Physics to provide "unconditionally guaranteed" security and sanctity of a message sent between any two points on the planet.

Early tests of these digitally “sealed envelopes” have been successful, and if everything goes well, financial markets will be completely protected from any threat of information intrusion.

- **Bitcoin and Blockchain technologies**

Blockchain, the ‘distributed ledger’ technology that underpins Bitcoin, keeps track of financial transactions and other digital interactions in a secure, transparent, traceable, and efficient manner. As a result, it is suitable not only for providing a global virtual money, but also for digital accounting and auditing of any type of financial transaction.

The fact that 30 of the world’s major banks recently created a worldwide consortium to further investigate, design, and build Blockchain solutions demonstrates the technology’s potential. Furthermore, the Reserve Bank of India (RBI), which had previously issued a warning against Bitcoin in 2013, has recently reversed its position. The Reserve Bank of India currently believes that Blockchain technology can assist prevent currency and financial transaction counterfeiting.

- **Big data and analytics**

Every second, financial markets create vast amounts of data. It’s vital to keep track of and analyse this data in real time. At an affordable price, a mix of private and public cloud solves the challenge of storage and real-time access to this ocean of data.

Big data analytics enables humans to discover correlations that would otherwise be impossible to discover. Consider a scenario in which 90% of orders issued on the NSE and BSE via high-frequency algorithmic trading systems are cancelled within 30 seconds. Such tendencies could never have been detected with such accuracy by a human. Last year, the RBI called attention to this tendency and warned the markets.

Without the use of technology for big data analysis, such an analysis would never be possible. There may also be software that analyses thousands of social media feeds to determine the sentiment and news about a firm and attempts to anticipate future and probable attitudes. These findings have the potential to alter the way institutional and ordinary investors trade in the market.

While several of these technologies are still in their infancy and require major improvements and commercial interest, the groundwork for digital transformation has been laid.

5.1.2 Introduction to Technology used in Financial Services

Top 7 Emerging Technologies in the Financial Services Industry

The seven most likely financial services technology trends in 2020 are listed below, and they will aid firms in dealing with both existing and future difficulties. These new financial services trends will aid banks, insurance companies, and other financial institutions in implementing security, improving accessibility, providing convenience, and, most importantly, building confidence.

- **Technology that is cognitive**

AI covers a wide range of topics in the financial services industry, and it is likely that this is where it finds its most useful applications. AI’s high-computing and cognitive

Notes

abilities assist financial institutions in managing risks, detecting fraud, and identifying data trends, allowing them to make judgments with little human participation. It also enables customers to personalise financial products and services, do budget analyses, acquire saving advice, and take advantage of the greatest digital payment and mobile banking experiences.

- **Chatbots that converse**

Chatbots have been around for decades, but their allure faded a few years ago due to their inability to provide human-like interactions. AI-powered chatbots, on the other hand, have regained appeal as a result of technological advancements. By the end of 2020, Gartner expects that AI-powered Chatbots will manage roughly 85 percent of all business-to-customer interactions. Conversational AI technologies can be used by financial services providers to provide consumers with more personalised experiences. AI-powered chatbots learn and evolve from existing databases and ongoing interactions in order to provide personalised responses to user questions, provide relevant recommendations, and outperform expectations.

- **Blockchain**

Blockchain is undoubtedly going to be the spine of the sharing economy. It is one of the most prominent technologies that instill security and accountability in the product and service delivery landscape. The technology scrutinizes transactions in a cost-effective, decentralized, and verified manner. It reduces dependency and supports proper book-keeping. Blockchain is one of the financial services technology trends that will underpin the two most important pillars of the industry, i.e., transparency and trust.

- **Data Analytics**

Data is critical in the banking and financial services industry, and when combined with technology like data analytics, it can bring significant commercial value. Businesses may use data analytics to successfully handle enterprise-wide data and get meaningful business insights that aid decision-making, product creation, risk management, fraud detection, and more. Financial businesses can also use technology to evaluate historical performance, optimise existing tasks, processes, and functions, and get a glimpse into the future.

- **Automation**

When we think about automation, we think of efficiency, speed, and precision. According to studies, technology like robotic process automation (RPA) can help financial organisations save between 25 and 30 percent on costs. Financial services organisations can use the technology to automate processes that are both repetitive and data-intensive. To improve process accuracy and task performance, it is beneficial to use a software-based method. RPA will be mostly employed in the banking industry to eliminate manual reliance and latency while also increasing productivity.

- **Cloud Computing**

Financial services companies have arrived at a point in time where mobile banking is ubiquitous, insurance transactions are conducted online, and tech-savvy customers prefer digital wallets. Cloud computing technology enables financial institutions to meet all of these goals in a seamless manner. Customers who are laced with smart devices want to communicate and transact 24 hours a day, seven days a week in the

digital-backed sharing economy. Financial institutions have high expectations for cloud computing because it provides true mobility and helps them keep up with the speed of their digital-born customers.

- **Cybersecurity**

The digital era brings its own set of issues. Customers' personal and financial data is handled by financial businesses, which is sensitive. In a connected environment, data is, unfortunately, the most susceptible asset. Financial services companies are investing on access delegation frameworks like OAuth2.0 (Open-standard Authorization), which protects them from third-party assaults and aids in the development of secure APIs (Application Programming Interfaces). These tools and frameworks not only keep data safe, but they also assist organisations in meeting financial regulatory requirements.

5.1.3 Use of Softwares in Financial Sector – 1

Advantages of Banking Software

While working people's schedules have been busy as of late, they still manage to find time for bank work when they have some leisure or downtime. All of this came to an end with the advent of the Internet and, later, online banking. Yes, users were ecstatic about the ease with which they could do all of their banking operations. There are numerous benefits to using banking software.

For the sake of users, there are various PHP Best banking software and PHP transaction banking software on the market. Banking software provides an integrated solution to a diverse range of requirements. Every customer has its own set of needs, which must be completed in order for the programme to be considered a success. Successful banking software has reshaped the way a bank provides financial services to its consumers, according to experts. The benefits that they provide outweigh the disadvantages that they bring.

All banking software providers are working hard to ensure that these drawbacks are addressed, and that everything will be straightened out in a matter of years.

Merits of Banking Software

Simplicity of Use

The software is simple to operate and simplifies banking for both the bank and the customers. The integration feature aids in the creation of statements, reports, and email messages.

Reduction in Cost of Operation

It aids in reducing the number of employees required by a bank to operate its business professionally at each branch.

24/7 Availability

The main benefit of banking software is that consumers can conduct transactions at any time. They could log into their account from anywhere in the world and conduct business as they pleased.

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Multi-banking Features

Multi-branching and multi-banking activities are possible with advanced banking software. PHP Transaction Banking Software, PHP Retail Banking Software, and PHP Corporate Banking Software are also popular.

Secure Transactions

Online transactions are extremely secure because the software that requires double authentication from users. Because data is encrypted while being sent over the network, the software protects against direct hacking. Furthermore, the software includes a firewall that filters network traffic and prevents harmful assaults.

Support for Multiple Accounts

Users can utilise banking software to access and open different accounts, such as open money market accounts, IRAs, health savings accounts, and many others. Users can also use advanced software to manage their investments, stocks, and bonds, as well as purchase insurance online.

Finally, banks have come a long way since their founding in 1791 in the United States, and Internet banking has made enormous strides in the last seven years.

5.1.4 Use of Softwares in Financial Sector – 2



Fintech software & its advantages for the financial sector

Firms in the financial sector, such as banks, asset management companies, and accountancy firms, place a premium on accuracy and security. A minor blunder or a brief pause in the processing of funds could result in millions of dollars in losses and a hugely unfavourable impact on reputation. Custom software development for a financial firm's entire operation or specialised sections is required. Several financial processes, for example, can be automated and streamlined. Fintech software development has made this possible.

Fintech (Financial Technology) is a term that refers to software applications and other current technologies that are utilised by businesses to provide automated and better financial services. This is in stark contrast to traditional banking and financial

organisations, where most (if not all) information is recorded manually. Mobile banking, digital wallets, cryptocurrencies, blockchain, net banking, and other Fintech applications are examples. Qualified software development businesses can design SaaS and/or standalone web and mobile applications.

Types of fintech

- **Mobile Payments-** The development of mobile wallets or applications that store debit/credit card information and allow money to be moved between users is referred to as mobile payments.
- **Lending Apps** are, in a nutshell, web-based or mobile-based digital banks. Customers do not need to go to banks and wait in lengthy lines to get loans approved; everything can be done online simply uploading scanned copies of the relevant documents to a software application.
- **Insurance-** Several insurance companies, as well as banks, are using Fintech technologies to digitise their operations by offering a variety of insurance plans. The main benefit is that it is easier to reach a big number of potential clients, who will gladly embrace this ease.
- **Blockchain & Cryptocurrency-** A blockchain enables a person to send money to another person without having to go through a bank or other financial services provider. Cryptocurrency is a term used to describe digital assets with monetary value. Fintech concepts can benefit from software development services. However, it is important to highlight that cryptocurrency is merely a subset of Fintech.
- **Fintech Crowdfunding Platforms** Crowdfunding systems can be created that allow a group of individuals to contribute money to projects or businesses that are provided with equity. The development of such online applications will allow money to flow freely into the economy.
- A **currency trader** is a person who trades currencies. A fintech trading platform can be created to give traders access to the Forex markets. It could be a web-based portal, a mobile app, a separate downloadable software, or a hybrid of the three.

Advantages of fintech software for finance sector

- Fintech software can save money and time for financial institutions such as banks, insurance companies, and lenders, as well as customers. This is due to the fact that transactions are processed faster, more accurately, and with more ease. As a result, financial institutions do not need to make excessive investments, and the benefits can be passed on to consumers.
- Financial software development also provides financial access to those who are unbanked, that is, those who do not have a current or basic bank account. As a result, financial institutions may reach a larger audience in less time.
- **Security-** Fintech software programmes can protect users from illegal access and a variety of cyber-attacks. Fintech eliminates all instances of error, misquote, and the possibility of malevolent elements altering records.

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5.1.5 Emerging Issues related to Technology

While technology helped many organisations survive and prosper in 2020, there are a number of IT challenges to address as we move ahead to another year of technological triumph. Here we have produced a list of the most serious concerns confronting the IT industry in 2021, including information security, cyber-attacks, integrating IT strategy into overall business strategy, a rising skills gap, and more.

- **Threats to Cybersecurity Remain**

- For a variety of reasons, cybersecurity has become increasingly crucial in recent years. Data has become the most precious commodity for many firms, and criminal activities, such as malware, is on the rise. As attackers strive to exploit vulnerabilities, data breaches and incidents are becoming more common. To maintain business continuity and supply chain security, IT businesses are stepping up their cybersecurity efforts. However, cybersecurity isn't just a corporate issue. Attacks on governments are becoming increasingly common. Dissenters are attempting to subvert government projects and sovereignty by utilising both access to information and deception. Nation governments will undoubtedly need to account for comprehensive security precautions when they build cyber resources for the general public.

- **The Skill Deficit Widens**

- Technology is a tool that can assist us in achieving our objectives more quickly, but it is only as good as the people who manage and use it. According to CompTIA data, 93 percent of businesses report a skills gap in their IT employees, indicating a mismatch between required and existent skillsets. Before they can use innovation and new technologies, IT executives, starting with the CIO, must engage the necessary talent for the IT team to maximise the tools. In fact, 80% of businesses say their IT skills gap has an impact on at least one business area, such as employee productivity, customer service/customer engagement, and security.

- **Privacy and Data Protection**

- Consumer trust is hard to come by, but once gained, it is a valuable asset. According to an Edelman study, 81 percent of consumers said they needed to trust a brand in order to buy from them. It is critical to have data protection and information security policies and procedures to ensure that client data is kept private in order to win and maintain consumer trust. As we emerge from the epidemic, data security becomes even more critical. The recent year has been marked by uncertainty in terms of job, health, and financial stability, and consumers are more keen than ever to reserve their patronage for institutions they can trust—and data protection and information security are an important part of that relationship. The development of online and contactless purchases has only increased the need for firms to strengthen their data protection practises.

- **Disaster Recovery and Business Continuity**

- As much as we'd like to put the previous year behind us, it was also a time when several significant concerns involving business continuity and disaster recovery were brought to light. How do we ensure that firms can continue to

operate in the face of disruptions, political shifts, supply chain uncertainties, market fluctuations, severe weather, and public health crises? This year, businesses are prioritising ensuring that operations can continue in the face of these challenges. The events of the previous year brought new IT requirements to light. Many businesses were unprepared to move their staff and operations to the cloud. Businesses all across the world scrambled to obtain the necessary technologies or additional licencing in order to reopen. Businesses are prioritising such technology in 2021 to ensure that similar delays do not occur in the future.

- **Getting Back to Trusting Technology**

- In recent years, misinformation, political upheaval, and an increase in cyberattacks have caused widespread scepticism of technology. When events arise that create business delays or failures, it's common to point the finger at technology. These circumstances, on the other hand, aren't caused by technology; they're just perpetuated by our access to information. However, it is now time to acknowledge that technology is not inherently terrible or faulty. The unfavourable perception stems only from the misuse of technology. Businesses may be certain that technology is a trustworthy asset because to increased privacy protection regulations, increased security controls, and enhanced compliance processes.

- **Social Media**

- Social networking has shown to be a formidable power. Content on social media can range from incendiary to outright inaccurate, from political rallies to the dissemination of misinformation. However, social media also serves as a platform for connection and is a valuable source of knowledge for many people. It can also be an effective business tool for companies to communicate with their customers. Businesses must frequently interact on social media as a commercial technique, regardless of their feelings about its apparent benefits. With the growing controversies around personal data control and what is posted on social media platforms, businesses and users will need to be cautious about how they utilise social media.

- **Deepfake Information**

- Deepfake content, meanwhile, is becoming more widespread, leading to the spread of misinformation. Users are beginning to question their trust in video as reliable content, as they know that deepfake content can be made and shared, frequently with malicious intent. Businesses must have verification mechanisms in place to verify that their content is accurate and not exploited.

5.1.6 Future Prospects of Technology

Digital disruption is fundamentally rewriting the corporate rules, and those that don't keep ahead of the curve will find it difficult to catch up to more agile competitors. Intel refers to this unprecedented state of business disruption as the Vortex of Change, because new technologies are disrupting firms across many industries, from healthcare and entertainment to transportation and manufacturing.

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Jim Henrys, Director of Business Solutions at Intel, explains why evolving technologies have disrupted the monopoly of large multinationals: "The democratisation of technology is the key driver of disruption. Cloud and mobile technologies have already turned business models upside down and given start-ups the power to disrupt entire industries, regardless of their size, but further unprecedented technological change is just around the corner – so this really is still early days".

Organizations that rely on legacy infrastructure will struggle to develop and will waste money keeping out-of-date gear operational. "The worst mistake you can make today in a world where everything is moving and connecting is to imagine you'll be on top permanently and hold static," Henrys cautions. Businesses must not only update their IT infrastructure, but also create entirely new business models and Triple Bottom Line (TBL) strategies in order to thrive in the digital world.

The Triple Bottom Line is a strategic framework that divides a company's success into three components: economic, environmental, and social performance. While money is unavoidably the driving force, being socially and ecologically conscious is critical to any company's bottom line in the digital age. Furthermore, organisations must modernise the workplace in order to foster the correct working culture and cultivate talent by offering employees with the most advanced working methods.

"Many organizations fool themselves into thinking they foster creativity and innovation across their workforce," says Andrew Moore, GM of the Digital Transformation Office at Intel. "In reality, employees are often hesitant to come forward with ideas at most of the largest corporations in the world. Usually, it's because they know senior leaders won't take on board concepts unless they're backed up with a fully polished presentation and a detailed ROI calculation. This leads to companies being overtaken by agile competitors who aren't afraid of taking risks and trying radical things."

Businesses must guarantee that they are the disruptor, not the disrupted, in order to stay ahead. While new technology have already altered a number of industries, the Financial Services Industry (FSI) has a reputation for being sluggish to adapt. The financial world has some catching up to do as the speed of innovation continues to accelerate, partly due to obsolete infrastructure and also due to more severe rules than most other sectors.

According to Gerald Grattoni, Head of EMEA Financial Services Industry Solutions at Intel Corporation, there are four main areas that FSI organisations must address to ensure the effective digital transformation of the finance sector:

- **Cyber security**

Cyber security is a "given" for any firm in the digital age, regardless of industry. Banks must retain a high degree of consumer trust by guaranteeing them that their personal and financial information is secure. Multifactor authentication and other new solutions will play an important role in guaranteeing the security of client data.



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- **Compliance regulation**

“This has been top of mind for the sector for the last ten years as laws have become increasingly strict,” adds Grattoni. “Businesses face a difficult task in transforming major operating costs into a model that may generate new value and business.” As emerging technologies such as artificial intelligence enable banks to make more effective use of big data, compliance will continue to develop.

- **Evolution of customer engagement**

“Customers are much more tech-savvy these days, and they have different expectations about how they want to interact with their financial services,” Grattoni says, adding that banks are under pressure to adapt. There is a desire for real-time digital payments, as well as uniform experiences across platforms, all of which necessitate updating the underlying technology. Younger generations, in particular, anticipate the same level of convenience from non-financial services like Netflix*, Spotify*, and Facebook*. As a result, client empathy is critical.

- **New entrants to the market**

“Regulators have opened up the industry, bringing in a lot more competition, and new entrants are eating into the market share of the big banks,” Grattoni says. Traditional banks are becoming increasingly concerned about consumer loyalty as an increasing number of start-up enterprises use smart technology to create new options such as online remittance services and robot advisors. It isn’t just about competition, though. The FSI’s digital transformation will include the establishment of new partnerships with fintech start-ups.

Businesses must have a solid plan in place to transform, starting with an IT strategy. While it may have been common practise in the past to plan only three years ahead, doing so now would result in a significant blind spot. When designing a long-term plan, Grattoni lists three critical time periods that all firms should consider: 2018, 2022, and 2030.

2030: What will the future look like?

Looking ahead more than a decade, the FSI will have undergone a dramatic transformation as future technologies advance. As robots take on more decision-making responsibilities, AI and machine learning will become crucial to FSI enterprises, and trust will approach a tipping point. Customers may be able to connect with technology in

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a lot more natural way thanks to advances in AI and robots. IoT integration and shared ledgers like Blockchain, which is the foundation for the cryptocurrency Bitcoin, will also benefit the finance sector of the future.

A shared ledger is a database that keeps track of ownership and provides a non-tamperable permanent record of transactions. Because the ledger is confirmed by the network itself, it does not require the oversight of a centralised organisation. Shared ledgers' unmistakable audit trail will revolutionise a number of FSI sectors, including fraud detection and tax collection.

Furthermore, in the future, banks will be almost unrecognisable. "A bank appears to be a bank. "It appears to be safe and protected, but it's rather drab inside and there's not a lot of movement," Grattoni adds. At least, such was his impression until he came into an odd bank branch in Boston, which was bustling with people seated at tables with laptops, a barista pouring coffee, and a giant screen showing sports channels. "They'd completely reversed the concept of a dying branch," he explains. "The customer experience is critical, and there are ways to improve what we're doing."

According to Grattoni, banks might take one of two paths from 2030 onwards: they could become core transaction platforms or fully-featured lifestyle enterprises. "In the first scenario, banks give up their customer-facing infrastructure, such as branches, websites, apps, and salespeople, to focus on transactional services, capital finance, and loans, as well as all aspects of regulation and compliance," Grattoni "Other consumer-focused companies will be able to connect to this service to provide a user-focused front end," says the company. Finance products can be offered to employees as a benefit or as part of an organization's regular business model. To be successful, however, this strategy will require open source, modular technology that adheres to open standards.

"The alternate path is diametrically opposed. "It sees banks embracing the data they do have in order to obtain a greater understanding of their customers than even the most data-savvy web company," Grattoni says. "It's arguable that banks' transactional data provides more insight into a customer's behaviours than their online activity."

The bank as a central data custodian is another potential that could arise as a result of either of these two situations. Banks may become responsible for a person's core data profile, which is subsequently shared with the government and other businesses, as know-your-customer (KYC) activities improve to the point where they are nearly 100 percent correct. Data security must be a key priority for this to become a reality.

Another prospect for the future of finance is the levelling of capital markets. Investment banks may no longer have such an advantage with linked gadgets and publicly available market data set to level the unequal playing field of financial information. Furthermore, by making judgments based on predictive analytics, AI will reduce the risk, and thus the return, on investments.

5.1.7 KYC Details

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A Snapshot-

KYC stands for “Know Your Customer” or “Know Your Client” in some cases.

KYC (Know Your Customer) is the process of identifying and validating a client's identification when they open an account and on a regular basis thereafter.

In other words, banks must verify that their customers are who they say they are.

If a client fails to meet minimal KYC criteria, banks may refuse to open an account or terminate a business relationship.

KYC stands for ‘Know Your Customer,’ and it refers to the process of banks, insurance companies, and other institutions verifying the identity and addresses of all customers and clients before or during transactions with them. KYC has been mandated by the Reserve Bank of India (RBI) for all banks, financial institutions, and other digital payment firms that conduct financial transactions.

KYC is an acronym for “Know Your Customer.” It is a procedure through which the banks are able to gather complete detailed information about their account holders or clients’ identities in order to prevent the misuse of banking services and government legislation. When customers open accounts with the banks, the KYC procedure is followed. Banks must also keep their customers’ KYC information up to date on a regular basis. KYC is designed to limit the risk of identity theft, money laundering, financial fraud, and criminal organisation financing. KYC assists in the management of risks and the comprehension of client behaviour. Due to the obvious necessity of the KYC process, banks are now required to collect and verify fundamental information about their customers, such as their name and authorised signatures, their legal status of a business or as a person, the identification of account owners, and other information based on the FI risk strategy.

KYC simplifies the process of verifying a customer’s identity and address. In essence, KYC is the process of verifying an individual’s identity and address using supporting documents such as photo IDs (such as a PAN card or an Aadhar card), in-

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person verification (IPV), and proof of address. As previously stated, the Prevention of Money Laundering Act of 2002 makes KYC compliance a legal requirement. Additionally, the Know Your Customer (KYC) procedure is usually split into two stages:

- Part I contains an individual's required KYC information, as recommended by the Central KYC Registry (this is stated as Uniform KYC)
- Part II, in which the financial intermediary seeks any further KYC information individually (this is called as Additional KYC)

KYC (Know Your Customer) is a vital component in the battle against financial crime and money laundering today, and customer identification is the most important factor because it is the first step in improving performance in the subsequent phases of the process. The global panorama of anti-money laundering (AML) and counter-terrorist financing (CFT) raises enormous stakes for financial institutions.

National laws now include stringent directives like AML 4 and 5 as well as preventive procedures like "KYC" for customer identification influenced by international standards like The Financial Action Task Force (FATF).

Importance of KYC

- Bank-defined KYC procedures include all steps necessary to verify that their customers are real, as well as assess and manage risks.
- These client onboarding procedures aid in the detection and prevention of money laundering, terrorism financing, and other forms of illicit corruption.
- ID card verification, face verification, document verification (such as utility bills as evidence of address), and biometric verification are all part of the KYC procedure.
- To prevent fraud, banks must adhere to KYC and anti-money laundering requirements. The banks are responsible for KYC compliance.
- If you don't cooperate, you could face serious consequences.



What Documents Are Necessary for KYC?

According to the guidelines issued by the Indian government, six documents qualify as "Officially Valid Documents (or OVDs)" and can be used to verify identification. Even if you've already submitted your KYC documents to an institution, they may ask for documentary verification again to keep their KYC databases up to date. The following documents are required for the KYC procedure:

Along with their Know Your Client application form and a passport-size photograph, must submit the following papers.

1. Identification Proof

These are some of them:

- Aadhaar, Passport, Driver's License, and Voter ID Card are examples of unique identification numbers (UIDs).
- PAN (Personal Identification Number) card
- Any Statutory/Regulatory Authorities, Central/State Government and their Departments can issue you an identity card or document with your photo.
- Scheduled Commercial Banks, Public Sector Undertakings, and Public Financial Institutions all issue identification cards.
- Colleges that are linked with Universities, Professional Bodies like as ICAI, ICWAI, ICSI, and the Bar Council offer identity cards to their members.

2. Address Verification

- Ration Card, Driving License, Insurance Copy, or Flat Maintenance Bill Passport, Voters Identity Card, Registered Sale or Lease Agreement of Residence, Ration Card, Driving License, Insurance Copy
- Telephone bills, gas bills, and electricity bills are examples of utility bills (not more than three months old)
- Entries in a bank account statement or a passbook (not more than three months old)
- Judges of the Supreme Court and the High Court have self-declared their new addresses.
- Any of the following organisations can provide proof of residency

What are the different KYC procedures that are available?

1. Online:

Electronic Know Your Customer, also known as eKYC or Aadhar based KYC in India, is a process in which a customer's identity and address are electronically confirmed using Aadhaar authentication. India's nationwide biometric eID scheme is known as Aadhaar. In India, eKYC is popular since 99 percent of the adult population possesses a digital identity. Aadhaar numbers were distributed to 1,29 billion people in May 2021. The extraction of digital data from government-issued smart IDs (with a chip) with a physical presence, or the use of verified digital identities and facial recognition for online identity verification are all examples of eKYC. The customer onboarding process can then be completed on a mobile device. eKYC (also known as online KYC) is becoming more and more practicable as artificial intelligence improves its accuracy (AI).

Steps:

- Create an account on the official website of the registered KYC registration agency and fill in your personal information such as your name, date of birth, and address.
- Provide your Aadhaar card number and registered mobile number, and OTP will be used to validate them.

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- After accepting the e-KYC consent declaration terms, upload a self-attested copy of your e-Aadhaar.

2. Offline:

- Your insurance provider or bank can provide you with a KYC application form to fill out.
- A physical copy of the KYC form must be signed and submitted to the appropriate authorities.
- With the KYC form, provide attested photocopies of your domicile evidence, ID proof, and a passport-size photograph.

5.1.8 Introduction to Mobile Apps



The era of only a few people being able to purchase a phone with a camera, music player, and touchscreen are long gone. We've gone a long way from monochrome phones to digital touchscreen phones with a plethora of capabilities. The smartphone revolution has ushered in the digital era, making it simple to do things on the go. We can accomplish a lot of things on the move by utilising apps on our phones, tablets, and computers, whether it's watching movies, reading the news, listening to music, playing games, seeking for information, or buying groceries. The app industry's goal has become to produce smarter apps as technology improves and becomes more accessible. The app market is always changing and introducing new sorts of apps to improve the user experience. A mobile application, sometimes known as an app, is software that runs on a mobile device such as a smartphone or tablet computer. Mobile applications commonly offers users with services that are similar to those available on PCs. Apps are small, standalone software units with limited functionality. Apple Inc. with its App Store, which offers thousands of programmes for the iPhone, iPad, and iPod Touch, popularised the usage of app software.

Mobile applications are a departure from the traditional integrated software systems seen on PCs. Instead, each app offers a single, limited feature, such as a game, calculator, or mobile web browsing. Although early mobile devices' restricted hardware resources prevented programmes from multitasking, their uniqueness is now

part of their appeal because it allows consumers to choose what their devices can and cannot accomplish.

An app, web app, internet app, iPhone app, or smartphone app are all terms used to describe a mobile application.

Mobile Apps of Various Types

Native Apps: Native Apps are designed to run on a certain operating system and are built in a specific programming language. The majority of smartphones run the Android operating system or, if it's an apple device, the iOS operating system. Native Apps are designed expressly for a given operating system to take advantage of the features available on the devices that run that operating system. As a result, native programmes cannot run on multiple operating systems. To put it another way, you can't use iOS apps on Android phones and vice versa. Because they are designed for a certain OS, the programming languages in which they are written are also specialised to that OS. For iOS apps, Xcode and Objective-C are commonly utilised, while Eclipse and Java are commonly used for Android apps. Native apps are designed to take advantage of all of the phone's features and tools, such as contacts, camera, and sensors. Native apps provide a high-performance and elegant user experience because they are built using the native device UI. Native apps can be found in the app shops for each operating system. For example, native Android apps can be found on the Google Play Store, iOS apps on the App Store, and Windows apps on the Microsoft Store, among other places.

Examples of Native Apps:



Web Apps: Web apps, also known as mobile web apps, can be accessed using a web browser window. To use the app, you don't need any storage space or to go through an installation process. Mobile web apps readily adapt to different screen sizes and devices. Because both native and web apps have nearly identical features and responsive nature, the responsiveness and functionality of web apps might easily be fooled with that of a native app. One of the most significant differences between the two is that native mobile applications may operate in both offline and online modes without requiring an active internet connection, whereas web apps require an active internet connection to function. There's no need to update the web app because it updates itself on the web-hosted servers because it's not installed on your computer or smartphone.

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Examples of Mobile Web Apps:



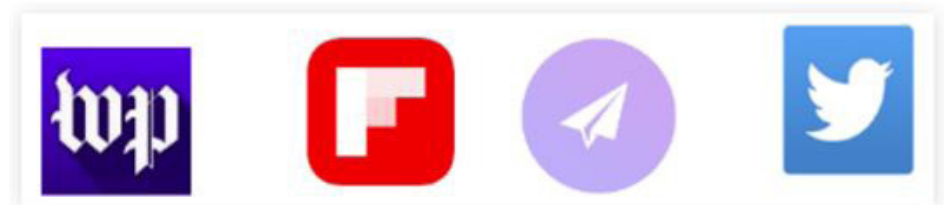
Hybrid App: Hybrid apps combine the finest features of both native and web apps into one package. The hybrid apps are built using HTML, Javascript, and CSS web technologies and are compatible with a variety of devices and operating systems. To construct native apps, development teams will no longer need to battle with Objective-C or Swift, instead relying on conventional web technologies such as Javascript, Angular, HTML, and CSS. Cordova is a mobile development framework that covers Javascript/HTML code and connects the device's hardware and functionality. Hybrid applications, like native apps, are produced on a single platform and distributed across several app stores such as Google Play or Apple's app store. When you want to create apps that don't require high-performance or full device access, hybrid apps are the way to go. Native apps still have an advantage over hybrid apps in terms of performance because they are device and OS focused.

Examples of Hybrid Apps:



Progressive Web Applications (PWAs): Progressive Web Apps (PWAs) are website extensions that you may download and use as an app on your PC or mobile device. PWAs make advantage of web browser APIs and features to provide a native app-like experience across devices. It's a form of webpage that may be installed on your devices or computer systems to simulate the functionality of a web application. Regardless of the operating system or device type, PWAs load quickly.

Examples of Progressive Web Apps:



5.1.9 Role of Mobile Apps in Banking Sector

Only with the rise of smartphones, mobile apps have engulfed practically every market segment. Users are quickly adopting mobile banking trends due to the simplicity

and freedom of handling their accounts. Transferring money to other accounts, paying bills, making purchases, and many other tasks are now easier and faster. According to Statista study from 2018, 90 percent of mobile banking app users in the United States checked their account balance through the app. Furthermore, 19% of customers created a new account directly from the mobile app.

The process of providing banking and financial services through cellphones is known as mobile banking. If we look back at the history of mobile banking, we can see that the service was previously reliant on SMS. European banks later launched web mobile banking in 1999.

- **Enhanced security**

Mobile banking apps are far safer than ATMs and traditional banking operations. Every transaction in these apps necessitates user authentication. As a result, the risks of a security breach are lowered. However, because it is an internet-based business, it has some drawbacks. As a result, security methods such as SSL and TLS are critical when designing banking mobile apps. Fintech blockchain technology is also being used by banks to add an extra layer of protection.

- **InstaAccount services**

The InstaAccount component of mobile banking apps allows users to open bank accounts instantaneously, as the name implies. Furthermore, customers have the option of completing the verification procedure by providing relevant papers online.

- **Trading and investing**

The use of financial mobile applications is not restricted to banks. Currently, customers can invest their money directly through these stock trading apps. Furthermore, the stock market is accessible to customers via apps, with features such as trading.

- **Payment of bills**

As the commercial sector increasingly adapts to the culture of cashless payments, almost all financial mobile applications take this function extremely seriously. Users can utilise this functionality to pay for things like utility bills, phone recharges, and other services. Furthermore, when designing mobile financial apps, banks use high-security measures to ensure that bill payments are secure. These mobile payment apps are projected to become more popular over time.

- **Statements of account and account history**

One of the most significant advantages of mobile banking is the ability to access account statements and history while on the road. Users may see the amount and time of each transaction, as well as the specifics of each transaction.

- **Assistance to customers**

To make the procedure easier, banks are employing mobile app customer assistance approaches. Banking apps are making customer support more convenient for users by adding AI chatbots. AI chatbots offer mobile banking capabilities and benefits including quick responses, intelligent inquiry resolution, and so on. Furthermore, mobile apps offer support in many languages to appeal to a diverse audience.

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- **Alerts sent out quickly**

Banking apps have made it possible for consumers to receive real-time account warnings. In other words, users have the ability to rapidly learn about events such as transactions and account adjustments, among other things.

- **Banking services that are convenient**

Banking apps have made banking services more accessible to people. Users no longer need to travel or hunt for nearby branches to complete tasks. That can be accomplished with the help of apps and the internet. One of the most important advantages of mobile banking apps is that it speeds up the processing.

- **Banking services are available 24 hours a day, 7 days a week.**

Banking services are now available on the go thanks to banking applications. Users can get their fast withdrawals or passbook updates regardless of whether there is a maintenance update or a big queue. "Time is money!" they say. Banking apps are designed with this goal in mind, allowing customers to have a more convenient and speedier banking experience. During the Covid, the best benefit of banking apps was seen. Even in the event of a global epidemic, users might retain control and access to their funds. It assisted them in avoiding a number of terrible events that could have occurred due to a shortage of funds.

- **Money transfer instantly**

Money orders are no longer being used. in today's world. Users can send money to persons in other countries instantly using peer-to-peer mobile payment apps. Users may utilise mobile banking apps to make international or domestic transactions with ease, thanks to banks like Wells Fargo. Furthermore, in order to complete the transaction, users must go through the verification process for security reasons.

5.1.10 Role of Mobile Apps in Finance Sector

How Mobile Apps Are Helping The Financial Sector

How many times have you reached for your phone to conduct short online banking transactions or check your balance? The phone banking app is one of the first few apps to be downloaded on any new smartphone.

Stock brokers are another example of how applications may assist the financial markets, as seen in the instance. They are always on the phone, checking stock prices and conducting business over the phone. Because financial services are often complex, mobile experiences must be really customer-centric.

As a financial service provider, you have access to a wealth of data, which necessitates the seamless transmission of that data onto digital platforms so that it can be used. Mobile charting is an excellent approach for businesses to provide relevant information to app users.

The financial sector benefits from mobile apps in a variety of ways. Let's take a look at each one separately:

- **Mobile Banking**

By 2019, it is expected that nearly 2 billion people will utilise mobile banking, with users being able to track, transact, and spend directly from their apps. The ease with which the apps work not only draws customers, but it also attracts potential staff. All employees want to work for a company that uses cutting-edge technology and has appealing apps.

- **Mobile Payments**

A substantial number of people are increasingly using mobile apps to pay bills for things like phone bills, power bills, credit card bills, and so on. This can simply be accomplished via mobile app services. Payments always entail some level of secrecy and anonymity.

Apps assist users in keeping their information private and secure. Mobile apps enable users to transact with least effort and maximum confidentiality as connectivity across locations and platforms grows. Apart from that, mobile apps offer a variety of payment options, including:

- Netbanking
- Credit card Payment
- Debit card Payment
- Mobile Wallets

- **Increase Business**

Mobile Apps also ensure that the banking sector's company is as profitable as possible. Mobile apps have ensured that the firm captures maximum market share and enhances revenue by making it more accessible. Mobile apps have enhanced the link between existing clients and the business by offering safe and secure transactions. This ensures that patronage and work will continue. Finance organisations' mobile applications can help underrepresented clients manage and harness investment or business prospects.

- **Reduce Operational Costs**

The usage of mobile apps has also resulted in a reduction in the business's operational costs. Mobile apps act as one-stop shops for products and services purchase, return, acquisition, exchange, and remittance. Aside from that, mobile apps have ensured a smooth, virtual transmission of data from the client to management and vice versa. Mobile apps have opened room for virtual customer service stations while also lowering costs.

There are a few popular apps on the market:

Expensify

This software is designed to assist you in keeping track of your costs. The following are some of the app's features:

- Keeping a record of expenditures
- Photographing your receipts

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- Receipt scanning that is automated
- Record-keeping input
- Providing timely relevant information
- Available on Android and iOS for free

Mint

CNET has given this software a perfect score. The following are some of the features of this app:

- Check the balances of your bank accounts
- Get notifications
- Add a number of credit cards
- Savings account for retirement
- Use graphs and charts to see your monthly spending.
- Available on Android and iOS for free

Paypal

This is a well-liked app. The following are some of the features of this Android app.

- Payments are the focus of the app. These transactions are safe and secure.
- This app connects to accounts directly.
- It is available for Android and iOS devices and is free to use.
- It keeps track of your payments and guards against fraudulent activities.

Budget

This is also a well-known app. The following are some of the features of this app:

- Customize categories to make your own profile.
- Easily feeding in your expenses and keeping track of your spending
- Provides access to a currency converter.
- Easily manages your daily spending

Check your Understanding

1. _____ are designed to run on a certain operating system and are built in a specific programming language
2. “_____” It is a procedure through which the banks are able to gather complete detailed information about their account holders or clients’
3. _____ are extremely secure because to software that requires double authentication from users.
4. _____ is the most current buzzword in the financial industry
5. Financial services organisations can use the technology to _____ processes that are both repetitive and data-intensive

Summary

- Fintech is the most current buzzword in the financial industry; the newest evolution of Fintech, spearheaded by start-ups, offers problems for regulators and market players alike, particularly in balancing the potential advantages of innovation with the potential hazards of innovative approaches in the finance sector. Traditional financial institutions have been transformed by fintech. FinTech refers to the rising technology advancements in the financial sector. The banking industry is rapidly being shaped by fintech. Around the globe, new financial technologies (FinTech) have sprung up. FinTech, or Financial Technology, is a company that combines emerging technology trends in order to give better financial solutions to its clients in the form of digital payments and transactions. In recent years, the Indian fintech industry has experienced a surge in the number of start-up entries
- UPI, BHIM, Payment wallet, digital bank, and many more services are available, and we use them on a daily basis. Which represents the importance of money and technology in our lives. India has emerged as the world's fastest growing FinTech market and the third biggest FinTech ecosystem. We now use smartphones to perform complex financial transactions such as sending or receiving money, paying bills, purchasing goods and services, purchasing insurance, trading on stock exchanges, opening bank accounts, and applying for personal loans without ever physically interacting with a bank employee.
- The impact of technology on financial services has been enormous in recent years. To keep ahead of the competition, businesses must abandon established financial methods and adopt flexible, innovative alternatives.
- Financial markets are becoming more open, accessible, inclusive, and efficient as a result of digital disruption. It also aids authorities in gaining a better understanding of the risks that participants normally accept.
- While working people's schedules have been busy as of late, they still manage to find time for bank work when they have some leisure or downtime. All of this came to an end with the advent of the Internet and, later, online banking. Yes, users were ecstatic about the ease with which they could do all of their banking operations. There are numerous benefits to using banking software.
- For the sake of users, there are various PHP Best banking software and PHP transaction banking software on the market. Banking software provides an integrated solution to a diverse range of requirements. Every customer has its own set of needs, which must be completed in order for the programme to be considered a success. Successful banking software has reshaped the way a bank provides financial services to its consumers, according to experts. The benefits that they provide outweigh the disadvantages that they bring.
- All banking software providers are working hard to ensure that these drawbacks are addressed, and that everything will be straightened out in a matter of years.
- Firms in the financial sector, such as banks, asset management companies, and accountancy firms, place a premium on accuracy and security. A minor blunder or a brief pause in the processing of funds could result in millions of dollars in losses and a hugely unfavourable impact on reputation. Custom software development for a financial firm's entire operation or specialised sections is required. Several

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financial processes, for example, can be automated and streamlined. Fintech software development has made this possible

- While technology helped many organisations survive and prosper in 2020, there are a number of IT challenges to address as we move ahead to another year of technological triumph. Here we have produced a list of the most serious concerns confronting the IT industry in 2021, including information security, cyber-attacks, integrating IT strategy into overall business strategy, a rising skills gap, and more.
- Digital disruption is fundamentally rewriting the corporate rules, and those that don't keep ahead of the curve will find it difficult to catch up to more agile competitors. Intel refers to this unprecedented state of business disruption as the Vortex of Change, because new technologies are disrupting firms across many industries, from healthcare and entertainment to transportation and manufacturing
- KYC is an acronym for "Know Your Customer." It is a procedure through which the banks are able to gather complete detailed information about their account holders or clients' identities in order to prevent the misuse of banking services and government legislation. When customers open accounts with the banks, the KYC procedure is followed. Banks must also keep their customers' KYC information up to date on a regular basis. KYC is designed to limit the risk of identity theft, money laundering, financial fraud, and criminal organisation financing. KYC assists in the management of risks and the comprehension of client behaviour. Due to the obvious necessity of the KYC process, banks are now required to collect and verify fundamental information about their customers, such as their name and authorised signatures, their legal status of a business or as a person, the identification of account owners, and other information based on the FI risk strategy.

Activity

1. Make a power point presentation on KYC

Questions and Exercises

1. Explain the basic Introduction to Mobile Apps
2. Explain the Advantages of Banking Software
3. Explain the Emerging Issues related to Technology

Glossary

- **FinTech:** The banking and financial sector landscape has experienced a spectacular shift, thanks to financial technology businesses, colloquially known as 'FinTechs.' FinTechs, as both innovative disruptors and facilitators, have contributed to the contemporary banking and financial industry through a variety of channels, including cost reduction, improved customer service, and financial inclusion. FinTechs have played a key role in unbundling banking into basic activities such as payment settlement, maturity transformation, risk sharing, and capital allocation. Fintech is the most current buzzword in the financial industry; the newest evolution of Fintech, spearheaded by start-ups, offers problems for regulators and market players alike, particularly in balancing the potential advantages of innovation with the potential hazards of innovative approaches in

the finance sector. Traditional financial institutions have been transformed by fintech. FinTech refers to the rising technology advancements in the financial sector. The banking industry is rapidly being shaped by fintech. Around the globe, new financial technologies (FinTech) have sprung up. FinTech, or Financial Technology, is a company that combines emerging technology trends in order to give better financial solutions to its clients in the form of digital payments and transactions. In recent years, the Indian fintech industry has experienced a surge in the number of start-up entries.

- **Know Your Customer:** KYC (Know Your Customer) is a vital component in the battle against financial crime and money laundering today, and customer identification is the most important factor because it is the first step in improving performance in the subsequent phases of the process. The global panorama of anti-money laundering (AML) and counter-terrorist financing (CFT) raises enormous stakes for financial institutions. KYC stands for “Know Your Customer” or “Know Your Client” in some cases. KYC (Know Your Customer) is the process of identifying and validating a client’s identification when they open an account and on a regular basis thereafter.
- **Hybrid App:** Hybrid apps combine the finest features of both native and web apps into one package. The hybrid apps are built using HTML, Javascript, and CSS web technologies and are compatible with a variety of devices and operating systems. To construct native apps, development teams will no longer need to battle with Objective-C or Swift, instead relying on conventional web technologies such as Javascript, Angular, HTML, and CSS. Cordova is a mobile development framework that covers Javascript/HTML code and connects the device’s hardware and functionality. Hybrid applications, like native apps, are produced on a single platform and distributed across several app stores such as Google Play or Apple’s app store. When you want to create apps that don’t require high-performance or full device access, hybrid apps are the way to go. Native apps still have an advantage over hybrid apps in terms of performance because they are device and OS focused.
- **Blockchain:** Blockchain is undoubtedly going to be the spine of the sharing economy. It is one of the most prominent technologies that instill security and accountability in the product and service delivery landscape. The technology scrutinizes transactions in a cost-effective, decentralized, and verified manner. It reduces dependency and supports proper book-keeping. Blockchain is one of the financial services technology trends that will underpin the two most important pillars of the industry, i.e., transparency and trust.

Further Readings

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Check your Understanding - Answers

1. Native Apps
2. Know Your Customer
3. Online transactions
4. Fintech
5. automate